Vaibhav Global (VAIBHAVGBL)

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Call: May 2023

VAIBHAV GLOBAL LIMITED

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rd May, 2023

Subject: Submission of transcript of conference call

Dear Sir / Madam,

With reference to captioned subject, we are enclosing herewith the transcript of Q4 FY'23 Earnings Conference Call held on Wednesday, 17th May, 2023.
The Transcript of the earnings conference call is uploaded on the website of the Company and can be accessed on the link:
https://www.vaibhavglobal.com/admin_assets /Investor/Investor_Presentation/1766690164667596.pdf

Kindly take the same on record.
Thanking you,
Yours Truly,

For Vaibhav Global Limited

Sushil Sharma
Company Secretary

National Stock Exchange of
India Limited (NSE)
Exchange Plaza, C■1, Block G,
Bandra Kurla Complex,
Bandra, Mumbai – 400 051
Symbol: VAIBHAVGBL

BSE Limited
Phiroze
JeejeeBhoy Towers,
Dalal Street,
Mumbai – 400 001
Scrip Code: 532156

"Vaibhav Global Limited
Q4 FY '23 Earnings Conference Call"
May 17, 202 3

MANAGEMENT FRO M VAIBHAV GLOBAL LIMITED :

MR. SUNIL AGRAWAL – MANAGING DIRECTOR
MR. NITIN PANWAD – GROUP CHIEF FINANCIAL OFFICER
MR. PRAS HANT SARASWAT – HEAD OF INVESTOR RELATIONS

MODERATOR : MS. DISHA SHAH – ADFACTORS PR

Moderator: Ladies and gentlemen, good day, and welcome to Vaibhav Global Limited Q4 and FY '23 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note t hat this conference is being recorded.

I now hand the conference over to Ms. Disha Shah from Adfactors PR. Thank you and over to you ma'am.

Disha Shah: Good evening, everyone, and thank you for joining us on Vaibhav Global Limited earnings conference call for the quarter end and full year ended 31, March 2023. Today, we have with us Mr. Sunil Agrawal, Managing Director, Mr. Nitin Panwad, Group CFO, and Mr. Prashant Saraswat, Head of Investor Relations. We will begin the call with opening remarks by Mr. Suni l Agrawal on the business operations, key initiatives and a broad outlook, followed by discussion on the financial performance by Mr. Nitin Panwad, after which the management will open the forum for Q&A session.

Before we get started, I would like to point out that some statements made or discussed on today's call may be forward -looking in nature and must be viewed in conjunction with the risks and uncertainties that we face. A detail ed statement and explanation of these risks are included in the earnings presentation, which has been shared with you all earlier. The company does not undertake to update these forward -looking statements publicly.

I would now like to invite Mr. Sunil Agrawa l to make his opening remarks. Over to you, sir.

Sunil Agrawal: Thank you, Disha. Ladies and gentlemen, thank you all for joining us today on this earnings call. It is my pleasure to share Vaibhav Global Limited performance for Q4 and FY '23 today. I hope you would have reviewed both our results and the presentation that provides details on the business operations and the current market conditions. We sincerely apologize for any inconvenience caused due to the short duration between the release of the resul ts and the earnings call.

Let us begin by discussing the quarterly performance. Sales for the quarter were INR693 crores, an increase of 1.1% from INR685 crores in the fourth quarter of last year. However, our top line had a stronger growth of 39.2% over l ast pre -COVID period of Q4 FY '20, which is a CAGR of 11.7% during this period. The top -line performance was in line with our guidance but could have been better given the continued macro environment weighing on consumer sentiments.

Our vertically integrat ed supply chain, combined with a strong global sourcing reach, provides us with a competitive advantage and allows us to ma intain a robust gross margin at 61%.

EBITDA for the quarter has been at 8% of the revenue versus 6.9% in Q4 of last year. Y -o-Y impro vement in EBITDA is on account of operational efficiencies and cost rebase activities. Sequentially, the margin is lower, owing to relatively leaner season vis -a-vis Q3.

I would now like to touch upon each of our addressable retail markets. In the UK, econ omic headwinds continued with subdued consumer demand. This had an impact on revenue. However, we are taking all mitigating measures, like focus on lower -priced products, by increased airtime allocation for under 10 and under 20 -pound products. In US also, the current macro challenges are weighing down consumer sentiments and result ant demand.

We are continuing to augment our reach by adding more TV cable and OTA households. And today, our coverage in US is higher by 4 million households Y -o-Y. We have also initiated additional marketing in OTT or connected TV homes where the customer LTV is very high. We believ

e in seeding investments for long -term growth. Recently, Salesforce marketing and Salesforce service clouds have gone live in US and UK.

Now our webs ite, marketing and customer service portals are all integrated. This enables us to give a great customer experience through integrated e -mail, SMS, chat, website targeting for upsell, cross -sell as well as precise retargeting on web, etc. Our strategic par tnership with

Vodafone Cable Networks in Germany has enabled us to extend our reach to additional 13 million households, thus expanding our presence to approximately 90% of total households in Germany and Austria. Having achieved this milestone within 1.5 years of launching retail operations is encouraging and positions us for much stronger future growth.
Our continued market share gain across territories demonstrates our ability to adapt and navigate any economic environment. Our vertically integrated supp ly chain has worked well for us. The low-cost manufacturing and value sourcing enables us to serve value -conscious customers in our addressable markets in US, UK and Germany, thus achieving industry -leading gross margins. Besides lower costs, our vertical model also helps reduce new product turnaround time, excellence to retailing opportunities and better control of design and quality of our products.
Our 4R's framework comprises of reach registration , retention and repeat purchases forms the basis for drivi ng operational performance. The reach of our TV networks by the end of FY '23 was 141 million TV homes, which was 124 million in FY '22. That is 14% higher Y -o-Y. We reach TV homes through cable, satellite, telco networks and over the antenna -based TV platforms. Our products are also available on digital channels, including all proprietary websites, smart phone apps, OTT platforms, marketplaces, influence r marketing and social direct response.
New registrations during 12 months were 3 lakh compared to 3.18 lakhs in FY '22. This is significantly higher by 69% over pre -COVID period. 57% of new customers were acquired digitally versus 56% in FY '22. Customers bought an average of 23 pieces on TTM basis versus 27 pieces in the corresponding period of previous ye ar. Finally, our retention rates stood at 38% on TTM basis compared to 40% of FY '22. Both repeat and retention were slightly lower due to higher price points and adverse economic environment.
At Vaibhav Global, we recognized the importance of creating a positive and conducive working environment for our employees. During March quarter, Vaibhav Global Limited India was

recognized with a Great Place to Work certification for the 6th consecutive y ear. On sustainability front, this quarter, we distributed 100 additional e -scooters to employees free of cost for official public purpose. With this, a total of 184 e -scooters have been distributed, resulting in a reduction of 12 buses from the fleet havi ng approximately 70 tons of carbon emissions per year.
This quarter, we touched a milestone of generating 11 million units f rom our solar power plants on cumulative basis. As stated earlier, we intend to become a carbon neutral in Scope 1 and Scope 2 green house gas emissions by FY '31. Further, I'm delighted to share that VGL's SEZ unit in Jaipur has been certified as net zero energy building status by IGBC. This is a major achievement by VGL and till date, only 15 projects across entire India have been cer tified so.
I would like to take a moment to share our continuous efforts of giving back to society. Through our "Your Purchase Feeds " program, we have served approximately 70 million meals to underprivileged children in India, US, UK and Germany till date with current run rate of 50,000 meals every school day. This initiated alliance with our values of corporate social responsibility and making positive impact on the communities we are part of.

Amidst the current macro -economic challenges and the ever -chang ing landscape, our outlook for the future remains positive. I would like to reiterate our current guidance and outlook for the business and are confident to deliver 8% to 10% revenue growth in FY '24 and to deliver mid - teens revenue growth in subsequent pe riods with decent operating leverage. We remain committed on maintaining balance sheet strength, alongside returning meaningful cash to shareholders. The Board has recommended a final dividend of INR1.5 per share, which is subject to shareholder 's approval . Including interim dividends, total dividend payouts against earnings of FY '23 would be INR6 per equity share.
With this, I now hand over the call to Nitin to discuss financial performance. Over to you, Nitin.
Nitin Panwad: Thank you, Sunil. Good evening, everyone. Let me now start with the discussion on quarterly financial part. Revenue for the quarter was INR 693 crores, a year -over-year growth of 1.1%, which was in line with our guidance. Our focus on offering value conscious buying, auctions have resonated well with customer demand. In comparison with Q4 FY '20, the growth is 39.2%, implying a CAGR of 11.7%. Had the broader economic environment been favourable , the performance could have been relatively better.
In local currency terms, Shop LC U S and Shop TJC UK, had decline of 12.1% and 4.6% respectively in sales. The decline in sales is attributable to weakened consumer sentiment, inflationary environment, particularly energy in UK and recessionary fear in US had an impact on the demand. Howeve r, we believe this is to be temporary in nature. Germany is scaling up well with revenue and customer numbers increasing every month.

Having associated with Vodafone, one of the largest cable TV network providers in Germany, the growth has further acceler ated recently. Though we expect a short -term impact on

profitability due to the additional airtime cost, but the same will be covered up in future as revenue from new households starts to kick in. At operating level, we are confident we will break even in this territory by H2 FY '24.

For the quarter, our TV revenue was INR409 crores and digital revenue was INR256 crores. Year -over-year, TV revenues declined by 1.7%. However, digital revenue grew by 2.1%. Against pre -COVID period of Q4 FY '20, the growth is encouraging, with TV growing by 25% and digital by 51%. TV refers towards proprietary TV channels that includes free -to-air channels and its OTA platforms. Digital includes our proprietary website, shopping apps, OTT platforms, marketplaces and social comm erce.

Digital continued to perform better than TV segments owing to wider discovery potential. Our core focus is to promote and encourage customers to transact on both TV and digital platforms, which gives them a unique shopping experience and such omni -channel customers tend to have significantly higher customer lifetime value than customers that buy only on TV or only on digital. For financial year '22 -'23, the budget pay revenue mix was 39% of retail revenue. During inflationary environment, budget pay offers affordability to customer to buy even high -ticket size items with ease.

As far as our product mix is concerned, jewellery accounts for 73% of our total retail sales and thus 27% comprises of lifestyle products, which includes apparel, home decor it ems, beauty and accessories. Gross margins during the quarter came in at 61% owing to our vertically integrated business model. EBITDA margin for the quarter was 8% compared to 6.9% of Q4 FY '22. Historically, Q4's EBITDA margin had always been lower than Q3 b eing a linear period versus Q2, it is at par. Efficient pricing, product mix and continuous cost rationalization were key focus areas of the Group during last year a nd we endeavour to continue the cost rebase mom

entum in
future as well.

Profit after -tax for the quarter is INR23 crores against INR27 crores of last year. Operating cash flows were at INR126 crores for FY '23 against INR86 crores of FY '22. Free cash flow of INR90 crores in FY '23 against negative INR214 crores of last year shows the impact of capex reverting to normalized level. ROE and ROCE of 9.1% and 14.4% respectively reflects impact of subdued profitability during the year.

The Board has paid dividend of INR4.5 per equity share during the first nine months of FY '23 and have further re commended final dividend of INR1.5 per share, subject to approval of shareholders. We are committed to creating enduring value to its stakeholders by striking a harmonious equilibrium between growth , investment and regular payouts. As we move forward, I would like to reiterate our earlier guidance and outlook for the business and are confident to deliver 8% to 10% revenue growth in FY '24 and to deliver mid -teen revenue growth in subsequent periods with decent operating leverage.

With this, I will hand over back to the moderator.

Moderator: Thank you very much. The first question is from the line of Ankur Kumar from Alpha Capital. Please go ahead.

Ankur Kumar: Congrats for a decent set of numbers in a tough environment. Sir, one question. When you say we wil l expect decent operating leverage, so we at our peak, we made 15% EBITDA margin. So, you think we can reach that number over, say, a two -year's period?

Sunil Agrawal: Thanks for your question, Ankur. We would strive to reach back or cross 15.3% that we ac hieved in FY '21, but we are not giving specific guidance how soon we'll reach that. But our effort would be to reach there as soon as possible.

Ankur Kumar: Got it, sir. And sir, for the coming year, what kind of employee costs increase, and other expense increase can we expect, because you're say ing revenue will grow 8% to 10%. So, I just wanted to check on these two numbers also, about expected growth on these numbers.

Sunil Agrawal: The employee growth and...

Ankur Kumar: Yes, employee growth and other expenses, because other expense would include logistics also which should have come down. So, what kind of numbers can you expect on these two fronts?

Sunil Agrawal: So, they will grow lesser than the revenue growth. Therefore, the leverage. We are not giving specific guidance on specific expense heads, but leverage will come because we will grow lower

than the revenue growth.
Ankur Kumar: Got it, sir. And sir, on Germany side, we were talking about breakeven from the second half. So, are we sticking to that number? And what is our loss for Germany in this quarter as well as the full year?
Nitin Panwad: So, Germany right now -- so Germany, as we recently had our partnershi p with Vodafone, we have seen improvement in sales. So, we are keeping the guid ance that by H2, we will make breakeven. But right now, we are around 60% of the sales need to be achieved. So, 40% that is required more, which is almost $1 million per month n et sales additionally is required to get the breakeven numbers.
Sunil Agrawal: And what was the loss?
Nitin Panwad: So, loss last quarter is flattish compared to the same time of last year. It is almost around EUR1.5 million from there and it is similar as last year. However, in the presentation, if you see, there is a forex difference because of rupees for us is different. There's a gap of 0.3% down in EBITDA level. But in local currency terms, it is flattish compared to last year.
Ankur Kumar: Sorry, you said EUR1.5 million loss for this quarter?
Nitin Panwad: Yes.
Sunil Agrawal: That is in Q4.

Ankur Kumar: Sure, sir. Thank you and all the best.
Sunil Agrawal: Thank you.
Moderator: Thank you. The next question is from the line of P

radip Maity from RGI Private Limited. Please go ahead.
Pradip Maity: I want to know that why the company had decided to expand its new business at Germany and Austria? Why not in other countries? What are the advantages company look in the future in Germany and Austria if they can grow more?
Sunil Agrawal: Sorry, I could not understand your question. Can you repeat, please?
Pradip Maity: Yes, I can repeat. Why the compa ny had decided to expand its new business at Germany and Austria? Why not in other countries?
Sunil Agrawal: Yes. So, thank you for the question. Germany is considered to be a large economy comfortable with long distance shopping. There is the television a nd e-comm shopping and the economy is bigger than UK and we had past experience in Germany. So, we felt comfortable going into Germany. Other markets in Europe, like Italy and Fr ance, they are smaller markets a nd in future, we may go into those markets as well.
Pradip Maity: And one thing, how the company will improve its net profit percent in the future? I mean, FY '24.
Sunil Agrawal: Yes. We are not giving guidance of net profit, but we do give guidance that we'll grow 8% to 10% this year with operating l everage. That means, if we are making 8% EBITDA last financial year, we will have higher EBITDA in this financial year that is FY '24, with 8% to 10% revenue growth.
Pradip Maity: Okay. Thank you, sir.
Moderator: Thank you. The next question is from the li ne of Aman Gupta from Kredent InfoEdge. Please go ahead.
Aman Gupta: Thanks for taking my question. So, the change in inventories of finished growth, so last year, it was like minus INR168 crores and now this year INR21 crores. So, I just want to understan d like where like -- where this -- like have we added new inventory or -- other part of the country
Nitin Panwad: So, let me take that question, Aman. So, the inventory level which is showing increase over last year is mainly related to rupee's devaluation over last year. But in local currency terms, in US dollars, it has declined. And last year at the same time, we had a Group -wide $84 million inventory, which is reduced to $78 million in this year end. So, the impac t you see is related to mainly rupee devaluation.
Aman Gupta: Okay. And what are your like marketing expenses like in digital and TV?

Nitin Panwad: So, affiliate cost comprises roughly around 8% of our business and digital marketing cost increased in last year, mainly related to our conscious investment in digital learning , expansion of new customers.
Aman Gupta: Okay, understood. And this D2C brand, that TAMSY and Rachel Galley, so what are the growth there? And why are you only targeting women which are 4 0 years above? Like why not the other

women also?
Sunil Agrawal: Yes, t his is Sunil. That's a good question. I'll answer that. So, our TV audience is largely 40 -plus women who have time on their hand, and they have a need to get the company from live hosts from us. They have time on hand, and they are lonely. So, we give them a company, give them education, give them live communication. So, we answer, we call their name out. So, they feel engaged, and they watch us for a long time. So, our product developme nt skills are geared towards that demographic. And that demographic is increasing in size and affluence in our geography that is US, UK and Germany. So, we remain focused on that demographic because that will continue to grow for many years to come. And th at is what we have done for our digital channels as well.
Aman Gupta: Okay. And this TAMSY, the D2C brand, which we acquired TJC?
Sunil Agrawal: So that we initiated about 1.5 years ago. So, they are growing, not as fast as we would have liked because of t he macro environment. So, we keep that we expect earlier planned investments into marketing. Even then t hey both are g

rowing year -over-year in terms of revenue, still small base,
but they are increasing in the revenue also from the cost perspective. So, the marketing spend as a ratio of revenue is improving sequentially year -over-year.
Aman Gupta: Okay, understood. Thank you.
Moderator: Thank you. The next question is from the line of Ankur Kumar from Alpha Capital. Please go ahead.
Ankur Kumar: One question on the logistics cost. Can you please tell what is the logistics cost for this quarter and the full year?
Nitin Panwad: So, let me -- so logistic costs...
Sunil Agrawal: Yes, I have the number. So, for the quarter, our shipping cost was about $6 m illion, compared to $9 million last year. And for the year it was about $25 million versus $33 million last year.
This is the shipping cost at the retail level, not the shipping cost that does not include the shipping costs from our supply chain over to ou r carrier.
Ankur Kumar: Got it, sir. And sir, do we expect reduction in this to continue because things should have reduced in terms of cost?

Sunil Agrawal: So largely, the cost reduction was owing to the lower volume this period. There was some renegotiat ions that we were able to achieve with carriers as well, but largely with the volume reduction. So, the guidance that we have this year is to a similar price point and the volume will increase. So, cost will increase in proportion to the volume.
Ankur Kuma r: Got it, sir. Thank you and all the best.
Sunil Agrawal: Thank you, Ankur.
Moderator: Thank you. The next question is from the line of Nayan Gala from Etica Wealth. Please go ahead.
Nayan Gala: Thank you for the opportunity. Actually, I joined a bit late. So, if you can just give a break -up of the revenue between TV and digital?
Nitin Panwad: So, TV and digital -- for the quarter, TV and digital...
Nayan Gala: For the quarter and full year, both.
Nitin Panwad: For the quarter, TV revenue was INR416 crores and INR250 crores for the digital. And TV has a de-growth of 1.7%, but we have growth of 2.1% on digital. For full year terms, we have INR1 ,699 crores TV sales for full year. And which sorry, INR1,633 crores sales for the full year which compared to INR1,699 crores of last year on TV. And digital, INR977 crores of sales compared to INR986 crores of last year. So, we have relatively lower de -growth on digital. For the full year, it is 0.9% de -growth on digital compared to TV it's 3.9% de -growth.
Nayan Gala: Okay. And in terms of the EBITDA margin, will there be a significant difference when the sales happen through TV or maybe through digital? So, what is the difference in terms of the margin?
Sunil Agrawal: So, let me answer. This is Sunil . So digital is pretty well connected with our TV business. Within digital, we have 3 components. One is the live streaming goes through digital platforms. The second is the catalogue. And the third is the auction, $1 auction or GBP 1 auction. So, the firs t 2 components, the TV as well as catalogue, their margin is similar to television. But the auction is much lower because there is a clearing mechanism of TV inventory, the tails and the dogs, which are left over that we pick through $1 auction because we are a vertical unit, w e can't return that product back to the vendors. So, we clear most of those items through this $1 auction. And that margin is around 15% to 20% only compared to 50%, 60% in TV and web.
Nayan Gala: And sir, just wanted to know a rough figure as to the $1 auction that we do, that would be how much of the total yearly revenues? A rough estimate would be fine.
Nitin Panwad: So, 5% of the total business sales for a unit.
Nayan Gala: And over the year, this has been around this level, or it has gone down, if you can just comment?

Nitin Panwad: It is a relatively similar ratio.

Nayan Gala: Okay. And sir, I was just going through a presentation. In that, you have mentioned that you have tied up with Vodafone in Germany, wherein now you are targ eting around 90% of households. So, if you can just help us understand the kind of opportunity that is the re. And how we are going to, and what will be the timeframe for the same to capture this 90% of the household?
Sunil Agrawal: So out of 42 million homes, Vodafone is 13 million homes which is not completely 90%, but now we cover 90% of Germany and Austria after addition of Vodafone. Now the TV homes, they take anywhere from 6 months to 18 months to become mature. Now breakeven of those homes differ from platform to platform. Some pl atforms start to breakeven in 4 -5 months and some platforms take 8 to 9 months to breakeven. So, this is still very new, and it is ramping up pretty good. And that's why we have a fairly reasonable confidence that w e will breakeven in H2.
Nayan Gala: In H2 of FY '24?
Sunil Agrawal: Yes.
Nayan Gala: And sir, what is the capex amount that we have incurred? What is the capex amount that we are going to incur?
Nitin Panwad: For our Vodafone investment?
Nayan Gala: Yes, for this investment?
Nitin Panwad: So, it is opex. There's no capex in this. It is a broadcasting right. So, we pay it on a monthly basis what service we use.
Nayan Gala: Okay. And any similar plans in different geographies that we have?
Sunil Agrawal: Yes, we continue to look for additional airtime in US especially. There's still a lot of distribution on OTA that is still available to us. As we get opportunity, we continuously distribute. There's no such -- either way, availability, but whenever it becomes available, we have a team looking for that airtime and we find the opportunity, we take it.
Nayan Gala: Okay. Thank you, sir. This is all from my side. If I have some few questions, I'll come back to the queue.
Moderator: Thank you. The next question is fr om the line of Ritik Tulsyan from Concept Investwell. Please go ahead.
Ritik Tulsyan: I have few questions. So, in FY '23, we got a benefit of currency depreciation, right? And assuming this year, that is in FY '24, we don't get the same benefit. So, given that, how confident are you of achieving the guidance for the full year? Because if we see UK and US, the demand is not materially improving. So how confident are you?

Sunil Agrawal: So, our guidance does not take into account the exchange devaluation or exchange fluctuation. It is for like to like. So, we expect 8% to 10% in constant currency basis. And there may be some element of foreign exchange fluctuations that come in, but we have not factored that in at this time.
Ritik Tulsyan: Okay. And so, you have said that you are gaining market share. So, in which geographies you have gained market share? Is it all three of them or the specific UK and US only?
Sunil Agrawal: We look at our competitors who are in these geographies U S, UK, Germany and who are addressable and publicly listed entities. And against those entities, we have gained market share consistently over last many years. So, the data I have in front of me, for the past four years, we have consistently gained market share.
Ritik Tulsyan: So, in both the geographies, UK and US, right?
Sunil Agrawal: Yes, UK, US and now as we are going into Germany, we are starting to include Germany as well in our operations.
Ritik Tulsyan: Okay. And sir, how was the growth in the month of April 2023? Like if you cannot quantify, but just give us some highlights on how was the growth?
Sunil Agrawal: We do not give a guidance on specific period, but we are confident of achieving 10% for the whole year in current financial year.
Ritik Tulsyan: Okay. And one more question I just had, that is, if I see the geography -wise margin diffe

rentiation, so in America, we have significantly low margins when we compare it with UK
and India. So why is there such a gap between margins when we see whe n we compare it between geographies, specifically America and UK? So, what is the difference? What accounts for this difference?
Nitin Panwad: So, we have a similar kind of margins. You were mentioning about gross margins, right?
Ritik Tulsyan: The one we have uploaded in the results, the earnings before interest tax and exceptional items.
Nitin Panwad: So actually so for comparing to previous years, in Shop LC, we have the margins our higher labour costs and shipping costs that we are seeing as in US, the territory is quite big. Normally, our shipping cost is higher in Shop LC in US market. And in UK, it is much lower shipping cost that is coming in bottom line profitability better in UK in previous years. Also, the affiliate cost also in US is much wider a nd bigger market in affiliate side. So, affiliate as a post percent till compared to UK. In US, it is higher. So that is why in financial year '21, if you are referring or '22, the PAT margin in UK is better than US.
Ritik Tulsyan: Okay. That's it from my side. Thank you. Have a good year.
Management: Thank you, Ritik.

Moderator: Thank you. The next question is from the line of Rupesh Tatiya from IntelSense Capital. Please go ahead.
Rupesh Tatiya: Thank you for the opportunity. I haven't had the opportun ity to go through the presentation yet. So sorry if my -- the data is there. My first question, sir, is what was our content and broadcasting costs for FY '23?
Nitin Panwad : The content and broadcasting for the full year, it is INR273 crores compared to IN R233 crores of last year. That is the full year cost.
Rupesh Tatiya: And do you have kind of like what is the budget for FY '24?
Nitin Panwad : The budget actually it is related to Germany investment that we have done it. It was not as high airtime costs at that time. So, the new Vodafone venture we have taken it. So that will be additional over the top of it. But normally, we see based on the opportunity comes up, if any airtime is giving a profitability based on the cadence that we have decided, we're alwa ys ready to take the opportunity.
Rupesh Tatiya: But do you have kind of some range, sir, you can give?
Nitin Panwad : It's almost around $35 million.
Rupesh Tatiya: Okay. And sir, in annual report '22, you had this broadcasting rights of INR75 crores. So, what is the depreciation policy on that amortization or depreciation?
Nitin Panwad: So, it is a perpetual broadcasting right that we have for the perpetual period that we have taken it. So, we are amortizing it in 10 years.
Rupesh Tatiya: And what is the value at the end of FY '23?
Sunil Agrawal: So usually, it's a perpetual right. So, we don't really need to amortize. But as a prudent business principles, we are amortizing it over 10 years.
Rupesh Tatiya: Okay. Then sir, my second question is, can you give me the number of unique customers for FY '23?
Sunil Agrawal: So, what is your question?
Rupesh Tatiya: What is the number of unique customers for FY '23?
Nitin Panwad: It's 461,000 unique customers for FY '23.
Rupesh Tatiya: So that number have gone down, right? If my memory serves right, it was INR5 lakh for FY '22?
Sunil Agrawal: Good memory. They have gone down slightly and that is owing to higher price point. Our ASP was higher, and the economic environment was tough.

Rupesh Tatiya: So how do you see this number moving in FY '24 and then also FY '25?
Sunil Agrawal: We expect it to go up in FY '24 in coming years with additional Vodafone distribution that we have as well as the digital investments that we are making. We expect it to go up. We ar e not giving specific guidance, but we

expect it to go up meaningfully in current financial year.
Rupesh Tatiya: Okay. Thank you.
Sunil Agrawal: Thanks, Rupesh.
Moderator: Thank you. The next question is from the line of Rohan Mehta, as an Individual Inves tor. Please go ahead.
Rohan Mehta: Hi, good evening. I'm sorry, I had got disconnected in between. So, pardon me if some of my questions have already been covered. Sir, with regards to our lifestyle products, how are we seeing Germany panning out compared to our past -- as against our past experience of UK?

Nitin Panwad: So, our lifestyle in Germany, as we are new in the Germany and we have a brand authority in jewellery, historically, we are doing past 40 years business in jewellery, we know, and we manufacture the products. So, we are more comfortable in initial period in jewellery side. However, the percentage to sales of lifestyle product is not as in UK similar in Germany. But as soon as we will see the customer behaviour on the lifestyle products then we'll start increasing the lifestyle share in Germany. But majorly, it is around roughly 18% to 20% of the Germany sales is through lifestyle products.
Rohan Mehta: Okay. And on the same lines, speaking of opportunities in Germany, is it too early to say if we are targeting any particular new segments to penetrate the German market apart from the ones you mentioned?
Sunil Agrawal: So LSP is a very wide segment. We continue to explore new product categories and bring those space to our customer s. Your question is about the product or is it -- what is the question?
Rohan Mehta: So, about the end segments that we might be targeting to get into with the German market? Like you said, jewellery is right now at a particular state. So, if you have any other segments, end segments in mind with the German market?
Sunil Agrawal: Yes, we already distribute apparel, accessories, some beauty, and some home. And within these segments, they are pretty wide segments, and our buyers and merchants travel to all ov er the world. And when they find right opportunities, they bring those. And th ey also do the trend spotting a nd wherever they see something trending, they would bring those products in. There's a big space for us to explore and take the opportunity, capita lize on that.
Rohan Mehta: Right. Understood, sir. And sir, prior to this Vodafone acquisition, we had about upwards of 60%-odd of coverage in Germany in terms of households. And after the Vodafone acquisition, it has grown to around 90% -odd number of hous eholds. So, the differential that has been added

was Vodafone exclusive to these households in Germany or was there also an overlap of this market share that we have gained? So basically, whether only new households were added, or can there be additional i nflow of revenue from this new synergy from Vodafone?
Sunil Agrawal: Yes, it's largely exclusive because people have to pay upfront. They usually do not pay to two carriers on a monthly basis.
Rohan Mehta: Right. And sir, if you can just shed some light on the gross addition of households that we have had in the US, in the UK and now in Germany, except Vodafone, barring Vodafone?
Sunil Agrawal: US, we added 4 million new homes in the period in the quarter and UK was flat. Did I answer your question? US was 4 million and U.K. was flat and Germany 13 million.
Rohan Mehta: Germany was, sir? I'm sorry, I missed your number.
Sunil Agrawal: 13 million Vodafone homes.
Rohan Mehta: These are net of any households that we've lost, or these are totally new additions?
Sunil Agrawal: Yes, they are net.
Rohan Mehta: Okay. And just one last question. Our platform, is it only the platform that is the key differentiator vis -a-vis our competi tion or do we have any product? Is there a certain niche within our product differentiation also when compared to other similar

companies?
Sunil Agrawal: The biggest thing is the value perception. We position ourselves as the best value playe r because of our vertical model an d we keep competitively average price point lower than competitor. And within this, we excel in jewellery because of our long history and other products also bring in lower price points than competitors. Therefore, the value perception comes more.
Rohan Mehta: All right. Understood. That was all from my end. All the best. Thank you.
Moderator: Thank you. The next question is from the line of Ashish Shah from Business Match. Please go ahead.
Ashish Shah: Sir, I have a few questions on you r Slide 19, which talks about your own brand portfolio. There's one data point where the current revenue mix is about 30%. Sir, could you give us a rough idea of what would this number be a couple of years back?
Sunil Agrawal: Just a moment. We don't have the data right now, Ashish. It has grown steady because we do focus on bringing products under certain brands so as to create affinity with that customer who likes a certain brand and the repurchase usually goes up if somebody really associates with the brand.
Ashish Shah: Correct. And sir, this revenue target mix of 50% by FY '27, does this dramatically alter your margins and working capital profile positively like over the next few years?

Sunil Agrawal: It improves repeat purchase of those customers. Marg ins, we are not seeing any mea ningfully more margin in brand but t he objective of brand is to create better affinity and better retention.
Ashish Shah: Okay. And sir, lastly, on that same slide, do you have any thoughts on acquiring any licensing or licensing brands to achieve the same objective or you would want to seed your brands, or do you want to pursue the more inorganic opportunities?
Sunil Agrawal: Usua lly, when you take up known brands, if you say, Disney or other brand, the margin that we need 60% is usually difficult in those brands. So, we would avoid brands that will not allow us our 60% margins.
Ashish Shah: Okay. And sir, one other question not related to this, you mentioned to the previous participant that our differentiation has been this lower ASP. However, ASP has gone up quite sharply. So, sir, any thoughts over there?
Sunil Agrawal: So recently, because of in flationary environment, lot of effect on the interest in gold product s, like gold chains or gold rings or gold pendants. And you take benefit of those opportunity and offer to those customers. However, we believe that this is not a long -term phenomenon. As the business goes back to normal, ASP would settle back down a bit.
Ashish Shah: Okay, sir. Thank you very much.
Sunil Agrawal: Thank you, Ashish.
Moderator: Thank you. The next question is from the line of Aditya Mehta from GK Capital. Please go ahead.
Aditya Mehta: Hi, sir. Thanks for the opportunity. One of the previous participants asked about broadcasting and content costs. You mentioned INR200 -odd something crores. So, could you please repeat that figure?
Nitin Panwad: So that was INR415 crores for.. .
Aditya Mehta: INR415 crores. Okay. So where do you see this cost going forward in FY '24 since most of the investments have been done right now?
Nitin Panwad: This cost will increase, but lower than the revenue growth that we are projecting.
Aditya Mehta : And about the employee cost?
Nitin Panwad: Again, lower than the revenue projections that we are projecting.
Aditya Mehta: Okay. And secondly, my question is with regards to do we have any data point from which we can compare the performance between OTT versus OTA means, because since the world is moving towards OTA on an experience over OTT is totally depend from an OTA? So, any da ta point like per household revenue in OTA versus OTT?

Sunil Agrawal: OTA is a similar number as cable home or satellite home. But OTT lifetime value is more than double of T V home because the app download, once they download the app and start interacting, there's a stickiness around app behaviour .
Aditya Mehta: So, any revenue per household number?
Sunil Agrawal: So, we look at lifetime value. So, it's about $1,500 on OTT versus about $800 on television.
Aditya Mehta: So approximately double of OTA?
Sunil Agrawal: Yes.
Moderator: Thank you. The next question is from the line of Parth Dalal as an Individual Investor. Please go ahead.
Parth Dalal: So, the question is, I'll take you back to the history, let's say, four years, five years back when management's opinion was that the business model of Vaibhav Global is such that we will grow faster during such unfavourable economic environment because peopl e tend to move from the brand to the value provider like us. So, the question is, is there any change in the business model since now we are waiting for or anticipating the unfavourable economic environment to change to deliver for us. So, any change that has happened?
Sunil Agrawal: Yes, thanks Parth for the question. I remember saying that and I still stand by of gaining market share in any environment, whether it is a recessionary environment or economically robust environment that we'll continue to gain the market share owing to our value proposition. Now the current environment is a combination of multiple factors. The war nervousness, the inflationary environment as well as the recessionary fear and interest costs being up. So, people's disposable inco me has been severely impacted. Our product is still not necessity. It is discretionary. And in such environment, discretionary product will take a hit for all retailers of discretionary product. Compared to other retailers, we continued to gain market shar e.
Parth Dalal: And that is the reason I assume we are moving the focus towards the $10, $20 products, basically the low ASP products. Is it that reason?
Sunil Agrawal: Yes, especially in UK and Germany, we are seeing more impact of gas prices and the food cost and the interest cost. So, there we are giving more airtime for lower price point, and we are seeing customer interaction better in those price points.

Parth Dalal: Actually, I believe we could have done that, I mean, a couple of quarters back. But anyways, since we are doing it now. And another question, sir, is around the B2B. Again, I mean, years back, we were saying that it will reduce. But I think last two years, it has b een increased. And if we compare this quarter year -on-year, had it not been B2B, we would have been in red in terms of top -line for the quarter. So how do you see that trending now?

Sunil Agrawal: So, we take opportunity because our manufacturing capacity was idle and our retail units were not fully lifting the product, our ASP went up. So, we did approach other retailers and they were happy to give orders to us and we took opportunity of the capacity that we have. Now for going forward, we'll continue to h ave the relationship with those retailers as long as we continue to get ROCE for those businesses. If that continues to give us ROCE, we'll continue to expand and capitalize on that because our capex for expanding on the capacity whenever we will need is relatively very low.
Parth Dalal: Okay, sir. Thank you. I'll come back in the queue.
Sunil Agrawal: Thank you.
Moderator: Thank you. The next question is a follow -up question from the line of Ritik Tulsyan from Concept Investwell. Please go ahead.
Ritik Tulsyan: Yes, thank you for the follow -up. Sir, I just have one question, that is, currently our run rate in Germany is close to 2 million -odd right? . And in the last con call you said that to achieve breakeven, we have to have EUR3 million

run rate. So, with the Vodafone tie -up and investments we have made, are you confident of achieving that run rate or do you have to make more investments? So basically, I want to know the investment trajectory in Germany.
Sunil Agrawal : So, the current run rate is about 1.5 million. And as of this time, after Vodafone cost, it is about 2.5 million. So, we just need to achieve additional 1 million per month to reach breakeven. And that is what we believe in overall for the H2 we should be able to get there because we are seeing repeat rate, repeat purchase rate by the customers, existing customers as well as Vodafone customers. That gives us confidence to reach there.
Ritik Tulsyan: Okay. So basically, we will not have to make additional investments, a lot of investme nts?
Sunil Agrawal : No, there's no other capex or additional opex needed to reach there because we are seeing the repeat purchase behaviour of customers that we have acquired previously. And when we extrapolate that behaviour on Vodafone or other customers , we reach to the same conclusion that we will reach breakeven in H2.
Ritik Tulsyan: Okay, sir. Thank you. That answers my question.
Nitin Panwad: Thank you, Ritik. Appreciated.
Moderator: Thank you. Ladies and gentlemen, that would be our last question f or today. I now hand the conference back to Mr. Agrawal for closing comments. Thank you and over to you, sir.
Sunil Agrawal: Thank you, operator. So, I want to thank all the participants for your time and great questions. If you have any further questions, please feel free to reach Prashant Saraswat at VGL or Amit Sharma at Adfactors PR India, and we all will be happy to answer your questions. Thank you once again. Thanks all.

Moderator: Thank you very much. Ladies and gentlemen, on behalf of Vaibhav Global Limited, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

Call: Aug 2023

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Phiroze JeejeeBhoy Towers,
Dalal Street,
Mumbai – 400 001
Scrip Code: 532156

Subject: Submission of transcript of conference call
Dear Sir / Madam,
With reference to captioned subject, we are enclosing herewith the transcript of Q 1 FY24 Earnings Conference Call held on Thursday , 03rd August , 2023.
The Transcript of the earnings conference call is uploaded on the website of t he Company and can be accessed on the link:
https://www.vaibhavglobal.com/admin_assets/Investor/Investor_Presentation/1773662259166963.pdf
Kindly take the same on record.
Thanking you,
Yours Truly,
For Vaibhav Global Limited

Sushil Sharma
Company Secretary

“Vaibhav Global Limited
Q1 FY '2 4 Earnings Conference Call”
August 03 , 202 3

MANAGEMENT : MR. SUNIL AGRAWAL – MANAGING DIRECTOR – VAIBHAV GLOBAL LIMITED
MR. NITIN PANWAD – GROUP CHIEF FINANCIAL OFFICER – VAIBHAV GLOBAL LIMITED
MR. PRAS HANT SARASWAT – HEAD OF INVESTOR RELATIONS – VAIBHAV GLOBAL LIMITED

MODERATOR : MS. DISHA SHAH – ADFACTORS PR

Moderator: Ladies and gentlemen, good day, and welcome to Vaibhav Global Limited Q1 FY '24 Earnings Conference Call.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please si gnal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Disha Shah from Adfactors PR. Thank you, and over to you, Ms. Shah.
Disha Shah: Good afternoon, everyone, and thank you for joining us on Vaibhav Global's earnings conference call for the quarter ended 30 , June 2023. Today, we have with us Mr. Sunil Agrawal, Managing Director , Mr. Nitin Pa nwad, Group CFO , and Mr. Prashant Saraswat, Head of Investor Relations. We will begin the call with opening remarks by Mr. Sunil Agrawal on the business operations, key initiatives and a broad outlook, followed by a discussion on financial performance by Mr. Nitin Pa nwad, after which the management will open the quo rum for Q&A session.
Before we get started, I would like to point out that some statements made or discussed on this call may be forward -looking in nature and must be viewed in conjunction with the risks and uncertainties that we face. A detailed statemen t and explanation of these risks is included in the earnings presentation, which has been shared with you earlier. The company does not undertake to update these forward -looking statements publicly.
I would now like to invite Mr. Sunil Agrawal to make his opening remark. Over to you, sir.
Sunil Agrawal: Thank you, Disha. Thank you all for joining us today on this earnings call. I hope you would have reviewed both our results and the presentation that supplies details on business operations and current market trends.
Let me begin with operational highlights of Q1 FY '24. At Group level, sales for the quarter were INR658 crores, an increase of 4.8% over the same period of last fiscal year. Our five-years, CAGR stays healthy at 11%, suggesting robustness of our business model under various kinds of economic cycles. In Q1, our gross margins continue to remain healthy at 61.2%. Our in -house manufacturing capability and a global sourcing base provides us with a competitive advantage and enabled market -leading gross margins. EBITDA margin for the quarter has been at 10% of revenue versus 7% in Q1 FY '23.
Similarly, our profi t before tax margin was at 4.7% of revenue versus 3.1% in Q1 FY '2 3. Our sustained efforts towards cost optimization and better pricing have enabled us to improve profitability since last couple of quarters. We are confident of continually improving our profitability led by improved cost efficiencies and sales growth led leverage .
I would now like to touch upon each of our addressable retail markets. The consumer demand across territories was affected by macro challenges like , high inflation and consequent rapidly increased interest rate. In US and UK, consumer sentiments are still muted from a historic

perspective, but are showing signs of improvement lately. Our efforts to outreach customers and household expansion continues in all the markets. We are augm enting our reach by adding more TV cable and OTA households. Additional marketing in OTT or connected TV homes also continues as here such customers ’ lifetime value is high versus traditional TV customers.
Germany is faring well and clocking monthly revenu e of EUR1.5 million and gross margin of 60%plus.
Recently, we added 13 million households through partnership with Vodafone, one of the largest cable TV service providers. With this arrangement, Shop LC Germany now cover almost 90% of total households in Germa

ny and Austria. We are expecting to get additional distribution in
Germany in Q3, which would get us over 95% of market penetration. As these airtime opportunities are not easily available, we will not hesitate to invest. With these investments, we now expect reaching breakeven in Germany by H2 of FY '25 . We continue to gain market share across all the markets that we operate in.
Further, the 4R's , widening Reach, new customer Registration, customer Retention and Repeat purchases are our key priorities for growth. The reach of our TV network by end of Q1 FY '24 was approximately 141 million TV homes, which is 11% higher Y -o-Y. We reached TV homes through cable, satellite, telco network and Over -The-Air Antenna also called OTA platform. Our products are also available on digital channels, including proprietary website, smartphone apps,

OTT platform and marke tplace .
New registrations in trailing 12 mon ths period came in at 3.1 lakhs. Our customer retention rates are 38% on TTM basis, vis -a-vis 41% of last year. Customers bought an average of 23 pieces on a TTM basis. Both repeat and retention rates were slightly lower due to higher price point and broad er macro challenges.
Sustainability is at the core of everything we do. We are delighted to announce that recently, we issued our second annual ESG report. The report reflects our efforts towards value creation with focus on transparency , strong governance and ethical business practices. We are delighted to receive the Net Zero Energy Building certification by IGBC in India. Out of 3,600 nationwide green certified projects, only 16 projects across India have been recognized ; our organization is one of them.
Further , it is my honour to share that this quarter, we surpassed the milestone of donating over 78 million meal to school children since inception of our mid -day meal program called 'Your Purchase Feeds …'. We are serving approximately 48,000 meals every school day. This initiative aligns with our commitment to make a positive impact on the communitie s we serve.
We have a strong balance sheet. We are confident in our strategies and our teams. Our outlook for medium to long -term remains intact. We will deliver our original guidance of 8% to 10% revenue growth in FY '24 and mid -teens growth FY '25 onward s. We will gain strong operating leverage in current as well as next financial year. Our focus is on growth and profitability with prudent capital management. We have a robust cash flow model and a record of returning meaningful cash to shareholders. The B oard has declared a first interim dividend of INR1.5 per equity share for this financial year.

With this, I now hand over the call to Nitin to discuss financial performance. Over to you, Nitin.
Nitin Panwad: Thank you, Sunil. Good afternoon, ladies and gen tlemen. Let me share our quarterly financial performance with you . During quarter 1 of financial year 23 -24, our revenue reached INR658 crores showing year -over-year growth of 4.8%. Our five-year CAGR for overall revenue and B2B revenue is healthy at 11% and 13%, respectively, suggesting robustness of our business model.
As Sunil mentioned earlier, our addressable market in US and UK are facing temporary challenges like inflation, muted consu mer sentiment s and macro uncertainties. In local currency, revenues in Shop LC US, Shop TJC UK were down by 4.9% and 6.9% respectively. The broader macro indicators have shown some sign of improvement lately. We continue to perform well in Germany, particu larly after collaborating with Vodafone , major cable TV network provider. We are also under decision to get additional distribution in Germany by Q3 to increase our coverage in high definition to over 95% of households. As these lifetime opportunities are rarely available, we will not hesitate to invest. Hence, we are now expecting reaching

break -even in Germany by
H2 of FY25.
This quarter, TV revenue grew by 1.5% year -over-year to INR392 crores with five -year CAGR of 10%, while digital revenue in Q1 FY '24 increased by 7.7% year -over-year to INR237 crores. It has shown much stronger five -year CAGR of 20%. The digital segment's strong performance is attributed to wider discovery potential. TV contribution to our retail revenue is 62%, while balance 38% accru es from digital media. TV includes customers accessing our products through our proprietary TV channels that release via both conventional TV media as well as free -to-air channels, called as OTA platforms.
Digital includes online purchases on our own prop rietary websites, shopping apps, OTT and social e -commerce. Budget -pay revenue constitutes approximately 39% of our total retail revenue during this period, providing a healthy and affordable experience to our customers, especially in this current inflatio nary environment. Jewelry accounted for 73% of total retail sales, with 27% of revenue accruing from lifestyle products. We aim to diversify into non - jewelry areas to achieve a better revenue balance. Additionally, it also improves our ability to take high er wallet shares out of the same customer.
Gross margin in Q1 continued to remain strong at 61.2%. EBITDA margin for the quarter was 10% versus 7% in quarter 1 last year. Better pricing and sustained efforts towards cost rationalization have helped us to continuously improve EBITDA margins since la st few quarters . Profit after tax for the quarter is INR30 crores against INR20 crores of last year. Operating cash flow was INR0.3 crores and free cash flow was negative INR10 crores. Cash flow numbers reflect impact of planned increase in our inventory for upcoming season. We expect this to revert to normal level in upcoming months. RoCE and RoE of 16% and 9% respectively reflect impact of subdued profitability on TTM basis. However, t he ratio has improved sequentially owing to improving profitability during the immediate few quarters .

As a company, we have committed to creating long -term value through strategic development, prudent investment and consistent payouts . Hence, the Board ha s recommended an interim dividend of INR1.5 per equity share.
We are confident in the business prospect ahead of us and are investing to capture growth and continuous healthy cash generation. We remain confident of our prospects and will deliver our stated guidance of 8% to 10% revenue growth in current financial year and mid -team growth from FY '25 onwards, with a strong operating leverage in current as well as next financial year.
With this, I hand over to moderator. Thank you.
Moderator: Thank you very much, sir. We will now begin the question -and-answer session. We have the first question from the line of Shreyans Jain from Svan Investments. Please go ahead.
Shreyans Jain : Yes. So , my first question is, could you give us some more sense on the improvement in EBITDA margins that we've seen. So , there is an improvement of about 200 -odd bps in your other operating expenses and the presentation, it has clearly mentioned that there is so me improvement in the sense of logistics cost and advertisement. So just wanted to understand, sir, is it because of we've seen some volume degrowth about 15 % to 20-odd percent in US and UK , so is it because of that? And I just wanted some more color on t he other operating expenses bit?
Nitin Panwad: Thanks, Shreyans . Nitin here. S o the improvement in EBITDA margin is partially, as we mentioned in our investor presentation, is related to our logistic cost improvement. So there is a reason of lower volume, but also internal control improvement related to orders clubbing and also the negotiation with the shipping partners that help to reduce overall per piece cost o n the logistics side. And in

others, improvement in cost is mainly related to negotiation in ou r IT contracts and our marketing expense s that we optimized in our digital as well as our traditional marketing. So that overall help ed to improve our performance over last year.
Shreyans Jain : Okay. Sir, b ut just when I see your annual report and when I see your other expenses break up, your IT spend and your advertising and marketing spends are not that big a number to significantly improve your EBITDA margins. So that's where the question is because 50% of your other operating expenses are largely conte nt and broadcasting. So I don't think that would have gone down significantly, right, because you've added Germany also ?
Nitin Panwad: That is flat year-over-year, excluding Germany. Germany is the 0.3% decline that we see in the profit compared to last ye ar. In rupees term, relatively only air-time cost, in constant currency terms, it is flat. There's a low change in it over last year. And last year, we had some kind of contract with the IT side, especially the marketing clouds and the former clouds that w e spend , it was coming . That is now we have optimize d and also the learning related to digital marketing has helped to improve our overall marketing cost.
Shreyans Jain : Okay. And my second question is, sir, in the last quarter, the MD had guided for Germany operations to break even from H2 of FY '24. And in this presentation, we are clearly seeing that Germany operations would breakeven by H2 of FY '25. So in some sense, are we postponing the thing that -- do you think it will get delayed by a year?

Sunil Agrawal: Yes, Shreyans, this is Sunil here . So as we mentioned, we are getting more opportunit ies for airtime. Nitin also mention ed, we're getting HD opportunity and a major player. So , these investments , we have decided to make, and they will come i nto play in Q3. And with that investment, our profitability will be postponed because our new airtime takes 12 months to 18 months to mature and we are continuing to make the investments. And with these investments in place, we'll be confident to delivering operating leverage over last year , for continu sly two years - this financial year as well as next financial year .
Shreyans Jain : Okay. And my last question, sir, in both TV and digital, we're seeing a volume drop. But on the other side, we're see ing improvement in your ASPs. So could you give us some sense on both the volumes as well as the ASP where do you see it heading? And in such an environment, also ASPs have been going up. So just wanted some understanding on what is really happening on the ground?
Sunil Agrawal: In the current inflationary environment, we are seeing people buying more higher end like gold product or diamond product or certified product that pushes the ASP up. And with the ASP going up, the volume drops. But overall revenue is almost close to being steady in local currency terms .
Moderator: Thank you. We'll take the next question from the line of Pritesh Chheda from Lucky Investments. Please go ahead.

Pritesh Chheda: Hello, Sunil and thanks for this call. Sir, this previous a nswer, which you mentioned about lower volumes and higher pricing. So generally, I couldn't understand, usually in a softer environment, people tend to downgrade. So here, there is a higher pricing. So is it that the offerings that we are focusing right no w is higher price d, it's a little bit difficult to comprehend what you mentioned?
Sunil Agrawal: Yes. In the current inflationary environment, people are buying more gold products. Our general offering was more of silver product or base metal products. The current environment we are seeing like gold chain or certified diamond product or platinum product. So , you're seeing more offtake of those products and that pushes up the overall average selling price .
O

nce the inflationary environment subsides, we expect that this kind of put maybe lesser on these, and we will level back to our regular or slightly lower ASP and the volumes will again go back up. Our current understanding is that the market environment i s dynamic , and we'll continue to look at the opportunity and modify our option appropriately.
Pritesh Chheda: So this is transitionary in nature, what has happened, right?
Sunil Agrawal: Correct. We see it as transitionary .
Pritesh Chheda: Okay. My second question is on the reduction in the retention and the repeat purchases. So any comments there, what's actually happening?
Sunil Agrawal: Yes. So one is the macro environment. There are some people , who just are not in the market to buy. So they are pushed because of inflation, for example in UK, the mortgages have tripled or doubled or even quadrupled for many people because interest rates have moved from less than

1% to now up to 6%. US, not all mortgages are variable , people have fixed mortgages, but credit costs, rental co sts, the food cost has gone up.
So, one is the macro environment . And second thing is the higher price point that they have a lower number of customers at those higher price s. And that would tell you about the number of customers in the repeat purchas es.
Pritesh Chheda: Okay. On the cost side, costs were largely stagnant for, I saw it for the last seven quarters , eight quarters after the Germany operation creation, whether we see the employee cost or whether we see the op ex cost, it moves into INR 230 crores to INR250 crores per quarter. So this number, how will it change once you add this more cable connections or reach in Germany ...
Sunil Agrawal: We have NDAs for all the cable contracts, we can't disclose the exact numbe r of that, Pritesh but we have guided that for this financial year as well as next financial year, we expect to have strong leverage because we believe that the cost optimization that they are in place as well as the revenue growth that we expect 8 to 10% this year and mid-teens for next year - this revenue leverage will give us strong revenue increase with margin leverage .
Pritesh Chheda: So despite the connection increases, there will be an operating leverage, which will flow ?
Sunil Agrawal: Correct.
Pritesh Chheda: And when you say substantial, sometime back, we were, let's say, at about 13% to 15% margin. And then we created the Germany expansion. So how far -- so you gave us the volume growth -- revenue growth guidance. But how far are we f rom those 13% to 15% margin of the business?
Sunil Agrawal: Yes, we can't get there immediately. We don't give exact guidance on the margin side, but we do expect leverage over last year and the next year over current year . There is meaningful leverage tha t we just saw in this quarter.
Pritesh Chheda: Okay. And sir, my last question is ex Germany. So ex of Germany, what is the margin in the business. So US and UK are our main operations. So either you can give us the impact of Germany on margin percentage, some idea?
Sunil Agrawal: So excluding Germany, Germany is impacting on 2.5% of our margins, EBITDA margins. So you can consider it like 10% we reported last quarter. It will be 2.5% additional.
Pritesh Chheda: Okay. So -- and for last year, that is March '22 through '23 fiscal, where we reported 7%. So there are also this 2.5%, 3% impact?
Sunil Agrawal: We don't have exact number.
Pritesh Chheda: We want a ballpark number, we don't want exact ?
Sunil Agrawal: Ballpark will be similar like this.
Pritesh Chhe da: 2.5% negative impact. Okay. And sir, lastly, this 5% growth, which was reported in quarter 1, how much of it is, let's say, favo ured by the 5% decline, which was there in quarter 1 last year

which I can s

ee or should we just ignore that for your guidan ce of 8% to 10% top line growth this year?
Sunil Agrawal: Yes. So our guidance remains seeing 8% to 10%, but 5% growth this quarter, you see the improvement in our overall business in UK, US and accelerating Germany business is helping us to get the 5% growth, but full year guidance remain intact of 8% to 9% , 10% .
Pritesh Chheda: So there is a better business environment versus what it was in the last few quarters because, see, one way is that I look at this 5% as it is but one way I look at this 5% or m inus 8% of last year. So that's the reason , why I asked you. Is it -- do you see improvement in business environment ?
Sunil Agrawal : Pritesh, can you r epeat the question, please.
Pritesh Chheda: Sir, one way is that I look at this 5% growth, which is repor ted in the year on an absolute basis, but the other ways I look at this 5% versus the 8% decline, which was there in the base quarter. So I just want to check, is there an improvement -- do you see an improvement in business environment? Or is just that yo u are favo ured by this 8% base effect?
Sunil Agrawal : So both things - environment started with the war in Ukraine and the logistics problems and then resultant inflation and the fear of recession that was pretty tough in these econom ies. So we are seeing s ome improvement in the environment in recent weeks or recent months. But there is a base effect, definitely.
Pritesh Chheda: Thank you very much, I will come back in the queue for more questions. Thank you.
Sunil Agrawal : Thanks, Pritesh.
Moderator: Thank you. We'll take the next question from the line of up Utkarsh Somaiya , an individual investor. Please go ahead.
Utkarsh Somaiya : Thank you for the opportunity. So I'm new to your company and just wanted to get an understanding of your busi ness model. So if you could just help explain and throw some light on it, it would be very helpful? Thank you.
Sunil Agrawal : Utkarsh. That's a big question for this call. We have vertical business with manufacturing of fashion jewelry, apparel and sourcin g of life style products from India and Asia. And we own retail -- electronic retail in US, UK and Germany. Predominant sales come from television, live television 24 x7. We're focused on being value -centric and highly customer -centric retailer in these mar kets. And we have a high repeat purchase frequency. We have on an average about 27 products per customers buy ing a year from us and we have a cost model, our costs are mostly Asian, revenue are dollars, pounds and euros.
Utkarsh Somaiya : Okay. So essentially manufacture in India and Asia and you retail it in US, UK, Germany. Is that correct?

Sunil Agrawal : Correct. And we own the brand. We own our retail brand , our brand is our own, we don't have third -party brands. The majority of the products that we sell is our own branded product or our own umbrella brand product. We don't have a fear of third -party having leverage over us.
Utkarsh Somaiya : You retail essentially on TV, you mentioned, right? And you don't have physical retail stores ?
Sunil Agrawal : We don't -- No, we don't have any physical retail. It is on TV network as live TV shopping and about 38%, 37% through digital .
Utkar sh Somaiya : Okay. And sir, if I were to kind of understand your right to win and a mo at, you hold any moat. Is there anything you could throw some light on that?
Sunil Agrawal : Yes. So number one is being a vertical model. It's very, very difficult to replicate. It could either be manufacture or mainly retailers. We are retail ers in our industry, which are highly competitive, and we are manufactures for the last 40 years, more than 40 years. So we understand the space of these areas very , very well. To have replication of this vertica l model is extremely difficult.
And the low -cost

structure all across the business, ether in Asia or in western worlds, that is also difficult. And the customers are highly loyal. As you could see from the repea t purchase. So the customer buys 27 products a year. And it is very difficult to take those customers away because of the quality and the brand affinity .
Moderator: Thank you, sir. As the current participant has left the queue, we move on to the next quest ion, which is from the line of Sachin Kasera from Svan Investments. Please go ahead.
Sachin Kasera: Good af ternoon, sir. Congrats for a good sets of numbers. On the Germany, I just wanted a couple of your inputs. One is that this acceleration investment th at we are talking of. So is it an investment that we now will have to make to meet our targets maybe from a medium term, for example, you must have some targets on Germany for FY '26.
So this additional investments are now expenses that are required to set FY '26 targets or '27 targets? Or will it mean that yes, while we will deliver breakeven by one year. But on the medium to long term, we are looking at a much larger operation than th e larger profit pulling in Germany?
Sunil Agrawal : Yes. Good question, Sachin. So air time, it's not something that you can go and buy. You have

a network here to make relationships and you get offer ed those network positions because I would say the re are limited channels in each platform. And those channels rarely come with these opportunities . So we think those channels whenever they come, whether it is Germany, US or UK, we got this opportunity for getting on Vodafone. Vodafone has 13 million homes. So we already have a channel there.
We're getting the second channel in HD. The first channel was in SD . It wasn't high definition. We're taking the HD channel, that will come to us in September. And there's another broadcaster called Tele Columbus, so we ar e taking that opportunity that will also come to us in Septemb er.

Now these investments that we do, it takes about a year to a year and a half for this to become profitable. And that's why , the revenue will accelerate because of these investment, but the ROI will start to come after one year. That's why , we're postponing our profitability by one year in the expectation of scaling the business faster than our original plan.
Sachin Kasera: So just again, so is it fair to assume that internally, and I don't want to ask specific guidance or numbers from you. But internally is what you are budgeting for financial year '26 and '27 before we did this Vodafone deal. This very likelihood that we will do much better than that now internally, without setting a specific number ? Could you tell us that, that would be very helpful.
Sunil Agrawal : That is Correct, because of the investment, our projections for '23-24, '24- '25, '25 - '26 will be higher most de finitely.
Sachin Kasera: Sure. And how will this curve wor k out in the sense , sir, will be Germany losses because I believe it is acceleration in investment, we'll also start to see some revenue growth. Is it that the absolute, it is just a delay? And has the absolute EBITDA margins will not increase? Or because of this, there could also be again, once again a surge for the next four quarters in the absolute EBITDA of Germany, before we start to see, some sort of a reduction or a break -even as you have mentioned?
Sunil Agrawal : So, w e are already seeing year -over-year improvement in to our EBITDA numbers. Slightly, almost flat tish, but very little improvement in recent weeks because of what we invested in earlier periods. But as we take on a n ew market, so initial periods will have more negative because of the investment it takes time to build that customer list. And the customer repeat purchase is very high on TV model. So as time goes, after six months or nine months, it will be ben

eficial to us year -over-year in terms of EBITDA .
Sachin Kasera: So H2 there could be some impact because of this Vodafone deal on Germany as well as the overall numbers ?
Sunil Agrawal : Sorry, can you repeat the question?
Sachin Kasera: In second half of financial year, there could be an impact on the absolute EBITDA and some impact on margins because of the one -time step -up in the spend in Germany and…
Sunil Agrawal : Correct. So, the spend is, there is no one -time spend. You have to pay them every month. So, there is two, as it comes on board in September, it will come in the middle of September, one will come in the beginning and one will come towards the middle of September. We will see some impact in that particular quarter. But each quarter, we expect overall for the group to have operating leverage over la st year.
Now, operating leverage over last year, one factor, as Pritesh earlier mentioned, is the factor of bills being lower last year and other is our cost optimization. Now for Germany , the cost is higher but other in US and UK , there are cost optimization that is helping overall for us to get the leverage year -over-year.

Sachin Kasera: Sure. And sir, o ne question on the interest rates and its impact because I believe , we also have an installment model and as you mentioned that the rates have gone up . So did it also have some bearing on us because I'm sure somewhere there's a cost inbuilt into the cost of interest in this installment model . So has that had any impact or is it that , we have absorbed the entire impact of the increasing interest rates in the installment model . If you could just give some inputs on that?
Sunil Agrawal : Sure, so our interest rate, our EMI budget pay that we call, it is no interest free for th e consumers. We bear the cost of financing. For the consumer, there is no impact. However, consumer is taking it favo urably in this current inflationary environment. And the financing for the consumer is expensive now. And as a group we are giving the ite m to the customer, with a no interest cost. So, as a company balance sheet and company's profitability, there is no impact on it. But we also

having some spare funds that we are investing. That's why the other income is also increased. If you see in our P& L, our interest income is also higher on that. But on the consumer side, or budget side, that we don't see an impact in our P&L for interest.

Sachin Kasera: And sir, where do we book this impact of this funding the easy pay model? The cost to the company i s part of other expenses or it is adjusted in the interest income? How do you account for it?

Sunil Agrawal : So as I mentioned, there is no interest cost for us because we finance from our own funds. So only bad debts is the part of the P&L, if there is any bad debt . That is in our SG&A cost line item. But on the P&L side, there's no financial impact. We're spend ing somewhere around USD 20 million. I don't have the num ber, but somewhere around that.

Only balance sheet, you will see the latest outstanding at the end of the season. So to your point, what will be the opportunity cost of the fund that we deploy is much less. So USD 20 million if we had in the bank today, we would get 5 % or 6% interest rate in terms of rupees. And that income of USD 20 million is a foregone kind of cost to the company .

Sachin Kasera: Got it. And, sir, because of this inflationary environme nt and the higher cost of living, are you seeing any trends , where your defaults or your bad debts of this outstanding amount of USD 20 million dollars has increased and hence this year or next year , you may have to provide more towards these bad debts?

Sunil Agrawal : Yes, so we have actually kind of very robust credit given to the customer, that we constantly monitor this, and we haven't seen an impact

in increasing our bad debts so far, but we regularly review it, that how is the impact, especially in current situation. But we haven't seen impact or a higher impact compared to previous periods.

Sachin Kasera: Thank you very much , sir.

Sunil Agrawal: Thank you.

Moderator: Thank you . We'll take the next question from the line of Ritik Tuls yan from Concept Invest well Pvt. Lt d. Please go ahead.

Ritik Tulsyan: Hi, thank you for the opportunity. So I have a question regarding Germany. So we are making additional investment and currently Germany contributes 6% of revenue in terms of geography. So in two year - three years , where d o we see Germany heading in terms of geography contribution? So that is my first question.

Sunil Agrawal : Thank you for the question, Ritik. We have internal projections, but we are not sharing that as a projection. The current growth rates are very, very high, but how it will shape , tt is still too new market to b e able to give guidance on that and we are only a year and a half or just about that into th is market. But what I can say from other players, like quarte group and other players , Germany has more households than UK, and for them the Germ any revenue is more than UK. So, we expect in longer term, maybe 7 years, 8 years term, Ge rmany surpassing UK by about 20% to 30%.

Ritik Tulsyan: Okay, thank you. That is good enough. And second question is regarding your own brand portfolio. So like, if you can give us some color like how your own brand portfolio is panning out in this environm ent that is my second question?

Sunil Agrawal : Yes. So, we have two levels of brand. O ne is the umbrella brand say, for example, US and Germany we have Shop LC and UK is TJC. So, most of our customers know us by the Umbr ella brand. And then within Umbrella brand, we have many sub-brands. We have more than 30 sub - brands for different product categories and different price points. We have designer brands, we have product -centric brands. So, overall, about 29% of our revenu e comes from our own B2C brand a nd there are about 31 hous e brands within the Umbrella brand. And our target is to take it to 50% from 29% to 50% by FY ’27 from inhouse brands.

Ritik Tulsyan: Okay, thank you. Thank you for the opportunity. Thank you.

Sunil Agrawal : Sure thank you.

Moderator: Thank you. We'll take the next quest ion from the line of Kimberly Paes from Equentis Wealth . Please go ahead.

Kimberly Paes: Yes, thanks for taking my question. So, in our recent analyst day where we had guided that we are also targeting an increasing share from non - jewellery products, like lifestyle products. So I think , we had a target of 50% by FY ’26, s o how are we progressing on that a nd also what would be the margin difference between Jeweller y and non -jewellery products?

Sunil Agrawal : Yes, thanks for the question, Kimberly. So, in last earnings call, we had extended the lifestyle jewellery lifestyle product revenue to be 50 -50 to FY ’28. The reason is that in la st one and a half years, we are seeing more uptake of jewellery especially the higher price point Jewellery in inflationary environment. We do not yet know how long will the inflationary environment last and we are seeing lower uptake of non -jewellery products, especially in the U .S. In UK, we are

seeing still robust uptake on non -jewellery products, but because of U .S being lower, we have changed the guidance to 50 -50 of LSP and jewellery by FY ’28.
Kimberly Paes: And what will be the margin difference between jewellery and non-jewellery ?

Sunil Agrawal : So, margin is about similar. So, what we do Kimberly is to select product that gives us margin s. So, we don't take any product whether jewellery or non -jewellery which would give u s less

than
60% margin. So, margin is a criteria for us. What we look at, we get 60%, and the product should give us our targeted margin per minute of TV time or expected revenue from the website, from the pages that we have. So, we have the criteria in pl ace, and our product will give us the margin, and we take it in o therwise we phase it out.
Kimberly Paes: Okay. T hank you.
Moderator: Thank you. We'll take the next question from the line of Sachin Kasera from Sv an Investments. Please go ahead.
Sachin K asera: Sir. Can you give us some information on the sensitivity of investment in the sense…
Moderator: Mr. Kasera may we request you to kindly use your handse t? Sir your audio is feeble.
Sachin Kasera: Is it clear now?
Moderator: Yes, sir. Please proceed.
Sachin Kasera: Yes. I am just trying to understand the sensitivity of this investment that we are doing additional investment in Germany. So, if suppose the investment is going to increase by 20%, say in FY ’26, we will now get 20 % higher sales or is there a levera ge out there also so that , unless if you are planning a sales of INR100 in FY ’26 in Germany, but now that we are going to spend 20 %, 30%, 40% of whatever the next number higher, the sales would be higher and my profit wou ld be higher by X plus Y percentage?
Sunil Agrawal : Yes, it's a good question. So, the television revenue in Germany is abo ut 70% and the e -com is 30%. So, if we – for example, if we increase our investments by 20%, the expected revenue after 1.5 years is 20% higher o n TV side. And their high leverage business, so the 20% higher revenue, large portion of that revenue outside the spend that we do on the airtime falls to the bottom line. So, that is why we take the airtime opportunity whenever it comes within our pri ce range, we take it b ecause the leverage benefit is very high.
Sachin Kasera: Sure. And sir, till the time Germany reaches a good level of profitability, we don't intend to take up any markets or for example, in the way Germany we got an attractive opportunity and hence we increase the investment in the business. Similarly, if another good opportunity comes either in the existing market or in a new market, we are still open to that because that would mean that again we are pushing the over all guidance or the numbers for 2025 -26 again by a year?
Sunil Agrawal : So, your first question that will we take a debt , we don't believe so, because we are very cash positive, we are giving dividends every quarter. So, there is no need to take any debt. Secon d thing, going into new market, we will expand a new market after Germany becomes profitable and steadily growing. Then we will go into the new country. Now once we go into the new country, we will have three growing and profitable businesses to supp ort the fourth one.
Sachin Kasera: Got it. Thank you very much.

Sunil Agrawal : Thank you Sachin.
Moderator: Thank you. The next question is from the line of Pritesh Chheda from Lucky Investments. Please go ahead.
Pritesh Chheda: So, I just have a follo w up. So, ex of Germany, let's say, your stable operations of UK and U .S, there is a deterioration in profitability over the last three years for the flat sales or maybe a minor drop in sales. So, if you could explain this deterioration over the last three years, what explains it?
Have we added any cable households there which has taken up the cost or any reason you want to highlight and explain us and the reference is, let's say, you were at the peak at about 13 % to 15% margin and from there we have come d own an d Germany explains a part of it, but a larger part also gets explained by the fact that there is a deterioration in the U .S-UK margin?
Sunil Agrawal : Thanks Pritesh for the question. So, as you have mentioned that one of the reasons was Germany, that is reducing the overall

EBITDA margin, but also that there is an operating de -leverage came
when we have seen a decline in our sales. In the scenario of improvement in our profitability,

we invest heavily in our upcoming future quarter's growth.
We invest ed in our digital marketing, in our website platform upgrades, in our shopping apps , that's what -- we are confirming our future potential growth . So, that was the investment that we have done on that time. That is also that came later on and then 2021 we have seen some pressure on the cost side that has actually impacted the overall profitability in our UK and U .S markets.
Pritesh Chheda: So you say th ere are two reasons, one is the investments in digital and second is the cost increase in the operations themselves of U .S and UK. These are two reasons?
Sunil Agrawal : Yes, so let me clarify that Pritesh. So, we made i nvestments into new businesses. Germany being one and digital brands ..
Moderator: Excuse me sir, I'm sorry to interrupt sir, your audio is not clear.
Sunil Agrawal : So, Pritesh i n addition to Germany, we invested into digital marketi ng, that is through Tamsy, Rachel Galley t hose two brands, as well as all the three brands within U .S, UK, Germany. We also invested quite a bit into digital marketing, Google, Facebook, TikTok, these investments also, so to get the future growth on them. And also a lot of peop le for managing new businesses, and those people that we invested in are still there. So, we didn't remove those investments from the busine ss because we see potential.
So, as we scale and those big businesses become profitable, ou r leverage will come into play and based on those leverages, we are now giving you guidance of, even if the revenue growth is subdued, for example, now revenue growth is only 4.8%, but there's substantial leverage that we saw this quart er compared to the year before and t hose came from some of those investments maturing and some cost optimization on volume and shipping.
Pritesh Chheda: Okay. And what will be our tax rate?

Sunil Agrawal : ETR is 24% for overall growth.
Pritesh Chheda: Thank you very much.
Sunil Agrawal : Thanks Pritesh.
Moderator: Thank you sir. We'll take the next question from the line of Rohan Mehta, an Individual I nvestor. Please go ahead.
Rohan Mehta: Good afternoon, sir. I just wanted to ask about the digital revenue mix of about 38% that has come in. How has that impacted the overall profitability? And if we see over the last few quarters, how has t he digital revenue mix changed, i f you could th row some light on that, please?
Nitin Panwad : So, last five years, d igital revenue CAGR was 20%. So, it was pretty healthy in last five years and digital profitability side would you like to add? Sunil Agrawal So from digital properties we have within d igital three properties. W e have live TV on ecom for the customers who don't get the signal on TV. The secon d is the catalo gue. The third is the auction. So, all the products that are left over fro m television, we auction it at USD 1 and people bid against each other and scale it up. So, as we are increasing our overall digital revenue, that auction model, which is zero margin, is not increasing.
In dollar terms it is pretty flat. What is increasing is the catalog and the live television, live streaming. And those margins, both those margin s are similar to TV margins. So, as we are scaling our digital revenue, our margin doesn't have any dilution. We will still continue to give guidance of 60% plus even though we are giving digital versus TV revenue to be 50 -50 by FY26. But our margin guidance is intact at 60% plus.
Rohan Mehta: Okay, understood. All right. Thank you, sir. That was the only question from my end. All the best. Thank you.
Sunil Agrawal : Thanks Rohan.
Moderator: Thank you. The next question is from the line of

Sachin Kasera from Sv an Investments. P lease go ahead.
Sachin Kasera: Sir, you have mentioned that you will retain your guidance of mid -teens growth in the medium term, but you also mentioned that in Germany now we are looking at a much larger revenue than what i nternally we are projecting. So, is it that because of the change in macro en vironment, we are looking at compensatin g the higher growth in Germany in the medium term from the projected lower revenues in the U S or UK o r is it that we may revisit the guidance maybe three quarters or four quarters down the line once you see the b enefits of this Vodafone deal?
Sunil Agrawal : Yes. So, next year's guidance of mid -teens do take into account of improved economic conditions. We do not know at what level it will improve, but we do expect it to improve.
Germany will increase and it's increasi ng very rapidly, but the base is still very small. So , as you saw the overall business , revenue from Germany is just around 6%. It's still pretty small.

Even if you're growing, seeing a growth of 50%, we're still only 9%. But it doesn't add meaningfully t o overall growth that we are looking at. But we are expecting economy to improve a bit and also the investments that we made into OTA, OTT, digital marketplaces and our own brands, they will also contribute along with each other.
Sachin Kasera: Yes, but s ir, I'm sure you would not have budgeted the Vodafone investment and its revenue implication when we met this guidance two quarters back, right?
Sunil Agrawal : Yes, so we did two quarters ago when what we made investment into Vodafone was already in the p icture when we gave the guidance on next year's so this financial year's H2. So, that was already mid teen. But the additional investment that we're going to make in Sept ember, that was not mid teen .
Now, those will push the profitability all to the next year. But we are also now giving continued guidance of mid -teen for the next year. Earlier what we did was, we gave mid teen for mid -term. Now we are specifically giving mid teen for next financial year. On the back of what we are seeing in Germany , we are also seeing green shoots in the UK and U .S.
Sachin Kasera: Sure. A nd just one clarification in one of the questions you mentioned that 6 year s, 7 years down the line Germany would be 20% to 30% higher than UK, that is as of now your assumption or that is what you can as of now forecast?
Sunil Agrawal : That is c orrect. We don't know exactly 6 years, 7 years. It could be 7 years or 8 years or 6 years, somewhere around that, yes.
Sachin Kasera: Sure, sure. And any sense you could give us when do you expect Germany to start matching UK say, that should be much earlier, say in the next three years to five years?
Sunil Agrawal : You are t oo specific , we are not giving that guidance that far away. But what I can say is the market potential for Germany is larger in UK.
Sachin Kasera: Sure, thank you.
Sunil Agrawal : Thanks Sachin.
Moderator: Thank you. The next question is from the line of Nik hil Aror a, an Individual I nvestor. Please go ahead.
Nikhil Arora: Congratulations sir, a good set of numbe rs. Only one question I had. So, considering the company's growth ambitions, are there any new markets or regions that are being targeted for potential entry in near term future?
Sunil Agrawal : So, we are not looking to enter a new country till we have Germany pro fitable and growing rapidly. So, once we have Germany fully stable and the other entities UK and U .S are back to our double digit growth we won't be going to new countries. We have Japan as our next target whenever we are ready from these perspectives. Having said that, if we get an opportunity to get into expa nd to e -com space within these three countries, we will do that.

Nikhil Arora: Okay sir, but not in this financial year, right?
Sunil Agrawal : Yes. So we have the cash, if we will get any opportunity to acquire a business in these three countries which is purely e -com and is growing and is profitable, we will. So, there is no timeta ble for that, but we are open to those thoughts and we keep looking at the opportunities.
Nikhil Arora: Okay sir, thank you so much sir, all the best.
Sunil Agrawal : Thank you.
Moderator: Thank you. Thank you. The next question is from the line of Parth D alal an Individual I nvestors.
Parth Dalal: So when we say that 90% household we have already reached in Germany and still we see increase in investments over there, is there anything that the management is looking, any inorganic opportunity out there, a nything to read in that sir?
Sunil Agrawal : So, in Germany we are looking at new investments we will make. One is on the HD platform on Vodafone. In March we made the investment to go on SD, standard definition. Now we are getting the opportuni ty for high de finition on Vodafone . There is another opportunity we are getting on T ele Columbus for full footprint on their platform. These two opportunities we are going to take in September.
Inorganic opportunity in Germany , we are not s pecifically looking for German y, but any opportunity comes in U .S, UK or Germany predominantly in U .S or UK , we will take it .We are conservative , it ha to be profitable and scalable business.
Parth Dalal: Okay. So what you explain ed by September, that will eventually take up the household rates to 95%, right?
Sunil Agrawal : That is correct plus HD on 13 million homes . In 13 million homes we have two channels.
Parth Dalal: Got it sir, thank you. So, nothing on the table in terms of any inorganic opportunity in Germany right now?

Sunil Agrawal : Not right now.
Parth Dalal: Okay, thank you sir and all the very best. Thank you.
Sunil Agrawal : Thanks Parth.
Moderator: Ladies and gentlemen, as that was the last question. I would now like to hand the conference over to Mr. Sunil Ag rawal for closing comments. Over to you sir.
Sunil Agrawal: Thank you operator. So, I want to thank all the participants for your time and great questions. If you have any further questions, feel free to reach out to Prashant Saraswat at VGL or Amit Sharma at Adfactors PR India and they 'll be happy to answer your questions. Thank you once again.

Moderator: Thank you very much, sir. Thank you, members of the management. Ladies and gentlemen, on behalf of Vaibhav Global Limited, that concludes this conference. We thank you for joining us and you may now disconnect your lines. Thank you.

Call: Nov 2023

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Subject: Submission of transcript of conference call
Dear Sir / Madam,
With reference to captioned subject, we are enclosing he rewith the transcript of Q2 & H1 FY24 Earnings Conference Call held on Tuesday , 31st October, 202 3.
The Transcript of the earnings conference call is uploaded on the website of the Com pany and can be accessed on the link:
https://www.vaibhavglobal.com/admin_assets/Investor/Investor_Presentation/1781788466905002.pdf
Kindly take the same on record.
Thanking you,
Yours Truly,
For Vaibhav Global Limited

Sushil Sharma
Company Secretary

"Vaibhav Global Limited Q2 & HI FY24 Earnings
Conference Call "

October 31 , 202 3

MANAGEMENT : MR. SUNIL AGRAWAL – MANAGING DIRECTOR ,
VAIBHAV GLOBAL LIMITED
MR. NITIN PANWAD – GROUP CFO, VAIBHAV GLOBAL

LIMITED
MR. PRASHANT SARA SWAT – HEAD OF INVESTOR
RELATIONS , VAIBHAV GLOBAL LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Vaibhav Global Limited Q2 & H1 FY24 Earnings Conference Call.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call , please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Ms . Disha Shah from Ad factors PR. Thank you and over to you, Ms . Disha.
Disha Shah : Good evening, everyone and thank you for joining us on Vaibhav Global Limited Earn ing Conference Call for the Quarter and Half Year Ended 30th September 2023.
Today , we have with us Mr. Sunil Ag rawal - Managing Director ; Mr. Nitin Panw ad - Group CFO and Mr. Prashant Saraswat - Head of Investor Relations.
We will begin the call with opening remarks by Mr. Sunil Ag rawal on the business operations, key initiatives and a broad outlook followed by discussion on the financial performance by Mr. Nitin Panwa d, after which the management will open the forum for Q&A session .
Before we get started, I would like to point out that some statements made or discussed on today's call may be forward -looking in nature and must be viewed in conjunction with the risks and uncertainties that we face. A detailed statement and explanation of these risks is included in the earnings presentation, which has been shared with you all earlier . The company does not undertake to update these forward -looking statements publicly.
I would now like to invite Mr. Sunil Agr awal to make his opening remarks. Over to you , sir.
Sunil Agrawal : Thank you, Disha. I welcome you all to Vaibhav Global's Q2 FY24 Earnings Conference Call.
I hope you have reviewed our Results and the Presentation that details our business operations and current market trends.
Our Financial Performance in Q2 was in line with our guidance. At the Group level, sal es for the quarter were Rs. 705 crores, showing an increase of 9.1% over the same quarter of the last financial year. Gross margins in Q2 FY 24 came in at 61.4% of the revenue . Over the years, VG L has created a robust supply chain. We are the only company in our peer group that has its own manufacturing setup in addition to the global sourcing base. This vertically integrated supply chain has enabled us to consistently maintain gross margin above 60%. Better pricing and a focus on operational efficiency has enabled us to improve profit ability m argins during the quarter. EBITDA margin for the quarter was 9.5% of revenue versus 8.1% in Q2 FY23. In absolute terms, EBITDA was higher by 29% Y-o-Y suggesting operating leverage.

Let me now take you into each of our retail markets :
In Germany, our proprietary teleshopping channel , Shop LC will now be airing on HD channels in 13 million and 2 million households through Vodafone and Tele Columbus n etworks respectively. With these distribution arrangements, Shop LC Germany is now present in approximately 95% households , thus further strengthening our visibility and market share. We would like to reiterate that by H2 of F Y25, we will be breakeven in Germany. Publicly available data suggests that broader macro challenges in the US have peaked out, with the gradual rebound in consumer demand and confidence. The UK economy, however, grapples with an ongoing cost of living crisis exacerbated by increased mortgages , rentals and inflationary pressure. Nevertheless, our endeavor is to engage with our existing customer bett er as w ell as expand our reach.
Today, our broadcast coverage is approximately 139 million homes, which is approximately 4% higher Q-o-Q. Furthermore, we have been streamlining our po

rtfolio of branded products. In
conjunction with our flagship umbrella brands , Shop LC and T JC, our in -house product brands , help us gain customer loyalty while maintaining overall margins. Presently, revenue generated from these branded products constitutes approximately 29% of overall B2C revenue with a target to increase this to 50% by FY27. This growth is expected to be achieved by integrating brands based on comprehensive metrics that consider factors such as price laddering, brand archetype, and unique offerings.
Further , the four R's that is "Widening Reach, New Customer Registrations, Customer Retention

and Repeat Purchases ” remain our key priorities for overall growth. The reach of our TV networks by the end of Q2 FY24 was approximately 139 million TV homes. We reach TV homes through cable, satellite, telco networks and over -the-air antenna, also called OTA platforms. Our products are also available on digital channels including proprietary websites, smartphone apps , OTT platforms and marketplaces.

New r egistrations in the trailing 12 -month period came in at 3.1 lakhs . Our customer retention rate stood at 37% on TTM basis, vis-à-vis 40% of last year. Customers bought an average of 23 pieces on TTM basis. Our dedication to sustainability and community welfare continues to be our priority. I am pleased to share that this quarter we touched the milestone of donating 81 million m eals to school children since the inception of our mid -day meal program called ‘Your Purchase Feeds…’. We serve approximately 46,000 meals every school day. This initiative aligns with our commitment to making a positive impact on the communities.

During the second quarter, Shop TJC UK executed an asset purchase agreement to acquire the assets of Ideal World which includes its IP rights , broadcasting rights, studio equipment and other intangible assets. The purchase consideration of the deal was 1.1 25 million pounds . Ideal World, through its proprietary TV shopping channel, is in the teleshopping and digital retail of lifestyle products. Ideal World is one of the major teleshopping brands in the UK with a legacy

of over 21 years. We expect that this transaction will create synergies and help us continue market leading growth.

Further, we also acquired 100% equity of Mindful Souls BV for a purchas e consideration of EUR 12.5 million . Incorporated in Netherlands in 2018, Mindful Souls mainly serves United States, one of the largest e -commerce markets through its proprietary e -com website and marketplace. While more than 90% of revenue is derived from US, it also has presence in UK, EU, Canada and Australia. It primarily sells subscription boxes comprising fashion jewelry , gemstone , and lifestyle products. The company's performance over the period has been robust, having achieved an annual turnover of EUR 18 million , with a healthy PBT of approximately 10% in 2022. We expect Mindful Souls ’ native digital abilities to allow us to strengthen our digital businesses and create synergies for Mindful Souls through our deep sourcing and manufacturing abilit ies. Both acquisitions were funded through internal accruals, reflecting the strength of our balance sheet and strong cash generating business model.

We continue to reward our shareholders and despite major investments undertaken recently, the board has declared a second interim dividend for this financial year of Rs. 1.5 per equity share. We look forward to maintaining this fine balance between growth investments and quarterly payout to generate sustainable value for our stakeholders.

As I conclude, I would like to emphasize that over the period , we have ex ecuted resilience in our performance. Thanks to our recent acquisitions, we are now revising our guid ance in FY24 that is the current financial year , we expect the topline to g

row between 13 % to 15% and in the

high teens range in FY25 with decent operating leverage. We are confident in our business model , value proposition and execution abilities and hence in the mid to long term, we expect to maintain a revenue growth rate in the mid -teens range.

With this, I now hand over the call to Nitin to discuss financial performance. Over to you, N itin.

Nitin Panwad : Thank you, Sunil. Good evenin g, everyone and welcome to Vaibhav Global's Q2 FY24 Earnings Call.

Our Q2 FY 24 revenue reached Rs. 705 crores which shows year -over-year growth of 9.1%. US and UK sales in local currency terms were down by 3.3% and 2.2% respectively. However, in constant currency terms, revenue has grown by 4% year -over-year. Germany continues to fare well with increased household penetration and customer outreach. Germany maintained its growth momentum and revenue grew by 62% year -over-year. Having achieved 95% of household penetration in Germany within 2 years of operation is encouraging . We believe that with these building blocks in place, we will be break even in Germany by H2 of FY 25.

In the current economic environment, we are still seeing that customers remain cautious about pricing and checking out deals with lower spending on discretionary items. Keeping this trend in mind , we continue with our value conscious product offering to match the customer ’s demand

supported by our vertical integrated supply chain. During the quarter, our TV revenue has a growth of 2.3% year -over-year to Rs. 406 crores. Additionally, our digital revenue witnessed the robust growth of 13% year -over-year to Rs. 263 crores , underscoring our investment in digital platforms. T V revenue attributed 61% to our total return revenue with the remaining 39%

is attributable to digital platforms. TV includes customers accessing our products through our proprietary TV shopping channels that are released via cable, satellite , and OT A. Digital refers to online purchases on our own proprietary website shopping apps, OTT platforms and social media.

Our core focus remains to encourage customers to transact on both TV and digital platforms , which gives them a unique shopping experience. Such Omni -channel customers generate significantly higher lifetime value than customers that either buy only on TV or only digital. In our overall product mix, the revenue contribution from lifestyle products was at 27% in Q2 FY2 4 which has significantly increased from single digit level a few years back. This clearly demonstrate s our ability to expand wallet share by entering adjacent categories overtime. It is pertinent to note that lifestyle category has grow n at a CAGR of 31% during the last 5 years . Lifestyle products categories include home decor, fashion accessories, apparels, beauty products, etc. This trend has also balanced our revenue streams .

Our budget pay feature provides customers with the convenience of buying on EMI's. During the quarter, the products sold via budget pay contribut ed 39% of total retail revenues. This feature has an added level of affordability for our customers. Gross margins in Q2 continue to remain strong at 61.4%. Profit before tax for the quarter is Rs. 41 crores, which is higher by 3 3% year-over-year. Our sustained efforts in operational efficiencies and better pricing have enabled us to consistently improve our profit margins during the last few quarters. We are committed to sustaining this positi ve momentum and delivering consistent value to our stakeholders. Owing to improvement in profitability ratios and prudent financial management, ROCE and R OE have also improved marginally and are 16% and 10% respectively.

Recently , we made two major acquisitions. The first acquisition pertains to execution of an asset purchase agreement to acquire assets of Ideal World Limited , a m ajor

teleshopping brand in UK
with a brand legacy of over 21 years. I believe the combined synergy through an efficient and lean cost structure , we will be able to continue our market leading growth in the UK profitably. The second acquisition pertains to an e -commerce company , Mindful Souls, a Dutch based e - commerce company having sales presence in US, UK, EU, Canada and Australia. Its performance over the period has been robust, having achieved an annual turnover of EUR 18 million with a health y PBT margin of 10% in 2022 calendar year. We expect that this acquisition will allow cross learning with huge growth potential in the digital segment for us, wherein we could also leverage our supply chain and sourcing capabilities.

We remain cash accretive in each reporting period during the half year ended 30th September 2023 . Operating and free cash flow stands at Rs. 85 crores and Rs. 55 crores respectively. At the

end of Q2, VGL remain net cash positive with a balance of Rs. 2 6 crores after funding both of the acquisition internally. We strongly believe in creating value to our shareholders and are pleased to announce that the Board of Directors has approved a second interim dividend for the fiscal yea r of Rs. 1.5 per equity share .

To conclude, we have demonstrated resilience and strength in our performance. We are confident in the business prospects ahead of us and we will continue our growth trajectory with healthier margins in the long run. Having completed recent acquisition s, we would like to revise our revenue guidance. As Sunil just mentioned , in the current financial year, we expect our revenue to grow between 13 % and 15% and in the high teen range in F Y25 with decent op erating leverage . Furthe r, in mid to long-term range, we are confident of maintaining a mid-teen revenue growth. With this, I hand over the call to moderator . Thank you.

Moderator: Thank you so much. We will now begin the question -and-answer session . The first question is from the line of Shreyans Jain from S van Investments. Please go ahead.

Shreyans J : Sir, congratulations on the two acquisitions, my first question is pertaining to slide number 44 where we are seeing that UK continues to face muted consumer sentiments and US receives gradual recovery , but when I look at your local currency Q-o-Q, UK infact has done better than US, so just wanted some sense on what are the markets looking like individually ? UK has grown about 11 % odd, whereas US we see recovery , we have mentioned in the presentation we will be seeing recovery, but the number looks to be weaker versus UK , so jus t wanted some sense on divergence?

Sunil Agrawal : So, slide 44 is of the economy as such, not our individual groups numbers. For UK , from 30.9% ratio has gone down to 25% that is the e-com contribution for overall retail and US slightly improving to 15.5 from earlier 14 percentage market share. So, the UK continues to face overall macro challenges , as well as e-com is facing more headwinds than overall retail. So, UK does have macro challenges and in this environment , we have bought Ideal World at a great value, and we believe that we can add substantial value to VGL group through this acquisition. Standalone TJC itself will grow as per our guidance for next financial year and within this financial year, we are giving guidance of 13 % to 15% growth overall for the business with this acquisition . Now, without the acquisition , we will continue to grow, we will stay with our original guidance of 8 % to 10% , after acquisition it will be 13 % to 15% growth combined at both units. Now to your question, how does US ’ economy i s better than while we are not , because in economy as such in US is still doing a little bit better , but TV shopping has not done well because people have moved out and they are spendin

g more on experiences rather than products,
even on product - they are buying only essentials , but discretionary spend is still a bit subdued. Even Amazon , they recently declared their results, they shared that their essentials they have done well, but discretionary has been a bit challenging for them as well.

Shreyans J ain: My second question is sir, on the acquisitions , so we understand Ideal World was already facing some issues, but what we understand is Mindful Souls was doing really well and they are growing at growth rate of approximately 100% , so just wanted to understand the rationale for this promoter selling the company to Vaibhav ?

Sunil Agrawal : Many of the e -com companies’ promoters, they go from venture to venture. So, they sold this venture to us along with their 42 people team, and they went on to the next venture. So, they have another venture of snacks or crochet , the knitting and the three other ventures story. So, they sold the biggest venture and more successful venture to us , got the cash and then they went on to grow other ventures. So, that is the environment in Western world, like these entrepreneurs or people come with the idea grow in themselves.

Shreyans J : Sir, my last and final question is on the balance sheet , so when I look at your cash flow statement, there has been some decrease in other assets , but when I am looking at the balance sheets for this September versus March, whereas September last year, I don't see any decrease in other assets, but there has actually been an increase , so that was one and second is we see an entry of gold loan, s o just wanted to understand even that number ?

Nitin Panwad : So, other asset is long -term depos its that we have. We have kept those deposits in the US . So that deposits were re deem ed, so that is why it is a movement in other effects and the other question is gold metal loan, which is the facility we are getting . Before , we were importing the gold from outside India which peaks at a target time, but now we are getting this facility locally. It saves time and the cost also in terms of freight rate. So, the gold metal loan facility from banks that we are getting, and we repay within a month right now.

Shreyans J : Sir, coming back again to the deposit , where was it in the March quarter because it has not been a significant increase from your March number , so just trying to understand that ?

Nitin Panwad : Yes, it was with us for a couple of year s, we had a long -term deposit that we had it. We haven't redeemed those deposits because it was not required, and with the recent acquisition it was required. So, that is why we redeemed those deposi ts.

Shreyans J : And sir last is this Rs. 29 crores of CAPEX, w hat is this for?

Nitin Panwad : So, out of Rs. 29 crores, Rs. 12 crores is related to the asset purchase agreement from Ideal World and the remaining is related to our intangible assets which is the IT applications and upgradation of other softwares.

Moderator : Thank you. The next ques tion is from the line of Ritik Tulsyan from Concept Invest well. Please go ahead.

Ritik Tulsyan : Sir, so my first question is, so if we see in the IP, so our own brand contribution is 29% of B2C, right , so if you can give any view on how we are doing in terms of customer retention and growth in the customer base for our own brand , so that is my first question ?

Sunil Agrawal : So, I don't believe we have separate numbers for a brand customer or non -brand customer yet , we haven't broken that down , but we are seeing that a slight margin benefit to us in brands and also, we understand bit from customers the brand affinity when they develop, they stay longer. I am not sure if you have data on that separately . So we have data?

Nitin Panwad : No, we d

on't have that data readily available.

Ritik Tulsyan : So, if you can give any qualitative figure like internally how is it doing better than your expectations, or you think it can still get better if you have any internal expectations regarding your own brands and how will that turn out ?

Sunil Agrawal : They are definitely valuable to us because that is why we have given the guidance of 50% of brand revenue by FY27 , reducing benefit in terms of b etter margin and also customer affinity , so better lifetime value.

Ritik Tulsyan : And my next question is , so like if we see TV growth has been quite muted this quarter as well , so like when do you expect it to get better like from the other , the coming two quarters or you think it can get better in FY25 if you have any view on that?
Sunil Agrawal : So, the coming two quarters will be b etter because we have given the guidance as higher guidance as we have given 8 % to 10% growth as like for like guidance for this financial year. We expect Q3 and Q4 to be better for television as well as e-com, both of them and next year definitely noticeably better for a few reasons , one is that we have got some extra airtime that we have taken in the US and second thing, we expect the economy to stabilize as I mentioned in my comments that the US economy seems to be moving up and people are coming back to the normal life and people went away quite aggressively for experiences last year, year and a half and when they have had their fill of their experiences, they will come back to normal life and spend at home or watching our programming on television or through streaming.
Ritik Tulsyan : And do we have any other M& A lined up in the pipeline which we can expect to get closed in the coming two quarters if you have anything?
Sunil Agrawal : No, nothing in the foreseeable future .
Ritik Tulsyan : So, my last question is you have elaborated in your investor presentation that we got benefit of 1.1% from logistic cost negotiation, right , so if you can elaborate a bit more on that what was it if that is possible?

Nitin Panwad : So, we have around 1.1% benefit in the margin side from logistics side , partly related to the lower volume and partly related to our operational efficiencies in terms of clubbing the orders and negotiation with the carrier partners.
Moderator : Thank you. The next question is from the line of Nilesh Shah from Envision Capital. Please go ahead.
Nilesh Shah : Sunil , it would be helpful if you can just throw some light on the two acquisitions, what has been our rational e behind these acquisitions and both qualitative and quantitative perspective in terms of what is it that we hope to achieve through these two acquisitions in terms of synergies and how these acquisitions will accrue value to us, so if you can just kind of throw some light on that, please ?
Sunil Agrawal : Ideal World has 21 year of brand recognition in the UK market much before we came on the scene, and we got phenomenal value at a great price of 1.125 million pounds whole brand and the customer list of 480,000 customers that they had, and we also got a channel position . So, we get visibility into the consumer mind for very low value and with our sourcing capabilities, we expect this to become profitable within a year. So, this will add the revenue as well as to the bottomline in coming years for us . The second brand, Mindful Souls ha s two benefits , one is the digital learning is in the digital native brand. We are TV/ E-com company and digital native brand is coming from a bit different angle and we wanted that learning within the company . We were developing that learning as well but getting that learning from outside will definitely help us. Second benefit that we had was in the subscription business. So, on average that customer buys 6 .5 months , s

o whenever they enter the business, they continue to subscribe for 6 .5 months. These are assured annuity business in that model, and we wanted to learn that annuity because we don't have it yet. Third thing is there is a leverage of supply chain because the product that we were selling, we were already manufacturing or sourcing. So, we can use our skill and leverage to better cost manage that. There is already a 10% EBITDA business, and we expect that we can take that business to 14 %-15% EBITDA very quickly.
Nilesh Shah : My second question is around the margins , so from a peak of 15 %-16%, we went all the way down to maybe 6 %-7% and from there , the margins have witnessed a steady recovery to about 9%, I am just kind of trying to understand that are there any kind of very visible low hanging fruits that we see for the margins to kind of go from 9% to whatever the earlier highs of 15%? Or is that just going to be purely a function of scale that as we grow at our guided rate, t he margins could go back to the earlie r levels or are there any specific levers that we can see which will help us to kind of see further improvement in the margins apart from, of course also the fact that you expect Germany to breakeven by H2 F Y25, so apart from Germany and scale, are there any other levers that we currently see, which will help us to kind of recover or claw back some of those margins ?

Sunil Agrawal : Good question, Nilesh as you rightly said, Germany will be one of the majors because it is still right now in the build -up phase and is negative to our margin base that will help , the scale will definitely help as you have seen in the last few quarters as we have scaled whatever the revenue growth , the margin growth has been more than that. This model is a beautiful model when it grows, and it fits adversely when it degr ows. So, as we expect the gro wth to continue, our margin will continue to be leverage for us. Other than that, we continue to look for a product line or within product categories , any particular space that we find with better margin, we continue to look for that. We also stay away from products that do esn't give margin , for example, there was a proposal that came and there was a lot of discussion around selling gold bars like small one ounce gold bars or 10-gram gold bars. This is huge sales velocity by Costco or Walmart on the gold bar, but that would have been a lower margin business and we stayed away from that because we stayed with only 60% plus kind of product margin. So, we constantly look at product offering to us, category to us and look at the opportunities to expand the margin. So, even when we had inventory change last 2 years, because consumer taste change and we had to make the changes to inventory, we didn't need to go below 60% owing to our ability to source competitively an d be agile a nd we will continue to explore that and leverage that as opportunity comes.

Moderator : Thank you. The next question is from the line of Pritesh Chheda from Lucky investment Managers. Please go ahead.

Pritesh Chheda : Sir, I have one question , when I was looking at your presentation, I couldn't find the customer count number , can you share what is the customer count number now, t he active customer numbers which you g ave?

Nitin Panwad : Active customers are 450,000 trailing 12 months, 30th September.

Pritesh Chheda : So, now my associated question here is , the customer count number is what we are not seeing improvement. From our P&L, we landed up spending about 5 % to 6% of our EBITDA margin on cost buying more airtime and second spending on the digital side being o mni present or omni-channel and we tried to pick up some customers , any reason why we don't see those spends still translating into customer and how are we looking at this matrix? How are we looking a

t

improving the matrix on the customer count number , now this 450 also obviously includes Germany I think, so if I recall pre -COVID, we were at about 35 0-360, then we went to a certain higher number and then tha t number curtailed down to 450 number , but this 450 number include Germany now , so if you could spend some time on this part , some time on the margins that we had used to acquire some airtime, some digital spe nd, yet not translating into customer, it would be very helpful if you could give some comments there?

Sunil Agrawal : So, customer count is reflector in our business of the overall on television and e-com. So, during COVID, we had a good captive audience, and our customer count was quite substantiall y high on the back of high audience an d after COVID, when economy opened up, people were hungry

for experiences. People traveled quite aggressively, and during that experience we lost that audience and therefore the customer count was lower than the previous year. Having said that, even after in cluding Germany , our customer count for US and UK put together is higher than pre-COVID period. I don't have the number with me, maybe Nitin can pull it out and give it to me but that numbe r is noticeably higher than pre -COVID period and we expect the numbers to come back to normal numbers after the people settle back in their daily lives. We would also appreciate that our average price point went up on the back of us offering little higher price points owing to addressing the inflation addressing products and as we see in the long run , our average price point will come down , volume will go up and the customer count will go up.

Pritesh Chheda : What you mentioned is a forecast , what strategies have you changed to deliver that forecast? And my other question was why are we not seeing it still happening in the last 2 years despite spending 5%-6% to our sales margin and spending on digital?

Sunil Agrawal : So, we take up airt ime distribution whenever we get the opportunity, we don't wait for that and we don't really hold back our investments because these are very long -term relationships people build and whenever the opportunity comes, we take it and the opportunity came to us and we took it in the US and UK in last 2 years when they presented them selves and digital spend is constant , we are doing constant spending , so we will continue to do that , but again I reiterate compared to the 2019 -2020 which is pre -COVID period, our customer count is noticeably higher. After the call, our team will take out the number and share with you how much is the trailing 12-month basis. I see it here , the UK was 150 in Q4, w hat is Q3 number?

Pritesh Chheda : How much is your Germany count , if you can tell in this 450 ?

Sunil Agrawal : Germany is 53,000.

Pritesh Chheda : So, which means that your UK and US number has moved from 350-360 to 400 K about 40,000 - 50,000 addition , but Sunil, the amount that you have spent from the P&L is much higher, so all these customers have come really expensive , are we looking at that?

Sunil Agrawal : Yes, so w e look at all the affiliates tha t we do, we look at very closely , 1 month, 3 months, 6 months, 9 months, 12 , 15 and 18 months. So, we have criteria already in place. If those markets don't work for us, we are away from those markets and that churn constantly happens , a bit of a churn, not a whole lot , but that churn happens. So, we are very careful about how much we spend, where we spend and on digital, the customer lifetime is shorter and the cost per customer acquisition, different channels is in our visibility constantly and we spend based on what the customer lifeti me is worth for us. So, we are quite careful about that, but we have to be cognizant of how the economic macro conditions are and what the average price point we are cur

rently
dealing is . As you would appreciate with 400,000 customers in UK and US, our ASP is noticeably higher compared to pre-COVID period , therefore the revenue growth compared to pre-COVID period.

Pritesh Chheda : Are you go ing to relook at some of these spends because one of the previous participants who asked out margin lever, you said growth is the only margin lever, which means you are not go ing to relook at these spends, these are interpretation that I have to do or what is the change in incremental strategy that you want to deploy or your forecast of customer count to go up ?

Sunil Agrawal : Yes, we don't g ive forecast for customer count, or we don't give guidance to customer count because the business is so dynamic.

Pritesh Chheda : So, directionally, you mentioned right incrementally you see customer count going up, volumes going up, pricing coming down?

Sunil Agrawal : Business is so dynamic, so we look at overall balance between ASP and the customer count, new customer acquisition and total unique customers and average selling price and the total revenue growth and total margin growth. There are multiple variables we look at on very regular basis , on a daily, weekly basis and we fu lly expect to meet our guidance of 13 % to 15% growth this financial year and high teens for next financial year.

Pritesh Chheda : So, on the margin side, we will not see any cutt ing down of any cost, right? It is just pure sales growth which brings in everything ?

Sunil Agrawal : Because we look at the costs on a weekly basis, in fact time involved into weekly basis of this affiliate cost structure and we look at the numbers, we look at very minutely , what market is working , where we need to get ou t, where we need to double down. It is a constant process on weekly process wherever we can come out and g et better costs , we get the better cost. There can't be guidance on that. We will cut so much percentage of the airtime cost . There cannot be any guidance on that.

Pritesh Chheda : And when you said 13% growth for FY24 , this includes these acquisitions, right?

Sunil Agrawal : Yes, so without acquisition it will be 8 % to 10 %, with acquisition will be 13 to 15% growth.

Pritesh Chheda : So, you have moved up your number from 6 to 8 to 8 to 10 now, right? That is how it is ?

Sunil Agrawal : That was move d last quarter only , last couple of quarters , 8 to 10 % for this financial year without acquisition , with acquisition it is 13 to 15% this financial year.

Pritesh Chheda : And next year also it is high teens, right?

Sunil Agrawal : Next year, high teens with leverage.

Moderator : Thank you. The next question is from the line of Rohan Mehta. Please go ahead.

Rohan Mehta : First, I wanted to ask your opinion on what is the impact of this geopolitical tension in and around Israel is likely to be on our operation since we are spread across various geographies , has there been any noticeable change in consumer sentiment or any other impact that you may foresee of this ?

Sunil Agrawal : So far, we haven't seen any impact on the business at all. I can understand the impact on the people ’s psyche , and people’s dissonance and instability , I understand that, and I feel for the people who have suffered , but from a business point of view, we haven't seen any impact so far.

Rohan Mehta : So, in terms of discretionary spending, it is not likely to impact our target demographics , is it?

Sunil Agrawal : So, far it hasn't, unless the conflict widens to Middle East or wider that area , so far, we haven't seen, and we have not taken that into accou nt in our forecast because that is so unpredictable, and we can't really antici pate that. The current conflict is constrain ed within Palestine and Israel , then I don't see it impactin

g us, but if it gets a wider conflict , it may, but that is difficult.

Rohan Mehta : And sir, in terms of diamond prices having gone down, is that a potential risk for us?

Sunil Agrawal : No, not really , personally I think diamond price s going down is a temporary phenomenon happened with the confluence of a few factors and I believe the diamond prices would come back up in foreseeable future, but we are not diamond -centric business anyways. We are so much color gemstone or plain metal or non -jewelry . Diamonds are very small portion of our business,

so that is not very important .
Rohan Mehta : So, it would not really affect our average ASP that much ?
Sunil Agrawal : No, it will not.
Rohan Mehta : And sir, in Germany, regarding our tie -up with Tele Columbus , so what kind of investment did we incur to acquire these 2 million odd households that you have done?
Sunil Agrawal : We acquired 13 million HD homes on Vodafone and 2 million on Te le Columbus. So, we acquired 15 million homes this month. We just acquired early October, late September. So, these two arrangements , we can't disclose the amount because we have signed NDA, but that pushed our profitability from H2 of current financial year to H2 of next financial year because it takes about 1 year to 18 months for a household to mature.
Rohan Mehta : Sir, do we plan any further investments in Germany?
Sunil Agrawal : Germany, we are 95% covered, so there is no need for that. It will be very small incremental homes that we may acquire in Germany or in A ustria. So, not much to spend . Guidance of next financial year break even , i.e., H2 of next financial year breakeven stands.

Rohan Mehta : Sir, also in terms of the targets that have been sort of given in the mid to high teens for FY25, what would be , if you were to say two or three . key triggers to spur the growth to justify this projection? What would those be triggers ?
Sunil Agrawal : So, number one thing is higher revenue per home that we already address ed, number two, I am seeing US economy improving . So, with the customer coming back to their normal lives, we will see some growth coming back and also our merchandising learning that we are doing with the branding that we are improving , as I said improvement happening with our better per home per reach that we have had acqui sition of customers for marketing and hopefully with better repeat purchase from the customer from the same household that we have acquired and from the same customer that we acquired. So, 4 R’s that we focus on reach, registration , retention and repeat are our drivers of business.
Rohan Mehta : Sir, interest rate pressure is not right now impacting us in the US.
Sunil Agrawal : Not very much. Our price points are not very high, so I am not seeing so much . Earlier, I was skeptical of the US falling into recession and UK also falling into rece ssion that kind of the recession worries are no w on the back burner that gives me feel comfortable in giving this guidance.
Rohan Mehta : So, just one last question, do you look at the digital route to acquire customers separately and whether there is a dedicated strategy for that versus non -digital methods?
Sunil Agrawal : Yes, so we have four ways to acquire customer , number one is predominantly television , number 2 is digital that we do paid media, Google, Facebook, Affiliate and Influencers and number 3 is marketplace that we sell on Amazon, Walmart and eBay and number 4 is OTT . OTT is part of digital, but still with a separate strategy that i s through Roku and ITV and Apple TV and all the other fast platforms, free ad supported RTV and also through app environment. So, all these fours have our people in charge of them in respective locations and have their own budgets and strategies.
Rohan Mehta : So, digital would not be any more focused

upon compared to the other three ?
Sunil Agrawal : So the re are separate teams for digital and they have their own budgets and targets to grow number of customers , revenue from their customer , retention r ate and lifetime value and the CAC , so they have their own targets.
Moderator : Thank you. The next question is from the line of Nihar Mehta. Please go ahead.
Nihar Mehta : How are we planning to increase our digital , I am asking this with relation to (Inaudible) are we taking any steps to increase it further?

Sunil Agrawal : If I understood your question correctly, you are asking what are we doing to capitali ze or penetrate digital f urther , is it correct?
Nihar Mehta : Right, correct.
Sunil Agrawal : As I answer ed Rohan's question , we have separate teams for digital, paid digital. So, digital also has separate teams within digital , one is the digital sales to the customer that they acquire d from television and other division is for paid acquisitions. Within paid, we have Facebook teams , we have Google teams , we have Affiliate teams, and we have Influencer teams. So, we have attention to grow all paid channels as well as organic. So, we also have S EO team to improve our S EO footprint for all the non -business that we have in US, UK, Germany and capitalize on whatever we can get organically . Yes, so there is a lot of attention in growing up the paid profitably , profitably in the sense that we must acquire a customer at half or one third of lifetime

value or one year lifetime value for customer. Earlier we used to do 2 year lifetime value, we have now brought it down to one year lifetime value , so we must acquire a customer at half to one-third of that lifetime value of that customer and different product categories have different lifetime values , jewelry has a higher lifetime value and lifestyle has a lower lifetime value , but the customiz ation cost in the lifestyle pro duct is lower and in jewellery the acquisition cost is higher. Ye s, so we have the strategy in place to accelerate in that area but given the guardrail of certain percentage of lifetime value.

Moderator : Thank you. The next questio n is from the line of Supan Pari kh. Please go ahead.

Supan Par ikh: You mentioned that your target is 13 % to 15% revenue growt h in FY24 , so can you elaborate that how are you g oing to achieve this growth , like any specific strategy for the markets that will drive that growth ?

Sunil Agrawal : Supan, as I mentioned earlier in Nihar and Rohan's question s, we have marketing teams in place for television , for e -com, for O TT, for marketplace s and there are a lot of drivers for growth . The product, the marketing, the message, the content and getting the new product and getting the existing product repeat purchase higher or scale up the existing products , so there are a lot of different marketing strategies for multiple channels that we have in place in the US, UK and German y. So, we have multiple growth drivers available to us, but some broad category, we can say 4 R's are there , one is the reach, t hen next is registration , third is retention of the customer, fourth is improving the repeat purchase of th e customer and within the four Rs, there are multiple subsegments that is TV, digital , marketplace and O TT.

Supan Parekh : And sir, would like to ask how confident are you in achieving high teen growths for FY 25?

Sunil Agrawal : We are re ally confident . Generally , I tend to be conservative, although post COVID we were kind of taken off guard when people went out and we could not meet our guidance , but other than that I take pride in that we met our guidance or exceeded our guidance.

Moderator : Thank you. Ladies and gentlemen, as there are no further questions, I now hand the confer

ence
over to M r. Sunil Agr awal for closing comments.

Sunil Agrawal : Thank you, operator. So, I want to thank all the participants for your time and great questions. If you have any further questions, feel free to reach out to Prashant Saras wat at VGL or Amit Sharma at Adfactors PR India and we will be happy to answer your questions. Thank you once again.

Moderator : On behalf of Vaibhav Global Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2024

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Symbol: VAIBHAVGBL BSE Limited
Phiroze JeejeeBhoy Towers,
Dalal Street,
Mumbai – 400 001
Scrip Code: 532156

Subject : Submission of transcript of conference call
Dear Sir / Madam,
With reference to captioned subject, we are enclosing he rewith the transcript of Q3 & 9M FY24 Earnings Conference Call held on Wednesday , 31st January , 202 4.
The Transcript of the earnings conference call is uploaded on the website of the Company and can be accessed on the link:
https://www.vaibhavglobal.com/admin_assets/Investor/Investor_Presentation/1790032099437303.pdf
Kindly take the same on record.
Thanking you,
Yours Truly,
For Vaibhav Global Limited

Sushil Sharma
Company Secretary
M. No.: FCS - 6535

"Vaibhav Global Limited Q3 & 9M FY24 Earnings
Conference Call "

January 31, 202 4

MANAGEMENT : MR. SUNIL AGRAWAL – MANAGING DIRECTOR ,
VAIBHAV GLOBAL LIMITED
MR. NITIN PANWAD – GROUP CFO, VAIBHAV GLOBAL

LIMITED
MR. PRASHANT SARA SWAT – HEAD OF INVESTOR RELATIONS , VAIBHAV GLOBAL LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Vaibhav Global Limited Q 3 & 9M FY '24 Earnings Conference Call.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal operator by pressing '*' t hen '0' on your touchtone phone.
Today we have with us Mr. Sunil Agrawal - Managing Director; Mr. Nitin Panwad - Group CFO and Mr. Prashant Saraswat - Head of Investor Relations.
We will begin the call with open remarks from Mr. Sunil Agrawal on the business operations, key initiatives, broad outlook, followed by discussion on the financial performance by Mr. Nitin Panwad, after which the management will open the forum for question -and-answer session.
Before we get started, I would like to point out that some statements made or discussed on today's call may be forward -looking in nature and must be viewed in conjunction with the risks and uncertainties that we face. A detailed statement and explanation of these risks is includ ed in the earnings presentation, which was shared with you all earlier. The company does not undertake to update these forward -looking statements publicly.
I will now hand the conference over to Mr. Sunil Agrawal. Thank you and over to you, sir.
Sunil Agrawal: Thank you . Good evening , everyone. I welcome you all to Q 3 FY24 Earnings Conference Call of Vaibhav Global Limited . I trust you have reviewed our results and the presentation providing insights into our operation al performance and market dynamics.
Let us start with an overview of our operational highlights in Q3 FY '24. At the group level, we achieved a record turnover of R s. 888 crores, reflecting growth of 23% over the same quarter of the last financial year . Growth is part ially attributable to the recently acquired businesses . Adjusted f or them, the growth would be 14%, which is in line with our stated guidance. The five-year C AGR of Q 3 is at 12%, showing the robustness of our business model amidst various economic cycles. Gross margins remain healthy at 62.4%, which is 180 basis points higher Y -o-Y. Being the only company in our peer group with in -house manufacturing expertise, the global sourcing base is also maintaining us gross margins at 60% plus. EBITDA margin in Q3 FY '24 was 11.1% of revenue , which is Rs. 99 crores , showing a growth of 30% Y -o-Y. Better gross margins and operating leverage helped us expand the EBITDA margin s last quarter .
Let me now take you through each of our addressable retail markets .
In the U.S., retail sales are witnessing a gradual recovery buoyed by positive consumer sentiments. In the UK, with inflationary pressures and mortgage rates easing out from their

erstwhile peaks, the slow but persistent movement of the economy towards positive territory is encouraging. We are also tweaking our offerings to best suit changing consumer s' demands. Consequently, during this quarter, our volume went up by 16% Y -o-Y. Excluding the impact of acquisitions, our volume is up by 7% Y-o-Y.
In constant currency terms and excluding acquisitions, our growth is 7% and 5% in U.S. and UK respectively. It is also to be noted that last year's base was marginally affected by delivery disruptions in the UK and cyber -attacks in U.S. and UK, which had approximately 3.6% impact on sales.
In Germany, our growth momentum continues in Q3. Currently, we are clocking revenue of Euro 1.9 million per month which is a growth of 34% Y-o-Y. Having invested considerably across major TV networks and digital platforms, we believe that we have desired building blocks in place to achieve break -even levels in H2 of FY '25.
We remain committed to strengthe

ning our performance based on the 4Rs i.e., Widening Reach, New Registrations, Customer Retention, and Repeat Purchases. In Q3 FY '24, the reach of our TV networks was 139 million households. New registration in Q3 on TTM basis is 3.5 lakhs and customer retention stood at 37%. Customers bought an average of 23 pieces on TTM basis.
Our recent acquisitions, Ideal World Limited and Mindful Souls, are progressing well. The integration of Ideal World with our UK operations was completed within a month of acquisition. During the first quarter, we achieved profitability in Ideal World on a direct cost basis. As we are leveraging common resources like warehouse, studio, and management team , we are confident of becoming profitable on a full cost allocation basis in the next 9 months.

Our second acquisition, Mindful Souls, continues to perform profitably. Already a margin -accretive business, we are utilizing the digital capabilities of Mindful Source to create synergies for our existing digital businesses. In parallel, plans are also in place to leverage our existing supply chain to improve the profitability of this business further.

Sustainability is at the core of our business operations. We are delighted to share that this quarter we reached the milestone of 84 million meals being donated to school children under our flagship mid -day meal program - 'Your Purchase Feeds… .'. Presently, we are serving approximately 66,000 meals every school day.

This quarter, we generated 1 million kilowatt -hours of energy through our solar power plants. I am delighted to share that we have generated 14.5 million kilowatt -hours of energy. This is equivalent to planting 2 lakh trees. In addition to utilizing renewa ble energy, there are many other ESG initiatives in place each year. We have set 2031 as the target year to become Carbon

Neutral in Scope 1 and 2 of Greenhouse Gases emissions , and we are confident to achieve this target within the stipulated time.

We continue to reward our shareholders and keeping in mind our dividend policy, the Board has declared a third interim dividend of this fiscal year amounting to Rs. 1.5. per equity share.

Over the years, we have demonstrated agility and resilience in our performance. I would like to reiterate our positive outlook for the business and confidence to achieve our stated guidance of 13% to 15% revenue growth in FY '24 and the high teens range in FY '25 with decent operating leverage.

In conclusion, I would say that the outlook is promising and compelling, and we are well -placed to leverage the opportunity that lies ahead of us.

With t his, I now hand over the call to Nitin to discuss financial performance. Over to you, Nitin.

Nitin Panwad: Thank you , Sunil. Good evening , everyone and thank you for joining us for Vaibhav Global's Q3 FY '24 Earnings Call .

As Sunil mentioned earlier, macro challenges in our addressable markets are slowly easing out. We are constantly refreshing our product range to match customers' demands , which is well supported by our in -house manufacturing capabilities and globally spread sourcing base.

Overall, in Q3 our revenue increased to Rs. 888 crores, which is 23% higher year -over -year. Excluding the acquisitions, the year -over -year growth is 14% in Q3 FY '24.

Now let us discuss the revenue breakdown. In local currency terms, excluding acquisitions, revenue in Shop LC US, TJC UK were up by 7% and 5% respectively. In Germany, our growth momentum continues with our revenue increas ing by an impressive 34% year -over -year growth. On an overall basis, constant currency revenue growth is 18% year -over -year, and excluding the acquisitions, constant currency growth is 10% year -over -year.

In Germany, achieving 95% household penetration within two years is a significant achievement. And we are on our path to achiev

ing breakeven by second half of FY '25 at operating level. During the quarter, our TV revenue grew by 17% year -over -year, reaching Rs. 518 crores. Digital revenue continues its momentum and has increased by 27% year -over -year to Rs. 340 crores. The digital platform's contribution toward tota l revenue is 39%. With the new acquisition of Mindful Souls, we expect this to benefit our d igital business in the long term. We are anticipating that our digital business share will increase to 50% by FY '27 with the help of recent investment in digital space.

With an omni -channel presence, our focus remains to encourage customers to transact both on TV as well as digital platforms. Omni -channel presence provides customers with a unique

shopping experience, while enabling us to fetch significantly higher spending per customer and customer lifetime value. In overall, revenue contribut ion from non -jewel ry products hs increased to 29% in first 9 months of FY '24. Non -jewel ry categories include home decor, beauty, fashion accessories, and other lifestyle products. This marks a substantial increase from single -digit level a few years back, highlighting our ability to diversify our product mix successfully. By FY '28, we are looking at increasing our contribution from non -jewelry products to 50% of total sales.

Our unique offering in the form of budget pay gives customers the option of buying products on an EMI basis. For 9 months, this FY '24 budget pay contribution to overall retail revenue stood at 38%. The gross margin in Q3 FY '24 remains robust at 62.4%, indicating better realization . EBITDA margin for the quarter is Rs. 99 crores, which is 11.1% of revenue and 30% higher year -over -year. Better gross margins and operating leverage contributed to EBITDA margin improvement.

Profit before tax for the quarter is Rs. 72 crores, which is higher by 32% year -over -year. Our operating cash flow and free cash flow remain healthy at Rs. 221 crores and Rs. 190 crores respectively . This is possible because of our asset light business model and ability to generate health ier return ratio s. Our ROCE and ROE stand at 18% and 11% respectively. These metrics have marginally improved, and we expect them to expand further.

Our recent acquisitions - Ideal World and Mindful Souls are progressing well. By September end, Ideal World resumed its operation after a pause of three months. During the first quarter, we became profitable in Ideal World on a direct cost basis. As we are now leveraging common resources, Shop LC like warehouse, studio, workforce , hence, after accounting all the alloca ble costs, we are confident of becoming profitable on a fully allocated cost basis in the next nine months.

The second acquisition, Mindful Souls continues to perform profitably. Already a margin - accretive business, we are utilizing the digital capabilities of Mindful Souls to create synergies for our existing digital businesses. Currently, Mindful Souls is cloaking monthly revenue of US$1.6 million. Going forward, we intend to leverage our existing supply chain to further improve the profitability of this business.

We are pleased to announce that the Board of Directors has approved a third interim dividend for the fiscal year amounting to Rs 1.5 per equity share. This underscores our commitment to providing a consistent payout to our shareholders.

In conclusion, despite our addressable market being a bit softer, our overall performance has been as per our expectations with some market share gain s. We are optimistic about our prospectus, d riven by our robust business model and the assimilation of recent acquired businesses . We reiterate our guidance of 13 % to 15% top -line growth in full year FY '24 and the

high -teen range in FY '25. We co

ntinue to generate healthy cash flow, top decile returns and value for our stakeholders.

Thank you for your attention. I will now pass on the call back to the moderator for Q&A.

Moderator: Thank you very much. We will now begin the question -and-answer session. The next question is from the line of Kunal Sharm a from Care Health. Please go ahead.

Kunal Sharma: So, I wanted to understand about demand scenario over there in U .S. and UK. So, what we are seeing, you know, you can just elaborate the entire thing in terms of retail demand and all those things. And yes, that was my first question.

Sunil Agrawal: Yes, so for retail demand, there are competing pressures. So, inflation still is there around 5 to 4% or so. And the interest rate is 5, 5.5%. So, there are some pressures . Job market is robust in U.S. especially. UK is not as strong as U .S. So, thes e are macro factors and available for everybody to see. But what we are seeing is our continued modified offering to customers based on current economic demand environment, we are able to generate positive momentum all at U.S., UK, Germany as well as our new acquisitions and we expect that to increase in the coming quarters and years.

Kunal Sharma: That's good. And the last question was on the repeat purchase that we are saying that gradually, like a year -over -year, it's declining. So, is that just because you know, we are focusing on the non -jewelry side or that kind of thing . So, is that the reason behind or is there something else?

Sunil Agrawal: This is m ore of a consumer behavior at this time . As I mentioned earlier, the consumer went out quite a bit. We had less eyeballs on TV or online to buy products from us. And secondly, there were a lot of inflationary fears. So, people bought more higher end product l ike gold or investment products s o, our average selling price went up. Because of average selling price going up, the volumes were lower. So, because of lower eyeballs and price point, the volume was lower. But going forward, we expect price points to remain around where they are now, or even slightly modera te. So, the volume would go up in response to the revenue increase.

Moderator: Thank you. Next question is from the line of Sandeep Oculus Capital Growth Fund. Please go ahead .

Sandeep: So, question was regarding the land acquisitions which happened in U .S. almost two years ago. So, can you give a ny update on that?

Sunil Agrawal: Yes, we acquired the land in Austin, Texas with plan of constructing our own headquarters. And then after buying that, we saw the inf lation going up quite rapidly, t he interest cost is also going up a nd then the cost of constructing our own building came a bit too high. So, we put

construction plans on hold and we may be either staying where we are, or moving to a rent basis. So, the construction of our headquarters has been put on hold.

Sandeep: So the CAPEX of this land, so that never happened?

Sunil Agrawal: Yes, that never happened and may not happe n for another 8 to 10 years, unless we have

extraordinary growth, and also inflation coming down and cost of construction coming down .
Sandeep: So, any plans for the land right now?
Sunil Agrawal: Putting it in balance sheet right now. And it has already increased much in value. So, as an investment, we are fine with that. And we look at business growth in the next couple of years and see where the business goes. Because what premises we take is for 10 -year lease, either a listing or a new place. And then if we really need more space beyond our growth, then we may construct it at that time. But right now, no p lans.
Moderator: Thank you. Next question is from the line of Yash Bajaj from Lucky investment. Please go ahead.
Yash Bajaj: So, my first question is on Ideal World . So, what kind of operating margins a

re we at once this business scales up, suppose in the next 18 -24 months?
Sunil Agrawal: Yes, we believe that our gross margin allows us to have a robust operat ing margin . The gross margin is 60% plus already for the business and we are leveraging lot of existing infrastructure in the UK. So, once it scales with these gross margins, our operating margin w ould be similar or higher to our existing business within the next 12 to 14 months.
Yash Bajaj: So, similar to our existing business, right? More or less.
Sunil Agrawal: Yes.
Yash Bajaj: So, in previous presentation, you had mentioned that Ideal, our goal is to surpass the acquisition revenue profitability in the next three to five years. So, what is this number which Ideal World used to do?
Sunil Agrawal: I don't believe we gave guidance that we will exceed our pre -acquisition revenue numbers because we changed the structure of business. This business used to do, I believe, 60 million pounds. Nitin, if you correct me.
Nitin Panwad: Yes. So, before stopping this channel, the channel did 60 million pounds and initially we estimated that we will achieve this turnover in the next three to five years' timeframe. But as strategically, that business was earlier operating with a lower gross margin and we are moving with the 60% in our gross margins s o, we reviewed that how long it will take to achieve that turnover .

So, what we were mentioning about before , in trailing 12 months, that business was having £60 million turnover and strategically that business earlier was operating with lower gross margin of 30%. Now , we are moving its business model to 60% gross margin with the help of our supply chain and the product categories where we operate. Our first focus is to make this business profitable and with a similar kind of margin, as Sunil has mentioned in next 12 to 14 months, what we are operating right now. So, earlier guidance that we have given to achieve that revenue in five years, and we will continuously review it and guide accordingly in upcoming quarters.
Moderator: Thank you. Next question is from the line of Nakul from PS group. Please go ahead.
Nakul: So, my question is, in the view of probable India , UK F TA, if it goes through, how much impact will it have on the topline and bottomline ?
Sunil Agrawal: So, our jewel ry or non-jewelry product from India attracts not very high duty. It's about 5% only. And we do not know whether the jewelry woul d be right away impacted or not, i t's too early. But if it does, then we will have cost benefit of 5% just in the U .S. on the purchase of jewelry. Now remember that we have very high gross margins so, the cost of goods is very low. So, even if it's 5% on the component from India, it won't have a lot of meaningful impact, maybe 50 basis point or something like that.
Moderator: Thank you. The next question is from Shreyans from Svan Investment . Please go ahead.
Shreyans: Congratulations on good numbers . My question on other expenses ex of content and broadcasting cost . So, those costs also have gone up towards end. So, I am just trying to understand (Inaudible), but those expenses also have gone up in line with sales growth. So, I am trying to understand that.
Nitin Panwad: Shreyans, actually, so your voice was breaking, but if I understood your question correctly , you were asking the air con tent broadcasting cost .
Shreyans: After the content broadcasting, ex of that, your expenses have grown in line with your sales. So, I'm just trying to understand which other line item in cost has gone up, because we were expecting some kind of leverage benefits to you in terms of sourcing and all of that . So, I'm trying to understand that.
Nitin Panwad: Shreyans, a ctually, we have a leverage benefit . We are getting it from employee benefit expenses , that has impro

ved . Apart from that, the additional cost is pertaining to the new acquisitions of Mindful Souls , wh ose majo r expenses are related to digital s o, that is coming in our operating expenses side, which was not in last year. And also , we have seen growth in our volume. Volume growth was pretty much stable in some quarters, but last quarter we have seen a growth of 16% in our volume, that is resulting to higher dispatch and shipping cost.

Shreyans: Sir, my second question is, we have done about 6% of growth in UK in constant currency terms. So, if I were to remove Ideal world from number, what would be the CC growth for our base business?
Nitin Panwad: The 6% growth is for the base business only. If we include the Mindful Soul s, it is 17%. Sorry, Ideal World .
Shreyans: In constant currency ?
Nitin Panwad: Yes, in constant currency.
Shreyans: So, you ar e saying we have done about 21 m illion pounds versus 19.8. So, this, you are saying, is ex of Ideal World , that we have given in the presentation.
Nitin Panwad: Yes, yes, it is ex of Ideal World and I think it is written in the note below. So, it is ex of Ideal World .
Shreyans: And s ir, my last question is, I think somewhere you mentioned in the call that in Germany we have grown about 35% excluding Mindful Soul s. And now, I think last two quarters, we are adding a lot of premium customers what we understand in terms of cable addition that we have done. So, how did we get this number of 35% because we were erstwhile growing 70% to 80% every quarter ? So, just trying to understand this part, how do we look at this number, sir?
Nitin Panwad: So, Shreyans , this number is continuously improving, and we expect that to continuously improve. We are clocking around 1.9 million Euro revenue per mo nth, which was in previous quarter around Euro 1.8 million per month . And we are more focusing now on reducing the returns, which will overall help to improve net revenue to grow. We are f ocusing on the categories and offering the products to the customer on low price points, which helps to reduce overall returns .
Shreyans: So, from this 1.9, when do we expect 2, 2.5 million run rate ?
Nitin Panwad: So, the guidance that we have given breakeven by the second half of the next year, which require 3 million odd numbers. So, we are on track of that number, and I think by the second half of the next year, we will achieve that number.
Moderator: Thank you. The next question is from the line of Gaurav Nigam from Tunga Investments . Please go ahead.
Gaurav Nigam: My first question was on the unique customers. Can you provide what are the unique customers in Germany and Mindful Souls?
Nitin Panwad: We have reported for the last quarter 50,000 customers from Mindful Souls.

Gaurav Nigam: In the numbers that we have given out for the TTM unique customer , that includes Mindful Souls or not, 540,000 that we have reported.
Nitin Panwad: Yes, 50,000 customers that includes Mindful Souls, yes.
Gaurav Nigam: And for Germany, sir?
Nitin Panwad: Germany is around 60,000 customers on TTM basis.
Gaurav Nigam: And sir, Germany, how should we look at this business? Should we look at it on a Y -o-Y basis or a Q-on-Q? Because on a Q -on-Q basis, that seems to have delivered the same. So, just wanted to understand how you are doing it internally?
Nitin Panwad: We are reviewing internally many different metrics , number of customers, volume, revenues. So, many different factors we follow , like our repeat rate shoul d be going up, retention to go up and overall revenue to going up. So, there are many different metrics we follow, but we see that all the territories are improving in trend and we anticipate that it will continue to improve.
Gaurav Nigam: Q-on-Q decline, is that any conce

rn, sir, or what is this ?
Nitin Panwad: There is no concern on it. It is mainly related to higher provisions of the returns . Returns policies is based on the past trailing 12 months, but efforts that we have done in changing categories and moving to the low price points, it resulting the provisional amount is higher, but we are seeing this already a lower returns rate. So, that will reflect in upcoming quarter.
Gaurav Nigam: One more question was on the spend per c ustomer , which we have disclosed this quarter, which is 701 . I think it has declined from 718 from last quarter. Just to understand is this because of acquisition or something has changed or is this a like for like comparison?
Nitin Panwad: Yes, so I have to check that number . I am not sure, but I think Prashant will come back to you on it.
Gaurav Nigam: And sir, just t he last question . In slide 24, just before the acquisition that you have done the pickup of U.S., UK and Germany, is that with acquisition or without acquisition ? Just want to confirm . Before the acquisition and update on recent acquisition, there is a slide, slide number 24.
Nitin Panwad: It is including the acquisitions.

Gaurav Nigam: I will check Prashant later on the open question .
Moderator: Thank you. Next question is from the line of Shreyans from Svan investment. Please go ahead.

Shreyans: Sir, I am just looking at Germany numbers . So, Q3s are typically the festiv e, right, festival season so, just try to understand why was this number bad? So, I understood the return state, but still, don't you think this is slightly more sluggish than to our liking?
Nitin Panwad: One of the reasons, Shreyans , is that on Q2, we had done a clearance that for the August month was a full clearance on that month . So, we have seen a pretty good momentum and response from the customer for the clearance we have done in August. So, August number got pretty high due to the clearance.
Also, on the quarter -three, we have focused more on the categories which are having a lower returns , but provisions were based on trailing 12 months. We anticipate that the lower returns in Q3 and Q2 revenue was higher , the one -off big clearance event we have done in August.
Shreyans: And sir, second is just on the ASP for both TV and digital. Last three quarters, we have seen some kind of slowdown there from 31 to 29 and from 42 to 37. So, are you envisaging that customers are buying cheaper or what is i ncreasing volume growth or have trending downwards last three quarters?
Sunil Agrawal: So, Shreyans, we look, we modify our offering based on the consumer demand and consumer pull. So, earlier few quarters, we were seeing a lot of higher end gold and diamonds pulled in because of inflation fears. And now inflation fears have subsided. So, we are now reverting to a little bit of the regular life, regular products and we are seeing the passion of lower price points. We ideally want to go lower pr ice point that helps in reducing returns and acquiring more customers and those custo mers then we can go to the higher price points. So, our long - term goal is to bring the price point even actually a little more lower if we can. The economy will be better.
Moderator: Thank you. Next question if from the line of Narendra Mahajan , an individual in vestor. Please go ahead.
Narendra Mahajan: First of all congratulations on the numbers. I have two small questions. First is on the outlook, that Q4 '24, and second is on the exceptional item such as cyber attack in Q3. Can you throw some light on it? It will be helpful.
Nitin Panwad: So, I will address your second question first, on the exception of cyber attack. Last year, we had an impact of 3% in our revenue, related to cyber attack. Even if we exclude that impact, we have our growth in our revenue of 19%.
Narendra Mahajan: So, is

there any breach of customer data or anything like that?

Nitin Panwad: There is no breach in that, and we have received a claim also from insurance company beca use of the revenue losses, and also part claim is still pending for the recovery of the reimbursement of expenses related to cyber -attack.
Narendra Mahajan: And on the first part of question?
Nitin Panwad: Can you repeat your other question?
Narendra Mahajan: Yes, I was looking into the outlook of the quarter 4 financial ' 24. So, what growth we are expecting if you can highlight on this?
Nitin Panwad: So, for the next quarter, we are anticipating similar kind of performance what we are seeing right now. A nd about that, we have been giv ing the guidance to achieve full year growth of 13 to 15%. We are anticipating similar numbers to achieve in full financial year . So, remaining it is equivalent to 18 to 19% growth in quarter 4.
Moderator: Thank you. The next question is from the line of Pritesh Chheda from Lucky Investments. Please go ahead.
Pritesh Chheda: Sir, my question is on the customer number. We are at about 540 today . So, at the Mindful Souls is about 40 . So, I am reducing that, and Germany you mentioned is about 60. So, the base business, which is UK and U .S., the number is about 440. Can you help us with the base business number of this customer identification for last year ?
Nitin Panwad: Pritesh, f or the base business, what we see, we are seeing the growth in U .S. business as well as in UK. I don't have the number with me at the moment, but we are seeing growth of 2 to 3% in unique customer TTM basis, what we have reported in September quarter and this quarter.
Pritesh Chheda: Is it fair to assume that your pre -COVID number was 360,000 and then there was this whole COVID -related jump? Is now this 440 number can be looked at versus the 360 number of FY '20? Is this the correct estimate or there is some other number that we have to look at?
Nitin Panwad: Yes.
Pritesh Chheda: Because if you mention 540 today, then in that 40 is Mindful Souls , 60 is Germany, which was not part of the number in FY '20, right?

Nitin Panwad: Right. There is also one more, the Ideal World , which was included.
Pritesh Chheda: How much is it?
Nitin Panwad: 30,000 .

Pritesh Chheda: Then it is 410,000 versus 360,000.
Nitin Panwad: Yes, so if I give you the correct number, so excluding Mindful Souls, Ideal World and Germany is around 410,000 is our base business customers .
Pritesh Chheda: Base business , okay . So, now we are about 410 divided by 360. We are basically in 4 years, we are from 360 to 410. What efforts are we doing to increase our customer count?
Nitin Panwad: So, Pritesh, there are multiple efforts to increase that. First is household expansion. In U .S., we are currently having 70 million household and the potential to increase t o 100 million households, which is 30 million which we don't have at the moment. So, household expansion is one of the factors. OTT which is a huge space, we are very small or very unexplored area for us. OTT is a huge opportunity to expand the household. Also, the lower price positioning in U .S. and UK for the established air time or broadcasters is a major opportunity to expand the household in TV business. Apart from that, we are investing on the digital space to bring the customer profitably. In COVID time or e ven after COVID, we spent a lot of money on the customer side in digital marketing . We are now focusing on the first purchase profitability of digital customers so that we generate the profit also and acquire more customers in digital space.
Pritesh Chheda: All the efforts which you mentioned were always present, right? If you are going to incrementally also do these efforts, will they come a

t a cost? So, when you are increasing the cable connectivity, will we see another round of cost increase or we will see operating leverage staying in our business?
Nitin Panwad: Yes, there will be operating leverage because what we normally monitor, we have created a cadence. If the air time comes within cadence, then we continue that air time. If the air time doesn't come with the cadence, we exit that air time. And that cadence gives us an operating leverage which means cost increase is lower than the revenue growth.
Pritesh Chheda: So, you are mentioning that incremental growth will bring distress and you will not have significant cost associated with the cable connectivity .
Nitin Panwad: Yes.
Pritesh Chheda: And in the U .S. and the U K geography, what kind of growth are you looking at next year and let's say 6 to 8 quarters of next two years?
Nitin Panwad: So, we will continue to grow. However, it is difficult to anticipate at the moment. At the current scenario, we will grow in existing territory with a low double -digit or higher single -digit rate.
Pritesh Chheda: Excluding US and UK?

Sunil Agrawal: Yes, so for US and UK excluding Ideal World , we expect the growth to be high single -digit. And the new acquisitions, Ideal World as well as Mindful Soul s, that will give us additional growth. So, the real guidance that we are giving is mid -teens.
Pritesh Chheda: And the high single -digit is dollar growth, right?
Sunil Agrawal: Dollar growth, yes. High single or low double -digit growth.
Pritesh Chheda: So, basically India translation will be double digit?
Sunil Agrawal: Yes. We hope so. We can't predict for currency growth. On a h igh single -digit or low double -digit .
Moderator: Thank you. The next question is from the line of Aniket Redkar , an individual investor. Please go ahead.
Aniket : Sir, I have few questions. I just want to understand the subscriber base growth, the effect from this acquisition to better see any growth again?
Sunil Agrawal: Yes, Nitin, can you give me the number? So, Aniket , you are asking subscriber base growth in current geographies outside the acquisition?
Aniket: Yes, sir.
Sunil Agrawal: I will have to look at the numbers. You are asking me for the future growth numbers or?
Aniketh: Current one.
Sunil Agrawal: Let me get the numbers back from Prashant. Nitin, if you can answer Aniket 's question about total customer numbers outside of acquisition in last quarter and the ir growth year -over -year ?
Nitin Panwad: So, year -over -year I don't have it with me , but outside the acquisitions quarter -over -quarter from September to December , we have a total 2 to 3% growth in unique customer base.
Aniket: And a re we diversifying into any other product categories , we can appeal to a broad demographic and the age group?
Sunil Agrawal: Yes, so we constantly scan the market and get them on websites and set up new blocks and we

bring in a few new products every day. New introduction is our huge strength and whatever works well , then we go deeper into it and we have a very robust exit mechanism of exiting non - performing products or deals. So, we cannot answer specifically what product we will bring but we are scanning constantly. So, any product that give us our gross margin of 60% plus that will also be profitable . We will acquire sufficient new customers to get our metrics , productivity

ratio , margin per minute . Based on that, we take a decision on the product . This process that we have across the group.

Aniket: And sir, one last question, do we have any plans to see a geographical expansion to other country?

Sunil Agrawal: Not in the near future . I don't believe it will be at least for about three years.

Moderator: Next question is from the line of Hars

h Mulchandani from Kriis PMS . Please go ahead.

Harsh Mulchandani: I wanted to understand with the operating leverage kicking in as we move forward, can we expect EBITDA margins to reach up near the historical highs or you know, we might have seen low double digits going forward?

Sunil Agrawal: Yes, so we expect operating leverage to continue for the foreseeable future for next four to five years at least, if not more and we do expect us to get to our historical high margins of about 15, 16, 17%, 16% on the highest . We expect to reach there and even beyond as we leverage the business.

Harsh Mulchandani: So, we see incrementally say 100 bps every year improvement or faster on a full -time basis?

Sunil Agrawal: I can't give specific guidance on that question because business is so dynamic , but I am clearly confident of us reaching and going beyond our historical high EBITDA margins in coming few years.

Moderator: Thank you. The next question is from the line of Gaurav Nigam from Tunga Investments . Please go ahead.

Gaurav Nigam: So, just one question I forgot to ask. What is our current NPS in the U .S. and UK geography ? I believe we track it.

Sunil Agrawal: Yes, we do. Nitin, can you share it?

Nitin Panwad: Yes, so in U .S., 53 is our NPS and UK , 57 is our current NPS.

Gaurav Nigam: Sunil sir, if I remember correctly, it used to be higher earlier, right? Both of them have declined . Is there something or it's transitional.

Sunil Agrawal: Yes, so I think the macro environment also creates some pressures on NPS. So, any NPS above 50 is considered pretty good because as you know, the NPS measurement criteria is pretty strict on a scale of 1 to 10. Promoters are only 9 and 10 and then pass ives are eight, seven, six and from 1 to 5 det ractors . So, of the 1 ,000 response we get, so if we have 10 promoters, that is 9 in 10 score, up to 10, then the 1 to 5 are reduced from that. So, given that strict

measurement, or pretty robust measurement criteria, I think above 50 is good. Now, I suspect this macro -environment more than anything else, and as the macro -environment subsides, we will get back to our 60s or even 70s in the coming quarter s or years.

Moderator: Thank you. This was the last question for today. I will now hand the conference over to management from Vaibhav Global Limited for closing comments . Over t o you, sir .

Sunil Agrawal: Thank you . So, I want to thank all the participants for your time and great questions. If you have any further questions, feel free to reach out to Prashant Saraswat at VGL or Amit Sharma at Adfactors PR India and we will be happy to answer your questions. Thank you once again.

Moderator: On behalf of Vaibhav Global Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2024

VAIBHAV GLOBAL LIMITED

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Ref: VGL/CS/2024/50 Date: 29th May, 2024

Subject: Submission of transcript of conference call
Dear Sir / Madam,
With reference to captioned subject, we are enclosing herewith the transcript of Q4 & FY24 Earnings Conference Call held on Friday, 24th May, 2024.
The Transcript of the earnings conference call is uploaded on the website of the Company and can be accessed on the link:
https://www.vaibhavglobal. com/admin_assets/Investor/Investor _Presentation/1800 370744470911.pdf

Kindly take the same on record

Thanking you,

Yours Truly,

For Vaibhav Global Limited

Sushil Sharma
Company Secretary
Mem No. – F6535

National Stock Exchange of
India Limited (NSE)
Exchange Plaza, C■1, Block G,
Bandra Kurla Complex,
Bandra, Mumbai – 400 051
Symbol: VAIBHAVGBL BSE Limited
Phiroze JeejeeBhoy Towers,
Dalal Street,
Mumbai – 400 001
Scrip Code:
532156

"Vaibhav Global Limited
Q4 FY '2 4 Earnings Conference Call"

May 24, 202 4

MANAGEMENT : MR. SUNIL AGRAWAL – MANAGING DIRECTOR –
VAIBHAV GLOBAL LIMITED
MR. NITIN PANWAD – GROUP CHIEF FINANCIAL
OFFICER – VAIBHAV GLOBAL LIMITED
MR. PRAS HANT SARASWAT – HEAD OF INVESTOR
RELATIONS – VAIBHAV GLOBAL LIMITED

MODERATOR : MS. DISHA SHAH – ADFACTORS PR

Moderator: Ladies and gentlemen, good day, and welcome to Vaibhav Global Limited Q4 and FY '24 Earnings Conference Call. As a reminder, all participant s' line will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone . Please note that this conference is being recorded.

I now hand the conference over to Ms. Disha Shah, from Adfactors PR. Thank you, and over to you, ma'am.

Disha Shah: Good evening, everyone, and thank you for joining us on Vaibhav Global Limited Earnings Conference Call for the quarter and full year ended 31st March , 2024.

Today, we have with us Mr. Sunil Agrawal, Managing Director; Mr. Nitin Panwad, Group CFO; and Mr. Prashant Saraswat, Head of Investor Relations. We will begin the call with opening remarks by Mr. Sunil Agrawal on the business operations , key initiatives and a broad outlook, followed by a discussion on the financial performance by Mr. Nitin Panwad, after which the management will open the forum for Q&A session.

Before we get started, I would like to point out that some statements made or discussed on today's call may be forward -looking in nature and must be viewed in conjunction with the risks and uncertainties that we face. A detailed statement and explanation o f these risks is included in the earnings presentation, which has been shared with you all earlier. The company does not undertake to update these forward -looking statements publicly.

I would now like to invite Mr. Sunil Agrawal to make his opening remarks. Over to you, sir.

Sunil Agrawal: Thank you, Disha. Good evening, everyone. Thank you for joining us today for the Q4 FY '24 Earnings Conference Call . I believe you have reviewed the results and investor presentation, which provides insights into the quarterly and annual business performance.

I'm delighted to share that we have achieved our guidance revenue numbers. Consolidated revenue in Q4 was INR789 crores, which is 14% higher than the same period of last year. During the quarter, we put a lot of emphasis on reducing the inventory and improving our working capital. This is visible in the form of reduced inventory and much improved operating and fr ee cash flows.

On the full year b asis, the group's top -line crossed INR3,000 crores mark for the first time at INR3,041 crores as against INR2,691 crores, showing a growth of 13% year-over-year. Our gross margin for the quarter remains robust at 62.7% with a cumulative margin of 62% for the full year. We continue to see gross margins in our targeted range of 60% plus backed by an in - house global supply chain. Our sourcing network, coupled with in -house manufacturing, enables us to offer products at competitive prices with a shorter turnaround time.

Let me now take you through each of our addressable retail markets. In the U.S., macro indicators like employment data, consumer confidence, inflation rates are trending positive and driving consumer demand. Also during last year, the mix of e -comm sales to total retail sales in U.S. has improved by 90 basis points.

In the U.K., inflation continues to moderate every month, but consumer spending power remains subdued due to high interest rates. We remain vigilant to the broader macroeconomic landscape there.

Quarterly growth for our existing businesses in U.S. dollar terms in U.S., U.K. and Germany was 4%, 1% and 38%, respectively. In Germany, our strategic investments across TV networks and digital platforms ha ve yielded desirable results, boosting our revenue to EUR 21.4 million for the full year, having achieved revenue growth of 48% on an annual basis. Such growth underscores our commitme

nt to increasing our market share there.

Our focus remains on the four pillars of our growth: widening reach; new customer acquisition; customer retention; and repeat purchases. In this quarter, the reach of our TV networks was 130 million households. As of March 31, 2024, our unique customer bas e stood at 580,000, which is 26% higher Y -o-Y. Excluding acquisitions as well, the unique customer base has been improving quarter -on-quarter.

In existing businesses, new customer acquisition during Q4 was higher by 8% compared to last year. Further, customer retention stood at 39%. On a trailing 12 -month basis, customers purchased on an average of 24 pieces versus 23 last year.

Let me now take you to the unique concept called unreasonable hospitality. The company is integrating the principles of unreasonable hospitality into its operation, drawing inspiration from Will Guidara 's acclaim ed book. The concept focuses on exceeding customer expectations by providing an extraordinary and memorable shopping experience. By prioritizing exceptional service and memorable experience, the company aims to create a strong connection with our customers. This strategy is designed not only to attract new customers, but also to significantly enhance customer loyalty in the long run . This is evident with increased Net Promoter Scores in recent quarters.

Now let us talk about Ideal World and Mindful Souls and how they are shaping up. Notably, Ideal World achieved profitability on direct cost basis for the second half of FY '24. We are confident of achieving profitability in the next 6 months on a full cost allocation basis.

Meanwhile, Mindful Souls is contributing positive leverage to overall business already. We are actively leveraging the digital prowess of Mindful Sou ls to foster synergies within our existing digital businesses. Further, we have started utilizing the supply chain strengths of VGL Group for Mindful Souls, which is expected to further improve its profitability going forward.

At VGL, community give -back is integral in our business model, where every unit sold results in a meal for school going child. Under our flagship mid -day meals program, 'Your Purchase Feeds... '; which was launched about 10 years ago, has resulted in 87 million meals donated to school children till date. Currently, we serve 56,000 meals every school day.

On clean energy front, I'm delighted to share that this quarter, we generated 1.1 million kilowatt hours of solar energy, which is catering to 100% power requirements of 2 manufacturing units in India. Additionally, 2 premises in U.S. and 1 premise each in U.K. and Germany are also

operating on 100% renewable energy. All these measures are aimed at achieving our goal of carbon neutrality i n Scope 1 and 2 of greenhouse gas emissions by 2031.

Furthermore, we are constructing another rain water harvesting tank of 600 kilolitres capacity to ensure prudent water management at VGL Group. On governance part, I'm pleased to announce that the group's subsidiary in India, the U.S. and U.K. and China have once again been awarded the Great Place to Work certification. I extend my gratitude to all our colleagues across VGL Group for their feedbac k in getting our workplace s certified as 'great place to work '.

As we celebrate this, we reaffirm our commitment to encourage inclusive and supportive culture across VGL Group. We believe in creatin g long -term value for our shareholders. The Board has recommended a final dividend of INR1.5 per equity share, which is subject to shareholders' approval at AGM. Including 3 dividends, total dividend payout against earnings of FY '24 would be 78%. We'll continue to keep our focus on growth and profitability, with prudent capital management and, hence, want to reiterate our earlier stated guidance. We expect a robust performance in FY '25 and achieve 1

4% to 17% revenue growth with strong operating le verage.

For subsequent periods, we expect the revenue to grow in the mid -teens range with decent operating leverage. Towards the end, I would say that over the past year, we have seen tangible improvements across various facets of our business. We are optimistic about our outlook, buoyed by positive trending macro indicators and multiple growth drivers in place within our business.

While unforeseen challenges may arise, we are confident in our ability to navigate them effectively due to our low -cost vertical model as well as high agility attitude.

I now hand over the call to Nitin to discuss financial performance . Over to you, Nitin.

Nitin Panwad : Thank you, Sunil. Good evening, everyone. I am delighted to welcome to you at VGL's Q4 FY '24 Earnings Call. While Sunil has given an update on operational performance and key initiatives undertaken during the year, I will now take you through our financial performance for the quarter and fiscal year ending 31st March, 2024.

Revenue growth in Q4 was healthier at 14% year -over-year and was INR789 crores versus INR693 crores in Q4 FY '23. During the last 2 quarters, we have seen visible improvement in our volume growth, driven by positive consumer sentiments.
During Q4 FY '24, the volume growth was 26% year -over-year. Even after excluding impact of acquisitions, the volume growth is much stronger at 13%. As Sunil also mentioned earlier, we optimized our inventory and working capital during the quarter. Conseque ntly, the operating and free cash flow during FY '24 was INR270 crores and INR230 crores, respectively. On a full year basis, the group's top line was INR3,041 crores against INR2,691 crores in FY '23, registering an annual growth of 13%.
Now let me brief you on geography -wise revenue breakdown. In U.S. dollar terms, Shop LC U.S. grew by 4%. TJC U.K. grew by 1%, and Germany grew strongly by 38%. On a combined basis, our existing business grew by 5% in U.S. dollars terms .

If we include acquisitions, the overall year -over-year growth was 14.5% in U.S. dollars and 13% on a constant currency basis in last quarter. Further, we maintain our stance of achieving breakeven point in Germany in H2 of FY '25 at operating level. During the fourth quarter, TV revenue amounted to INR453 crores and digital revenue reached INR305 crores. While TV revenue experienced a growth of 10.8% year -over-year, digital revenue saw a relatively stronger growth of 19%. Digital continues to complement the TV segment dr iven by its extensive reach and discovery capabilities.
The digital business accounts for 39% of total revenue . Mindful Souls is anticipated to drive long-term growth, and we believe that this strategic move will lead us to 50% digital revenue share by FY '27. The sales mix of lifestyle products has been growing over the years, now standing at 30% versus 12% of FY '18. Looking ahead, our goal is to elevate the contribution of lifestyle products to 50% of our total sales by FY '28.
A unique offering in the form of budget pay gives customers the option of buying product on an EMI basis and is valuable feature for the buyers. In FY '24, budget pay contribution to overall retail revenue stood at 39%. The gross margin remains strong at 62.7%, demonstrating the efficiency of our vertically integrated business model. The EBITDA margin for the quarter was 8.1%. Adjusting for Germany, EBITDA margin during the quarter was 11.6%. Operating margins were slightly affected by higher shipping costs, driven by an increase in volume of 26% and increased content and broadcast expenses, which was primarily on account of acquired businesses and new airtime cost of Vodafone in Germany. On an annual basis, EBITDA margin improved to 9.7% from 8.4% in FY '23, reflecting 130 basis points improvement. Excluding Germany, EBIT

DA margin for full financial year was 12.3% versus 10% in FY '23. We remain confident that EBITDA margin will continue t o imp rove going forward.
The profit before tax for the quarter stand at INR36 crores, which is 18% higher year -over-year. For full year, the profit before tax amounts to INR190 crores, which is 35% higher year -over-year. Further, both acquisitions are robust and growing. The Ideal World business is profitable on a direct cost basis, and we are confident of achieving profitability on a fully allocated cost basis within the next 6 months, as the performance is better than what we were expecting. Mindful Souls is already a profitable and margin -accretive business, and it continue s to progress well. We are leveraging the supply chain of VGL, which is expected to further enhance the group's profitability and strengthen our digital segment. We are delighted to share that this year, we generated stronger free cash flow, which is INR230 crores, underscoring the cash generation capacity of our asset -light business model. Further, our net cas h balance remains positive at INR168 crores even after consistent quarterly dividend payout s and funding the 2 acquisitions. At present, ROCE and ROE stands at 19% and 10%, respectively, showing an improvement of 500 and 100 basis points, respectively, versus last year. This highlights our ability to manage capital prudently and generate healthier returns. We are committed to ge nerating value for our stakeholders . The company paid interim dividend of INR4.5 per equity share during the first 9 months of FY '24 and has recommended a final dividend of INR1.5 per share for the year , resulting in a total dividend payout of 78% against total earning of FY '24.

Looking ahead, we are optimistic about the performance in FY '25, expecting revenue growth in the range of 14% to 17%, along with strong operating leverage. For subsequent periods, we project revenue growth in mid -teens range with operating leverage. Thank you and o ver to you,

Moderator. We may now open the line for Q&A.
Moderator: The first question is from the line of Rishabh Gang , who is an individual investor.
Rishabh Gang: So sir, the EBITDA margin is currently on a blended basis are around 8 -9%, excluding Germany, 11.6%. But historically, we have gone as high as 17%. So what EBITDA margin do you think you will be able to achieve in FY '25, '26? And what line items in P&L should propel that changes? That's my first question.
Sunil Agr awal: Yes. So we give guidance for strong operating leverage. And so this will come, #1, with the volume going up. So revenue going up and the expense not expanding in the same proportion.
So the expense leverage line item will be HR costs for this year, the shipping costs and SG&A.
The content and broadcasting costs may not offer le verage this year because we took some extra air time for ideal world for Germany.
And even for U.S., we've taken some better channel position , it does not increase the number of households, but we have taken a better channel position and the digital marketing. So to rei terate HR cost, SG&A and shipping will give us leverage this year and plus some expanded gross margin. We're expecting the margins to expand a little bit this year.
Rishabh Gang: Okay. On the shipping cost, sir, like the volumes are expanding a lot. So do you still expect the operating leverage to play there?
Sunil Agrawal : Yes. So we have renegotiated some shipping costs this year. So that will give us some leverage.
Rishabh Gang: Got it. And sir, I wanted to ask on the ROCE and ROE front, right? So we used to have a 25% kind of ROE, 35% kind of ROCE 3 to 4 years back. So how do you see the return ratios panning out over the years as and when your acquisition starts paying off? Like what is your view on the return ratio, sir?
Sunil Agrawa

l : Yes. So we don't give specific guidance on return ratios. But given a guidance of strong leverage this year and decent leverage for next year and onwards. So they'll continue to expand and the investment cycle that we had of last 2 or 3 years so that we do not need to make investments in the foreseeable future.
Rishabh Gang: Okay. Just one last question. On the target ROI and the payback period, what are your criteria when you actually search for this acquisition? And what was in your mind when you acquired Ideal World and Mindful Souls? Like what was your target ROI and payba ck period for them?
Nitin Panwad : So our criteria for the acquisition is different for whatever we have done in last year is th at for the Mindful Soul is to get a synergy and learning from digital business, while existing business is profitable and Ideal World to expand our market share in the U.K. We are targeting that company we acquire, which has a healthy profit and healthy retu rn ratios in ROC and ROE

terms, at least at a current level or higher than our current level of VGL's ROCE and ROE numbers.
And a s our expansion strategy to hit 50% digital sales share by FY ' 27 and increase further onwards, we are constantly looking to find an opportunity or a learning from digital side, wherever we can, either through acquisitions or improvement in our existing channels.
Rishabh Gang: So, no criteria of minimum payback period that you see when buying these things? Just a curious question, sir.
Sunil Agrawal : The criteria is to make sure that any acquisition we do gives us a leverage from the current business, in terms of ROE, ROCE, so they should give us leverage and never a de-leverage.
Moderator: The next question is from the line of Pradeep Maiti from RG I Private Limited
Pradeep Mehti: I want to know about the broadcast and advertisement cost. Sir, will this expand in FY '25? Or will it remain same?
Moderator: Sir, the current participant got disconnected. I'm reconnecting the participant. The next question is from the line of Deepak Kumar, Individual Investor.
Deepak Kumar : Sir, my question will be more on the demand side. Like how do you see demand panning out in the U.S. and U.K. in the next 2 to 3 fiscal years ? And especially keeping that in mind, like what kind of revenue growth do you estimate on like -to-like basis, like excluding the acquisition?
Sunil Agrawal : Thank you for the question, Deepak. Our guidance is including the acquisition. So we've not broken down existing business guidance as a separate guidance. Even accounting for acquisition, we've given a guidance of 14% to 17% for this financial year and mid-teens for next financial year onwards. There will be growth in existing businesses, but we are not quantifying that separately.
Deepak Kumar: Okay. And another question is more on the target customers, like your target customers are mostly like what you have mentioned in the PPT, it's like 65-plus years and 45 -plus years. So like are we targeting certain percentage of our sales to younger population? Is there any strategy on that front?
Sunil A grawal : We believe that 45 -plus women have more money, more disposable income, more time on their

hand to watch our programming and our product is designed towards them. And that demographic is increasing in U.S., U.K. and Germany faster than the younger demographics. So we love that demograph y and want to stay focused there.

Moderator: The next question is from the line of Pritesh Chheda from Lucky Investments.

Pritesh Chheda: Sir, for FY '24, sir, how many months was Mindful and Ideal World consolidated for?

Nitin Panwad: 6 months was roughly for Mindful Souls and Ideal World in FY24 .

Pritesh Chheda: Okay. And can you quantify the $ 1 million or EUR 1 million revenue, whatever you would have got from Mindful and Ideal World?

Nitin Panwad : Mindful and Ideal World was roughly around $ 17 million, both of the new acquisitions.

Pritesh Chheda: Okay. My second question is -- so basically, you will have half year. My second question is, in your guidance of 14% to 17% growth, what is the inherent assumption for Shop LC, U.S. and TJC, U.K.?

Sunil Agrawal : Yes. So for both of them, we are assuming growth to be there, but we are not giving specific guidance for individual entities mainly because of uncertainty during the election s in the U.K. and U.S.

Pritesh Chheda: Usually, what's your experience for election periods in your business in your past years what has happened?

Sunil Agrawal: So that's why we have taken the wider number 14 to 17 % because of that uncertainty. So the experience has been different for different election cycles, some election cycles, we did not see any impact. Some election cycles, we did see some impact. So it's difficult to predict.

Pritesh Chheda: Okay. And on your segmental , where you've given Europe, excluding United Kingdom, I'm presuming this is Germany operations?

Nitin Panwad : Germany and Mindful Souls, both acquisitions. Yes.

Pritesh Chheda: Germany and Mindful Souls, okay? So there is swing in profitability for a minor swing in revenue? What is it on a Q -o-Q basis? So INR90 crores revenue was down to 84 crores , but your loss widened. So is there anything which you want to call out?

Nitin Panwad : Yes. So it is forex losses, which is not actually a forex losses on account of loan. Loan forex losses goes to OCI, other comprehensive income, which our Germany business has taken U.S. dollar loan from our U.S. business. So euro movement in last quarter has resulted in this kind of higher losses that you see in Europe business. But in group 's overall account, it doesn't show in the P&L, it goes in other comprehensive income.

Pritesh Chheda: Okay. It goes in other comprehensive income. So, other comprehensive income, remuneration of defined benefit plan and exchange difference of minus 8 .8 crores .

Nitin Panwad : Because it is not realized, it is unrealized. Once it is realized, then it goes to P&L .

Pritesh Chheda: So is this INR9 crores swing, which I can see from the P&L, which I have to match up with the INR9 crores here in the segmental. That's how I have to understand, so your PBT is 31 points. No, sir , I don't understand because the segmental is at PBT level . PBT is matching, so that explanation, which you're trying to give doesn't go with the number...

Nitin Panwad : Yes. So there's one last line item in the segmental, if you see 'intersegment elimination ' is the line item within the consolidat ed accounts which goes to intersegment elimination -- if you see that segment wise?

Pritesh Chheda: Okay. I'll take this off -line, but in your opinion, it's to do with the FX movement for the swing in numbers that we see on the segmental?

Nitin Panwad : Right. Yes.

Pritesh Chheda: Now, my last question is. We are running at about, let's say, from the segmental annual P&L at about INR52 crores segmental loss in the Germany operation, including Mindful. At what scale does this becomes neutral?

Nitin Panwad : Yes. So it is -- if I talk specifically about Germany at 50% higher than current scale, it will be neutral.

Pritesh Chheda: So you have grown 50% this year, FY '24.

Nitin Panwad : Yes. So in current level from the current level, what we see in the run rate.

Pritesh Chheda: EUR 22 million, if it grows by 50%, we see this loss going away, right?

Nitin Panwad : Yes, right. Yes.

Pritesh Chheda: So in your 14% to 17% top line growth inherent assumption, is there a fair bit of possibility that Germany losses would not be visible in a couple of quarters from now?

Nitin Panwad : We're anticipating

, but by the guidance that we have given for the second half, we will be
breakeven at operating level, and we are anticipating that we will achieve that level. But full
year, it will not be profitable.
Moderator: The next question is from the line of Pradeep Maiti from RGI Private Limited.
Pradeep Maiti : I want to know about the other cost, especially broadcasting and advertisement costs. Sir, will it
expand more in the FY '25 or will it remain same just like FY '24?
Sunil Agrawal: Yes. So for %, it will remain same as a percentage of revenue. So in absolute dollar -rupee terms,
it will go up. But as a percentage of revenue, we won't see leverage on that in the current financial
year.
Moderator: The next question is from the line of Tanvi, who is an Individual Investor.
Tanvi : Sir, this could be more repetition. Can you just again repeat the revenue that you've derived from
Mindful Soul and Ideal World for FY '24?
Nitin Panwad : Yes. Around 17 million in FY '24, we generated from new acquisitions.
Tanvi : Okay. And sir, at optimum utilization when we account them for the full year, so FY '25, what
is the revenue that can we anticipate from these new acquisitions?
Sunil Agrawal: So we don't give additional guidance for individual units, but I can give you a rough number. It
will be between $40 million to $45 million.

Tanvi : So GBP40 million to GBP 45 million?
Sunil Agrawal: Dollar.
Tanvi : Dollar.
Sunil Agrawal: For this current financial year, this is what we are looking at approximately. But we don't give
guidance specifically for unit. But since it is a new acquisition and you asked the question, I'm
giving you a ballpark number.
Tanvi : Okay. Any guidance in terms of your overall EBITDA margins considering the losses that we
have in Germany so far? Any guidance for overall margins for FY '25?
Sunil Agrawal: Yes. We don't give the guidance on margin numbers, Tanvi, but we gave a guidance of strong
operating leverage on EBITDA or PBT level for current financial year compared to last year.
We're unable to give specific guidance, but we will see continued leverage on improved revenue
numbers for foreseeable future.
Tanvi : No, sir. I'm getting -- in terms of revenue, I know the growth guidance that you've given. But
sir, in terms of EBITDA, because, as you've earlier spoken that Germany by second half would
be basically it would be neutral. So there will be some synergy -- some benefit coming from that
part also in the second half of the year. So overall, definitely, we would be getting -- if it goes
in line, we would be getting some margins better than FY '24. Is that the correct understanding?
Sunil Agrawal: That is correct. And EBITDA will flow in from not only Germany, it will flow from the U.K.
and U.S. businesses as well. So , Germany is not the only EBITDA leverage pl ay, it will be from
all 3 geographies.
Moderator: The next question is from the line of Gaurav Nigam from Tunga Investments.
Gaurav Nigam: Yes. First question was on, can you maybe specify the unique customers on TTM basis for the
base business, which is U.S.A. and U.K.?
Nitin: It's -- Gaurav, it's roughly around 465,000 .
Gaurav Nigam: 465,000. So it has materially gone up, sir? I think last quarter, it was around 410,000 if I
remember correctly.
Nitin: Yes. I think that was number 400,000 we told last time it was excluding Germany. I'm just telling
including Germany that number. So as quarter -on-quarter, we see -- saw on TTM basis 2%
improvement.
Gaurav Nigam: Okay. The 465,000 is including Germany. How many would be Germany, sir, in this 465,000?
Nitin: It's roughly around 5 7,000.
Gaurav Nigam: 57,000. Okay. Understood. Sir, there is a reduction in number of households. Is there something
in U.S.A very specifically? Is there something because of which this has happened?

Sunil Agrawal: Yes. We exited some houses that were not produc tive for us. So we've certain criteria for our
revaluation of the households. So some houses don't produce, we exit them. And we enter into
new houses that we think will produce for us. So this change is only in the U.S.

Gaurav Nigam: There's a material decline, sir, I think from 80 million to 61 million, if I'm not wrong in one year. Is that correct?
Sunil Agrawal: Let me just check. That doesn't sound right
Gaurav Nigam: Okay. I'll just. Okay. understood.
Sunil Agrawal: Even if you're seeing, it doesn't sound, right. Let me just check, I remember, I think about 5 million to 6 million homes this 19 million doesn't sound light.
Gaurav Nigam: Understood. Maybe I'll check with Nitin and Prashant -- So just to continue on previous discussion , where you gave like $40 million to $45 million kind of for the new acquisition. I think in the last con call, you indicated that the base businesses can grow at high -single -digit, low-doubl e-digit, that kind of a number.
I'll just do a backward calculation. We're probably indicating now that these businesses will grow 3%, 4%. Is there something I'm missing? Has something changed quarter -on-quarter because of which there's a change in guidance?
Nitin Panwad : No. Actually, Gaurav, as Sunil mentioned about th at we have taken the impact of election s in our assumptions this year. That's why we want to be conservative on it. The last quarter, we mentioned high single digit which we expect that we will gener ate from our existing business. And new acquisitions will shape up accordingly in this year. But we have accounted for as a conservative approach , as both the countries ha ve election s in U.K. and U.S. So we have considered that in the assumption.

Gaurav Nigam: So there is a change in guidance for the base business? Is that because of election? Understood sir. Just one more question, sir, on the ASP side, I saw a significant decline in ASP, although I think earlier, we were thinking that we can keep it constant. Is this because of the market changes or we have done something to reduce the ASP?
Sunil Agrawal: After 2 years , when the customers have come back from traveling and going out a lot, so they've resumed -- they're resuming more of their natural habits of buying. So until last year, we were having to sell high -end investment kind of product that pushed on the ASP.
Second thing is during this quarter, especially, we exited a lot of our inventory, which we had purchased earlier and some of that was delayed given the shipping disturbances. And we exited a large part of that, and that was a lower price point inventory.
So that has lowered the price point, but we are not giving a guidance that we'll go back up in a higher price point because the investment -driven demand was there during last 2 years and now

inflation may not be at the sim ilar levels . So we are keeping our guidance to the similar price point for going forward.
Moderator: The next question is from the line of Deepak Kumar, who is an individual investor.
Deepak Kumar : By any chance, do you have the gross margins at the segment level, jewellery and lifestyle? And how do these margins vary when we sell our products through TV sales , online website and other channel s?
Nitin Panwad : So gross margin is roughly pretty much similar in both of the categories . Even I would say that it's slightly higher in lifestyle product . But broadly, both of the categories ha ve similar margins.
Deepak Kumar : Okay. And even when we sell them to different channels, the margins would be similar?
Nitin Panwad : Yes, different. On the website, it is slightly higher margin. But website, we have options of exiting that old inventory via clearance and rising auctions . So overall combin

ed, margin is
slightly lower, but selling through the normal sales through website and live TV streaming platforms, the margin is slightly higher on that.
Deepak Kumar : Okay. And do we have any rough estimate as to how much delta is there in the gross margin in terms of profitability ?
Nitin Panwad : It's not a material difference, yes.
Deepak Kumar : Okay, okay. And one more question, how does the -- how much is the incremental gross margin for own brand products?
Sunil Agrawal: Yes. So our own branded product margin is slightly higher than the third -party branded products. I don't have specific delta between the 2, but they are a bit higher. But nevertheless, our criteria to get any third -party brand, even from outside is 60%. So it's -- sometimes, if there was any clearance we may have reduced that margin, but we try not to go for outside brand below 60%.
And that is the reason we would never sell Apple or Bose or Samsung products.
Moderator: The next question is from the line of Rishab Gang, who is an Individual Investor .
Rishab Gang: Wanted to ask about jewellery we sell. So if - you can give a mix on what is the percentage of fine metal jewellery and what is the percentage of silver and base metal products that we sell, so that I can get to know what is the proportion, yes.
Sunil Agrawal: Yes. So gold and the platinum jewellery is very small ratio. Of the total jewellery by volume, it

may be less than 1%. By value, it may be less than 10% of all the jewellery . I don't have those number s there, but I'm giving you that estimate.
Rishab Gang; Yes. No issue, sir. Also, the high -value diamond or stones are also lesser value, right?
Sunil Agrawal: So total sales amount of the gold and platinum would be 10% or lower. I'll have to figure it out. But as per my estimat es, I'm giving you this number. Specifically, our team will research and give it to you later...

Rishab Gang: Sure, sir. Second question, sir, was regarding Mindful Souls, right? So I think it is very good -- congratulation for that. And which geography does Mindful Soul actually serve t? Have we considered expanding it in other geographies as well since margins are very good?
Sunil Agrawal: Yes. So about 90% is in U.S., and the rest of the 10% is from U.K., Canada, Australia and Germany. Before we acquired within the last 1 year, it has been launched into other countries.
Rishab Gang: Okay. Okay, sir. Also, what is the revenue model for the sales that we actually make through social retail and OTT platform? I just could not think about how you sell through that? And that is my first question on that. And second question is, what are the gross margins and debtor days ? I think we sell it to Walmart as well. So any idea on the working capital days for that end ?
Sunil Agrawal: We don't sell to Walmart. We sell on Walmart platform as a third -party vendor on Walmart. And they are ahead of it , we get the payment on time from Walmart and amazon. So there is no debtor days. And your other question was?
Rishab Gang: What is the model for social retail and OTT platform? Like how do you sell on revenue model?
Sunil Agrawal: For social, we sell through advertisement on Facebook Meta and a little bit of TikTok. So we advertise there and the customers will land either on our website or land on Meta shop, where we list our products. But the customer retail ing on social retail is ours. So the customer belongs to us. And like on my platform like Amazon or Walmart, the customer doesn't belong to us. Customer knows only Amazon or Walmart. On social , customer belongs to us.
OTT is very similar to our television. Instead of seeing the streaming on television, they see streaming on connected TV, through the linear channel on OTT or through the app on OTT platform. For example, Roku or Fire TV or Samsung TV. Our apps a

re on the platform. We advertise that app, so people will get the advisement for the app, and they see the message that we are getting on the advertisement.
You can download our app on the smart TV and watch us live. And when the y watch us, they can order from smart TV or through the website s or call our customer service on a dedicated IVR number.
Rishab Gang: Okay. Very interesting. Just one last question, if time allows. How does the mechanism work for the budget pay, right? Who bears the delinquency risk? And what kind of additional cost does VGL incurs in budget pay option?
Nitin Panwad : Right. So , roughly for the group, around 39% sales come through budget pay, and we give the budget pay based on customer payment history. And every customer has a different financing options. It varies between 2 to 5 installments, not more than that. First installment, we collect the first down payment , and rest is equally each month. Customers don't need to pay any interest or other cost , it’s just as we do finance that cost ourselves from our own working capital. And delinquencies roughly around 1.5%, 2% from total budget pay sales.
Moderator: The next question is from the line of Shreyans Jain from S van Investments.

Shreyans Jain: Sir, my first question is with regards to what you were talking about Germany. So there is an OCI in Germany because of a loan that you've given from U.S.A. So is my understanding correct that INR9 crores loss in Germany should be a INR9 crores gain in the U.S. business in the segmental bid that we report? So am I understanding this correctly?
Nitin Panwad : Yes. So that segmental profit, because we have unrealized gain in their books as of now. But in last quarter, it was a flip side or reverse on debt calculation. So overall, in the books in consolidation, PBT, PAT and EBITDA doesn't account it.
Shreyans Jain : So INR37 crores EBIT in U.S.A. should have been lower by INR9 crores, if you had not booked again. Is my understanding correct?
Nitin Panwad : I have to check that number because I don't have that ready with me. But I have to check and then I'll come back to you.
Shreyans Jain : Okay. And sir, my second question is what is the absolute spend on content and broadcasting in this quarter versus last year?

Nitin Panwad : Absolute number I'm not sure, but roughly it is aroun d 16% of the sales.
Shreyans Jain : Okay. And sir, just last question on Germany again. So even if I adjust this OCI of INR9 crores , but after that also, we would have done about INR12 crores of loss. So Q -o-Q from INR5 crores to INR12 crores, that's again a swing of INR7 crores. So have we done something? Because I think Vodafone -- addition of Vodafone customer, I think, was there in the last 2, 3 quarters. So is that the only reason? Or is there something more in Germany?
Nitin Panwad : Yes. In Germany also, we have cleared up some of the existing inventor y as we have done excess buying in the previous quarters and that we have done a one -off exercise to clear that inventory. That account s for additional l osses that you see in Germany.
Shreyans Jain : What was the amount, sir, exact contribution?
Nitin Panwad : Roughly $300,000 to $400,000 roughly.
Moderator: The next question is from the line of Rishab Gang , who is an individual investor.
Rishab Gang: Sir, you have mentioned about crowd sourcing of idea looks very innovative. So I wanted to understand what is the reward recognition of crowd sourcing of ideas? And also you mentioned about revenue contribution of new items introduced is 70%. So , how do you clear your old SKUs? And at what margins do you clear those old SKUs?
Sunil Agrawal: Yes. Thank you, Rishab . So crowd sourcing means we have multiple chan nels of getting the idea -- so number one the customers we encourage through our television or webs

ite to share the product ideas with us. With employees, we have a very robust program of sourcing ideas from all blocks of employees and their family members. So , and then we get the ideas from outside innovators. It's our Catapult program, where we get the product pitched to us. And then those products, then our committee will decide they're going to take on air or not.

And we also have 'Draw a Design ' program, where we encourage schools or design institutes to draw the designs and participate. Now there is a different reward mechanism for different people. For internal team, we have $100 for Idea accepted and then 1% of revenue in future years. For external customers, we don't reward because when they gave design that design may already be in market , and then they might feel that we d on't reward them as much .
For Catapult , outside the new vendors, if they manufacture for us, th ey would sell the product to us . If we manufacture for them, we give them commission from 4% to 8% of revenue. So there are different mechanisms, and this concept is working out well for us.
Rishab Gang: Very interesting. Yes, sir. On the inventory of old SKUs, how do you go ahead with that?
Sunil Agrawal: Thank you. I apologize for the disconnection here, some issue. So, Rishab did I answer your question?
Rishab Gang: Sir, my question was, how do you clear the old inventories ? Because revenue contribution of new items is 70%. So , you would be having some -- a lot of inventories of previous year item. So how is your mechanism for clearing those SKUs? And how does the margins look for those kinds of SKUs ?
Sunil Agrawal: Yes. So for clearing the existing inventory or the earlier inventory, we have multiple mechanisms. #1 is we run clearance sales 4, 5 times a year on television. And we have clearance within our website. And then the rising auction . For the auction of small, fragmented item, whatever has left to put up on the rising auction at $1, and people bid against each other and they buy the product. So for the rising auction has a margin of about 8% to 10% only. Then the clearance of website has about 35% margin and clearance of television has about 45% margin. So the margin that you see of 62.7% is a blended of clearance and the new margin.
Rishab Gang: Excellent. Good margins.
Sunil Agrawal: 70% is a new product that is launched within the last 12 months, but 30%, not all goes into clearance. Many of those products are sold at full margin, majority of that. And only a small amount would go through this clearance mechanism at lower margin.
Rishab Gang: Sir, in the last con call, you had mentioned that -- so Ideal World used to be in the 30% gross margin kind of product space and you have actually entered even through Ideal World in the product categories in which we are already 60%. So what are we actually leveraging of Ideal World? Are we leveraging their reach? Because we are not selling in the product categories they are in. So what do you think about that?
Sunil Agrawal: Yes. So Ideal World, we have not sold jewellery there. We are selling home décor , beauty, accessories, what they were selling earlier. And the customer base that they had was quite substantial.
We got the customer list of about 480,000 customers who are active within the last 12 months from them. So we are able to reach out to those customers and get them back. And plus, we have a list of about 5 million customers that they have over lifetime, they developed. We can't email

to all of them because of the GDPR constraints, but we can retarget them on Google and Facebook over the time.
Rishab Gang: Okay. And just one last question, if time allows. What are your return rates across jewellery and lifestyle, right? And how does it actually correlates, the value

of the item and the return rate?
And how is the cost of return calculated, if possible?
Nitin Panwad : All the categories you mentioned has a different rate, even with the price point categories and the the products and the geography also. So U.S. geography, U.S. has a lower return rate. And in Germany, the re are higher return rates. But for the group, overall return rate is around 23% to 24%. Jewellery being the higher and lifestyle being the lower return rate.
Rishab Gang: Sir, how higher in Germany? How lower in U.S. A bit idea on that, if possible?
Nitin Panwad : U.S. is roughly around 17% to 18%. And Germany is around 35% to 36%.
Rishab Gang: So whenever these returns happen, what are the additional costs, like logistic cost? What is the percentage which you get to -- which you have to incur because of that?
Nitin Panwad : Yes. That number, I don't have readily available. But roughly, fulfilment costs, excluding shipping account s for around 7%.
Moderator: Ladies and gentlemen, we will take that as a last question. I would now like to hand the conference over to Mr. Sunil Agrawal for closing comments.
Sunil Agrawal: Thank you. So I want to thank all the participants for your time and great questions. If you have any further questions, feel free to reach out to Prashant Saraswat at VGL or Amit Sharma at Adfactors PR India, and we'll be happy to answer your questions. Thank you once again.
Moderator: On behalf of Vaibhav Global Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2024

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Subject: Submission of transcript of conference call
Dear Sir / Madam,
With reference to captioned subject, we are enclosing he rewith the transcript of Q1 FY25 Earnings Conference Call held on Friday , 02nd August, 2024.
The Transcript of the earnings conference call is uploaded on the website of the Company and can be accessed on the below link:
https://www.vaibhavglobal.com/admin_assets/Investor/Investor_Presentation/1806723325409001.pdf
Kindly take the same on record.
Thanking you,
Yours Truly,
For Vaibhav Global Limited

(Yashasvi Pareek)
Compliance officer
ACS - 39220

“Vaibhav Global Limited Q1 FY25 Earnings
Conference Call ”

August 02 , 202 4

MANAGEMENT : MR. SUNIL AGRAWAL – MANAGING DIRECTOR ,
VAIBHAV GLOBAL LIMITED
MR. NITIN PANWAD – GROUP CFO, VAIBHAV GLOBAL
LIMITED
MR. PRASHANT SARA SWAT – HEAD (INVESTOR
RELATIONS), VAIBHAV GLOBAL LIMITED

Moderator: Ladies and Gentlemen, Good Day and Welcome to Vaibhav Global Limited Q1 FY'25 Earnings Conference Call.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing th e "*" then "0" on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Disha Shah from Adfactors PR. Thank you and over to you, ma'am.
Disha Shah: Good evening, everyone, and thank you for joining us on Vaibhav Global Limited Earning Conference Call for the 1st Quarter ended 30th June 2024.
Today, we have with us Mr. Sunil Agrawal – Managing Director, Mr. Nitin Panwad – Group CFO and Mr. Prashant Saraswat – Head of Investor Relations.
We will begin the call with “Opening Remarks by Mr. Sunil Agrawal on the Business Operations, Key Initiative and a Broad Outlook,” followed by a “Discussion on the Financial Performance by Mr. Nitin Panwad,” after which the management will open the forum f or Q&A session.
Before we get started, I would like to point out that some statements made or discussed on today's call may be forward -looking in nature and must be viewed in conjunctions with the risks and uncertainties that we face. A detailed statement and explanation of these risks is included in the Earnings Presentation, which has been shared with you all earlier. The company does not undertake to update these forward -looking statements publicly.
I would now like to invite “Mr. Sunil Agrawal to make his Opening Remarks.” Over to you, sir.
Sunil Agrawal: Thank you, Disha. Good evening, everyone. Thank you for joining our Q1 FY'25 Earnings Call.
I hope you've reviewed the Results and Investor Presentation.
I am pleased to announce that we have sustained our growth momentum with the 15% increase in revenue. Our gross margins have improved substantially to 66.1% from 61.2% in Q1 of last financial year. Thanks to focused pricing efforts and a favorable product mix.
Our vertically integrated supply chain has also helped us to maintain gross margin above our 60% target. EBITDA margin was 8.7% of revenue, down from 10% for the same period last year. This decrease is primarily due to higher spending on digital marketing for new customer acquisition and higher spending on air time for better channel position. These investments are expected to sustain our growth momentum in coming periods. However, our overall content and

broadcasting expenses will reduce as a percentage of revenue from the current level of 20% to approximately 18% of revenue for the full financial year.
Now, let me take you through our key retail markets :
In the US, we saw a 3.7% year -over-year growth driven by favorable macro factors, which propelled growth in the online retail industry. Our wide product range with quick turnaround times owing to vertical operation integration has also supported this growt h.
In the UK, revenue growth by 17.8% YoY, however, when adjusted for acquisition, it decreased by 6% YoY, owing to cautious consumer behavior amidst economic and political uncertainties.
Germany continues to perform well, having achieved YoY revenue growth of 18% in Q1 FY'25.
During the June and July months, trends were even more encouraging, with YoY growth of 30%.
We believe we will sustain this growth momentum during the remaining period of the year and will be profitable at the operating level by H2 of FY'25.
Our “4R Strategy ”, Widening Reach , New Customer Registration, Customer Retention, and Repeat Purchases has shown positive results.
Our TV networks now reach 130 million households, and our unique customer base has grown by 37% YoY to approximat

ely 6 ,36,000. Excluding acquisitions as well, the unique customer base has been improving QoQ. Customer retention is strong at 40% . Overall Repeat is 24 pieces per annum on a trailing 12-month basis.

In Ideal World, we upgraded our presence on the HD network now. It is already profitable on a direct cost basis, and we expect to achieve profitability on a full cost allocation basis in next three to six months. Similarly, Mindful Souls continues to launch new products regularly and has created a base of 85,000 unique customers since acquisition. We expect that the utilization of VGL Group's supply chain will further improve the profitability of this busine ss in the coming months. Further, the company has discontinued its apparel manufacturing owing to the lower margin nature of that business. Impact of the discontinued operation was negative 25 basis points on an overall margin on TTM basis.

At VGL, community giveback is a core part of our business. We are proud to announce that we reached the milestone of 90 million meals being donated to school children under our flagship, midday meal program, 'Your Purchase Feeds …' We currently serve approximately 57,000 meals every school day and aim to donate 1 million meal every school day by FY'40.

On the sustainability front, we generated 1.1 million kW hours of solar energy this quarter, meeting 100% of the power needs of two manufacturing units in India. Our premises in US, UK

and Germany are also operati ng on renewable energy. These efforts support our goal of achieving carbon -neutrality in Scope -I and II of greenhouse gases emission by 2031.

We have also commissioned our third rainwater harvesting tank with the capacity of 6 00 kiloliters. With this we have built a total rain water storage capacity of 1,100 KL.

We are honored to receive the IGJ Award 2024 from the Gem and Jewellery Export Promotion Council , i.e., GJEPC, for being the highest exporter of cut and polished color gemstone from India during FY'23. This award reflects our global competitiveness and customer trust. It recognize our contributions through 'Make in India ' initiative over the past four decades.

We are committed to creating long term value for our shareholders and thus the board has declared the first interim dividend of Rs.1.5 per equity share for this fiscal year, representing a 90% payout.

Looking ahead, we will focus on growth and profitability with the prudent capital allocation. We reiterate to achieve 14% to 17% revenue growth for FY'25 with operating leverage. For future periods, we project revenue growth in the mid -teens range with ope rating leverage.

I now hand over the call to Nitin to discuss the Financial Performance in detail. Over to you, Nitin.

Nitin Panwad: Thank you, Sunil. Good evening, everyone. I would like to extend a warm welcome to you all at Vaibhav Global Limited's Q1 FY'25 Earning s Call.

While Sunil has provided an overview of our Operational Performance and Key Initiatives , I will now present a detailed review of our Financial Performance for the Quarter Ended 30th June 2024 :

In Q1, we have achieved our revenue growth of 15% YoY totaling Rs.756 crores compared to Rs.658 crores in Q1 FY'25.

We also recorded 20% YoY volume growth with a 6% volume growth excluding acquisitions.

In Q1 FY'25, the gross margin was substantially stronger at 66.1%, reflecting the efficiency of our vertically integrated business model and product mix.

EBITDA margin for the quarter was 8.7%. Excluding Germany, the EBITDA margin was 11%.

As Sunil mentioned earlier in his remarks, due to elevated investment in digital, EBITDA margin was slightly lower than expected. As a result, content and broadcasting ex penses as a percentage of revenue have become 20% in Q1 FY'25. We believe that this cost will be around 18% of revenue for full financial year.

Profit after tax for the quarter is Rs.27 crores versus Rs.30 crores in Q1 FY'25.

Now, I will provide an overview of our revenue breakdown by geography . In Shop LC US, we experience d the growth of 4%, TJC down by 6%, and Germany saw a growth of 18%. Overall, our existing B2C businesses grew by 2.3% in U.S. dollars. The overall growth of existing businesses was dragged by softer performance in UK, where a broader macro indicators are suggesting sluggish consumer demand. In Germany, recent revenue trends are quite encouraging, and we are confident that YoY growth of 30% will enable us to achieve profitability at operating level by second -half of FY'25.

TV revenue for the 1st Quarter was Rs.440 crores while, digital revenue was Rs. 289 crores. TV revenue grew by 12.2% YoY and digital revenue grew by 22%. Digital now accounts of 40% of total revenue and 45% of our volume. This growth is due to our sustained investment in digital marketing and tech infrastructure. Additionally, our Budget Pay option allowing customers to purchase products on EMI basis, has proven valuable and contributing 38% of our B2C revenue in Q1 FY'25. Ideal World is already profitable on direct cost basis, and we anticipate that it will achieve full cost allocation profitability within the next three to six months, surpassing our initial expectation. Mindful Souls is a profitable and margin -accretive business that continue to perform well. We are leveraging VGL's supply chain to boost group 's overall profitability and strengthen our digital segment.

We are pleased to report that we maintain a robust balance sheet position and net cash positive balance of Rs.158 crores. However, our free cash flow and operating cash flows remain flat during this quarter due to increased working capital investment in pr eparation of upcoming festive season primarily in inventory. Currently, our R OCE is 17% and R OE is 1 0%.

The board has declared a first interim dividend of Rs.1.5 per equity share for this financial year , with a 90% payout, reinforcing our commitment to long -term shareholders value.

We continue to demonstrate resilience, agility and strength to capture long -term opportunities. We are confident in our business prospects ahead of us and are investing in capturing growth. We remain confident of our prospects and deliver our stated growth guidance of 14% to 17% for the current year with operating leverage. For subsequent periods, we project revenue growth in mid -teen range with operating leverage.

Thank you. Over to you, moderator. We may now open the line for Q&A.

Moderator: We will now begin the question -and-answer session. The first question is from the line of Nirvana from Badrinath Holdings. Please go ahead.

Nirvana: So, my question is regarding the content and broadcasting cost. So, if I look at the history of this line item, from FY'21, the cost has really ratcheted up. So, in FY'20 it was around 11% of our top line, FY'24 it became around 17% and this quarter it's around 20%. So, from FY'20 to now

if I see the CAGR growth in this line item is 23% whereas our revenues have only grown by half of that like 12%. So, I just wanted to understand what is the reason for this bigger divergent between the two areas . Is there some operating leverage sitting there, sir, or is customer acquisition getting really costly for us and therefore is this going to be a permanent drag on us now?

Sunil Agrawal: We made the investments where we see the opportunity. So, this contains the airtime as well as the digital spend. There are different drivers for both. For airtime, we make the investment, especially the new acquisitions that we made - Ideal World, we took new airtime for that. In Germany, when we launched, we have to go in for the airtime full fledge, even though it takes time f

or business to scale up. Even in the US, we took some airtime, which is lower channel position that will be p roductive in next 12 to 18 months. So, the three investments that we made in Ideal World airtime, Germany airtime and within US a new airtime has brought the cost high. But, as I gave guidance in my opening remark that this line item will be approximately 18% of revenue for the full financial year. Over the time we would see this to moderate a bit . We always look for opportunity and for future growth prospects for the company.

Nirvana: But even if I look at 18%, that's a YoY increase of (+30%). You had a 500 crores cost last year. And now according to this, 18% approximately will be north of 600 crores. So, again while top line growth will be 15%, to scale this line item by 60%. so this is what I'm trying to understand, sir, like is this the new normal for high teen type of content you are working front and therefore our R oCE and R oE, are they permanently impaired to that extent or are you hoping to bring them back to the level where it was pre -COVID?

Sunil Agrawal: Yes. So, the startup nature of our kind of business is that the airtime cost and even the HR cost in initial years is relatively high. So, as we saw in Germany and Ideal World, so those are relatively high now. In geographies, UK TJC or Shop LC, these costs are relatively lower than the overall mix that you would see. The other component is the digital spend that we do. So, when we see an opportunity of ramping of cu stomer acquisition for future benefit, we did make the investment appropriately. That may moderate over the time. There's no specific guidance for that. The current guidance we are giving is 18% of this particular item for this current financial year and c ontinued leverage for foreseeable future with mid -teen growth. Now, that would entail that this line item would have some leverage coming back in and some leverage will come with some other line items as well, some will come with HR cost and some other sma ll cost.

Nirvana: Sorry, last question on this particular topic. So, let's looking ahead 2 -3 years, do you think that this number can come down to 15% or below, are you in a position to sort of comment on that?

Sunil Agrawal: Too long term to say in today's dynamic retail environment to give a three -year guidance on that. But the guidance what we feel comfortable giving guidance is three -year term, we will continue to see the leverage coming in as our businesses mature in Germany , Ideal World as well as the scale leverages in the existing businesses of US and UK.

Nirvana: My next question is on the leverage part. So, in the last call, you had mentioned that content broadcasting will not see any leverage. In fact, we see the opposite of that as I pointed out. I think so you had mentioned that HR cost and SG&A, shipping cost, these will be the potential operating leverag e items on the cost base. So, it's a little confusing because SG&A, which line items are you talking about, that is not clear. So, what kind of operating leverage are you hoping FY'25 to play out or al ternatively, if you can give us some understanding of what percentage of the cost base will see the operating leverage?
Sunil Agrawal: So, #1, we believe the gross margin we will be having at least 200 basis points higher margin than last year. So, there will be one benefit, and other as I mentioned in last earning call, I appreciate your memory, the HR will see about a little over 100 basis points leverage, the oth er component of SG&A will have some leverage as well, for example the rent or the travel or some other areas will have some leverage as well. Now, shipping, we have negotiated some better rates in US because of the volume getting higher. So, there will be some leverage in shipping as well. So, overall to summarize, the leverag

e will come with higher margin and some lower cost in these three areas.
Moderator: The next question is from the line of Pritesh from Lucky Investments. Please go ahead.
Pritesh: Sir, just on this content and broadcasting cost, so from Q3 of last year is where I see the spike coming in at about 300 crores plus. So, basically is there any content cost rise in your TJC and Shop LC business?
Nitin Panwad: So, compared to Q4 in our existing TJC business, actually cost is flattish, but in the US, we have taken some of the airtime. So, the small portion is increased in US.
Pritesh: You started consolidating Ideal World and Mindful Souls from December '23?
Nitin Panwad: From Q3 FY'24.
Pritesh: Yes, that is basically Q3 FY'24, right?
Nitin Panwad: Yes.
Pritesh: So, can you tell us what is the content cost on account of these acquisitions or you can tell us what is the growth rate in the content and broadcasting cost in your base business of US and UK?
Nitin Panwad: So, UK's content and broadcasting cost is flat and in US in Q4 to Q1 there's a 10% higher cost in Q4 to Q1.
Pritesh: And between Q2 and Q3 last year?

Nitin Panwad: Q2 and Q3, because there is a new airtime that we have taken and the cost increase was around roughly if I recall correctly is around $1 million in absolute terms.
Pritesh: So, 8 crores there and 20 crores. So, basically on your base business, you added 28 crores of content cost, you are running at about 250 crores all these quarters for the last 8 -9 quarters?
Nitin Panwad: Yes.
Pritesh: Basically I'm including content plus other G&A items. Okay. So, the Ideal World and Mindful Souls, at what operating margins these business is operating at?
Nitin Panwad: Ideal world on direct cost basis, it is profitable, but if I allocate all the business costs, back office staffing it is not profitable, but next three to six months it will be profitable Mindful Souls is already operating around 9% profit margins, but we expect that the supply chain and the warehousing leverage will come in upcoming quarter s.
Pritesh: And both these businesses versus the channel business of US and UK, are both these business on a higher, then the base business in terms of content and broadcasting cost as a percentage of sales?
Nitin Panwad: Mindful Souls is pure B2C business. So, their content and broadcasting cost is higher than our existing business because predominantly the nature of the Mindful Souls is digital, only just selling on social media and the platform. So, our cost -to-sales ratio is roughly around 25% on content and broadcasting in Mindful Souls, but they don't have other higher expenditures like SG&A or HR cost is much lower compared to our existing businesses. I just missed another point of Ideal World. Id eal World is now, as Sunil mentioned in the earlier remark, this is a startup business phase. So, initial phase, the cost -to-sales ratio in terms of airtime is higher, but pretty much 100% of the UK households we have covered in Ideal World . So, no additional airtime we anticipate from Ideal World, so that in absolute terms the cost will be fixed for Ideal World.
Pritesh: In US, it was an airtime increase or was it a content increase?
Nitin Panwad: So, it's both area that we have invested in the airtime and also on digital side.
Pritesh: So, in US, you guys were always fairly high household penetration in reach. Then why this

additional requirement? Is it additional household addition or it is a price hike which has happened in those markets?
Sunil Agrawal: Yes, better channel position.
Pritesh: And my last question is sir, on your customer slide. So, between Q2 and Q1, you guys have given 4,52,000 customers going to 4,72,000 on the existing business. Can you give us a number

in Germany will also

be there between the four quarters? So, ex of Germany, what it would be?
So, basically I wanted to understand your US and UK original business customer number?
Nitin Panwad: Just we will add up, but just to add on the Germany part, so in Q4 to Q1 -
Pritesh: Or you can just give us in Q1 FY'25, what is the Germany customer number?
Nitin Panwad: Yes, 59,000.
Pritesh: 472 minus 59, so 413. So, basically in the last five years, you have moved from 350 to 430?
Nitin Panwad: Yes.
Pritesh: In your original business?
Nitin Panwad: Yes.
Moderator: The next question is from the line of Ravi Teja from Taj Capital. Please go ahead.
Ravi Teja: Could you provide more insight into the performance and the growth strategy for the German market and how do you plan to achieve the breakdown towards the second -half of FY'25?
Sunil Agrawal: Yes, we go by the unique customers trend that we see in the business and historically what the repeat purchase and what is the AOV we get from these customers. So, based on our cadence, we look at the number of unique customers we've made so far, how many of them historically come back month -over-month based on historical cadence and how many new customers we are expecting and what is their revenue expected in H2. Based on that trend line, we see on operating level, we become profitable in H2 .
Ravi Teja: The reported revenue that we have is about 15%. This includes our recent acquisition. So, what would be our growth rate X of this acquisition without the impact of this acquisition?
Nitin Panwad: In rupees terms, ex of this acquisition growth is 4%.
Ravi Teja: What are the key drivers behind the increase of these customer acquisitions and the retention rate? Are these momentums also sustainable for us?
Sunil Agrawal: Yes. So, we have 4R that we focus on, one is expanding the reach, that is through television and digital properties, then registration that is acquired new customer within the reach that we have again through television, digital, OTT and social platforms and then r etention of these customers . As you would have seen, our retention numbers are improving through the marketing efforts and more broad base, better customer service and better way of selling on multiple platforms, getting

one customer to other platforms so, that we do sell more to the same customer. So, these are 4R which are our drivers for business growth.
Moderator: The next question is from the line of Chitra Joshi, an individual investor. Please go ahead.
Chitra Joshi: I just had one question that how do you plan to diversify your product portfolio and what will be the impact of that on your revenue and margin?
Sunil Agrawal: Chitra, we come up with about 100 new products every day on our TV channels and then there's a large organization for product development in VGL group, hundreds of people, there is the designers, the tr endspotters , the model makers, the prototype makers and merchandisers. So, we keep score of different areas of our competitors as well as the trendspot ting sites to look at those and we bring relatively lower quantities and if something hits, then we expand those quantities very rapidly through our own manufacturing or supply chain mechanism and we scale them up. So, it's a constant exercise in different pro duct categories, predominantly jewelry, but many different product categories. So, any specific answer to a particular product may not be feasible with such high velocity of product.
Chitra Joshi: So, are you looking for any margin expansion in the coming quarters?
Sunil Agrawal: Yes. So, we just give guidance of about 200 basis points YoY margin expansion for this financial year over last financial year, that is a gross margin. And EBITDA level, we are giving leverage guidance over last year, but we are not giving specific EBITDA margin gr owth guidance.

Moderator: The next question is from the line of Nirvana from Badrinath Holdings. Please go ahead.
Nirvana: So, you just clarified that the leverage that you are talking about is gross margin level. Did I hear you right, sir?
Sunil Agrawal: Yes, so 200 basis points from gross margin and on EBITDA level also we will have decent

leverage this financial year over last financial year. We are not quantifying the EBITDA because of our retail nature, but we have seen the drivers coming in, in Q3 and Q4, for these particular areas I mentioned earlier, and with Germany comin g to EBITDA profitability, we will have decent leverage coming in EBITDA level as well.

Nirvana: Sir, you are confident of having like a good operating level at EBITDA level in spite of the broadcast and content cost line item actually contributing (-1.5%) leverage, right? If I calculate your predictions right, you are going up to 18% there. Last year it was 16.5%. So, there's a negative leverage from that line item. In spite of that, you think that can be like 100 basis points improvement in the other ….

Sunil Agrawal: We expect it to be better because 200 basis points is just the gross margin leverage we are seeing, and then we are seeing over 100 basis points improvement in HR cost and some other into

shipping and other SG&A line items. So, we expect the overall leverage to be better than 100 basis points.

Nirvana: When you say HR cost, you mean employee cost, right?

Sunil Agrawal: Correct, yes.

Nirvana: So, in Q1, there was no leverage. So, when do you think the leverage starts playing out strong in employee cost and what is the driver for that -- is it simply increased revenue base or is there some rationalization in the cost basis?

Sunil Agrawal: Yes. So, one is the revenue growth and others we have found opportunity in our warehouse operations to automate the business processes and reduce the costs from there.

Nirvana: How do you see the demand environment shaping up in the US which is your largest market like are you seeing some positive signs of maybe realization also going up along with volume because in some consumer pockets we are hearing good comment ary?

Sunil Agrawal: So, generally we see better economy in US. GDP continues to grow steadily. So, that is good. Overall jewellery market is seeing a negative growth in the US currently . But from our space point of view, we are seeing a positive momentum. Only we've moderated a little bit our guidance earlier was because of US election. We lose some eyeballs digitally as well as on television because of new election cycle every four years.

Nirvana: When you say that you have paid extra in full broadcast cost to position yourself better in the US, what does that exactly mean? In business numbers, how do we see the impact of that better position like your unit sales price has been going down in the TV category, volume has increased, but it's probably to an outsider it looks like it's because some discounted base. So, what do you mean by better positioning and how as an outsider, should I see it getting reflected in the business?

Sunil Agrawal: Yes. So, our airtimes take 12 to 18 months to mature with enough critical mass of customers to really make a meaningful difference. So, having better channel position is long -term sustenance mechanism for us and leverage over the period of time. Now, if assuming that our ASP will s tay constant, then it will transfer into volume increase, therefore, the revenue increase. And as we've given the guidance of mid -teen revenue growth for future periods, these investments will play part in those con tinued future growth.

Nirvana: Once all these new acquisitions fully come into the base, say, when we are in FY'26, do you think that you can still grow at mid -teens, I mean there will be cycles of course , but adjusting for cycle,

do you think on a fully mature base, will you be able to keep growing at mid -teen?

Sunil Agrawal: We expect that because as Europe and UK, we are still seeing negative cycle partly to do with high interest rate and high mortgage costs, unlike US, in US you have fixed mortgages , in UK you don't and people are suffering because of that and there was some election that impacted a bit. So, we expect those cycles to fall off and economy going back into positive territory both in UK and Germany. In US, after election cycle, we expect the economy to be a steady state and our business model is pretty robust with that steady state, with the inves tments that we made in airtime as well as digital will continue to give us growth in the coming years.

Moderator: The next question is from the line of Aditya Shah from Neteour Wealth Management. Please go ahead.

Aditya Shah: Sir, my first question is how are you addressing the macroeconomic challenges and competitive pressure in the market? What trend do you see in shaping the industry in the coming years in all the three regions?

Sunil Agrawal: That's a very broad question, Aditya. I can only say from our observation because I'm not an economist, my observation is that as I just mentioned to Nirvana's question earlier that in UK , we continue to see a bit of stress in the consumer sentiment as we saw with the numbers also. But we expect that to moderate as Bank of England just cut the rate yesterday and that we expect to impact mortgage costs positively and cost of living index positi vely. US continues to be positive from GDP growth point of view. With the election cycle also getting over by the end of this year, we expect the US to get back into the good steady positive territory. Germany also, again, it is difficult for me to say, bu t we expect interest environment to be moderating over the coming years, Germany should continue to grow well, during the last two months - June and July, we saw 30% growth YoY and we are seeing similar growth in coming times as well. So, we are overall positive for the economy coming in unless some Black Swan event comes in, we are fairly positive.

Aditya Shah: My last question is how is digital and social integration in the business panning out for your business and how impactful is Mindful Souls in leveraging the digital business to your company?

Sunil Agrawal: So, Mindful Souls is a native digital company, and the thinking process of the staff is completely digital and somewhat different than our hybrid business model. So, we have integrated lot of the learning to our business and that is already helping overall for the business as you saw the new customer numbers spiking up within our main core business and to some extent there was the benefit of Mindful Souls. And on the o ther hand, the benefit to Mindful Souls is our supply chain. We bought all the supply chains for 3PL. We bought that into our own warehouse in US already and we expect that to give us leverage in coming quarters. And our sourcing also we bought in -house. Initially, we had to send by air because of Red Sea disruption in last quarter and this quarter, but aft er that we expect the VGL group supply chain leverage coming into Mindful Souls as well. All in all, pretty positive experience for us.

Moderator: The next question is from the line of Rohan Mehta, an individual investor. Please go ahead.

Rohan Mehta: Regarding the new customer acquisitions that we've had, what would you point out as the top reasons or initiatives which have been driving these new customer acquisitions and the retention rate that we have, and can we consider these to be a sustainable level for the coming quarters as well?

Sunil Agrawal: Yes, I expect the new customer acquisition velocity to continue for existing businesses

as well

as the new businesses. Now, let me take it back. The Ideal World customer acquisition was pretty robust since we acquired that company. So, that may moderate a little bit, because as a new business, it takes especially on television, it slows down over the time. But for our steady state, US, UK and even Germany business, we expect the current growth rate to continue. And your other question wa s abo ut the retention rate. So, retention rate with our marketing initiatives is that we've really augmented our marketing teams. So, those initiatives are helping customer retain better and also to have better repeats as well.

Rohan Mehta: Sir, do we have a marketing budget per se as a percent of sales?

Sunil Agrawal: Yes. So, different brands have different budgets and within marketing also there are different segments, one is the traditional marketing, there is e -mail or flyers or discount offers or buy one, get other one, 50%. Those kind of offers is one segment budget. Other is the digital paid, which includes social, include search, it includes affiliates, includes influencer, and also retargeting through SEP and other tools. There are different levels of marketing.

Rohan Mehta: And sir, our revenue growth has been to the tune of 15% -odd, but that includes the inorganic initiatives as well. So, just for the sake of granular understanding, what kind of growth can be expected excluding inorganic moves?

Sunil Agrawal: Yes. So, we are hoping that the economy will return to steady state next year. So, we expect our steady state growth to be mid -teens with operating leverage. So, we have sufficient drivers in our 4R framework that we have , unless there is a macro environment, we expect the growth rate to continue at mid -teen number.

Rohan Mehta: So, this would be applicable to the US and UK market, excluding the impact of Ideal World and Mindful Souls. Is that understanding correct, sir?

Sunil Agrawal: So, for next year, we won't have the acquisition period under us. So, for next year overall for the business, we expect overall growth to be mid -teen numbers including the new acquisitions as well. Now, new acquisition Mindful Souls is already a decent size bu siness. So, the growth there will be similar steady state and other businesses. Ideal World would be a little bit more elevated level and Germany would be a little more elevated level than UK and US would be. But overall, we expect to be mid -teen.

Rohan Mehta: Just if you could touch upon our supply chain -related initiatives if any in terms of improving

efficiencies on that front and leveraging the manufacturing hub that we have at Jaipur. Is there anything if you could shed some color on that please?
Sunil Agrawal: So, it's a continuous process to learn and to implement the learning and make the operation efficient. And over the years sometimes the leverage does kick in because we find some efficiencies in supply chain as well. But I cannot point to a one specific area that would give additional leverage in addition to what we have already mentioned.
Moderator: The next question is from the line of Parth Dalal, an individual investor. Please go ahead.
Parth Dalal: Sir, about the US election this year, do you see any impact? I think it will be around our best quarter historically. So, is there any impact that you see?
Sunil Agrawal: Yes, we've already accounted for that in our guidance. We expect the revenue to be overall 14% to 17% growth year -over-year with decent leverage for the year.
Parth Dalal: A couple of years back we had this investor day or a call where we had this all country level teams as well. I remember I think U.S. team was saying that they were increasing some investment around the same number of PIN codes with the same day delivery o r one day delivery, something like that. So, how is that panning out, I mean, is q

uick delivery has been happening in US?
Sunil Agrawal: So, I don't remember for US because we don't have such initiative in place. The US is a pretty large operation and we have only one warehouse in the US at the moment. But in UK we do deliver some higher end items with next day deliveries. We ship same day and it comes to customer and that helps into better retention . But in US, we don't have such initiative.
Parth Dalal: In the same call, I think there was one unit initiated particularly for just the lifestyle products, if I'm not wrong? We had also hired some resources over there and all. So, is it still going on or I mean is that line still ongoing for the lifestyle pro ducts?
Sunil Agrawal: Yes. So, we had bought a business which had apparel manufacturing as its main business. That was in 2021. We have recently taken a decision to exit apparel manufacturing because we found that that is a low margin business, and we can source that apparel at relatively fair competitive price s. We went deeper into the space, we have decided to exit the apparel manufacturing.
Parth Dalal: I think that was not disclosed on the exchanges, so we are not -
Nitin Panwad: In commentary, as Sunil mentioned about that, that VLL we are exiting, yes.
Parth Dalal: And also, one packaging unit or small unit that we had acquired a couple of years back. Is there any advantage we are seeing from that?

Nitin Panwad: Yes, we are still fulfilling our packaging from that factory, and we will constantly review the product and pricing for that if it is competitively available from any other country or any other vendors. So, we review it whenever we find opportunity. But right now, we are fulfilling partially our packaging material requirement from that company.
Parth Dalal: And last question again is a very long term one. After Germany, is there any plan, I mean, any other region, territory, country that the management or the board is looking right now?
Sunil Agrawal: So, not right now because we would like to see Germany giving robust leverage to the group before we go next country. So, possibly next country might be Japan, but this is at least in my opinion three years away.
Moderator: The next question is from the line of Nirvana from Badrinath Holdings. Please go ahead.
Nirvana: I wanted to understand for your digital versus TV, at a steady state return on capital level or unit economics level, is there any difference? I understand that in some cases digital is still ramping up. So, I'm talking about things that have already settled down in your legacy business . In digital , the unit economics for the return on capital is it different from TV?
Sunil Agrawal: For us it's difficult to break down the two businesses separately, Nirvana. The reason is that we find the customer coming from television and then us migrating them on digital platforms to be very highly accretive because lifetime value goes four times u p when we are able to migrate the platform for the customer. So, we look at both as holistic business overall for us. Having said that, the digital paid like Google paid or social paid customer that we acquire, so that first acquisition cost is a certain amount and then we make money with the margin that we make from that customer in subsequent period through repeat purchase. If we are able to migrate them on television, they're kind of very valuable. But if they stay on digital , then we try to make sure to make them profitable within a certain period of time. So, the re are different drivers from pure digital to television to television to digital or television to digital or OTT, the re are different drivers, but usually we look at the business as holistic business .
Nirvana: I got a little confused. You said the customer that you acquire through TV and migrate to digital, that kind of customer has a very la

rge lifetime or was it the opposite?
Sunil Agrawal: Now from television to digital, the lifetime value goes up by 4X. From a pure digital to

television, the migration is very rare.
Nirvana: So, from television to digital, so you are acquiring a customer via your TV channel and then you are getting them to shop on your website. You are saying that the person is likely to shop four times more compared to if he had only been a TV audience. Is that the right understanding?
Sunil Agrawal: That's correct.

Nirvana: Why does this happen? Because I would assume for your TV forming connect with the salesperson would also be important, right? So, you are seeing even for your kind of TV, digital is giving you higher lifetime value?
Sunil Agrawal: So, we have pretty high lifetime value for TV, almost $800 as a pure TV customer, customer who goes on digital property goes to almost $4,000 in lifetime value. The reason you asked why does it happen. Our theory is that the television is only push marketing. We tell them what to buy or why they should buy this. But on website we also address their want. So, if they bought say a ring on television, then on website they would want matching necklace or matching earrings, then they would become more valuable because we are addressing their impulse purchase needs as well as their considered wants and it helps overall.
Nirvana: You are saying that the cost of acquiring customers on digital is higher than cost of acquiring them on TV. So, the best kind of customer for you is somebody who is acquired on TV but then migrates to digital?
Sunil Agrawal: So, let me rephrase that statement. On television, we have only one shop to acquire customer as well as to sell. So, it's difficult for us to ascertain what is the customer acquisition cost on television because it's the same shop. Now on digital, there is the acquisition cost that is ascertainable. So, that's why we know what the acquisition cost on digital is. On TV, we don't really know the cost. So, we look at overall what is the percentage of revenue we can afford to pay to a certain broadcaster overall as a percentage of revenue over a period of time. So, it starts with h igh percentage when we acquire a home, starts with about 70%, 80% of revenue goes in airtime. But over 18 months it goes down to up to 15%.
Nirvana: I will write to you to understand this , sir.
Moderator: As there are no further questions from the participants. I would now like to hand the conference over to Mr. Sunil Agrawal for the closing comments.
Sunil Agrawal: Thank you, Steve. I want to thank all the participants for your time and great questions. If you have any further questions, feel free to reach out to Prashant Saraswat at VGL , or Amit Sharma at Adfactors PR India and we will be happy to answer your questions. Thank you once again.
Moderator: On behalf of Vaibhav Global Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Nov 2024

VAIBHAV GLOBAL LIMITED

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Ref: VG L/CS/202 4/115 Date: 15th November , 202 4

National Stock Exchange of
India Limited (NSE)
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra, Mumbai – 400 051
Symbol: VAIBHAVGBL BSE Limited
Phiroze JeejeeBhoy Towers,
Dalal Street,
Mumbai – 400 001
Scrip Code: 532156

Subject: Submission of transcript of conference call
Dear Sir / Madam,
With reference to captioned subject, we are enclosing he rewith the transcript of Q2 & H1 FY25 Earnings Conference Call held on Tuesday , 12th November , 2024 .
The Transcript of the earnings conference call is uploaded on the website of the Company and can be accessed on the link:
https://www.vaibhavglobal.com/admin_assets/Investor/Investor_Presentation/1815792805388054.pdf
Kindly take the same on record.
Thanking you,
Yours Truly,
For Vaibhav Global Limited

(Yashasvi Pareek)
Compliance Officer
ACS - 39220

Encl.: a/a

"Vaibhav Global Limited
Q2 and H1 FY '25 Earnings Conference Call "
November 12 , 202 4

MANAGEMENT : MR. SUNIL AGRAWAL – MANAGING DIRECTOR – VAIBHAV GLOBAL LIMITED
MR. NITIN PANWAD – GROUP CHIEF FINANCIAL OFFICER – VAIBHAV GLOBAL LIMITED
MR. PRAS HANT SARASWAT – HEAD OF INVESTOR RELATIONS – VAIBHAV GLOBAL LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Vaibhav Global Limited Q2 and H1 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing s tar, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Disha Shah from Adfactors PR. Thank you, and over to you, ma'am. Ms. Disha Shah

Disha Shah: Good evening, everyone, and thank you for joining us on Vaibhav Global Limited 's earnings conference call for the second quarter and half year ended 30th September 2024. Today, we have with us Mr. Sunil Agrawal, Managing Director; Mr. Nitin Panwad, Group CFO; and Mr. Prashant Sar aswat, Head of Investor Relations. We will begin the call with opening remarks by Mr. Sunil Agrawal on the business operations, key initiatives and a broad outlook , followed by a discussion on the financial performance b y Mr. Nitin Panwad after which the management will be open for the Q&A session.

Before we get started, I would like to point out that some statements made or discussed on today's call may be forward -looking in nature and must be viewed in conjunction with the risks and uncertainties that we see. A detailed statement and explanation of these risks is included in the earnings presentation, which has been shared with you all earlier. The company does not undertake to update these forward -looking statements publicly.

I would now like to invite Mr. Sunil Agrawal to make his opening remarks. Over to you, sir.

Sunil Agrawal: Thank you, Disha. Good evening, everyone. Thank you for joining our Q2 FY '25 earnings call. I hope you've reviewed the results and investor presentation. I'm pleased to report a 13% revenue growth reflecting our continued momentum. Consistent with our gui dance, we maintained strong gross margins at 63.5%, supported by strategic pricing and favourable product mix. Our vertically integrated supply chain has also enabled us to achieve stable and market -leading gross margins.

EBITDA margins came in at 8.7% of revenue compared to 9.5% for the same period last year. This decline reflects planned investments in digital marketing aimed at new customer acquisition, high airtime cost to secure better channel position in the US and airtime costs in Ideal World. These investments are expected to drive long -term gains in new customer acquisition as reflected in our record unique customer base of 6 ,82,000.

Now let me take you through our key retail markets. The US revenue declined 1.6% year -over-year in the September quarter affected by increased attention on the election activities and Olympics. With consumer confidence improving and the elections now behind us, we expect

demand to pick up in the upcoming holiday season. In the UK, revenue grew by 15% year -over-year, maj orly contributed by Ideal World .

With signs of improvement in UK economy like the consumer confidence index inching up, inflation and interest rates going down, we expect a recovery in consumer demand in the coming months. Additionally, Rachel Galley , an e -commerce brand we acquired in the UK three years ago, has now achieved EBITDA profitability. This highlights our capability to scale e -commerce brands and achieve profitability, demonstrating our disciplined approach to growing digital businesses.

Germany continues to perform well, recording 15.3% Y -o-Y revenue growth in Q2 FY '25. Q -on-Q revenue grew by 25%, while operating losses declined substantially by 41%. We are confident of achieving breakeven at the operating level by second half of FY '25. Our

4R

strategy, that is widening Reach, new customer Registration & Acquisition, strengthening customer Retention and Repeat purchases continues to deliver positive ou tcome.

Our TV networks now reach 130 million households and our unique customer base has increased by 51% year -over-year approximately to 6,82,000. Even without our new acquisitions, the unit customer base grew 6% Y -o-Y. Customer retention stands solid at 41%, with an average of 23 pieces per customer annually on a trailing 12 -month basis.

We have now completed one year since acquiring Ideal World and Mindful Souls , and I will

provide a brief update on the progress. Ideal World operates 24/7, reaching 27 million UK households. We recently upgraded our Sky broadcast to HD network. The business is currently profitable on a direct cost basis, achieving GBP17 million in sales over the past one year. We expect Ideal World to reach full cost profitability from current quarter onwards , Q3 onwards.
Mindful Souls continue to perform well with PBT margin of 10% on a trailing 12 -month basis. Mindful Souls now has a solid base of over 1 ,00,000 unique customers, which we aim to grow further. Leveraging VGL group ’s supply chain, we are further enhancing its profitability through better costs and are regularly launching new subscription boxes.
At VGL , community impact remains a key focus. We recently reached a milestone of 93 million meals being served to school children under our ‘Your Purchase Feeds…’ initiative. We are currently donating 54,000 meals every school day. Our long -term goal is to reach 1 million meals every school day by FY '40.
On sustainability front, we generated 1.1 million kilowatt hours of solar energy this quarter , meeting nearly 100% of power needs for two of our manufacturing units in India. This aligns with our goal to achieve carbon neutrality for Scope 1 and Scope 2 emission by 2031. We are hono ured to have received ‘Excellence in Sustainability and Climate Action Award ’ from Indo American Chamber of Commerce at the 20th Indo American Corporate Excellence conclave . This award reco gnizes our contribution to Indo -US trade, business and our commitment to ESG principles.

We look forward to keeping a balance between growth, investment and quarterly payouts to generate sustainable value for our stakeholders. The Board of Directors has declared an interim dividend of INR1.5 per share for the quarter, representing 89% of payou t and implying a firm belief in our business mod el and strong growth prospects.
We remain vigilant in tracking the macro environment and market trends. I'm confident that our capabilities and our experience will allow us to sustain profitable growth. We reaffirm our FY '25 revenue growth target of 14% to 17%, with operating leverage and project mid -teen revenue growth in the coming years with decent operating leverage.
I will now hand over the call to Nitin to discuss the financial performance in detail. Over to you, Nitin.
Nitin Panwad: Thank you, Sunil. Good evening, everyone. Welcome to Vaibhav Global's earnings call. Following Sunil’s overview of business performance , I will now cover the financial results for quarter two and half -year ending September ‘24. In Q2 FY '25, we recorded 13% year -over-year growth, totalling INR796 crores, up from INR7 05 crores received in Q2 FY '24. In a constant currency basis, this reflects 10.2% growth, supported by 9. 3% rise in our volumes.
Our gross margin remained strong at 63.5%, benefiting from our vertical ly integrated model and favourable product mix. The EBITDA margin for the quarter was 8.7%. As Sunil mentioned earlier, the current margin profile reflects our ongoing investment in digital marketing, enhance channel positioning in US and airtime costs in Ideal World .
Sequentially, cont ent & broadcast ing expenses as

a share of revenue fell to 19.4% in Q2 from
20.6% in Q1 and we expect th is to reach 18% of revenue for full financial year. Profit after tax for the quarter was INR28 crores. Looking at regional performance - US revenue decreased by 1.6%, UK posted a 15% revenue growth and Germany revenu e grew by 15.3% year -over-year. As noted earlier, the existing business growth rate was affected due to audience focusing more on the US election, Olympics and cautious consumer sentiment s in UK . In Germany, revenue growth remained strong, with quarterly operating losses sequentially decreasing by 41%, and we stay on track to achieve breakeven level at operating margins in the second half of the financial year FY '25.
For Q2, TV revenue reached INR456 crores, while digital revenue totalling INR294 crores. TV revenue grew by 12.3% year -over-year. And digital revenue increased by 11.8% year -over-year with digital contributing 39% of total B2C sales. This growth reflects our continued investment in digital marketing and related infrastructure. Additionally, our budget pay EMI option contributed 38% of total B2C revenue. We have now completed a year since buying Ideal World and Mindful Souls. Ideal World remained profitable on direct cost basis, and we expect it to achieve full cost allocation profitability from Q3 onwards.

Mindful Souls continues to perform well, achieving a 10% PBT margin over the past 12 months.

With VGL supply chain now supporting Mindful Souls , we expect further improvement in its profitability. Our balance sheet remains strong with net cash positi ve positi on of INR100 crores. Free cash flow and operating cash flow were at INR11 crores and INR26 crores, respectively, which were affected by a planned inventory build -up for the upcoming festive season. Currently, ROCE and ROE are at 17% and 10%, respectively. We are also committed towards creating and sustaining value for stakeholders and are pleased to announce that the Board has approved second interim dividend for the year of INR1.5 per equity share, reflecting 89% payout . Looking ahead, we stay committed to deliver strong returns to our stakeholders in the mid-to long term. We are confident in achieving our revenue growth target of 14% to 17% for FY '25 with operating leverage and project mid -teen revenue growth with dece nt operat ing leverage in coming years . Thank you. Over to you, moderator, for Q&A.

Moderator: So, shall we start with the Q&A?

Sunil Agrawal: Yes.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of R ushabh Shah from BugleRock PMS.

Rushabh Shah: Yes. So , my first question is sir, Budget Pay in US and UK is high. So why give products on credit and why not take it upfront? Is it because of the nature of the people living in those countries?

Nitin Panwad: So, Budget Pay ratio we offer based on the customer internal credit score . And customers can opt the Budget Pay option for the different products based on the EMI available for the particular product. We are offering since 2016, and we have seen quite a good acceptance with very low bad debt rate of the budget pay . And we're seeing customer traction towards especially buyin g the high -end products.

We can buy for paying upfront as a full amount and paying an installment as it gives an ease to the customer. So , looking to the low bad debt rate and customer acceptance, we are continuing to offerin g the bu dget pay within the internal credit assessment of the customers.

Rushabh Shah: Okay. So , my second question is, sir, sir, where do you allocate m ost of your time? Is it the product design which is the most important part of the business? Or just team building or customer acquisition?

Sunil Agrawal: So, this is Sunil. So , I assume you're asking this question from

me. So , initial years, I spent quite a bit of time in product development and strategy. But last many years, a majority of my time goes in team development. So , I meet the team regularly - direct report ee and my skip levels and from outside stakeholders as well. And in addition to that, I read a lot , I read trade publication and the books published by renow ned businessmen or strategist s.

Rushabh Shah: Okay. So , my next question is, as we know, the people pay by invoice in Germany, and there has been a delay to get a breakeven in Germany. So , now what has changed that you have entered Germany again? Have you studied the mindset of the people -- and how is it different from U.K. and U.S.?

Sunil Agrawal: Yes. So , this television business, the costs are largely fixed -- so we have about 130 people there. Those people will be needed, whether you do EUR1 sale or EUR25 million sales or EUR30 million that we curren tly have. And also the airtime that we contracted for about 35 million homes, you would pay them irrespective of what revenue you get. So , the fixed cost nature of the business is such that once you start to get to a critical mass of customer which has good high repeat purchase intensity, then the leverage of this model is very high.

But initial three to four years that it takes for the business to assemble that critical mass of customers in this particular business model. And opposed to the other models where we have one store and that one store becomes profitable sooner. In this case, we have a store in everybody's living room about, say, 35 million homes living room, we have stores there. So , we have to set up that store cost right at the front.

And that is why it takes time. And the beauty of the model is that once you reach a critical mass a large portion of gross margin starts to flow to the bottom line.

Rushabh Shah: My next question is on the call you mentioned, our revenue per household just $2 and that other competitor is about $7, and the leader is at $ 60 -- so how has that evolved? And what steps have been taken to go near er to the leaders?

Sunil Agrawal: Yes. So , we have gained market share over last many quarters, maybe last four, five years, we continue to gain market share. So , our current run rate is around $3.5 or around 3. Our current market share is about 4% compared to Qurate and Shop HQ that we calculate internally, and that grew fro m less than 2% a few years ago.

We continue to gain market share over the years and I'm confident that we'll continue to gain market share for many years to come, owing to our vertical ly integrated business model , and agility to bring the trendy products to the customer in a very short time because we are so closely aligned with supply chain.

Rushabh Shah: Just a thing on market share. Do you think we are gaining market share continuously over the years . So, we have gained market share at a more rapid pace since you only say we sell products at a 50% price of our customers. H as the leader lost quite a bit of market share in the previous years? Or we are lagging somew here?

Sunil Agrawal: So, I don't remember saying we said at 50% because many of the retailers sell the branded product, for example, they sell Bose or Apple or Samsung or other branded products. Our strategy is more like Zara, where we make our own in -house brands, and we sell product that

seems much lower than their na tionally branded products. Now we also have set the guardrails of 60% plus gross margin and leverage to give to the stakeholders.

So, if we were to go out and buy the customers that many e -comm companies have initially, then we can scale the business rapidly, but that will entail lower gross margins and maybe higher marketing costs that will dilute our EBITDA margins. So

, we keep our growth guardrails in place, continue to gain market share and continue to gain leverage at the bottom line. So , that is our business model. Within that guardrail , that is, if we can achieve higher growth rate w e will .

Rushabh Shah: Okay. Thank you. I ’ll get back in the queue.

Sunil Agrawal: Thank you, Rushabh.

Moderator: The next question is from the line of Nirvana Laha from Badrinath Holdings. Please go ahead.

Nirvana Laha: Hi, thank you so much for the opportunity and congratulations again on a steady quarter. So , the first question is more of a macro question. So , any impact on our business model due to Trump getting re-elected as in we import all our materials into the U.S. So , from your past experience with the earlier Trump administration and current developments, any comments on that?

Sunil Agrawal: Yes. Thank you for the question, Ni rvana. We believe that we are the lowest cost producer and the tariffs would impact equally everybody. So , we don't foresee us getting impacted any adverse. In fact, with our gross margin of 62% plus our cost will be lower than other competitors because their gross margins are lower. So , it will be a t advantage if at all the tariff across the board comes into picture.

Moderator: Sorry to interrupt, may we request Mr Laha to please rejoin the queue. Thank you. The next question is from the line of Rupesh Tatiya from Intelsense Capital. Please go ahead.

Rupesh Tatiya: Okay. Sir, first question is on this budget pay or financing. So sir, very fundamental question is why do we finance these purchases through our balance sheet, is it not better to do some partnership and let the financing going in someone else's balance sheet. Maybe I don't have historical context of it, but maybe if you can explain that a little bit?

And then the second question I see is related to that only in FY '23, we had INR26 crores as impairment. In FY '24, we had INR33 crores as impairment -- this is significant compared to our profit after tax. I mean if I look at it, it's almost 20%, 30% of o ur profits -- so maybe you can explain what kind of RoA we make or what kind of interest rates which are and how are we covered? I mean, how are these impairments considered in our model?

Nitin Panwad: Yes. Yes. So , thank you for the questions. I'll go to your first question, the budget pay. So , we have fairly good experience with the financing . Initially, when we started, we explore d the option to financing from a third party. But there are two things, two issues we have found where the

financing cost was higher. Also, the customer experience while many the customers are not getting credit as credit costs from the different financing companies were higher.

So, then we have find out that it's better to offer ourselves as we give a better experience as well as our bad debt costs are lower than the third party. So , over the years, we managed to keep the lower bad debt 's rate even with the financing cost of -- let's say, interest cost of two, three months, we're even better than the se other financing companies available out there. That is why we went for the option. And over the years, we are pretty steady on our doubtful debts ratio in the financing cost side.

The other point you mentioned about impairment. I'm not exactly where you are mentioning that this number in FY '23 -- actually '22. Actually, we have a gain of INR28 crores which was a PPA loan that we have shown in our exceptional items . It was actually a subsidy that we have received from US government during the COVID year .

Rupesh Tatiya: Because I 'm looking at last Annual Report -- sorry to interrupt, sir , I'm looking at the Annual

Report. There is a line in other expenses, impairment losses on financial assets allowances for or write -off of doubtful debts. There is a line item in other expenses

in your Annual Report?
Nitin Panwad: Yes, it is actually a bad debt. It is actually bad debts on the budget , the EMI options that we offer to the end consumer. It is roughly -- this is around 1% of the cost to sales ratio and it is in line with, I think, past many years, if I'm referring the current number, that what you mentioned.
Rupesh Tatiya: INR32 crores in FY '24, if you that is 1%, then the total asset under management will be INR3,200 crores. I don't think that is the correct number.
Nitin Panwad: Yes. INR32 crores, if I refer the Annual Report, INR32 crores is 1% of about INR3,000 crores top line.
Rupesh Tatiya: No. But you are financing 40%, right? So , this is roughly INR1,200 crores …
Nitin Panwad: I got your point now. So , our financing , 40% is the ratio of the customer of the budget pay. The budget pay varies from two installments to five different installments. So , first installment, we collect upfront. So that's why these outstanding is different than the sales ratio, which I mentioned in my commentary, it is 39%. So , outstanding it varies based on two months to five months, different installments.
Rupesh Tatiya: So, what is the interest rate that we charge , sir? Because this number sounds really high to me.
Nitin Panwad: So, we don't charge interest to the customers. It is an interest -free for the end consumer. Customer don't need to pay. But the advantage is that customers get pretty well option of wherever we offer to the customer a budget pay option. And many of the cases where we have opted to the third parties. So credit -- third parties don't give to the good customer as in our

internal credit score. So eventually, we may lose the sales. That is why we went for our own financing.
Sunil Agrawal: I also see in my financials, this is Sunil , Rupesh ji. So, I see in my financials for H1 FY '24 the bad debt was $1.65 million for H1 FY '24. So , the velocity of the bad debt is approximately $3 million a year -- sorry it was $2 million in H1 FY '24 . It was INR1 5.52 crores of H1 FY '24. And for H1 FY '25, it was INR13.55 crores for H1 bad debt. So , what you might be seeing is just the doubling of that for the full financial year, about INR32 crores of the bad debt amount or towards the budget pay . And that is across all three organizations; US, UK, Germany.
Rupesh Tatiya: Yes. It's just that the number sounds really high to me, sir, I mean, INR1,200 crores, let's say, I mean, I don't know, 40%, 50%, your financing on INR1,200 crore s financing, INR32 crores is roughly 3% hit to the margins and that number sounds really high to me. So , that is my point. Maybe I don't know you can …
Nitin Panwad: So, let me give you one more reference. Any third party financing company we go , there is one more company available like FlexiPay in UK . They charge straightaway 7% of sales regardless of EMI options, they charge 7% of sales. Different financing companies , they don't go below even when the interest rate were lower around 1%, 2% before the -- during the COVID or before COVID time , the minimum financing cost from the different companies was 3% to 4%.
Rupesh Tatiya: But that is to the customer, right ? Sir, that is not …
Nitin Panwad: No, that is to us because it is zero cost for the customer.
Sunil Agrawal: We can't charge from customer because our competitors don't charge from customers. We will have to bear this cost whether our balance sheet or we take it from outside factoring.
Rupesh Tatiya: Okay, sir. And the second question, sir, is on the content and broadcasting piece. So , that also is a very first principal basic question that we were doing INR350 crore s spending in FY '22. I think that number went to INR415 crores in '23, INR500 crores in '24 and now it's going to be INR600 crores in '25. So , that number has gone up by 80% . And adjusted for acquisitions,

our
revenue has grown by -- not even by same amount. I mean our revenue has grown by INR200 crores, INR300 crores, adjust ed for $35 million if I adjust between Ideal World and Mindful Souls , the revenue hasn't grown.
So, I mean maybe you can talk from your experience or whatever is your internal modeling, but this incremental INR250 crore s spending that you're doing on content and broadcasting. Can it bring, let's say, INR1,000, INR1,500 crores revenue to us? And then at what timeframe ? I mean, if you can explain that a little bit internally how you look at success of this spending? That is one.
And then the second question is some other Indian platform company I track. And they basically don't do any ad spending if the sales velocity is good. They basically do spending only when the

sales velocity of customer acquisition numbers start going down. And over the years, it has worked phenomenally well for them. So , at the first principal level, I mean can you justify this kind of spend to yourself and to probably to me, to investors?

Sunil Agrawal: Thanks for the question. This is Sunil. There are two components of content and broadcasting costs. So one is the air -time cost and other is the e -comm marketing costs. So , we look at a different criteria for both these costs. Now withi n the air -time costs, we started Germany three years ago. So , there's upfront fixed costs, as I mentioned in my earlier comment. And Ideal World , we started one year ago. So , that is upfront cost. So , Germany will break even in this current quarter and next qua rter. So, in H2, it will be at the EBITDA level, it is breakeven. But the cost is already up there for 35 million homes. For Ideal World, the cost there for 27 million homes as it scales at a fully allocated basis, it is breakeven this quarter. So , the upfront costs are there for the air -time. Also in US, we took an air -time with a lower channel position that will give us a growth in coming years. So , we made these three investments in air-time that ramped up the cost for future sake.

The second component is digital advertising costs. We started ramping up digital advertising about a year ago and where you see the content broadcasting costs go up noticeably because of that. And we are seeing benefit of that in terms of new customer acquisition. And that customer lifetime time value is -- one year lifetime value of that customer is higher than the customer acquisition cost for us at all the six brands that we have within VGL portfolio . At each brand, the one -year margin is higher than the customer acquisition cost. So , with that strategy , we started spending -- ramping up the spend on digital market.

Now your third point was about the Indian companies who don't spend on advertising until they see the ramp slowdown. So, our model may not be apple -to-apple with the Indian model . I have not studied the companies you mentioned, but with our competition within US, UK and Germany, we don't see organic customers coming in at our scale. Maybe at Amazon scale or Walmart scale with their footprint or their momentum from earlier spend that they have done, we get a lot of organic.

But within our space, from Google SEO that we do on bing SEO we do , the sales is not as meaningful from organic services as there might be from the Indian companies that you're comparing.

Rupesh Tatiya: Okay, sir. So then...

Moderator: Sorry to interrupt Mr. Rupesh, maybe I request you to please rejoin the queue.

Rupesh Tatiya: Sure. Thank you.

Moderator: Thank you. The next question is from the line of Nirvana Laha from Badrinath Holdings. Please go ahead.

Nirvana Laha: Hi, thanks for the opportunity again. So , following up from what the last participant was asking. So, the content and broadcasting cost

s this quarter has seen a fall Q -o-Q. So , has this number now peaked out for the foreseeable future? And for the coming quarters on an absolute basis, how do you see this number panning out? It was INR154 crores in this quarter.

Sunil Agrawal: Yes. So , for television, this is Sunil again. For television, we see this season numbers to be relatively flat unless we come across a major opportunity that we don't want to miss but we don't have anything in offing. So , we foresee this to be flat. For digital marketing, we will continue to gradually ramp up as we see productivity gain within our digital space. So -- but as a percentage of revenue, you won't see any meaningful increase. This year, we expect it to be 18% b y the end of this fi nancial year.

And for going forward for the next few years, you can expect this to be 18%, may be slightly lower, but leverage will not come a lot from this particular area. The leverage will come from HR costs because our costs are largely fixed. Some SG&A and some from margin improvement as we scale the digital portion because the margin on digital portion is the higher than television portion.

Nirvana Laha: Okay. So , it will come from gross margin on digital side?

Sunil Agrawal: Yes. Digital space has a higher gross margin than the television space.

Nirvana Laha: And sir, so you said it will continue at 18%, but sir, right now, if you were at 20% in H1 and you're guiding for 18% for the full -year. So for H2, you have to be at around 16% to achieve that 18% guidance. So , you're seeing two, you will be at 16% and then you'll again ramp up to 18% in FY '26.

Sunil Agrawal: For the whole year, yes, because H2 is really higher revenue and cost as a percentage of revenue drops because it's a fixed nature, airtime cost. The percentage expense as a percentage of sales

dropped -- and for next year, H1 may be higher than 18% and H2 will be lower than 1 8%.
Nirvana Laha: Okay, got it. And sir, out of this INR15 4 crores, can you split this between TV and digital so that we understand exactly what p art will grow and what will not?
Nitin Panwad: Yes. Out of this 18%, 11% is related to airtime cost and rest 7% related to the digital marketing cost.
Nirvana Laha: Sure. And the 7% is digital and where exactly and platforms like Meta and you can break that down a little bit?
Nitin Panwad: Yes. So majority spend through Meta. But there's some por tion in different affiliates, SE O-Google but majority of spend through Meta .
Nirvana Laha: And business wise, is it possible to split the 7% between the Mindful Souls and the U.S. business, U.K. and Germany?

Nitin Panwad: Yes. Internally, we d o like Mindful Souls is a pure D 2C company, which has a higher digital marketing costs compared to U.S. and U.K. business. So percentages varies between the different brands.
Nirvana Laha: Sure. Would it be fair to say that half of the 7% probably goes to Mindful Souls ?
Nitin Panwad: Not exactly half, but good amount of portion to Mindful Souls .
Nirvana Laha: Okay. And on Mindful Souls , can you tell us what was the Y -o-Y and Q -o-Q revenue and volume growth?
Nitin Panwad: Mindful Souls is Q-o-Q flattish for what we are seeing right now. But month -over-month, in recent months, we have seen started seeing improvement in Mindful Souls . And profitability is also getting better with the regional supply chain getting started from October onwards.
And then the upcoming season events that we are seeing and different -- four different new products we have launched in a couple of months back. So , expecting the subscription numbers will improve, which will reflect in improving our quarterly and monthly revenue going forward.
Moderator: Sorry to interrupt, Mr Laha, may we request you to please rejoin the queue.
Nirvana Laha: Sure.
Moderator: Thank you. The next questio

n is from the line of Anuj Sharma from M3 Investments. Please go ahead.
Anuj Sharma: Yes. Thank you for this opportunity , a couple of questions. If you look at the broadcasting cost, basically the airtime over a long period of time, what is the inflation we can expect in this particular cost?
Sunil Agrawal: So, the per home cost doesn't go up unless we take the home in a better channel position and also, the number of homes is not really expanding. So , while cable is shrinking, but we are moving from cable to OTA homes , i.e., over the air home s. So those homes can be more expensive than the cable. So as the mix changes, then the cost may move a little bit, but per home, wherever we are, hasn't really gone up to us per home basis.
Anuj Sharma: Okay. And then there is a shift in the mix from TV to OTA or OTT, what's the inflation or what's the premium you have to pay per household suppose?
Sunil Agrawal: So, depends on channel position, from cable, the normal cable we used to have in the 100s and OTA usually is in 30s, 40s, 50s , the cost is almost double or sometimes even more than double.
But that universe is smaller than cable. Cable is about 60 million homes in the U.S. and OTA is about 23 million. So its about just one-third universe .

Anuj Sharma: Got it. And also, we have been investing in digital. But can you just explain how do you go about budgeting this digital spend, how do you really forecast or what we say in deciding the budget on digital ? That will be helpful.
Sunil Agrawal: Yes, so digital usually is linked to productivity of the spend. So , if you see the spend, productivity is coming down, then we ramp down the spend. And if you see the productivity is strong based on our criteria, what is the ROAS we look at? So , different platform has different ROAS, Meta has different, Google branded is very different, Google paid shopping is diff erent , affiliate has different.
So, we look at those productivity measures and ramp up and down. Overall, we look at the total band of say if you have a $1 million spent budget for the month for all the brands put together, some brands sometimes spend more because they see more productivity, some brands spend less because they are seeing less productivity. But overall, we are pretty close to our projections.
Anuj Sharma: Okay, okay. And this question is around the budget schemes. So , what incentive a customer has,

so assuming there is no interest and there is option for 2 installments, 3 installments, 5 installments and outright pay, wouldn't it be logical from the customer viewpoint to take 5 installments or the maximum installment ? And do you see that shift happen? I mean, people from upfront going to let's go the maximum possible installment, which is free of interest. How is that shaping up?

Nitin Panwad: So, we leave the decision to the customer. We offer that customer an option. If we are offering for budget pay, ideally we would like that customer can opt it because margin of the product is decide d based on that. But it's up to customer if they want to pay a full amount or go for EMIs. So, the customer, they don't want to take a risk for credit default, which may t ake their credit ratings lower.

They pay full amount, but it's up to us, up to the customers who want to take the budget pay options or not. But we offer unanimously for the products for all the customer, not distinguish from the particular product, particular customer based on their whatever credit score.

Anuj Sharma: Okay. But logically, if it's interest free, won't the customer gravitate towards the maximum installment option?

Nitin Panwad : Yes. Logically, you're right, and we see that customer also majority customer go for the budget pay, but some of the customers are also -- they don't go for budget pay.

Anuj Sharma: Okay. But do you -- would you disclos

e the breakup between the two installment, the three installment and five installment and how they have shaped up?

Nitin Panwad: We do put the product, two installments, three installments, five installments, customer can select based on the available installments out there.

Anuj Sharma: No, I'm saying from an investor viewpoint, a shareholder, would you classify what percentage of that 40% is availing the five installment versus the two installment as a bucket.

Sunil Agrawal: So, first this depends on how much we offer it. So , every product has a unique feature of -- from two to five. And whatever we are offering, they can either take that or they have to pay full, 40% customers, we offer budget pay. Some products we don't even offer anything. For that product, they have to pay full anyways if they want to buy, especially lower -priced products. Product $10, $15 product, we don’t offer any budget pay.

Anuj Sharma: Okay. And my last question is, let's suppose a customer defaults. What are the recovery options we have? Generally, what process we follow for recovery? And when do we generally give it up saying that the cost of recovery is higher than the estimated reco very amount?

Nitin Panwad: The system already built accordingly after how many days the payment need to be retried , after how many days of interval payment need to be adoptive , acceptance or card update or token updater happens. And after how many days that we send the reminders to the customer via e - mail or physical letter , then later on transferred to the debt collection agency. So , this was the process, pretty long process, robust process that we have that we follow when we see failure in the installme nts payment.

Anuj Sharma: Okay. And my last point is if the customer really defaults, his credit scores are impacted. Is that correct?

Nitin Panwad: Yes. So , we don't -- unless we pass on to the debt collection agency, then score is impacted. And we don't transfer that if it's a really substantial amount to the debt collection agency . But internally, as soon as customers do a default then customers can no longer buy on the budget pay option, while they can buy on making full cash down payment .

Anuj Sharma: All right. Thank you so much. Thank you.

Moderator: Thank you. The next question is from the line of Pradip Maity from RGI Meditech Private Limited. Please go ahead.

Pradip Maity: Yes. Thank you, sir for giving me this opportunity. I have a couple of questions. My first question is what is the gross margin for digital revenue? Can you comment any exact number?

Sunil Agrawal: Gross margin for Meta products or certain Google products is anywhere from 65% to 75% depending on product to product.

Pradip Maity: Okay. Actually, want to know about average gross margin, total digital revenue?

Sunil Agrawal: Total digital revenue has a lot of components because we also have rising auction $1 auction, where we sell products at 5% to 7% margin on ly. So there is a clearance mechanism because we come up with 100 new products every day. And the small quantities are not sufficient to sell on television, we sell through auction.

Pradip Maity: Average gross margin sir for digital revenue?
Sunil Agrawal: I think including RA and excluding RA. So, I'll have. Prashant pull out that number in the meantime, you can ask some other questions.
Pradip Maity: Okay. How the digital revenue become 50% of total revenue?
Sunil Agrawal : Yes. So , our rising auction will be limited because it won't rise as a percentage. But the other margin, other component, there is a fixed price catalog ue or meta or Google product overall margin will grow up even further. We are not giving separate guidance on that, but that margin will go up higher.
Pradip Maity: Okay. And my second

question is why compan ysold Encase Private Limited? What is the issue with that company?
Nitin Panwad : So, for the Encase that we are finding that earlier our idea was to get China Plus One strategy and get a cheaper packaging products, which we use in US, UK and Germany for the end consumer. Now we are finding that many of the products ate available out there in China itself with even lower pricing after duty. So , and the margin is not in line with what we guided to our investors. -- above double -digit margin that we are guiding to investor is not coming with that business. That is why we deci ded to exit that and source from the third -party China.
Pradip Maity: Okay. And with that last one question. What was its acquisition cost, when we bought that company and what is its selling cost?
Nitin Panwad : Yes. So , we bought -- we invested this company roughly around INR4 crores, and we sold that in round in INR50 lakhs.
Pradip Maity: That means INR3.5 crores approximate the company lost in that acquisition. Am I right?
Nitin Panwad: Yes, you are right. And we already booked that loss in March '24 accounts.
Pradip Maity: Okay. Okay, sir. Thank you. Nothing else.
Moderator: Thank you. The next question is from the line of Angad Katdare from Sameeksha Capital. Please go ahead.
Angad Katdare: Thank you for the opportunity. First question is in our cash flow statement. There's a grant of loan of INR 7 crore , also impairment of loan of around INR1 crore . Can you throw some light on these two line items?
Nitin Panwad : Sure, sure. So , this was the loan related to the Encase Packaging, which was outstanding for a long time. It is the same loan that we have done a mortgage of the property lying with the Encase Packaging , the land and building and plant and machinery. Though the mortgage and the property valuation was coming and fully covered with the loan outstanding. But for the

conservative accounting, we have taken a loss and booked the impairment of INR1 .1 crores for this outstanding loan .
Angad Katdare: Okay. And my second question is on the inventory days, it has increased from 72 to 86 days. I know it's due to the upcoming festival season. But fair to assume these are the base going forward? Or if not then what can we take as a sustainable inventory base?
Sunil Agrawal : Yes. So , we expect the after season, that is at the end of December as well as end of March, the inventory comes down because we run two clearances . We run December clearance and we run March clearance and inventory strateg ically comes down. So , from the base point of view, you should look at the last year's days as a guidance for your future position .
Nitin Panwad : Yes. And even if you refer the cash conver sion cycle, -- so we have maintaining around 170 days cash conver sion cycle, we are keeping the similar kind of cash conver sion cycle for upcoming period around 170 days.
Angad Katdare: Okay. So , at the clearance of December and in March, just assuming will the gross margin have impact on the -- will we have impact in that quarter?
Nitin Panwad : Yes. So , that is why our first quarter margin was pretty healthy 66 %. And the second quarter and the full year guidance that we have given a 200 basis point improvement in last year. So for full year, we are guiding 64 %. That guidance was incorporated in Q3 and Q4 clearance that we have planned. So , it is baked in already .
Angad Katdare: Okay. Thank you so much.
Moderator: Thank you. The next question is from the line of Rushabh Shah from Buglerock PMS. Please go ahead.
Rushabh Shah: Yes. Thank you for the opportunity. So , my question was when a customer buys from your platform and then he doesn't have a repeat purchase. So , do you offer him any incentives for the retention of the customer?
Sunil Agrawal : Yes, definitely. We have pretty ro

bust e -mail, text flows in place to get the customer back -- so we increasingly increase offers for them to come back. The first offer is to offer a complementary product , more complementing product to what he bought. The second is for the free gift and then percentage discount and $10 gift card and $20 card. So , we have a lot of these processes in place to get the customers back.

Rushabh Shah: So, my next question is a target audience of 50-plus age group. And you are considering investing in the OTT platforms also. So , have you been able to convert the audience in or rather add new customers in the new generation platform?

Sunil Agrawal : Yes. So , that's a good question, R ushabh . Now we have a lot of OTT sales and sales growth is also pretty robust. But we have been able to move many of our existing customers over to OTT.

But to acquire new customer OTT, it still is a new area there is -- we get a lot of app downloads, but still, there is no ecosystem to convert those downloads into customers. So the new customer acquisition OTT is relatively low. -- but the customer conversion and you see customer conversion over the OTT who are buying from us and have c ut the cable connection or even existing customer is still buying some television or e -com and then the m buying our OTT is pretty good .

Rushabh Shah: Sir, just on the customer part of it, what is more important for you? Is it adding new customers or the conversion of the customers from one platform to another?

Sunil Agrawal : We both have KPIs on both fronts. So , if see slow down the new customer acquisition, then the funnel will dry. So , we don't want for funnel to dry up -- so we want funnel to be fully populated. And then once the customer comes in, we want to retain the customer and then also move them to other platforms so that the lifetime value goes up. And when we move from one platform to another lifetime value shoots up quite substantially.

Rushabh Shah: Okay. Thank you so much.

Moderator: Thank you. The next question is from the line of Rupesh Tatiya from IntelSense Capital . Please go ahead.

Rupesh Tatiya: Hello, sir. Thank you for the follow -up. Sir, my question is, let's say, for INR4,000 crores sales whenever we reach what would be the content spend velocity would we need? Is INR600 crores spend enough? Or we have to go to, let's say, INR 720 crores, INR 750 crores kind of number?

Sunil Agrawal : So, the television broadcasting, we expect that to stay relatively flat. It may go up a little bit but relatively flat. -- but the digital cost may go up because as we scale up our digital customer acquisition and retention, so that may go up. So , as I mentioned earlier, in longer run, this 18% may stay relatively flat. So , our internal operation is showing 17% to 18%, but guidance I want to give to you is relatively flat , the leverage will come from HR cost, SG&A and margin improvement.

Rupesh Tatiya: So just to summarize, even at INR4,000 crores, do you expect 17% to 18% content & broadcasting cost?

Sunil Agrawal : So, it may go lower, but at this time in our journey , I don't want to give a guidance below 17 -odd percent .

Rupesh Tatiya: Okay. And then, sir, I mean, if I look at the model from gross margin to EBITDA walk, right? I mean 60% gross margin, 20% employee cost, 20% content broadcasting cost, 10% maybe manufacturing packaging shipping all that cost. So , 60% gross margin results in 8%, 9% EBITDA margin. And I mean whatever operating leverage you're talking about in HR and all that is like 1%, 2% kind of thing.

So, to meaningfully see a jump from 10% to 15% margin. To me, it looks like gross margin is the biggest lever. I mean your gross margin, I think, has to go above 65, probably close to 67, 68 and only then we can see the mid -teen kind of margins. So , what are your thoughts on that?

Sunil Agrawal : First lever is the HR cost. We have two new businesses in Germany and ideal word, and we staffed substantially for these two relatively new businesses. And as we scale up, the HR cost will drop down quite substantially across the group. And we also believe as we are creating efficiencies through AI, will gain efficiencies in our knowledge or work across the group as well. So you'll see substantial gain in HR costs from currently 19%. So , it has a potential to go down as we were 13%, 14% in years to come.

Now the affiliate cost, there is the content & broadcasting cost, which is currently -- we expect it to be 18%. That may go to 17% and SG&A, as we scale up, we'll see leverage here because as you scale the shipping costs go es down, the other areas goes down as well. The rents , the other expenses go down substantially. And so margin may go up from 64% that we are projecting for this year. It may go up a couple of percentage of maybe 2% or 3% over the years but other areas will also have leverage opportuniti es.

Rupesh Tatiya: Okay. Thank you for answering my questions, sir.

Sunil Agrawal : Thank you, Rupesh.

Moderator: Thank you. The next question is from the line of Parth Dalal, an Individual Investor. Please go ahead.

Parth Dalal: Sir, for the Mindful Souls slide, we have mentioned there are four new products for the quarter. And earlier, I think Nitin sir said that a lot of expense goes in there. So how to read this only four new products for the quarter, whereas our US , UK, you said that we have a big churn like 100 new products a day.

Sunil Agrawal : Yes, Mindful So ul is subscription business. For subscription business, there's a lot of thought and a lot of promotion that goes into a new product launch. Rather than on television, you get - - you make some changes to the ring or pendent or earing based on the stone that you have or exempt stones we have or the color of the scarf you have -- so you gain a lot -- you get a lot of velocity coming in for television because that customer watches us for hours every day.

So, we constantly need to bring new for them without a lot of depth that a subscription business needs and the promotion cost for the new products that we get in is very low or almost non - existent on television business. Where as on e -com business, we have to promote a lot before the product gains traction. So a bit different business model and not really comparable television to subscription model.

Parth Dalal: Okay. So the four new product that is mentioned is the subscription products ?.

Sunil Agrawal : Correct.

Parth Dalal: Okay. And for -- sir, do we have budget pay in Germany?

Sunil Agrawal : We don't have budget pa y. Actually, it is a pay by invoicing. So it is 21 days payment after receiving the item. So , for installment payments -- we don't have that , just the payment s in 14 days – 21 days credit to the customer for pay by inv oicing .

Parth Dalal: Okay. So , what is stopping us , I mean, start the budget pay set up there? Is there any regulatory limitation ?

Nitin Panwad : Yes. It is -- we're finding it is not easy to operate with the pay by invoicing and the other competitors are also not offering to the end consumer. While in UK and US, the competitor offering the budget pay, so we are going until we see a profitability, good margins over there, then we can think of to offering installments payment for them .

Parth Dalal: Got it. Got it. Agreed. And in the same slide for Germany, it is mentioned immediate TAM increased by 20%. So , is this recent thing, anything that has happened recently? Or how are we comparing this 20% year -on-year? Or -- what is the time period?

Nitin Panwad : So, it means that when we started Germany, so comparing to UK , US, where we have our existing market starting Germany has increased our addressable market by 20% .

Parth Dalal: Got it. And final one from my side. So , any other acquisition on the cards , sitting on the table with the management?

Sunil Agrawal : So, not anything on the horizon. Our aim is to get Mindful Soul starting scaling up and Ideal World , giving us meaningful positive EBITDA before we go for a new one .

Parth Dalal: Sir, because there was this social media post somewhere, which said Vaibhav Global looking to acquire -- Create and Craft in U.K. So , I don't know if there is anything to read in that?

Sunil Agrawal : No plans right now.

Parth Dalal: No. Okay. Got it. That's it from my side. Thank you.

Sunil Agrawal : Thank you, Parth.

Moderator: Thank you. This will be the last question, which is from the line of Nirvana Laha from Badrinath. Holdings . Please go ahead.

Nirvana Laha : Hi, thanks a lot for the follow -up opportunity. Sir, the digital growth this quarter Y -o-Y was only 11.8%. This was without Mindful Souls in the base. So , next quarter onwards, we'll have that in the base. So , what is your comment on this growth and organic digital growth, what kind of number are you targeting going forward?

Sunil Agrawal : Yes. So , we had some new airtime coming for Ideal World in US. So , those new airtime will give us more television growth and digital was not as robust on that one. But going forward, we expect digital growth to be faster than TV growth.

Nirvana Laha: Sure, sir. So just doing some math, the numbers that you said about 18% content and broadcasting and 11% part remaining more or less fixed, which has to do with TV. So , I think you're planning to grow the digital spend by 15% year -on-year for the next few years. So will the digital growth, therefore be higher than the 15% or in line with 15 %? Or how will it be?
Nitin Panwad : Specially if you refer that past 10 years, digital CAGR is 18%, it was actually without the aggressive investment on social media marketing. And we expect that this growth rate will continue to grow as we are investing more on social media marketing. So , we are expecting that the growth rate will be higher than the investment of 15% that you mentioned year -over-year.
Nirvana Laha: Okay. And sir, when you say that gross margin for digital sales is higher than TV sales, what is it driven by? Are we able to sell costlier products via digital -- or how is the gross profit per unit going up in digital versus TV?
Sunil Agrawal : Digital ecosystem, even when we compare ourselves to say, Amazon or other D2C players, we find that the players have to absorb higher marketing costs meta costs or go ggle costs or affiliate costs. Therefore, the margin potential is higher in digital business space than tele vision.
Nirvana Laha: Okay. Sir, I'm not sure I understood the explanation. I'll take it offline. Last question from my side. Any plans on lightening the balance sheet, sir, I believe we made some investments in land, etcetera , in the US, which we are not using. So , any plans of working on the balance sheet to make it more slim?
Sunil Agrawal : Yes. For that end, we are looking for rezoning of that land into partial commercial and partial warehouse cum light office use. First, we have rezoning done and part of that land will sell for local retail and that may lighten the balance sheet from that extent. And we don't foresee much capex in coming times. So , balance sheet will continue to be lighter than we had in the past few years.
Nirvana Laha: Got it . Thank you so much, sir, for answering the questions and all the best to you.
Sunil Agrawal : Thank you, Nirvana.
Moderator: Thank you. As this was the last question for today. I will now hand the conference over to Mr. Sunil Agrawal for closing comments.
Sunil Agrawal : Thank you. I want to thank all the

participants for your time and great questions. If you have any further questions, please feel free to reach out to Prashant Sar aswat at VGL or Amit Sharma at Adfactors PR India, and we'll be happy to answer your questions. Thank you once again.

Moderator: Thank you. On behalf of V aibhav Global Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2025

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Subject: Submission of transcript of conference call
Dear Sir / Madam,
With reference to captioned subject, we are enclosing herewith the transcript of Q3 & 9M FY25 Earnings Conference Call held on Thursday, 30th January, 2025.
The Transcript of the earnings conference call is uploaded on the website of the Company and can be accessed on the link:
https://www.vaibhavglobal.com/admin_assets/Investor/Investor_Presentation/1823131973277665.pdf
Kindly take the same on record .
Thanking you,
Yours Truly,
For Vaibhav Global Limited

(Yashasvi Pareek)
Company Secretary
ACS – 39220

Encl.: a/a

“Vaibhav Global Limited Q3 & 9M FY25 Earnings
Conference Call ”

January 30 , 202 5

MANAGEMENT : MR. SUNIL AGRAWAL – MANAGING DIRECTOR ,
VAIBHAV GLOBAL LIMITED
MR. NITIN PANWAD – GROUP CFO, VAIBHAV GLOBAL
LIMITED
MR. PRASHANT SARATWAT – HEAD (INVESTOR
RELATIONS), VAIBHAV GLOBAL LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Q3 & 9M FY25 Conference Call hosted by Vaibhav Global Limited.
As a reminder, all participant s' lines will remain in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call , please signal an operator by pressing "*", then "0" on your touchtone telephone. Please note that this conference is being recorded. I now hand over the conference to Ms. Nishita Bhatt from Ad factors PR. Thank you and over to you .
Nishita Bhatt : Good evening, everyone and thank you for joining us on Vaibhav Global Limited 's Earn ing Conference Call for the 3rd Quarter and 9 months ended 31st December 2024 .
Today , we have with us Mr. Sunil Ag rawal - Managing Director ; Mr. Nitin Panw ad - Group CFO and Mr. Prashant Saraswat - Head of Investor Relations.
We will begin the call with "Opening Remarks " by Mr. Sunil Ag rawal on the "Business Operations, Key Initiatives and a Broad Outlook " followed by discussion on the "Financial Performance " by Mr. Nitin Panwa d, after which the Management will open the forum for the Q&A session .
Before we get started, I would like to point out that some statements made or discussed on today's call may be forward -looking in nature and must be viewed in conjunction with the risks and uncertainties that we face. A detailed statement and explanation of these risks is included in the earnings presentation, which has been shared with you all earlier . The Company does not undertake to update these forward -looking statements publicly.
I would now like to invite Mr. Sunil Agr awal to make his opening remarks. Over to you , sir.
Sunil Agrawal : Thank you, Nishita . Good evening, everyone and thank you for joining our Q3 FY25 earnings call. I hope you would have reviewed the quarterly results and investor deck. Before diving into quarterly updates, I am happy to share that our Germany operations have broken even at EBITDA level and Ideal World, the new business that we have acquired , has turned profitable in Q3 as expected.
Now let me start on the quarterly updates. I am pleased to share that we achieved our highest ever quarterly sales of Rs. 977 crores, showing a 10% Y oY growth. Owing to a surge in demand of high -end jewelry, gross margin came in at 61.3%, which is 110 basis points lower Y oY. The EBITDA margin improved to 11.5% this quarter, which is 40 basis points higher than last year. Low gross margins were offset by savings in shipping costs, operating leverage, Germany reaching breakeven levels, and our ongoing cost optimization drive.
Before I cover territory -wise performance, I would like to update on lab -grown diamonds. Owing to the consumer demand towards lab -grown diamonds, we have successfully scaled our

offering, which contributes to 8.9% of quarterly sales versus 0.2% a year ago. We are leveraging our in -house sourcing, extensive jewelry design bank, and in -house jewelry manufacturing to stay ahead of our peers in this emerging segment.
Now let me take you through our key retail markets. In the US, revenue grew by 3.6% Y oY, boosted by strong festive season and improving consumer confidence. In the UK, the revenue was up 6.5% with Ideal World making a significant contribution. Germany continued its robust performance, posting a 30.7% Yo Y revenue growth. With operations achieving breakeven this quarter, we are confident about maintaining this momentum in Q4 as well. We further expect Germany to s tart contributing to our bottom line from FY26 onwards.
Our 4R strategy, that is widening reach, new customer registration and acquisition, strengthening customer retention, and repeat purchases continues to deliver strong results. Our T

V networks
now reach 127 million households, and our unique customer base has grow n by 30% YoY to approximately 6 ,98,000 . Excluding acquisitions, our customer base grew by 6% YoY . Customer retention remains strong at 43% with an average 22 pieces purchased by customer annually.
I would like to update you on Ideal World and Mindful Souls. Ideal World showed impressive

YoY growth of 95% and achieved full cost profitability in Q3. Mindful Souls also performed well, maintaining PBT margin of 7% this quarter. With over 1 ,02,000 unique customers, we are getting vi sible benefits of leveraging VGL 's supply chain and are regularly launching new products as well. At VGL, community give back is our area of focus. We recently achieved milestone of serving 97 million meals to school children through our 'Your Purchase Feeds …'- One for One Meal initiative. With 69,000 meals donated every school day, our long -term goal is to provide one million meals per school day by FY2040.
On the sustainability front, we generated 1.1 million kilowatt hours of solar energy this quarter, entirely powering two of our manufacturing units in India. This aligns with our long -term goal of achieving carbon neutrality for Scope 1 and Scope 2 greenho use gases emissions by 2031. During the quarter, we received the IGJ Award from the Ge ms & Jewelry Export Promotion Council for being the highest exporter of cut and polished colored gemstones from India. This reflects our operational capabilities and commitment to contributing to India's leadership in gemstones and fashion jewelry industry. As we aim to balance growth, reinves tments and shareholder returns, the board has declared an interim dividend of Rs. 1.5 per share for this quarter representing 39% payout. This reflects upon the robust cash generation ability of our business and a strong growth outlook.
Looking ahead, we remain mindful of macroeconomic trends, particularly the muted consumer sentiments in UK and Europe. We expect 12% revenue growth for FY25, reflecting these conditions while maintaining operating leverage. From FY26 onwards, we anticipate early team revenue growth with a continued focus on operating efficiencies and leverage. I will now hand over the call to Nitin to discuss our financial performance in detail. Over to you, Nitin.

Nitin Panwad : Thank you, Sunil. And good evening, everyone. I will take you through our financial performance for the December quarter. We are pleased to report that this quarter, we recorded our hig hest ever quarterly revenue of Rs. 977 crores, up from Rs. 888 crores of Q3 FY24, which is 10% year -over-year growth. Our gross margin was 61.3% suggesting the impact of product mix tweaking to match the consumer demand. EBITDA margin improved by 40 basis points to 11.5%. This was primarily driven by Germany achieving EBITDA breakeven , Ideal World achieving full cost profitability, operating leverage, part of which we reinvested in digital spending in the US . Profit after tax for the quarter stood at Rs. 64 crores, a 36% year -over-year growth, reflecting the degree of operational leverage of our unique business model.
In terms of regional performance, US revenue grew by 3.6%, supported by a strong holiday season and improving macros. The UK posted a 6.5% revenue increase, driven largely by Ideal World. Germany recorded a strong 30.7% Y -o-Y growth, with operations achieving breakeven this quarter. As Sunil also mentioned earlier, that this progress strengthened our confidence in Germany's ability to contribute to the bottomline from FY26 onwards.
For Q3, TV revenue reached Rs. 547 crores, while digital revenue totaled Rs. 380 crores. TV revenue grew by 6% year -over-year, and digital revenue grew by 12% year -over-year. Digital sales is contributing 40% of total B2C revenue. Our budget pay EMI option accounted for 38% of B2C re

venue, highlighting its convenience for our customers .
Ideal Worlds' full -cost profitability this quarter is a significant milestone, and we are focused on scaling the business further. Mindful Souls also contributes to perform well, with cross -learning from its digital operations benefiting our existing busin ess in US, UK and Germany. Our balance sheet remains strong, with the net cash position approximately US $12 million, that is, Rs. 106 crore. Free cash flow and operating cash flows stood at Rs. 54 crores and Rs. 78 crores respectively. Quarterly cash flow generation was slightly impacted by our receivable due to increased inventory and prepayment to suppliers. Our ROC E improved to 18% and ROE to 11% reflecting steady progress.
We are pleased to announce a third interim dividend of Rs. 1.5 per equity share, representing 39% quarterly and 63% YTD payouts. As we look ahead, we remain cautious about broader market conditions, especially in the UK and Europe. Factoring in these challenges for FY25, we now expect 12% revenue growth while maintaining operating leverage. From FY26 onwards, we aim for an early teen revenue growth along with operating leverage. Back to you, moderator, please.
Moderator : Thank you. Ladies and gentlemen , we will now begin the question and answer session. Anyone who wishes to ask a question may press "*" and 1 on their touchtone telephone. If you wish to remove yourself from the question queue, you may press "*" and 2. Participants are requested to use their handsets while asking a question. Ladies and gentlemen , we will wait for a moment

while the question queue assembles. The first question comes from the line of Rushabh Shah from Buglerock PMS. Please go ahead.
Rushabh Shah: Yes. So, in the last call, you mentioned that our current market share is 4% compared to the Qurate and Shop HQ. And their market share has grown less than 2%, which is good for us. So, as we grow our revenue per household, which we are at $3 to $3.5, and the leaders are s itting at $60, so what steps are we taking to reach towards the leaders? I know the journey would be really long. How much time would it take the management and does the management have that vision to reach nearer to $60?
Sunil Agrawal: Yes, Rushabh , thank you for the question. Good question. So, we focus on our 4Rs, expanding our reach on television footprint as well as our e -com reach through social, Google, and affiliates. Then we expand additional registration to get more customers coming and register or join us , then retention and repeat. So, for these, we have action registers for each of these drivers of our business. We also have guardrails in place. The gross margin is a guardrail. R oCE is the guardrail and the profit leverage is a guardrail. So, with these guardrails, we function and invest into these 4Rs continuously. As we have demonstrated over the years, we will continue to grow our market share for many years to come. Our business model is very, I would say, unique and very difficult to assail. Our moats are strong because being vertical ly integrated from India and Asia and very agile to the market. We will continue to see gaining the market share in these a dvanced economies of the world.
Rushabh Shah: Just a follow up on that one, you said your moats are strong because you are a vertically integrated business. What else separates you from the competitors? Is it the SKUs or what else separates you?
Sunil Agrawal: So, vertical brings low cost so we can afford to undercut a competitor should a competitor come and agility for any new idea coming in. Other people are working through middlemen, so it takes time for people to respond to any new opportunity that comes in. We being vertical ly integrated , we can turn around an idea within two weeks, from idea to product on air within two weeks. Pretty

much like Zara, that they have perfected the model from concept to showrooms within 4 weeks. Since our product is mostly shipped by air so we can produce it ..
Rushabh Shah: How much time does the competit ion put an idea into a product?
Sunil Agrawal: So, they take much longer . I do not have an exact number for each of the competitors. They have multi -layers in between. So, the concept has to travel and then has to be translated into the product and sample has to be approved and then product has to be shipped, so much longer lead time. So, I can tell you from my experience, we used to supply to QVCs or HS Ns or Wal -Mart s of the world. So, they used to give us three months lead time. So, we took a long time to make and then shipp to them. And the concept used to be six months in advance. So, it used to be a much longer period when we were vendors to them.

Rushabh Shah: So, my next question is in the budget pay , if a customer defaults on one product and he orders another product from our website, so how do you maintain a list of people who have defaulted and do we offer any new product to him via budget pay?
Nitin Panwad: Hi, Rushabh , Nitin here. Let me take this question. So, we assign the limit based on customer profile, customer payment pattern, and customer default or failure history. So, as soon as a new customer comes, we don't assign a full limit to them. We give, for example, budget pay available over there. If customer defaults at the first place, then customer will no longer be able to take budget pay while they can check out via full payment through card. As soon as customer repay their debt, then cu stomer will be eligible from the assigned limit respectively based on our internal management system.
Rushabh Shah: Okay, that's great. In the last call, you mentioned that when a customer comes to you, you want to retain the customer and move him to the other platforms when the lifetime value goes up. So, how many of the customers have been able to convert in the past three to four years?
Nitin Panwad: So, we monitor as per three categori es. One is omni-channel customer, one is TV consumer, and one is buying only on web consumer. Though there are different subsections also in between . But omni -channel customers roughly contributes in counts. It's around 12% of our business which contributes roughly around 70% to 80% of business sales, and while TV and web a s different numbers. So, that is why we promote the customers for having omni -channel experience so we can increase the customer lifetime value. And we maintain this ratio and try to increase that customer count ratio of 12% to 13% .
Rushabh Shah: Okay, so last question is what is your vision for Vaibhav Global? Where do you see Vaibhav Global going next 5 years ?
Sunil Agrawal: So, our mission is to reach 1 million meals by FY2040. And we evaluate ourselves against that goal. It is a stretch goal, though, from currently 6 9,000 meals per school day to 1 million meals

per school day . And for that, we have an internal tracker of how we are doing against that. So, that counts into number of pieces, revenue and continued profitability deliveries in short to mid -term.

Rushabh Shah: Thank you so much. Thank you.

Moderator: Thank you, Rushabh . Ladies and gentlemen, in lieu of time, we will restrict to two questions per participant and you can rejoin the queue for further questions. We take the next question from the line of Anushka Chitnis from Arihant Capital. Please go ahead. Anushka, if you can please unmute your line from your end and ask your question.

Anushka Chitnis: Congratulations on a good set of numbers, and thank you for the opportunity. I have a couple of questions regarding material costs. They seem to be substantially higher this quarter. So, any particular reason for that? And also, I would like to know abo

ut how you see your lab -grown

diamond business shaping up in the future, because it was quite a large contributor to the top line this quarter. So, can you just talk about that a bit?

Sunil Agrawal: Let me talk about lab -grown diamond first, and then Nitin will take the first question. So, lab-grown diamond is a strong trend right now, promoted by most retailers, particularly Swarovski and Pandora. So, these are large retailers, and they are trendsetters. And we believe that our value proposition in lab -grown diamond is pretty strong because of direct sourcing and our inhouse jewelry manufacturing and designing. So, that's why it has taken a large portion of our sales. And for foreseeable future, I see this ratio to continue. It may go up a little bit, we don't know about exact sales mix. We are very agile in addressing consumer demand. So, we expect it to be double digit for about 10 %, 12% for foreseeable future.

Nitin Panwad: And about your question of material cost, so our gross margins remains strong, what we used to guide earlier , i.e., over 60%. Though the margin is lower than the last year because of the mix in product portfolio and the higher number of clearance days that we have done in this quarter. And we expect that our gross margin will continue to be above 60% in upcoming quarters and years.

Anushka Chitnis: Okay, thank you. I will get back in the queue.

Moderator: Thank you. The next question comes from the line of Aditya Singh from Robo Capital. Please go ahead.

Aditya Singh: Hi, thank you for the opportunity. Sir, I would like to understand more on the TV revenue and the volume growth because it is kind of flattish. So, is there some kind of risk that we need to know in the TV segment?

Sunil Agrawal: So, I will take that. So, thanks for the question, Aditya. TV segment for us still is a lot of untapped opportunit ies within US. Although there is a cord cutting happening on the cable fr ont, OTA continues to grow year -over-year. And we expect a single digit growth continued into television space. It could be low to mid-single digit growth year -over-year. Now, some quarters may fluctuate a bit, some quarters may not, but overall, we expect it to continue to grow. On the other hand, digital, we expect to grow faster than TV. Therefore, overall growth will continue on early teens for the future years. Now, the volume is als o a factor of average price point. With lab-grown d iamond taking up a lot of revenue share, our ASP increased last quarter. Therefore, the volume you might be seeing a little bit subdued. But in long run, we see the steady state at around similar price points and will continue to grow on early teen numbers overall.

Aditya Singh: Alright and with respect to Germany, Ideal W orld and Mindful, do we see any potential revenue or target market share that we might be targeting to achieve in their respective geographies?

Sunil Agrawal: Yes, so Ideal World we include within the same TV demograph y. Mindful Souls is a completely D2C digital business. And we see this to be accretive for the group from topline and bottom line

both ways. And also we are learning from this pure D2C business, transferring that learning to our Group for TV channel brand s, and we've seen benefit of that. Our digital spend has gone up, digital efficiencies have gone up. They're still not at the level of Mindful Soul , but we expect the learnings to inculcate more and more in coming years. And our TV business will become as efficient as Mindful Soul s in digital retail .

Moderator: Thank you. The next question come s from the line of Anushka Chit nis from Arihant Capital. Please go ahead.

Anushka Chitnis: Thank you for the opportunity again. So, I have again a couple of questions. I want to ask you a question about .

Sunil Agrawal: Anushka , can't hear you.
Moderator: Anushka, a re you there? Apologies Anushka, if you can hear me, we are not able to hear you. Since there is no response, we move on to our next question, which is from the line of Shubham Biswal from Convergence Capital. Please go ahead.
Shubham Biswal: Yes, hi, sir. Am I audible?
Moderator: Yes, yo u are. Please go ahead.
Shubham Biswal: Yes. So, in one of our slides, we have mentioned how we are making several D2C brands of our own. So, do these brands necessarily have high retention rates , have you observed this or have you observed this with bigger companies having their own brand? So, what's your thought process here on our own br ands? That's my first question.
Sunil Agrawal: Thank you, Shubham. It's a good question. We track our own brand's performance against the benchmarks we have from industry. So, we create the benchmark against each vertical of digital marketing that is organic social, paid social, organic SEO, paid Google affiliates through email retargeting and other properties retargeting through display ads and all that. And through that we constantly review and we try to improve each of our brands. To your point, yes , we track not only D2C brands, but o ur legacy brands as well against those practices.
Shubham Biswal: Thanks for the answer. So, the next question is, we have been trying to expand our digital medium. I mean, I think it's a significant portion of our revenues now. But what we've been trying to understand is our majority for modes, right? In a way, as we have been catering to a very old population who primarily watch TV , but now when once we're transitioning to digital, the customer base changes. Right now there's a much younger population. So, what I want to understand is this digital transition , kind of an omni -channel approach that you're follo wing, or will there be higher A& P spen ds going forward, because this is a completely different, there's a big high competition as well in this segment. So, how are you looking at this, this digital transition? So, yes, that's my question.

Sunil Agrawal: Thanks, Shubham . So, even digital space, we target customer 40 plus only. So, that's why we go on Facebook and Google for our customers, not on TikTok or Snapchat or other younger demographic platforms. The reason of targeting this customer is because this customer is more affluent. This demograph y is increasing every year as the population is aging. So, this demograph y increases, and they have more disposable income. So, our web customer is just about 5 years younger than our TV demograph y, but still is same. And our product offering is also addressed towards this demograph y, 40 to 70 year old, mostly white Caucasian female. We also have some Hispanic, some Asians as well, but largely white Caucasian females, and same in Germany and UK as well. So, our ecosystem is largely driven towards this audience.
Shubham Biswal: That answers my question. Thank you. All the best for the future.
Sunil Agrawal: Thank you, Shubham.
Moderator: Thank you. The next question comes from the line of Pritesh Ch heda from Lucky Investments. Please go ahead.
Pritesh Chheda: Sir, I wanted to know for the nine months, what would be the margin percentage or loss percentage number in Germany operation and what will be the profitability or loss percentage number in The Ideal World?
Sunil Agrawal: Hi Pritesh. So, Germany in the first nine months, roughly around 2% margin was consumed by Germany, Germany losses. Ideal World was very small. I don't have the exact number but I would expect roughly 0.5% I deal World was in first nine mo nths.
Pritesh Chheda: So, you're saying Ideal World will be 0.5% of the Ideal World revenue, right?
Sunil Agrawal: Not 0.5%, as a gr oup percentage if I talk about.
Pritesh Chheda: So, bas

ically both these operations put together consume 2.5% of the group's revenue ?
Sunil Agrawal: That's right.
Pritesh Chheda: So, adjusted for that, if you're nine month, whatever was your nine-month margin, we have to add 2.5% to it?
Sunil Agrawal: That's right .
Pritesh Chheda: Thank you very much.
Moderator: Thank you. We take the next question from the line of Anushka Chitnis from Arihant Capital. Please go ahead.

Anushka Chitnis: Thank you for the opportunity. I have a couple of questions. I would like to know about your US and UK growth, ex The I deal World and Mindful Souls acquisitions. And the second question is, how do you see your medium -term margin outlook shaping up? And how will the

German business be contributing towards the margins and the bottom line like going ahead in the next three to five years ?

Sunil Agrawal: So, this is Sunil. I will take the second part and first part, then Nitin will answer. The US economy is relatively better. So, we expect the US to continue to give us a growth of high single digit in the coming quarters and coming years. And in UK, TJC and Ideal World are sort of combined operations. They are combined legal entity and they have a lot of common staff and operations are also quite common. So, we prefer to give the guidance together with UK. And so together, the UK will give us low d ouble -digit revenue growth in the coming quarters and years. Now, does it answer your question o r you had other question to it?

Anushka Chitnis: I wanted to know about exluding the two businesses.

Nitin Panwad: Let me take the question that you asked initially. So, UK in the first nine months, if we exclude the acquisition of Ideal World, UK standalone TJC de-grew by 2% while Ideal World gr ew significantly. In first nine months , UK grew by 12.3% year -over-year including Ideal World.

Anushka Chitnis: Okay, that is helpful. Thank you. And regarding the medium -term margin outlook also, if you can say anything, and the German business as well ?

Sunil Agrawal: From the gross margin point of view, we expect the gross margin to be in the region of around 62% in the medium term. And Germany continues to grow. We had a 30% growth rate in Germany last quarter. So, we'll see good growth in 20s or 30s percent kind of growth in the coming quarters as well.

Anushka Chitnis: Thank you, sir. I also have one more question if I can squeeze it in. I noticed that your B2B revenue is up substantially compared to the B2C revenue in terms of growth. So, why is this? And also, you have any plans to significantl y enhance your retail presence?

Sunil Agrawal: Yes, so I will take that. The B2B revenue is more a reflection of our operational excellence from India. A lot of customers are approaching us from Europe, USA, Japan, probably because of China Plus One, and also seeing our operational efficiencies and values that we offer to them. So, long time ago, we used to have our own B2B operation in the US that we discontinued quite a long time ago. So, whatever is done from India, and we also make sure that these operations give us at least 18 %-20% R OIC and also learning from those markets. Because we are in these markets, Europe, US, and we do hope to go to Japan, so those learnings are valuable to us.

Moderator: Thank you. The next question comes from the line of Saurav Kumar from Scienti fic Investing. Please go ahead.

Saurav Kumar: Sir, I have a question. So, our target audience is basically 45 plus and women. And TV has been historically a key revenue driver and we are trying to grow digital to 50%. But my question is, this whole internet in US and Europe, it caught up in post 1995. So, ideally, if we look at the age band people who are like at a young age after 95, 97, they are the one who are hitting 45 years of age band. Do you see some major disruption coming in next three, four years? Because now the next generatio n of 45 -year plus people you will see next five year, they will be the people who have grown on internet. So, I know your digital is growing and you want to take it to 50%. But do you see any major disruption in the consumer behavior coming in the TV segment because of this risk? And if yes, how are you planning to mitigate? Is 50% good enough or we need to have a higher aim for digital?

Sunil Agrawal: Good question, Saurav . Thank you. So, we expect the digital to continue to grow as a ratio of sales, and TV to continue to grow in absolute numbers for foreseeable future because we still have some footprints that we can still acquire on television. We are not fully covered. But the main pheno menon that we look at ourselves as, that we are a live programming Company , we broadcasts oursignal right now through television, through cable satellite, telcos. But more and more, our web stream revenue share is g rowing up as a percentage of revenue. Now, web stream would be consumed by these consumers through OTT platforms, say Netflix or Amazon Fire TV, Roku, Hulu, and AT&T of the world. And those platforms will become bigger and bigger part of our sales. So, our USP is a live programming with engaging content, now and here kind of entertainment, education, and Company to th ese audience that we have 4 0 to 75 year old. They are mostly single. They are living in their homes. Single in the sense that children have gone. They are at home. They have time on their hands and they want the company , education and entertainment. So, whether the signal goes through cable, satellite, telco or OTT or OTA, i.e., over the air , that they don't pay or to their desktop or tablets or iPhones. So, we see that as our strength and that will continue to grow as you might have seen, I am not sure. The web stream business in China is substantially large and that phenomenon is coming in the US as well, more and more. So, those seeming advantage that we have over many years will continue to help us in long time to come. The medium may change.

Saurav Kumar: Okay and sir I have add itional question s here, so when it comes to competing in digital, in digital what kind of market share we have and who are our key competitors? That is one. And second is a bookkeeping question. I think out of nine years, only two years, we have gone free cash flow negative. Else, we already have a lot of good free cash flows. And given now we don't have any major CAPEX for next two, three years, can we expect an increase in dividend in the years to come for next two, three years? These are the two questions.

Sunil Agrawal: Yes. I will take the first one, the digital market share. Now, we are right now co mpeting against the relative TV/ e-com companies. Now, we do not compare ourselves against Amazon or all the D2C companies so far, because our pure D2C is a very small portion. As we learn the D2C to that level of being pure D2C, then we will start to measure that market , but we are not there yet. So, I don't want to even hazard a guess how big is the market, what is our market share in that

space yet. But we are confident that we are learning rapidly and getting more and more efficiencies in our digital spend and getting those customers and hopefully transitioning those customers to live stream that goes through web or OTT and thus increasing the lifetime value of that customer that other D2C players cannot so that they don't have that experience. Saurav can you repeat your second question?

Nitin Panwad: Let me take the second question about the free cash flow. So, our business model is very unique where we get the payment early from the customer. And we generate pretty high cash. There is a very low asset -light model. Apart from a

year that we had, as you mentioned about negative cash flow, but all the year we had a good amount of cash flow. We reward that through dividend payments and we constantly look for our future opportunities to get more market share via digital or TV mediums. But if you don't find a suitable opportunity which gives 20% or more ROIC, then definitely we may think of rewarding to shareholders.

Moderator: Thank you. The next question comes from the line of Gaurav Nigam from Tung a Investments. Please go ahead.

Gaurav Nigam: Yes, thank you for taking my question. My first question was Mindful Souls and Sunil Sir, just wanted to get your view. Since the acquisition in your view, how has the business performed? What has worked favorably and what has not? And a related question which I wanted to ascertain whether I am looking at the right number . In Mindful Souls, I think the last quarter that TTM PBT margin disclosed was 10% which is right now 7% in the presentation. Is this number right? And that growth numbers are also looking almost similar. So, just wanted to check if the numbers are printed correctly and if you can help understand on Mindful Souls , what has worked and what has not ?

Nitin Panwad: Sure. Let me take the first part, Nitin here. So, for the Mindful Souls, the last some months we moved our warehouse facility to our own in -house and also supply chain started using from our own in -house , i.e., Vaibhav Global rather using from third party in China. So, that required air shipments that resulted in lower gross margins what we initially had with the Mindful Souls. But now as we are leveraging the supply chain which will be fully completed from February onwards, that will convert into higher gross margins. So, numbers you are looking is right as a current PBT margin 7%, but with the leveraging full supply chain from India after having sea shipment s starts form India - that will come from this quarter onwards, we will see the higher gross margin s. And Sunil, you can take the other part.

Sunil Agrawal: Yes, so other part about the revenue growth, we transitioned the business to us. In that process, we are also learning and implementing new strategies. For example, when Mindful S ouls was doing its own business, it was separate, it was not our Company . They were only focused on subscription. And now we started adding single item sales as well. The hope is to get the single item customer to move into subscription. And to acquire a single item customer is much lower cost and easier than a subscription customer. So, that is paying off. So, our customer acquisition

is now higher year -over-year, every month, every week now. And we are hoping to transition that and having those email flows, text flows, and retargeting flows to convert them into subscription. So, we are very happy with the business that we acquired from ROIC point of view and from learning point of view for other parts of the business. So, this is one of the best deals that we've done.

Gaurav Nigam: Very interesting. Thank you, sir. So, one another question was on Ideal World . So, when we said it is full cost profitable, are we talking about it at the EBITDA level or at the PBT level? Just wanted to clarify this one ?

Nitin Panwad: Yes, it is PBT level. Yes, there's no t much deprecation cost involved in Ideal World .

Moderator: We take the next question from the line of Nirvana Laha from Badri nath Holdings. Please go ahead.

Nirvana Laha: Hi, thank you for the opportunity. So, to hit the early teens revenue growth that you're targeting now, can you please break down the volume growth, the ASP growth, and any kind of INR depreciation that you're factoring in this 13% growth number. The reason I ask is because the volume growth in this quarter, I think it's the first full quarter with Mindful Souls and Ideal World in

the base , but is is only 1.7%. So, what are the levers that you have to take it up to your target volume growth number and what is that target volume growth number to achieve the target revenue number?

Sunil Agrawal: Yes, I will take that question. Thank you Nirvana. For us, we are a very agile Company . We have a lab -grown diamond ring as a trend. Last year we had almost zero revenue share of lab - grown. This year it's almost touching 10%. We take opportunity of the trend and address and cater to the market. In that process, our ASP went up and because we give more airtime to higher ASP items . Our lower price point product s were not given sufficient airtime, so overall volume came down. But for going forward, we see about similar ASP for foreseeable future. So, you must assume in your model, similar early teens volume growth, and therefore similar operational expenses at similar volume. And from revenue coming up at early things, the leverage coming down from our other expenses, HR expenses, logistic expenses, and so on, distribution expenses. The digital spend will go up because we see that as a future leverage potential. So, that may go up. So, content and distribution may stay constant as a percentage of revenue, but there will be leverage coming in from other areas.

Nirvana Laha: Got it. Next question is strategic on the TV , sir. So, if we look at our reach, it's 127 million households, but our unique customer is only 0.7 million, which is like a 0.5% penetration , right. And when I compare this with Q urate, Q urate reaches about 200 million, but their penetration, their unique customer is very high. It's 14.5 million. So, almost like a 7 %-8% kind of penetration compared to our 0.5%. So, my question is, out of the budget that we say that out of the 18% that we spend, 11% goes towards TV. My question is, out of this 11%, how much are we spending in tying up the broadcast deals with the carriers, which just carries our channel to their

households, versus how much are we spending to actually market our channel to the viewers so that they actually tune into our channel? So, if you can help in understanding how the spend is split between the two and what we are doing to get our penetration number high because I think our household reach is already very good ?

Sunil Agrawal: Yes, thanks Nirvana. So, household reach has two factors. One is the footprint, how many homes we are in. And second is, what is the channel position in respective home that we have? So, Qurate has been able to get very low channel positions or prime position and multiple channels in each home. So, Qurate has three or four channels in most of the homes. And we have 1.2-1.3 channels per home. I don't have the exact number, but it is substantially lower than them. And the channel position also is not as high as them. So, high means not as prime as them. It is a factor of how much you pay to those airtime companies. Now, our effort is to continue to improve the channel position and number of channels each home that we broadcast in based on the ROI that we expect from these markets. So, we are very tight in managing that expense where it can run away very quickly. So, we have a good analytics team, so we evaluate that continuously every week where these deals are offered to us, and we evaluate them. And we go with that open eye. If it doesn't work, we are able to get out of these deals within say 90 days or so. So, we will continue to evaluate those opportunities and try to get better and better channel positions or more footprints in time to come. And the biggest opportunity for us coming time Nirvana is the streaming channel positions. For example, YouTube TV is ab out 11 or 12 million homes and we are not there at all. R oku TV, we are not in that. There are a couple of million homes. So, we are not into that OTT, say OTT online

linear stream space yet. It's a huge potential market for us. But as we go deeper and deeper into the understanding of this OTT, that will add revenue or bottomline to us. So, there is a lot of potential in TV space to grow per household revenue, better channel position, larger footprint , and more channels within each market. But we are frugal in analyzing each of these opportunities.

Moderator: Thank you. The next question comes from the line of Gopinadh a Reddy from PN R Investments. Please go ahead.

Gopinadha Reddy: Hello, sir. My question is, why are we not entering Indian market? I've shown our channels, web channels, to some of the women here. And they're very much liking the models, as well as they're very much fine with the pricing also. And I wonder why we are not entering, given that we are also entering into lab-grown d iamonds now, which is a good market in India ?

Sunil Agrawal: Yes, thank you for a good question Mr. Gopinadha . So, we evaluated Indian market few times. We couldn't make the model work. Even in the three, four years ’ timeline that we make our Western companies profitable, Indian market didn't have the visibility for a few factors. Number one, the airtime costs in India are higher than Western world as a proportion of sales. Number two, the shipping cost is all on us. Consumer don't pay shipping costs in India, whereas in the western world, we charge sh ipping costs. Shipping cost contributes about 6% of our revenue, so that doesn't come in India. Third thing in India, when we looked at numbers of some of the target

companies we were thinking of acquiring in India, the 30% of the customers don't re ceive the parcel when the parcel reaches them on COD basis. So, those 30% packages come back whereas in US, UK, Germany, this ratio is less than 0.2%. So, the economics of India TV space doesn't work. Now, India is a potential market for complete D2C in future, but still is in discovery mode. So, the majority of D2C companies in India are still loss -making. So, we will come into India market down the road, but we believe that it is still in discovery mode and doesn't f it well for our business model.

Gopinadha Reddy: Okay, that's it from my end, thank you.

Moderator: Thank you. The next question comes from the line of Manan Vandur from Wallfort PMS, please go ahead.

Manan Vandur: Yes, thank you so much for the opportunity. So, one of the participants had asked about excluding Germany, like how much cost Germany took. So, that number you said 2.5%. So, that 2.5% I add in the PAT or in the EBITDA?

Nitin Panwad: Yes, it's a margin, Manan. The initial first six months, we had losses in Germany for this year. And though we have achieved a breakeven in quarter three , but six months in terms of our margin side roughly around 2% of our margins were lowered due to Germany . So, I meant to say that excluding Germany and Ideal World both if I exclude that , I could have achieved 2.5 % higher EBITDA margin in this quarter or in this nine months.

Manan Vandur: Okay, so you are saying that at the EBITDA level, if we exclude the cost, sorry the losses of Germany and Ideal World both on the EBITDA level, then you would have had 2.5% more , right?

Nitin Panwad: Yes, right.

Manan Vandur: Okay, understood. And sir second question is that, could you please tell us what were the Germany revenue in INR for quarter three and for full nine months 25 in INR ?

Nitin Panwad: INR, I am not sure, but we reported that number in one of the slide, I think 7.5 million Euro in quarter three we have done, and 19.4 million Euro in first nine months we have done.

Moderator: Thank you. The next question comes from the line of Pradeep from RGI Pr ivate Limited. Please go ahead.

Pradeep: Hello.

Moderator: Yes, Pradeep, please go ahead.

Pradeep: Yes, thanks for giving me the opportunity. My first question is, why your Company call off the merger between Vaibhav Vistar Limited and Vaibhav Lifestyle by selling the Vaibhav Vista r Limited? What is the reason?

Nitin Panwad: So, both these companies are not in operational nature. So, the merger was that the Vaibhav Vistar is not in operational. It was just sitting with the asset of land in that Company . So, to optimize our working capital, we have sold that asset. So, that is not needed for our operational perspective in India side. We already have six different buildings in India which has a capacity of even 30 % to 40 % higher production in the current capacity. So, that is why we have sold that and we called off the merger of Vaibhav Vistar and Vaibhav Lifestyle.

Pradeep: And my second question is what is the gross margin for lab -grown diamonds? That you said that it's the 10% of total topline. Can you comment on that?

Sunil Agrawal: Yes, it's slightly better than our overall margin, a couple of pe rcentage points better.

Pradeep: That means our actual gross margin now, this current quarter is 61.5% approximately. That means higher than that ?

Sunil Agrawal: Yes, correct.

Moderator: Thank you. The next question comes from the line of Pratik Dedhia , an investor. Please go ahead.

Pratik Dedhia: Hello.

Moderator: Yes, Pratik , please go ahead with your question.

Pratik Dedhia: Yes, my questions have been answered. Thank you.

Moderator: Thank you. The next question comes from the line of Ketan Ch heda, an investor. Please go ahead.

Ketan Chheda: Thank you for the opportunity, and congratulations on good results. What I would like to ask is, in terms of our digital platforms, of the various mediums like the websites, the mobile app, social, OTT or the third -party marketplaces which contributes higher amongst the digital options in terms of revenues ?

Sunil Agrawal: Sorry, can you repeat please?

Ketan Chheda: Yes, sure. My question is that of all the various digital avenues that we have, like the mobile application , the website, the social media, the OTT platforms, of all these different avenues, which avenue generates maximum revenue in the digital platform space for us?

Sunil Agrawal: Digital, o ur main medium is our own proprietary website where we do our live streaming of our live tele shopping, live running video commerce, and also the other selling medium for fixed price catalog, rising auctions, and clearance. Apart from that, we have other m edium of marketplaces and selling through smart TVs. But our majority of almost around 80% of sales is coming through our own proprietary website. But sorry, actually let me correct this. The digital medium also includes the mobile apps. So, mobile, if my total digital sales is 100, then mobile app itself is contributing roughly around 30% of total digital sales, and around 50% roughly contributing our proprietary website through desktop and rest is other different mediums of marketplaces and s mart TVs, OTTs.

Ketan Chheda: Yes, thank you. That was very helpful. So, again, relat ed question. So, in terms of the spends, if we were to, for the nine months FY25, if we were to divide the spends between digital and TV, could you give a break up either in absolute numbers or in percentages, however?

Sunil Agrawal: Absolute, I don't have, but percentage terms, the cost is roughly around 18% for content broadcasting. And out of this 18%, 11% is our TV -related broadcasting cost, and 7% is our digital medium cost, which i s primarily in Meta and Google.

Ketan Chheda: Does it mean that we are spending less on the digital right now, the growth rate of digital revenue is increasing and the share of reve nue also is increasing digital?

Sunil Agrawal: Yes, so digital we have a good amount of sale coming throug

h live shopping medium. That is also part of the broadcasting. Some of the customers who watch our show in live streaming platform on our website, they also watch from television. So, that digital 100% cost, we cannot attribute that our sale and all digital sales is coming through our native digital platform. That is why you may see that the lower amount of spend is generating higher revenue in digital.

Moderator: Thank you. Ladies and gentlemen, that was the last question and that concludes our question and answer session. I now hand the conference over to Mr. Sunil Ag rawal for his closing comments.

Sunil Agrawal: Thank you, Ryan. I want to thank all the participants for your time and great questions. If you have any further questions, feel free to reach out to Prashant Saraswat at VGL, or Amit Sharma at Adf actors PR India. And we will be happy to answer your questions. Thank you once again.

Moderator: Thank you. On behalf of Vaibhav Global Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2025

VAIBHAV GLOBAL LIMITED

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Ref: VG L/CS/202 5/55 Date: 28th May , 2025

National Stock Exchange of India Limited (NSE)
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra, Mumbai – 400 051
Symbol: VAIBHAVGBL BSE Limited
Phiroze Jeejeeb hoy Towers,
Dalal Street,
Mumbai – 400 001
Scrip Code: 532156

Subject: Submission of transcript of conference call
Dear Sir / Madam,
With reference to captioned subject, we are enclosi ng herewith the transcript of Q4 & FY25 Earnings Conf erence Call held on Thursday , 22nd May , 2025.
The Transcript of the earnings conference call has also been made available on the website of the Company and can be accessed through the following link :
https://www.vaibhavglobal.com/admin_assets/Investor/Investor_Presentation/1833337984703088.pdf
Kindly take the same on record .
Thanking you,
Yours Truly,
For Vaibhav Global Limited

(Yashasvi Pareek)
Company Secretary & Compliance Officer
M. No.: A39220

Encl.: a/a

“Vaibhav Global Limited ’s Q4 & FY25 Earnings Conference Call ”

May 22 , 202 5

MANAGEMENT : MR. SUNIL AGRAWAL – MANAGING DIRECTOR ,
VAIBHAV GLOBAL LIMITED
MR. NITIN PANWAD – GROUP CHIEF FINANCIAL
OFFICER , VAIBHAV GLOBAL LIMITED
MR. PRASHANT SARASWAT – HEAD- INVESTOR
RELATIONS , VAIBHAV GLOBAL LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Vaibhav Global Limited Q4 & FY ‘2 5 Earnings Conference Call.
As a reminder, all participant s' lines will be in the listen -only mode . And there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing "*", then "0" on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Miss Nishita Bhatt from Adfactors PR. Thank you and over to you , ma'am.
Nishita Bhatt: Good evening, everyone . And thank you for joining us on Vaibhav Global Limited ' earnings conference call for the 4th Q uarter and Full Year ended 31st March , 2025.
Today we have with us Mr. Sunil Agrawal – Managing Director ; Mr. Nitin Panwa d – Group CFO ; and Mr. Prashant Saraswat – Head of Investor Relations.
We will begin the call with the opening remarks by Mr. Sunil Agrawal on the business operations, key initiatives and a broad outlook , followed by the discussion on the financial performance by Mr. Nitin Panwa d, after which the Management will open the forum for Q&A session.
Before we get started, I would like to point out that some statements made or discussed on today's call may be forward -looking in nature and must be viewed in conjunction with the risk s and uncertainties that we face. A detailed statement and explanation of these risks is included in the earnings presentation, which has been shared with you all earlier . The Company does not undertake to update these forward -looking statements publicly.
I would now like to invite Mr. Sunil Agrawal to make his opening remarks. Over to you , sir.
Sunil Agrawal: Thank you, Nishita. Good evening, everyone. Thank you for joining VG L Q4 FY ‘2 5 earnings conference call. Hope you have reviewed the results and the investor presentation.
Before we discuss financial performance , I would like to briefly touch upon some broader macro developments in recent weeks that have influenced upon our operations in the US and the UK.
First, the tariff issue. In anticipation of this, we had already shipped advance inventory to the US, assuring we are well stocked for the next few months. However, policy fluidity causes uncertainty and consumer confidence erosion. We are hopeful for a trade agreement between India and US in near future which would bene fit a vertically integrated retailer like us. Among our peers, we are uniquely positioned with our in -house manufacturing and a global sourcing base, which gives us agility and flexibility to respond quickly.

Few days back the much -awaited India -UK FTA got signed , which is a timely development , and could open opportunities for our industry and VGL . In addition, the US -China tariff discussion is encouraging, especially as our US group companies procures lifestyle products from China.
These macro developments offer us opportunities that , we believe , will transl ate into improved consumer sentiment and market share gain for VGL .
Let me now take you through financial performance :
Revenue for the Q4 stood at Rs. 850 crores, reflecting a 7.7 % Y-o-Y growth. For the full year, revenue reached Rs. 3,380 crores , up 11.1% from Rs. 3,041 crores in the previous year. Our gross margin for the quarter remained robust at 62.1% , with a cumulative margin of 63.1% for the full year. We continue to see strong gross margins in our target range of +62%, backed by global supply chain. This integrated setup allows us to offer competitive prices with quicker turnaround times , while enjoying industry -leading margins. The digital business is contributing 41% to overall sales registering a five -year CAGR of 15%. We are on path to achieve 50% sales mi

x from digital businesses by FY ‘2 7.
Let me now walk you through the performance across key retail markets :
In the US, retail demand was subdued in January due to economic uncertainty and tariff concerns. February and March showed signs of improvement, particularly in e -commerce. A 1% growth in the US , while modest , reflects market share gain amid a challenging environment.

The UK retail industry has continued to face a challenging environment, with growth held back by economic uncertainty and cautious consumer spending. While this a ffected TJC, the Ideal World continued to show strong growth and help support UK performance. We actively manage airtime and product mix to align with evolving customer preferences.
Germany continued to gain market share, maintaining EBITDA breakeven for this current quarter as well. We are confident about achieving better profitability in FY '26 . Notably, this has been a much faster turnaround than we experienced in the US and UK when we launched there originally, t hanks to our past retail learnings.
In local currency terms, Q4 growth in UK and Germany stood at 2% and 18.7% , respectively.
We expect Ideal World to start contributing meaningfully to the group's profitability in coming quarters. Mindful Souls continued its steady performance, delivering 7% PBT margin in Q4.
With over 107,000 unique customers, we see tangible benefits from VGL supply chain and ongoing products passion to get wallet share of these consumers.
We continue to focus on four pillars of our growth that is:
1. Widening reach .
2. New customer registration and acquisition .

3. Customer retention .
4. Repeat purchase.

In Q4, our TV network reached 127 million households . As of 31st March 2025, our unique customer base stands at 710,000, which is up 21% Y-o-Y and the highest ever for VGL Group . Even excluding acquisitions, unique customers grew 7% Y-o-Y. New customer acquisition stands at 410,000 in Q4. While we sustain the retention rate at 4 4%. On a trailing 12-month basis, customers purchased an average of 22 pieces from us.
Sustainability continues to be the core of our business, and we are strengthening our ESG initiatives to drive long-term value. I am pleased to share that VGL has been assigned a combined ESG rating score of 72 , that is strong from ICRA ESG Rating Limited. This r einforces our position as a responsible corporate citizen.
At VGL , community giveback is integral to our business model, where every unit sold results in a meal for a school going child. We are pleased to share that this quarter we served 100 millionth meal to a school child since the inception of our mid -day meal program called 'Your Purchase Feeds…'. Currently, we serve 57,000 meals every school day.
On the clean energy front, we generated 1.1 million kilowatt hour of solar energy this quarter , meeting 100% of power needs of our manufacturing units. In addition , two US sites and one site each in UK and Germany also operate 100% o n renewable energy. These steps bring us closer to our target of achieving carbon neutrality as per Scope 1 and 2 emissions by 2031.
From the governance standpoint, our subsidiaries in India, the US, UK, Germany and China are certified as Great Places to Work®. We are grateful to our employees for their honest feedback and are committed to imbibe inclusive collaborative workplace environment across the group.
We believe in creating long-term value for our stakeholders. The Board has r ecomm ended a final dividend of Rs. 1.5 per equity share, subject to shareholders ' approval. Including the three interim dividends already paid , our total dividend payout for FY '25 stands at 6 5% of earnings.
We remain focused on profitable growth. For FY '26 , we expect to achieve revenue growth of 8% to 12% , with operating leverage. While macro risks persist, we a

re well positioned to
navigate them thanks to our low cost vertically integrated model , and high agility. For subsequent periods, we project revenue growth in the mid teens range with operating leverage.
I will now hand over the call to Nitin to address the financial performance. Over to you, Nitin .
Nitin Panwad: Thank you, Sunil. Good evening, everyone . And thank you for joining Q4 FY '25 earnings call.
Let me walk you through the key highlights of our financial performance for the 4th Q uarter and Full Year ended March 31st, 2025.

As Sunil mentioned earlier, we continue to closely monitor market dynamics and proactively manage our operations. In anticipation of tariff disruption in April, we strategically shipped additional inventory ahead of time, giving us a distinct advantage over many competitors.
Additionally, positive development like India, UK Free Trade Agreement and US -China trade discussions are promising and can unlock long term opportunities for business growth.
Turning to our financial performance, revenue for Q4 FY '2 5 grew by 7.7% year-over-year, reaching Rs. 850 crores compared to Rs. 789 crores of Q4 FY '24. For full fiscal year, our group recorded revenue of Rs. 3,380 crores , up 11.1% from last year, marking double digit revenue

growth.
Geographically, the US market demonstrated resilience. Though growth momentarily paused due to tariff uncertainties, we remain confident that the digital -first retailer like us will benefit significantly in the long run. In the UK, consumer sentiments remain subdued, with weak discretionary spending. However, Ideal World 's robust growth helped offset softness in our TJC core operation. Germany stood out by significantly outpacing the market, achieving EBITDA break even once again in this quarter. In local currency terms , growth in US, UK and Germany was 1%, 2% and 19% , respectively.
In terms of seals , TV revenue was Rs. 456 crores, showing a modest growth of 1% year -over-year. While digital revenue reached Rs. 350 crores, demonstrating strong growth of 15%. Our digital expansion is driven by strategic investment into enhancing our omni-channel capabilities. Digital now represents 41% of total revenue and we are confidently on track to reach our goal of 50% digital revenue share by FY '27.
Lifestyle products now comprise 33% of total sales compared to just 12% in FY '18. And we aim to raise this further to 50% in the medium term. Additionally, our budgetary option, which allows customers to purchase on EMI, contribut es notably to 39% of retail revenue in FY '2 5.
The gross margins remain healthy at 62.1% in Q4, reflecting the strength of our vertically integrated business model. EBITDA margin stood at 8.3% , slightly impacted by ongoing investment in digital growth and challenges in UK profitability , though partially offset by operational efficiencies and lower shipping cost. For full year , EBITDA margin was 9.4% , slightly down from 9.7% of FY '2 4.
Profit after tax for Q4 was Rs. 34 crores , upon impressive growth of 62% year-over-year. Annually, our profit after tax reache d Rs. 153 crores, making a solid growth of 21% year-over-year.
Both of our acquisitions continue to perform well. Ideal World maintains strong growth momentum while Mindful Souls remain a high gross margin business and is actively expanding its product offering and customer base. The cross learning opportunities from these acquisitions are delivering tangible benefit across the group.

Our business model continued to generate healthy cash flows with free cash flow at Rs. 127 crores and operating cash flow at Rs. 162 crores. Even after regular dividend distribution , our net cash position remains robust at Rs. 170 crores. Our return ratio , ROCE 19% and ROE at 12% continue to strengthen.
We re

main firmly committed to delivering consistent value to our shareholders. The Board has recomm ended a final dividend of Rs. 1.5 per equity share , subject to shareholder approval. Our total dividend payout for FY '2 5 stands at 65% of our earning s.
Looking forward, while we remain optimistic about growth trajectory, ongoing macroeconomic uncertainties prompt a cautious approach. For FY '26 , we expect revenue growth in a range of 8% to 12% with operating leverage over subsequent years, we anticipate revenue growth in the midteens with operating leverage.
Thank you. And I now turn the call to moderator for Q&A.
Moderator: Thank you very much , sir. We will now begin the question -and-answer session. We have our first question from the line of Rupesh Tatiya from IntelSense Capital. Please go ahead.
Rupesh Tatiya: Hello , sir. Thank you for the opportunity. My first question is for FY '26, can you give some idea about the content broadcasting budget? I think the number was Rs. 650 crores for FY '25, what kind of spend are we looking for in FY '26 ? Hello?
Moderator: Hello, Nitin sir?
Nitin Panwad: Actually, I just reconnected the call . If you can repeat that will be helpful.
Rupesh Tatiya: So my question sir is, the content broadcasting budget for FY '2 5 was Rs. 650 crores , what would be the budget , what kind of spend are we looking for in FY '26?
Nitin Panwad: So the content broadcasting cost right now is roughly around 18.5% of our business. We are monitoring both of the cost in line with our gross margin improvements . So if our content broadcasting goes up by 1%, we are expecting the additional gross margin will offset it by 1%.
Rupesh Tatiya: Okay, okay . I mean, it's a little bit difficult, I do not know what to make of that answer , sir. So, I mean , would it remain at 18% even if the gross margin goes up ? So let's say , hypothetically , gross margin goes up by 3%, 4%, the content and broadcasting cost would also go up by 3%, 4% as a percentage of revenue ?
Nitin Panwad: Yes. So, let me brief about the bifurcation of this content broad casting cost. So roughly around 11.5% is our TV broadcasting cost which is included in this content broadcasting cost number . And the remaining 7% to 8% cost is our digital marketing. So a major cost increase happen s year-over-year in digital marketing cost. And that we are continuously investing year-over-year

to see the momentum and acquiring a higher number of customers , as you may have seen in our investor presentation also . So right now it is difficult to guide this number that will remain to 18%, but definitely this number will not be below for the next financial year , either it will be 18% to 19% , I can give the range for the next year, it will be the content broadcasting cost . But we will not see the operating leverage in particular in this line item from P&L perspective.
Rupesh Tatiya: Okay, okay . That is clear , sir. Thank you. The second question sir is, I mean, can you give some idea about how would Germany revenue and EBITDA will look like in FY '26, and same for Ideal World ? Because these two are not contributing to EBITDA and between I think two of them i ts roughly I think Rs. 400 crores kind of revenue. So if you can give some idea about these two components businesses , that will be very helpful.
Nitin Panwad: Yes. So last two quarters were Germany and Ideal World , they both performed well. So for second -half, both of the se units ha ve done EBITDA breakeven . And first half of the year, both of the units have done EBITDA losses . The full financial year, we expect that the EBITDA margin from Germany operation will be in positive territory, which is right now around $2 million, $3 million losses that we have seen in the Germany operation in full financial year, that will be resulted in our profitability in

Germany per se . And also from the Ideal World perspective, Ideal World from the second -half has done well and growth of over 40% we have seen from the Ideal World operation s. A nd the recent improvement in our airtime cost negotia tions and the productivity improvement in different areas of the warehouse , we expect that that the Ideal World will improve the profitability margin .
Rupesh Tatiya: So to summarize , sir, Germany will grow at, let's say , 20%, 25%, and there will be at least 2%, 3% EBITDA margin , is that a fair assumption for Germany?
Nitin Panwad: Yes. So EBITDA margin specifically is hard to guide f or Germany, but last year we had losses . So slight profitable, not 2%, 3%, but slight profitable for Germany.
Rupesh Tatiya: Okay . And then Ideal World you are saying GBP 21 million it was and it had 40% growth, maybe I do not know if we can repeat that kind of number, but maybe 20% growth. So GBP 25 million and 1%, 2% EBITDA margin ?
Nitin Panwad: Yes. So growth that I mentioned was the previous quarter in Ideal World operation. So we expect that Ideal World will grow to 20% growth rate year-over-year specifically , and it will be around 1% EBITDA margin from Ideal World operations .
Rupesh Tatiya: And when do you see both these components coming to co mpany average , so 8%, 9% margin , is that possible in FY '27?
Nitin Panwad: Yes. So both business will continue to grow with the pace of 20% and above. So in next two years we will be in similar kind of margins what we are seeing in US .

Rupesh Tatiya: Okay . So FY '27 they will be significantly closer to Company average ?
Sunil Agrawal: So let me just clarify, this is Sunil. Ideal World should be there in FY '27. Germany is still new , so to give a guidance of 8% to 10% kind of EBITDA in FY '27 is too premature. But what I can say is there will be EBITDA positive in FY ' 26 which we were negative almost $3 million . So that will help the group profitability by , I believe , 1.5 to 2 percentage point s average. But we will be EBITDA positive . And in FY '27 we will be EBIT positive for Germany. To what extent , I cannot state at this time, it's too early.
Rupesh Tatiya: Okay . Yes, that's clear , sir. And sir, I think we were expecting a better gross margin due to Ideal World due to LGD and all of that , but it has not kind of come through in Q3 , Q4. So if you can give some color around that .
Sunil Agrawal: Yes. So this is Sunil . So one thing is the macro environment is a bit challenging because the consumer sentiment is weak. So to push through price increase at this time is difficult. Second thing is our B2B sales had a bit of increase last quarter and B2B had lower margin, therefore, you do not see that flow through into the overall margin s. So these two factors.
Rupesh Tatiya: And it would be like , I mean , I do not think the macro scenario has improved so it would be similar , it's fair to assume similar gross margin for this year as well ?
Sunil Agrawal: Yes. So at the guidance level, we want to give between 62 % to 63% gross margin guidance for this current financial year FY '26, but will be operating in leverage coming from our HR SG&A line items , because we are seeing a lot of optimization happening in HR area with AI, with talent initiatives that we have across the whole organization.
Rupesh Tatiya: Okay . And then for my final question is for the full year what percentage of --
Moderator: Sorry to interrupt, Mr. Rupesh, may we please request you to rejoin the queue?
Rupesh Tatiya: Okay .
Moderator: Thank you. We have our next question from the line of Gaurav Nigam from Tunga Investments.

Please go ahead.
Gaurav Nigam: Yes. Thank you sir for taking my question. Sir two questions, one is, just wanted to understand what is the PBT drag of Germany in Q4 and whole of FY ‘25 ?
Nitin Pan

wad: Yes. Hi, Gaurav. So PBT level, Germany is still in losses as the depreciation and the interest of inter-company is still there. But EBITDA level it is breakeven .
Gaurav Nigam: Got it. W hat about Q4 , at a P BT level was it still in --

Nitin Panwad: PBT level still losses , because interest cost is high for the inter-company loan. Though that it is eliminated at the consol idation level because the loan is given by US subsidiary Company to Germany
Gaurav Nigam: Understood, understood. But excluding the interest, will it be fair to say that P BT level there is a breakeven in Q4 ?
Nitin Panwad: Very close to breakeven, not to breakeven, but very close to breakeven.
Gaurav Nigam: Understood. And Sunil sir, just wanted to get a sense from you on USA sentiment with the tariffs and everything I think things are still , I mean, not very clear. So , how is the consumer sentiment ? And is there any improvement because I think already two months have passed since the quarter has ended , I mean , how are you seeing things on the ground?
Sunil Agrawal: Yes. So consumer sentiment still is a bit challenging. We are faring better than many other, for example, one of our peer just declared yesterday their negative comps after a very long time . And we are reading about negative comps , but our business is currently about mid-single digit growth level for the first one and a half month so far. So we are seeing about mid-single digit growth for US business for this quarter for us , for the year it's too early to give the guidance right now. But our guidance stays true for the whole year 8 % to 12% , that accounts for uncertainty in the environment. If the sentiments become positive because of say, India -US treaty or US does treaty with say 10 , 12 different countries before the expiry of 90 days , that may bring a lot of positivity. A nd if they can sell it to China also, that will also bring a lot of positivity. But if the stalemate continues and the tariff again kicks in, that will bring in negativity. So it's very early for us to define how the sentiment will shape up. That's why we have given very wide guidance this time.
Gaurav Nigam: Very interesting , sir. And sir, just one more point you mentioned about the operating leverage on the HR and SGA line item. It woul d be great if you can help understand like what are the initiatives that we are taking which will drive this operating leverage ?
Sunil Agrawal: Yes. That's a good question , from the HR point of view we started driving about 8, 10 months ago the talent diversity across the whole organization. This is based on a book by Reed Hastings called ‘No R ules Rules ’, we started that initiative , and very clean and good results for us across the organization . Just to give an example, in our US and Germany warehouse we hired a talent with little bit higher pay than our average pay , so that led to much higher output per person and reduced our warehouse cost , both in Germany and US substantially . So with less number of people with higher output . And similar initiative we drove across entire business in back -office operation , into factories , into call centers, into management team, mid management team , everywhere. So that is the initiative that is helping us across the group. AI has helped as well; we have eliminated a lot of repetitive function which we were able to automate. So HR, as you might have seen with the numbers, HR costs are down year-over-year for us. Now , SG&A

includes the shipping cost where we are able to consolidate some and also automate many functions to reduce the SG &A cost across the organization.
Gaurav Nigam: Very interesting , sir. And sir just a final question to understand the overall dynamics , sir. One, I was observing that the dig

ital revenue for us is growing faster , and my understanding is that digital revenue comes at a higher cost , and because of the nature of the customer it also has a lower repeat rate. And I can see that the gross margin that we are earning right now has not gone up in line with the digital revenue increase. So, I mean , when you are thinking about, let's say , a year, two years down the line, are you thinking about the profitability? Because I think you expect the digital revenue to go up, but if the profitability of digital business is relatively lower, how should we think about the blended profitability going forward?
Sunil Agrawal: Yes, it's a good question, Gaurav. Now digital, when we started investing into digital almost a year ago, we were not profitable in first purchase , and we still are not. But over the last one year, we have come to the stage that we are profitable between 90 to 180 days in the customer s that

we --
Moderator: Sorry, Sunil sir, sorry to interrupt, but your voice is getting a bit muffled.
Sunil Agrawal: Yes. So within a year when we started investing in digital, we have learned quite a bit to make the customer profitable within three months to six months of acquiring that customer. So , we are learning that to make it shorter and shorter period. So as we go forward, if we can bring that profitability to say two months instead of the currently three to six months , so we have six brands and some brands are profitable within two months and some take about six to eight months. But if you can brin g that forward to two to three months for all the brands, our profitability goes up. It is not just factor of, say, understanding Meta or understanding Google , we have about 12 or 13 customer acquisition funnels . It's pretty complicated , e-comm is much more complicated than television and we have learned quite a bit from the Mindful Souls that we acquired , and from our own participation or e-comm masterminds and forums where I personally participate and all my senior team participants , and our middle level team members also participate, has brought in tremendous learning and the investments are getting better and better for us.
Gaurav Nigam: Got it , sir. Thank you for answering my questions. Thank you.
Moderator: Thank you. We have our next question from the line of Apurva from White Stone Financial Advisors. Please go ahead.
Apurva: Yes. Hi, sir. Thanks for the opportunity. Sir, I have two questions , first is on the receivables. So I was just thinking that the complete business is on online , right , online sales. So then why do we have such high receivables of around Rs. 300 crores?
Nitin Panwad: Yes. Hi, Apurva. Let me take this question for you. R eceivable s are mainly in line with our financing option to the end consumer - EMI option, which we call 'Budget Pay, where customer

can pay in two to five different installments if customer opt s for this option . So that outstanding is related to the budget pay EMI option which contributes right now 39% of total B2C sales. And this is roughly around 30 , 33 days outstanding period in terms of receivable number of days.
Apurva: We have not been received is because of this E MI only, is it right?
Sunil Agrawal: Yes, it is, yes.
Apurva: Okay . And then my next question is on budget pay only, the risk is on us or some other Company takes the risk of this EMI?
Nitin Panwad: So risk is on us, but we have a robust procedure internally to check the customer's payment pattern and the customer's buying history before giving finance to the consumer. So effectively , our bad debts is within the range of 1 % to 1.5% of our budget pay sales , and over the period it is similar , we have not seen any kind of anomalies in this trend.
Apurva: Okay . Thank you. Thank you , sir.
Moderator: Thank you. We have our next questio

n from the line of Tanvi , an individual investor. Please go ahead.
Tanvi: Hello , sir. Sir, I just had one question. So earlier in the beginning of FY ’25 you had recomm ended a growth of 12 % to 15% and we have achieved roughly around 11%. Even after we had two acquisitions of Mindful Souls and Ideal World during the year, now you have even lowered your revenue guidance for FY ‘26 as compared to 8 % to 12%. So why is that so happening?
Sunil Agrawal: Let me answer this. Thanks for the question, Tanvi . It is true that we did guide 12 % to 15% and then we had this uncertainty in the market - economic environment impacted . We were expecting when we guided that the economic environment would improve and go to the steady s tate after the war finished and consumer sentiments . But it did not happen , it actually got further decelerated . Actually after the new administration came in, the fluidity of the policy and authenticity saw further deterioration. And that is the reason , as I mentioned earlier, we are giving guidance of 8% to 12% now, which is much wider than we have given in the past. Those sentiment we do not know how they will shape up and that is why we are giving this guidance. If the consumer sentiments go up , then we will be at the higher end. But still it may take some time and this is the guidance for the full year .
Tanvi: Okay . Sir, I just have a follow -up question here , sir two things. First, out of the 11% growth that you have done in last year, how much was due to the acquisitions of Mindful Souls and Idle World? And second, if you could split up , so if you talk about growth, you said that in US growth was flat, so was in Germany. So the entire growth is it coming only due to acquisitions last year?

Nitin Panwad: Yes. So, hi, Tanvi . Let me take this question. So excluding Mindful Souls and Ideal World , we have a growth of roughly around 4 .5% in rupee terms . And sorry, what was your other question?

Tanvi: Okay . I just wanted to know this only what was the growth excluding this acquisition and what is the projection of growth excluding these two - Ideal World and Mindful Souls for the next year?
Nitin Panwad: Yes, projection is combined actually. So now in comparable numbers, Idle World and Mindful Souls both are including , so it is all in combined between 8% to 12 %, yes.
Tanvi: Okay . Thank you.
Moderator: Thank you. We have our next question from the line of Pallavi Deshpande from Sam eeksha Capital. Please go ahead.
Pallavi Deshpande: Yes, sir. Thank you for taking my question. It was related to , initially you mentioned about the content cost , so in terms of the taking to air, the broadcasting fees were increased by the broadcasting Company . So what was the percentage increase they took and when did that come, which quarter?
Nitin Panwad: So that increase that we have done throughout the year, that is why you may have seen this cost has been jumped year-over-year, earlier it was 16.5% now it is 18 to19%, so that has been increased because we started doing investment since March 2024 onwards.
Pallavi Deshpande: Right. So I am not talking about the digital part which is 7 % to 8%, I am talking about not the investment part, but what was the increase taken by the broadcasters, the percentage I was looking for which is, you have given the split of 11.5%, so what was the increase percentage by the broadcasters?
Nitin Panwad: Yes, that increase is related to the Ideal World . So obviously whenever a new channel is launched, the cost to sales ratio is higher , and predominantly air time is fixed in nature so once revenue buil ds up, that cost as a percenta ge to sales goes down . Also the airtime cost we have done some investment in US- some OTA households and some cable households with the lower channel positioning that we have taken, so that has

resulted increment in the airtime cost.
Pallavi Deshpande: Right sir. And second s ir was on this, QVC has done a tie up with TikTok , so I just wanted to understand how does that impact the competitive dynamics and are we , I mean , looking for something similar or to do for your digital marketing side?
Sunil Agrawal: I will take that. So we believe that the TikTok has been there, and we have been on the TikTok, but at a small level. So we are doing the organic as well as paid TikTok, but with a small extent. Still to be seen how it shape s up for QVC. I hope they are very successful, I hope it picks up well. I f it does, we can replicate that in a way which we are not doing . Yet to be seen how we

will take up. Having said that, many D2 C brands are doing well on TikTok, and some have done exceptionally well, but they are mostly mid to small size brands. At Q VC level, how much needle it will move, difficult to say .
Pallavi Deshpande: Right. And sir these small brands, any idea of what kind of growth they are seeing, the D2C small brands because of the current environment? Are they at the best competitive edge ?
Sunil Agrawal: Yes, it is differing . Companies which are China exposed are having difficult time. So for my interaction with a lot of DTC players through the mastermind that I and other team members are member of , so the China centric brands are having a difficult time. The brands which are not China exposed, they seem to be doing okay, not as robust as they were last year, but they are doing better than they were exposed to China.
Pallavi Deshpande: Right, right. And lastly would be this DHL tie up , any developments there for those small packages that you are doing the same thing?
Sunil Agrawal: Nitin, some more information on this ?
Nitin Panwad: Yes. I t is under discussion and going from the Indian Post. So Indian Post is recently launching the single pa cking services from S EZ unit that we have . Expecting that they will start the service from June. We have done a cost benefit analysis based on the shipping. What we will do, we will start from the small parcel . But yet to be seen in June how fast we will implement and how rapidly we will expand. But definitely it will help not only in terms of the freight and shipping cost but also we can enjoy the benefit of theDe Minimis , which helps in sending duty-free goods directly to customers in the US.
Pallavi Deshpande: Right. Sir my last question was on the current assets, w e have seen a notable increase in the 'Others ' from Rs. 2.7 crores to Rs. 43 crores. We just wanted to understand now what is that pertaining to .
Nitin Panwad: Yes. So current assets increase mainly related to the balance lying with the payment gateways , so that has been the increase. So the last couple of days this time compared to previous years that was increased . The last three days balance was there, but earlier it was not. But that is realized in 1st and 2nd April of this financial year. Am I clear?
Moderator: Sir, we have the participant disconnected. We will move on to the next participant from the line of Rupesh Tatiya from IntelSense Capital. Please go ahead.
Rupesh Tatiya: Hello , sir. Thank you for the follow -up. My question is , for FY '2 5 can you give what was our

financial provision for impairment ? What percentage of sales was from financing and the corresponding impairment? And it will be great if you can give the same numbers for FY '24 as well.

Nitin Panwad: Impairment, you mean which stayed in standalone accounts only?
Rupesh Tatiya: The 3% , 4% provision we do , right , when we do financing credit loss.
Nitin Panwad: Yes. So that was related to our budget pay offerings , For particularly budget pay sales , as I mentioned to previous caller also , it is

1.5% of our total budget pay sales , and it will remain the same for the upcoming years.
Rupesh Tatiya: So this number was same in FY '2 4 as well?
Nitin Panwad: Yes, pretty much similar, yes.
Rupesh Tatiya: And what is the budget pay proportion , sir? I couldn't find it in the presentation.
Nitin Panwad: 39% of our total.
Rupesh Tatiya: 39% of total sales are budget pay ?
Nitin Panwad: 39% of total B2C sales.
Rupesh Tatiya: Okay, okay . And this number was in FY '2 4?
Nitin Panwad: It was similar .
Rupesh Tatiya: Okay . Thank you. That was my only question. Thank you.
Moderator: Thank you. We have our next question from the line of Ashish Shah from Business Match. Please go ahead.
Ashish Shah: Hi. Good evening , sir. Sir just some thoughts on this whole tariff thing and how is it impacting our business , and have you taken any price hikes to offset it, or some thoughts there?
Sunil Agrawal: Yes, I will take that. So , we shipped extra inventory to US before the tariff hike, the announcement that Mr. Trump had made. So we have inventory for at least three, four months during these negotiation that are h appening ,. And we are hopeful that negotiation that happens , India will get a favorable treaty in coming maybe 30 -45 days , and we should be fine . Just in case there is no favorable treaty for India, India is still placed at equal to most of the countries and we should be able to compete with anybody else. Many of the companies depend largely on China , we will be competitively better placed than those companies. So all in all , we will be equal or better than most of the competitors.
Ashish Shah: But sir, in a scenario assuming a status quo, then relatively we will be better off , there could be yet a meaningful price hike , right , in that scenario to offset some base case tariffs as well, right?

Sunil Agrawal: So my worry is not so much about the price hike , because our gross margins are pretty high, so the price hike does not look as high, but it's more about the consumer sentiments. If consumer sentiments stay low or subdued, that could impact our business. That's why we gave 8 % to 12% of guide. So if the sentiment stays low, then it will be more like 8%. If it is positive then we will going towards 12 %.
Ashish Shah: Okay, sir . Thank you very much , sir.
Moderator: Thank you. We have our next question from line of Pradeep Maity from RBI Pvt. Ltd. Please go ahead.
Pradeep Maity: Yes, my question is pertaining to material cost. Sir, do you expect the material cost will increase in FY '26 or it will remain in line with the FY '25 on full year basis?
Nitin Panwad: Yes. So margin s will remain in improvement trajectory as we are getting a higher digital share and the optimization in terms of pricing , and also the recent India -UK FTA will help us to improve the margins , so COGS will be lower comparatively to previous years. Though we guide that in guidance terms the margin will be 62% , so material consumed will be 38% - predominantly that number year-over-year.
Pradeep Maity: Okay . That means material cost will not increase in upcoming years .
Nitin Panwad: Yes, right.
Pradeep Maity: Okay, sir . Nothing else. Thank you.
Moderator: Thank you. We have our next question from the line of Tanvi, an individual investor. Please go ahead.
Tanvi: Sir, just two questions on your margins. First , sir, in the last con call you had mentioned that if you exclude the loss from Germany and in Ideal World , then our EBITDA would have been greater than by 2.5%. So , assuming that as you said for FY ' 26, there would not be any losses from Germany and in the Ideal World , so can we assume on a full year basis that our margins will improve by this 2 .5%? As earlier you said it will improve by 1% overall, but for the nine months data you had said that number will be 2.5%.

So what number shall we take?
Nitin Panwad: Yes. So definitely there is an improvement in overall margin through Germany operations . Earlier in FY ' 24 when we were having a full year losses in Germany, the gap between the EBITDA margin excluding and including Germany was 2 .5%. And that is getting better in this year and next year also that will be better. With the last couple of quarters, we have seen the softness in the TJC UK profitability , that resulted that the margin improvement was not in line with the 2 .5% that you mentioned earl ier. But based on the initiatives that we have in the UK , so that will improve the margin in upcoming period, as you might have seen excluding the

Germany operation was 2.5 % and that may be result in coming years. However, that 2.5% was if we exclude full Germany operation, that means that this operation is in a similar place as US operation s. So that will take another couple of years to catch up the US operation . So you can assume that it will gradually improve up to the level in next couple of years to achieve 2.5% improvement from German operation.
Tanvi: So as of now we can assume 1% increase due to these EBITDA losses being wiped off in Germany and Ideal World , as you mentioned earlier ?
Nitin Panwad: Yes.
Tanvi: Okay . Sir also just a question regarding margins only. Sir two things. First, just wanted to know , sir, had there not been any inventory pile up for next three to four months due to weak consumer sentiment in the US , how much better would we have been on an inventory level because change in inventory is also accounted for in the P&L? And second s ir, what is your stance on lab grown diamonds? Because in the last quarter we had talked a lot about lab grown diamonds that they have been showing double digit growth and also improving the overall gross margin and the customer sentiment. So, what are your thoughts about lab grown diamonds for this quarter ? These two questions, yes, that's it.
Nitin Panwad: So I will take the lab grown number, but Sunil will talk about the performance side what we are anticipating in lab grown . So lab grown is continuously improving and lab grown category itself has reached a double -digit share of overall business sales across all of our three geographies : US, UK and Germany . And we are seeing pretty good response from consumer side in terms of lab grown products . In terms of inventory pile ups, inventory pile up mainly we have done in US but that is for the three months inventory that we have over there . And irrespective I would pass on to call to Sunil for what we are anticipating the lab grown performance from coming period.
Sunil Agrawal: Yes, as Nitin mentioned, it is doing well for us , double -digit sales , and we see this to continue for next few quarters at least, unless the price goes further down. Consumer trust needs to stay with this, so it depends a lot o n consumer trust on what they are buying. If they see price continue to go down, then they may not buy as much or they still may buy , who knows , still to be seen. But we are continuing to look at this business in a positive way while keeping the inventory low , because w e know the inventory price may go further down.
Tanvi: Okay . And sir, about the first question, the earlier question that I had asked, had you not maintained any inventory pile up in US ? How much your EBITDA margin would have been better for this quarter?
Nitin Panwad: There is no impact with the EBITDA margin with inventory pile up , because it is recorded at the cost of purchase price, so there's no impact in the EBITDA margin with the inventory pile up .

But that will be benefiting at least for some period to not to pass on the increased price with the tariff increment.
Tanvi: Okay . Okay . Thank you.

Moderator: Thank you. We have our next question from the line of Harsh Mehta from Perpetual Capital Advisors. Please go ahead.
Harsh Mehta : Yes. Sir, my first question is around, why are the tax rates lower for the quarter? Like if you see as a percentage of PBT, your tax rates have most of the time remained above 25%, but this time it's only 17% of your PBT.
Sunil Agrawal: Yes. Hi, Hash. Thanks for the question. So as I think previously also we guided that tax would continue to be lower as the Germany operation become s break even and profitable as that the losses are not accounted for. So that will be beneficial in terms of the reduced tax rate. Also we have seen the lower profitability in the UK this year, which is coming up eventually to a lower tax rate . But we anticipate that over the period and coming quarters, the ETR will remain at 22% around .
Harsh Mehta : Okay , alright. 22% for the whole year, right?

Sunil Agrawal: Yes.
Harsh Mehta : Yes. Okay . And could you share the volumes for the whole year for all the three businesses like Germany, US and UK?
Sunil Agrawal: I think it was in our investor presentation, yes.
Harsh Mehta : Okay . I will just check . Yes. Thank you so much. That's it from my side.
Moderator: Thank you. We have our next question from the line of Pallavi Deshpande from Sameeksha Capital . Please go ahead.
Pallavi Deshpande: Yes, I just wanted to understand on the auctions , did we do more of the online auctions given the slowdown in the UK this year?
Sunil Agrawal: Pallavi, can you repeat the question , you are talking about online ?
Pallavi Deshpande: The online auctions , I wanted to know what was the percentage this year, was it higher , as you mentioned UK was slower, so you have TJS online auction .
Sunil Agrawal: You are looking for just online auction ratio as a total percentage of sale of UK or overall ?

Pallavi Deshpande: No, total actually.
Sunil Agrawal: Nitin, do you have the data?
Nitin Panwad: UK TV sales online , I mean , the TV sales is lower than last year, while digital is flattish, but the online auction sales is lower than the last year.
Sunil Agrawal: Can you quantify the number?
Nitin Panwad: Quanti fy- Prashant will share . I do not have right now but Prashant will share the number.
Sunil Agrawal: So Pallavi is looking for overall option revenue this year versus year before.
Nitin Panwad: So, I will give you that just in my commentary that TV sales grew by 1% year-over-year for the group , and digital was 15% growth year-over-year. So online auction is a TV sales , so it's a 1% growth year-over-year, including US and UK .
Sunil Agrawal: No, she's looking for an online auction, I believe. Yes, maybe Prashant, you can share that with Pallavi later.
Pallavi Deshpande: Yes, just wanted to know like because of the slowdown that this should have gone up , right , but it is down.
Sunil Agrawal: Not seeing so , from intuitive information we receive from the daily report , I am not seeing much change in the revenue going up significantly , I mean, meaningfully. So I wouldn't be surprised if the number is about similar for US, UK put together , because we do not have auction in Germany. Overall revenue would be about flattish year-over-year on the auction part. Digital revenue that has has gone up largely with the catalog as well as the Web TV , and the mobile app sales have gone up quite substantially. Within those , auction hasn't gone up much.
Pallavi Deshpande: Okay, okay . And one more was on the initial remarks you mentioned about the reach o f 127 million is number , and I remember it was 130 or so , so there has not been an increase in the reach. Is that a fair assessment?
Sunil Agrawal: Nitin, do you have data for the household reaches in FY ‘25 versus ‘24?
Nitin Panwad: That remains same, total 127

million. Yes, US 60 million, 27 million in UK , and 40 million in Germany.
Pallavi Deshpande: So there's no increase, right?

Nitin Panwad: Yes, there's no increase in the household . Like UK and Germany , they both are pretty much covered in terms of reaching all the household. US has a potential to increase, but UK and Germany both are covered.
Pallavi Deshpande: Okay . Thank you so much.
Moderator: Thank you. Ladies and gentlemen, that would be the last question for today. I now hand the conference over to the management for closing comments.
Sunil Agrawal: Thank you , everybody. I want to thank you all. Thank s all the participants for your time and great questions. If you have any further question, feel free to reach out to Prashant Saraswat at VGL or Amit Sharma at Adfactors PR India , and we will be happy to answer your questions.
Thank you once again.
Moderator: Thank you , sir. On behalf of Vaibhav Global Limited, that concludes this conference. Thank you for joining us . And you may now disconnect your lines.

Call: Aug 2025

VAIBHAV GLOBAL LIMITED

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Sub: Submission of transcript of conference call

Dear Sir / Madam

With reference to captioned subject, we are enclosing herewith the transcript of Q1 FY26 Earnings Conference Call held on Wednesday, 06
th August, 2025.
The Transcript of the earnings conference call is uploaded on the website of the Company and can be accessed on the below link:

https://vaibhavglobal.com/admin_assets/Investor/Investor_Presentation/1840161104734168.pdf
Kindly take the same on record.

Yours Truly,

For Vaibhav Global Limited

Yashasvi Pareek
Company Secretary & Compliance Officer
M. No.: A39220
Encl: as above

"Vaibhav Global Limited
Q1 FY '2 6 Earnings Conference Call "
August 06 , 202 5

MANAGEMENT : MR. SUNIL AGRAWAL – MANAGING DIRECTOR – VAIBHAV GLOBAL LIMITED
MR. NITIN PANWAD – GROUP CHIEF FINANCIAL OFFICER – VAIBHAV GLOBAL LIMITED
MR. PRAS HANT SARASWAT – HEAD, INVESTOR RELATIONS – VAIBHAV GLOBAL LIMITED

MODERATOR : MS. NISHITA BHAT – ADFACTORS PR

Moderator: Ladies and gentlemen, good day, and welcome to Vaibhav Global Limited Q1 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star, then zero on your touch -tone phone.

I now hand over the conference to Ms. Nishita Bhat from Adfactors PR. Th ank you, and over to you, ma'am.

Nishita Bhat : Good morning, everyone, and thank you for joining us on Vaibhav Global Limited's earnings conference call for the first quarter ended 30th June 2025. Today, we have with us Mr. Sunil Agrawal, Managing Director; Mr. Nitin Panwad, Group CFO; and Mr. Prashant Saraswat, Head of Investor Relations.

We will begin the call with the opening remarks by Mr. Sunil Agrawal on the business operations, key initiatives and a broad outlook, followed by a discussion on the financial performance by Mr. Nitin Panwad, after which the management will open the forum for the Q&A session.

Before we get started, I would like to point out that some statements made or discussed on today's call may be forward -looking in nature and must be viewed in conjunction with the risks and uncertainties that we face. A detailed statement and explanation of these risks is included in the earnings presentation, which has been shared with you all earlier. The company does not undertake to update these forward -looking statements publicly.

I would now like to invite Mr. Sunil Agr awal to make his opening remarks. Over to you, sir.

Sunil Agrawal: Thank you, Nishita. Good morning, everyone. Thank you for joining VGL's Q1 FY '26 earnings conference call . Hope you have reviewed the results and investor presentation. The June quarter played out against a mixed global backdrop with consumer sentiments fluctuating across our key markets.

However, we did see some improvement towards the end of the quarter gone by. We reported revenue of INR814 crores in Q1, registering an 8% year -over-year growth. Our gross margin held steady at 63.8%, which is reassuring given the macro volatilities.

We continue to operate comfortably within our target margin range of 60% plus, thanks to our vertically integrated global supply chain. This setup helps us stay cost competitive and responsive while maintaining industry -leading margins.

On the digital front, we are seeing steady momentum as digital now contributes to 43% of our B2C sales. We now remain on track to reach a 50% digital revenue share by FY '27. Let me now walk you through region -wise performance.

In the U.S., revenue grew by 1.3% compared to the same period last year. Consumer confidence dipped in April, partially improved later, but towards the end of the June, the U.S. strike on Iran subdued the sentiments. So overall, remains below last year's levels.

With household savings more - resulting discretionary spending continues to stay under pressure. As you may be aware, the U.S. has recently imposed a 25% tariff on all imports from India. While this development has created a level of uncertainty across the industry, we are fairly well positioned to navigate the impact.

Unlike our peers, we operate a fully vertically integrated business model with in -house design and manufacturing, globally spread in -house sourcing base. This gives us control over our supply chain and cost structure. Leveraging this model, we have proactively shipped advanced inventory ahead of the tariff announcements, ensuring that we are fairly well stocked for the coming few months. We remain optimistic about a potential reduction or rationalization of tariffs in the future.

The UK retail industry continues to face a challenging enviro

nment with growth held back by
economic uncertainty and a cautious consumer spending. In the UK, revenue grew by 2.3% Y -o-Y, supported by Ideal World business. The core TJC business had an impact of both internal and external factors.

Consumer confidence had fallen sharply in April before recovering in June. TJC also went through recent leadership transition, which caused some initial disruption. We are now seeing early signs of improvement in TJC performance, while Ideal World continues to be EBITDA profitable in Q1 also.

Germany delivered 7.2% Y -o-Y revenue growth during the quarter. Consumer demand was affected by macro challenges, including weaker sentiment early in the quarter. While tax and interest rate cuts supported spending to some extent, these tailwinds were not sufficient to fully offset the broader pressure on discretionary demand.

As a result, this quarter, Germany incurred losses due to operating deleverage. Our Germany business saw improved year -over-year performance in Q1, and we are encouraged to see even stronger traction showing in Q2. With this momentum, we remain confident of achieving EBITDA profitability for full financial year in FY 2025 -26.

On the product front, our focus on innovation and responding to evolving consumer demand continues to yield results. We are pleased with the successful scale -up of our lab -grown diamond jewel lery portfolio, which contributes to 11% of group's overall sales in Q1, up from 1% in the same quarter last year.

This strong traction reflects growing consumer acceptance. We are curating our offering and optimizing both airtime and digital platforms to cater this rising demand. We continue to focus on 4 pillars of our growth: widening reach, new customer registration and acquisition, customer retention and repeat purchases.

In Q1, our TV network reached 127 million households. As of 30th June 2025, our unique customer base stands at 7 ,13,000, which is up 12% Y -o-Y and the highest ever for VGL Group. New customer acquisition stands at 400,000 in Q1, while retention rate improved to 42%. On a TTM basis, customers purchased on an average of 22 pieces from us in last 1 year.

Sustainability continues to be the core of our business. I'm pleased that VGL has been assigned a combined ESG rating score of 72, which is a strong ESG rating from ICRA. This recognition reinforces our position as a responsible corporate citizen.

I'm also pleased to share that Vaibhav Global is now certified by the Responsible Jewel lery Council, i.e., RJC- a globally recognized standard for ethical and sustained business practices in jewellery industries. This places us amongst the select group of certified manufacturers worldwide and reflects our commitment to responsible sourcing, governance and environmental stewardship.

Further, Germany has received the Great Place to Work® certification. And with this, VGL is now a globally Great Place to Work® certified group. We are grateful to our employees for their honest feedback and remain committed for an inclusive and collaborative work environment.

At VGL, community giveback is integral in our business model where every unit sold results in a meal for a school going child. We are pleased to share that this quarter, we served 10 3 million th meal to school going child since the inception of our mid -day meal program called ‘your purchase feeds...’ Currently, we are serving approximately 57,000 meals every school day, and we are on our journey to donate 1 million meals every school day by FY 2040.

On the clean energy front, we generated 1.4 million kilowatt hours of solar energy this quarter, meeting 100% of power needs of our manufacturing units. These steps brings us closer to our target of achieving carbon neutrality in Scope 1 and 2 emission by 2031.

In addition, we have built rainwater harvesting tanks of 4,000 kil

oliters in and around our
manufacturing locations, taking our total capacity to 10,000 kiloliters. This is another step towards achieving water stewardship. We believe in long -term value creation for our stakeholders. The Board has recommended a first interim dividend of INR1.5 per equity share, which implies 66% payout ratio.

Looking ahead, our focus remains on driving innovation, leveraging advanced technologies, including AI and driving operational efficiency. Current macroeconomic environment and recent tariff development presents near -term challenge, especially in consumer sentiments. In light of this, we are taking a cautious approach and guiding to achieve revenue growth of 7% to 9% for FY '26.

We believe that the short -term disruptions give way to long -term growth, especially for an agile company like VGL. That said, we remain optimistic that the tariff situation and weaker

macros will resolve over time and will unlock potential for growth beyond our current guidance.

For the periods further ahead, we continue to project mid -teens revenue growth, supported by strong operating leverage and our investment into digital marketing. Despite macro risks, our low-cost vertically integrated model and high agility positions us well to navigate the evolving

landscape.
I will now hand over the call to Nitin to discuss the financial performance. Over to you, Nitin.
Nitin Panwad: Thank you, Sunil. Good morning, everyone, and thank you for joining Q1 FY '26 earnings call.
I will take you through the key financial highlights for Q1. As Sunil mentioned earlier, we continue to closely monitor market dynamics and proactively manage our operations.
Consumer sentiments remain delicate across our key markets, influenced by changing spending pattern and external factors like tariffs and geopolitical tensions.
In Q1 FY '26, we delivered revenue of INR814 crores, up 8% year -over-year from INR756 crores. This growth came despite the challenging external environment. In the U.S., revenue remained steady, supported by omni -channel reach, and we believe digital native and vertically integrated business like ours are well positioned for long -term market share gains.
In UK, muted consumer sentiments and internal leadership changes affect our core performance, which is more of transition in nature, but strong traction at Ideal World helped balance the growth. Germany continued its upward trajectory, growing well ahead of the market. Macro pressure and operating deleverage led to quarterly loss. We remain confident in our strategy and expect Germany to achieve EBITDA profitability in full financial year of FY '26. In local currency terms, U.S., UK and Germany grew by 1.3%, 2.3% and 7.2%, respectively.
Looking at channel mix perspective, TV revenue grew by 1% year -over-year to INR444 crores, while digital revenue grew strongly by 14% to INR329 crores. This momentum reflects our continued investment in strengthening omni -channel capabilities. Digital now contributes 43% of overall revenue, and we remain firmly on course of reaching 50% by FY '27. Lifestyle products continue to scale well, now forming 36% of B2C revenue, with a medium -term goal of reaching 50%.
Our Budget Pay option remained popular, accounting of 39% of our total retail revenue. Gross margin for the quarter was healthy at 63.8%, reflecting the advantage of our vertically integrated business model. EBITDA margin improved by 50 basis points year -over-year to 9.2%. The improvement was driven by saving in employee cost through headcount rationalization, improvement in efficiencies. Shipping costs benefited from improved logistic efficiencies and successful rate negotiations. Additionally, we saved airtime cost due to operating leverage. Profit after tax stood at INR38 crores, a 37% year -over-year growth.

Both of our recent acquisitions continue to contribute meaningfully. Ideal World sustained its growth momentum, while Mindful Souls remains a high -margin business and is expanding its product portfolio and customer base. These platforms are also generating valuable cross - business learning and synergies that supports long -term efficiency and innovation.
On the cash flow front, our model remains highly cash generative. We reported INR22 crores in operating cash flow and INR15 crores in free cash flow with a net cash position of INR174 crores and consistent dividend payouts. Our balance sheet remains strong and resilient.
Further, the recent upgrade in both short - and long -term credit rating by ICRA reflects our consistent performance, strong liquidity and prudent capital management.
Return metrics remain healthier, ROCE 19% and ROE 12%. We remain firmly committed to delivering consistent value to our shareholders. The Board has recommended a first interim dividend of INR1.5 per equity share, implying a 66% payout. While we remain confident in our long -term growth outlook, the current macroeconomic environment calls for a measured approach.
Accordingly, we are revising FY '26 revenue guidance to 7% to 9%, supported by operating leverage. We remain optimistic that issues like the tariff situation and weaker macros will be resolved over the time and could unlock the potential of growth beyond the guidance. Over the medium term, we continue to target mid -teen revenue growth with sustained margin expansion driven by scale and cost efficiencies. Thank you. Over to you, moderator.
Moderator: Thank you. We will now begin the question -and-answer session. The first is from the line of Tanvi, an Individual Investor .
Tanvi : Congratulations on good numbers. I had 2 questions. Sir, first, in your press release, you've given a growth guidance of 7% to 9%, considering the current macro environment and U.S. tariff regulations. However, in the call right now, you've given a guidance of revenue for early teens. And in the previous con -call also, you've given a guidance of 8% to 12%. So are we like reducing our guidance for the current year given the current economic situation?
Sunil Agrawal: Tanvi, t his is Sunil. Yes, given the current macro environment, especially the consumer sentiment that we see in U.S., so we are revising the guidance to 7% to 9% for current financial year. Now there is a potential for upside to that if the macro situation improves, but

the current guidance is 7% to 9%. Now mid -teens is for next financial year onwards, assuming that the macro environment goes to steady state.
Tanvi: Okay. Got it. And sir, one more follow -up question. So you've mentioned that you had a lot of pre-shipped inventory before the U.S. tariff regulation was imposed. So that also helps in a way to get us achieve better EBITDA margins. But how do you see that going forward in the coming quarters that now the inventory levels will also deplete and we will have the revised pricing. So how do you look at the EBITDA levels or this revised price inventory?

Sunil Agrawal: Yes. Good question, Tanvi. The inventory that we have sent recently to U.S. will help us moderate the consumer sentiments because other retailers would also have inventory and other retailers will slowly increase their prices reflecting the tariff addition. So we will also have this cushion to get to that consumer acceptance of higher prices. And we are multi -country sourcing organization. So we will be able to source product from countries, especially for U.S., which are most suitable.
So for example, we have Thailand, China, Indonesia, India for our own sourcing and then third -party sourcing from Europe, Turkey or even UK or Middle East, many different countries we can source, and we will source from most suitable country for our U

.S. market. And our
own manufacturing will redirect towards UK and Germany. So we are very agile, and we'll be able to navigate it, I believe, better than pretty much anybody else. The main reason for guidance was the consumer sentiment.
Tanvi: Okay. Okay. And just -- so how much this tariff, it will be 25% across all our goods that are sent to U.S.?
Sunil Agrawal: Yes. So 25% is on the top of existing tariffs for a different category. For example, jewellery was 5.7%, plus 25%, it will become 32.7% from India ; from Indonesia is 19% plus 5.7% ; Thailand is 20%, plus 5.7%. So different countries have different tariffs. Europe will be 15% plus 5.7%.
Tanvi: So in a way, those countries will be cheaper than India in terms of sending goods to U.S.
Sunil Agrawal: Yes. So what we will do is to not send goods from India to China. India will dedicate for UK and Germany businesses and other countries can be dedicated to U.S. We are very agile in that sense, and we can balance between the countries, we can decide what is the best for us.
Tanvi: Okay. Got it. Sir, just one last follow -up question. So will this thing impact our -- will we face more competition from the local players in U.S. given a 25% increase in our prices? I know the other export -oriented customers will increase their price, but how do we see the competition from the local players there in America -- in the states?
Sunil Agrawal: Yes. So jewellery manufacturing is extremely limited in the U.S. or even the accessories, handbags are also -- they are pretty much non -existent in the U.S. But maybe down the road, if there is no resolution in the medium term, then we can set up the small units in the U.S. The capex is not meaningful there. So it's not difficult if the labor arbitrage is sufficient to do that.
Moderator: The next question is from the line of Dipali Kumari from Arihant Capital Markets Limited.
Dipali Kumari : Germany saw 7.2% growth compared to the last year, but the business is still running at a loss. You said breakeven was almost achieved in July. So what helped make this turnaround happen? And like was it higher sales or changing how the business is run?
Sunil Agrawal: Yes. This is Sunil. Thank you, Dipali. So Germany, we are seeing better performance even from July. So July is still EBITDA loss, but very marginally. So as we go towards season, we

expect the H2 to be sufficiently EBITDA positive to cover the deficit of H1 or at least Q1. So we are fairly confident of Germany achieving EBITDA profitability for the full financial year.
Nitin Panwad: Dipali , Nitin here. Also adding to Sunil's point, Germany, we have changed our product mix and offering and planning strategy in presentation that helped to the gross margin improvement from earlier level of 63% to 68% in Germany. So you may see the lower growth comparatively previous year, but a substantial improvement in gross margin itself from Germany business is helping to improve the profitability.
So gross margin improvement is double digit and higher, while revenue is 7.2% you see, but gross margin is much higher in Germany now onwards. So achieving EBITDA profitability at much lower sales point.
Dipali Kumari: Okay. So do you believe like for FY '26, Germany market will be profitable ?
Nitin Panwad: Yes, yes.

Dipali Kumari: Okay. And sir, one follow -up question, like what is your planned capex for FY '26 and '27 like any big project you are coming , like you are acquiring or like after acquiring Mindful Soul and Ideal World, are we looking more acquisitions or any other product categories ?
Nitin Panwad: So in capex terms perspective, FY '26, we haven't planned any major capex . It is a routine major capex upgradation of our softwares and the tangible goods, which is around 3 million to 5 million. But FY '27 may be slightly higher as we are consolidating our UK

operation in one place. So around 2 million, 3 million higher in FY '27. So we expect 5 million to 7 million capex overall in the business. But this year is around 3 million to 5 million.
Dipali Kumari: Okay. And sir, like any new product category you are interested ?
Nitin Panwad: Yes. So category -wise, obviously, the lab grown, as Sunil mentioned, is working very well for us. It is within a year of span of time, it is contributing more than double digit. It's almost 11% of our sales. And we continue to see it performing well in terms of gross margin improvement and lesser returns, and we see a lot of potential with that category.
Apart from that, our business model is more for launching new varieties of products with different gemstones. Every single day with our supply chain vertically integrated factories are launching around 100 different new products to the consumer. So launching -wise, innovation -wise, it is many new products we keep launching to give newness to the TV and web consumers, so they can keep on repeat buying and increase the retention rate from the same consumer.
Sunil Agrawal: Deepali, to your question about the Mindful Soul and Ideal World and acquisition. So , we are happy with both the acquisitions. And we don't have any other active target that we are looking at right now, but we are always open for possibility. If there's any opportunity comes, we'll look at it. But we have to balance between the existing portfolio doing well and growing and then adding to the portfolio.

Moderator: The next question is from the line of Naveen Baid from Nuvama Asset Management.
Naveen Baid : I had a housekeeping question. So in your segmental reporting, Europe showed an EBIT profit of INR8 crores, whereas in your presentation, you are still speaking of losses in the European segment. Can you just help me reconcile the numbers, please?
Nitin Panwad: Yes. So can you just refer which line you are quoting with the segmental P&L?
Naveen Baid: Yes, the profit before interest and taxes of INR8 crores is what you reported -- for the quarter . Sorry, INR12 .8 crores is what you have reported.
Nitin Panwad: INR12.8 crores in Europe business, yes. So the FX in the segmental reporting, there is a larger movement in euro and GBP. That currency movement led a larger forex gain in both of the countries. However, that gain is not translating in consolidat ed level as all the gains for intercompany loan is going to other comprehensive income. So while segmental reporting is showing profitability, but that gain is largely contributing to the intercompany loan -- foreign exchange gain of intercompany loans.
Naveen Baid: At the EBITDA level for European operation s, where are we for the quarter?
Sunil Agrawal: So your voice is a little bit fumbling.
Naveen Baid: I'm saying f or European operations at the EBITDA level, where were we in the quarter?
Sunil Agrawal: Yes. So EBITDA level was roughly around 700,000 loss that we have in Germany in EBITDA level , EUR700,000 .
Moderator: The next question is from the line of Kumar Saurabh from Scientific Investing.
Kumar Saurabh : So sir, I had a question regarding the UK business. So last 2 years have not been that great given the challenges in the European and UK market. Given this FT A agreement, do you see our growth being higher than how it has been in past 2 years for UK market?
Sunil Agrawal: Kumar, this is Sunil. So thank you for your question. So the FTA agreement will definitely help, but the UK was, to some extent, our internal challenge was more than external. External - consumer sentiment was challenging, but our leadership that we had put in UK didn't work out. So we made those changes in February and March of this year, and we are seeing that it's already making the difference.
So the F TA will help and the leadership change as well a

s the internal team restructuring will also help us in sustaining the momentum going forward. We're already seeing our legacy UK business, TJC, getting back to growth in the last 2 months. So June and July were positive for TJC. And Ideal World is giving double -digit growth to us year -over-year. So we see good momentum for UK going forward.

Nitin Panwad: Kumar , certainly, the F TA will definitely help . Right now, currently, jewellery we import from India. It is contributing 3% to 5% duty and the lifestyle product 7% to 15% duty. So maybe around mid of the next year, it will reflect in terms of the duty cha nging to zero. So those purchasing will definitely help to improve our margin lines and the consumer demand.
Kumar Saurabh: Okay. And sir, I think already we have a good dividend policy. But if you can highlight for next 2, 3 years, given like we will be growing around 8%, 9%. So my understanding is we will not require a lot of capex . So is the dividend policy going to be on the similar lines or there could be some increased dividend coming?
Sunil Agrawal: Yes. So we are always in favor of sharing the earnings or wealth with shareholders. So we can look at either dividend or potential acquisition or potential buyback if there is sufficient cash for doing that. So as you've seen our track record, we always are looking for opportunities to reward the shareholders.
Kumar Saurabh: Okay. And sir, last question. So I think in last 4, 5 years, we have done 2 acquisitions. So one question is, what is your experience with these acquisitions? Are you happy the way these acquisitions have shaped up? Or do you think what you targeted that has not been achieved? The reason I'm asking is when there are no good times, companies who sit on very good cash flows, they have money to go and acquire companies which are weaker. So in next one -- I'm not asking for something immediate, but based on your history of execution of acquisitions and the opportunities available in market, do you see any high probability of another potential acquisition in the next 1 or 2 years?
Sunil Agrawal: Yes. So the first point is how do we feel about the acquisition. So we are very happy with both acquisitions. With Mindful Soul, we integrated a lot of their native digital learning into our group. And that is helping, as you saw in our digital numbers accelerating. So a lot of those learnings have been incorporated in other 5 group retail brands. And so I'm very happy with that.
But Mindful Soul itself is having some revenue degrowth, mainly owing to the supply chain movement away from China to India. So that led to some degrowth. And we expect that growth should come back in later quarters of this financial year. So I'm pretty happy with that.
For Ideal World, we got it for very low money as you rightly said, it was a distressed asset, and we got it for pretty low price. I'm pretty happy with that acquisition. It was giving good growth, already EBITDA profitable in second year, great return on investment.
So yes, to your point, if there's any other opportunity, we have a very strong balance sheet. We have a cash generation machine in this year. So if there's an opportunity, we'll definitely look at it. But as I mentioned earlier to Dipali's question, we don't have any active acquisition target as of now.
Moderator: The next question is from the line of M. S. Reddy, an Individual Investor .

M.S. Reddy : Congratulations on a very good set of numbers. It is gratifying that you got Great Place to Work® tag for our European operation. My question is, sir, regarding our entry into the Indian retail market. Our jewellery retailers here are doing very good. We have a very good domain knowledge of the Western retailer. Why can't we -- definitely, I think it is definitely time

for us
to explore Indian market. That is my view, sir. What are your thoughts on this?
Nitin Panwad: Thank you for your question, Mr. Reddy, and thanks for your comments and compliments. Appreciate it. So India market is definitely promising. But for digital retail, it is still in a discovery phase. A lot of investment is being made by Amazon and Walmart into expanding digital presence. But we believe that we are not the first mover kind of company. We are low -cost vertical model, very agile, but always coming later in the market when the market matures so that we can come to profitability pretty quickly.
So as you saw our experience in Germany, we will become profitable in 4 years of entry. But whereas Amazon, it has taken much, much longer and still profitability is nowhere in sight. So we want to wait a little longer before India matures for digital marketing. We have no plan to come on television or brick and mortar in India because that is not our business model.
Moderator: The next question is from the line of Gopinadha Reddy .
Gopinadha Reddy : Sir, what percentage of our sales is into lab -grown diamonds, sir?
Nitin Panwad: So lab -grown diamond right now contributing 11% of our total sales.
Gopinadha Reddy: Okay. Given the change in the certification by GIA, is there any impact on our sales? Or how is it going to work? Any impact?
Nitin Panwad: GIA specification is applicable for India. we haven't seen the impact yet in terms of sales

perspective. Quarter -on-quarter, lab -grown share s keep on growing.
Sunil Agrawal: We use IGI certification. We don't use GIA . So all of our product that we have sourced is IGI certified. Not all , pretty much large portion of bigger stones are IGI certified and they have not changed the policy from the consumer point of view.
Gopinadha Reddy: So when it comes to consumer, IGI certification is very much acceptable to the consumer?
Sunil Agrawal: Yes. So GI A decision hasn't gone to consumers because they haven't publicized it on public television and public media. It's all a business decision, business news. So consumer doesn't know and they don't care as long as they are getting the right information, logical information, they are still buying quite a lot. So we're still seeing continued momentum.
Gopinadha Reddy: Are we procuring lab-grown diamonds from India or we ourselves are making or any idea in U.S.?
Sunil Agrawal: Yes, we're procuring them from India and China.

Gopinadha Reddy: Are we seeing the pricing to get stabilized? Or are we looking at -- is it going to go down or can you predict something on this?
Sunil Agrawal: So we are seeing -- although the decline is quite slowed down, but we're still seeing continued softness in prices because the production is still there, which is -- I would say production is continuing to grow faster than the demand. Demand is growing fast, but the production is going faster.
Moderator: The next question is from the line of Harsh Mehta from Perpetual Capital Advisors.
Harsh Mehta : So you had previously mentioned that because of the tariff situation for the U.S. market, you will source from different geographies, if I'm right. So as you diversify your sourcing, should this still affect your margins in the near term? Or are you confident of maintaining the existing margin levels through this transition also?
Sunil Agrawal: Yes. So thanks for the question, Harsh. As I mentioned earlier, the extra inventory that we sent to U.S. will tide us over for the few months till the consumer starts to accept this increased prices because other retailers will also be forced to increase the prices. And we believe we are confident that our margin guidance of 60% plus will sustain for foreseeable future , because the tariff situation has been there for some time, and we've been able to maintain the margin, as you saw l

ast quarter, at 63.8%. Even in July, our margin continues to be in the same range .
Harsh Mehta: Okay. Got it. And sir, I wanted to understand if there are any plans or considerations to consolidate your UK operation with the recently acquired Ideal World business?
Nitin Panwad: Sorry, we already consolidated that business. So the support services, the finance, share finance, HR, IT, are support services to the new as well as the existing business, whereas the front end, the sales team is separate. Merchants and sales teams are separate. Leadership is one. So there are a lot of synergies there from operational support point of view and as well as the group supply chain point of view. But the front -end teams are separate.
Harsh Mehta: Okay. Got it. And sir, with the India -UK FTA in place, the benefits from it, like you said, the rates were around 3% to 5% before the F TA, which will now go down to 0%. Will this benefit entirely be taken by the company? Or will it be shared with the consumers to some extent? Because I think the UK demand was also a bit sluggish. So will this help build the demand also?
Sunil Agrawal: Yes. Good question. So we look at customer pull constantly. If the customer pull is there, we are able to increase our margins. So we'll strive to keep that for our bottom line. But if the consumer pull is subdued, then we may offer part of this. So we are dynamic in that sense. Actually, we are dynamic every hour, every day, and our pricing model is pretty agile in that sense.

If there's opportunity, we take higher margin. If there's a challenge, we go a little lower. But that is because we offer 100 new products every day, we have the ability. If we had only a few products and a consistent product, then we couldn't be as flexible as we are able to be.
Harsh Mehta: Okay. And sir, last 2 questions. So prior to the German business starting, the working capital cycle for your business was around 60 days. But based on the latest numbers that you have posted, the working capital cycle has extended to 80 days.
Nitin Panwad: Yes. So in terms of working capital cycle, major investment is done through our inventory and the recently added up inventory in U.S. increased the working capital days cycle. Also that the recent days, the customer demands towards the budget programming financing option is more

prominent as the geopolitical tension and worldwide customer is looking for more financing option. However, we do take care based on customer history and their payment terms , before giving financing to the consumer. So part of the working capital is gone to our debtors and part is the inventory that led to increase the total working capital days. Germany has the major working capital deployment only in the inventory. As the capex amount is very low and the debtor is not as significant in Germany, the majority of the sales comes through invoicing payment method. So Germany will definitely continue to improve and contribute to the bottom line. But right now, as we have seen based on the current transient challenges, we have increased our inventory strategically and the budget financing option as the customer demand is higher towards this option.

Harsh Mehta: Okay. Understood. So we should expect this to remain around 80 days only for the near future?

Nitin Panwad: Yes. We expect that it will be slowed down to improve the cash in the business. But not significantly as you have seen in March '21 was 40, 50 days. It will not be bring down to that level, but lower than the current level s.

Harsh Mehta: Right. Okay. And sir, last question. So on the other income side, in this quarter, there has been a 51% increase in other income. Could you elaborate on what were the key drivers behind this growth? And also the normalized tax rate, what should we consider as a normalized tax rate for the business on a full

year basis, excluding any one -time or geographical anomalies?

Nitin Panwad: Sure. So we are a business who is generating money in the U.S. dollar, GBP and euro and most of the spending is in rupee terms. It generates a lot of foreign exchange gain in our business. And you may have seen the history of the business and the other income normal is all -- pretty much all of it contributing to the foreign exchange gains. And we expect that this will remain, maybe some 10%, 15% up and down, but forex gain will come in the business continuously. And your other question is about the tax rate. So tax rate is getting benefited by lower losses in Germany and also the previous tax losses are getting recogniz ed. So normal steady state of tax rate, we expect in this financial year to be roughly around 21% to 22%.

Moderator: The next question is from the line of Shreyansh Jain from Svan Investments .

Shreyansh Jain: Sir, my first question is, again, on the bookkeeping. So Germany, we're saying we were doing some losses in this quarter. And if I look at the UK business, UK business also our EBIT is about INR10 -odd crores. So I was going to -- I understand that there's a lot of dividend that sits in this EBIT. So ex of dividend, even the UK entity is doing losses, is it?

Nitin Panwad: Ex of dividend, UK is positive. EBIT is roughly around GBP600,000 in UK ex of dividend.

Shreyansh Jain: Okay. And sir, the other question is, last quarter, we were guiding for 8% to 12% and now we are saying 7% to 9 -odd percent. So this tariff thing, I think, was fairly known to us. So I'm just trying to understand what has led to this downward revised guidance?

And the second part to this question is, sir, given this uncertain scenario and you also lowered your guidance, how do you see spend on content and broadcasting because we broadly spent about INR600 crores, INR700-odd crores on this line item. So do you want to maintain spending on this expense? Or you think this also should go down with the guidance on revenues?

Sunil Agrawal: Shreyansh, this is Sunil . From the guidance point of view, we are seeing lipstick effect already in U.S. What do I mean by that? The lower price point, slouchy jewellery is selling more right now. So we see higher traction on our under $10 days , under $50 days. Can you hear me ? There is a disturbance on the line?

Shreyansh Jain: Yes, I can, sir.

Sunil Agrawal: Sir, can you mute, please? There's an echo coming back. Thank you. So we are seeing that lower price point is getting traction, and that tells us the consumer sentiment is currently challenging in U.S. So we didn't see that sentiment last quarter, and we started seeing the sentiment in the last few weeks. Since the June end when the U.S. had action in Iran and from there onwards when the tariff disturbance came and the consumer sentiment continued to deteriorate over there. And that is also reflected recently in the job reports where earlier months job report were severely down rated and the last month's job report was pretty low. So those 3 months job reports and our own internal lipstick effect that we are seeing led us to assess the consumer sentiment to be challenged in the U.S.

And we are seeing although our sales is growing in the U.S., but we are seeing people down trading to the lower price point. And that is the reason we gave this guidance 7% to 9%. As consumer sentiment rebounds, there is upside potential for our performance to go beyond 7% to 9% as well. So that ’s why we have made the comment in my commentary that there's a potential to go up if the consumer sentiments go back to earlier that we saw last quarter. And

you had one more question. I missed that. Second part of the question. Can you repeat that?
Shreyansh Jain: Yes. So sir, I was saying given the uncertain scenario that we are looking at, we spent about INR600 c

rores to INR700 -odd crores on content and broadcasting. So I'm just trying to understand with this uncertain scenario, do you plan to reduce the spend s or you would want to continue spending INR600 crores, INR700 -odd crores on C&B?

And one more addition to this is because you're now saying digital will increase going forward, and it will actually be 50% of our revenues in the medium to long term. So sir, how much of this C&B spend do we actually require to do every year? And yes, so that's the question, sir.

Sunil Agrawal: Yes. Thank you for the question. Great questions. So we look at content and broadcasting, so there are 2 portion of that. One is the content, the TV license fee we pay to the television network in all the 4 channels, and there's also digital spend that we do. So there are 2 segments within that. So the TV spend on a like -for-like basis, we have reduced in Germany, reduced in UK, but U.S. has increased because we found some new opportunities and we have taken them. So the content and broadcasting may not go down meaningfully.

And the digital spend, we will continue to spend if we see the productivity of that customer that we are acquiring digitally to be there. So our measure of productivity is that the customer we acquired should become profitable within 3 months. And as long as we see that customer acquiring a certain spend scale, then we continue to spend. So we can foresee that content and broadcasting as a percentage of sales not going down.

So not only at absolute dollar value or rupee value, but as a percentage of sales, as we are giving guidance of 7% to 9% growth, so that spend will grow 7% to 9% in coming quarters. But we are seeing leverage coming in HR cost, SG&A and shipping. All 3 areas will see leverage for us .

Because HR cost, we're finding efficiencies in our warehouse operations and AI is giving us many opportunity areas in back -office functions to reduce the costs. So HR is there . Shipping - we are finding some ability to negotiate at our scale to lower the costs. And in SG&A also, we're finding some AI benefits and some other abilities to reduce the cost through our talent density measurements.

Just to give an example of that, in Asia, our call center, we have 180 employees. So we are paying a little over market and also we are giving career path to those talents within other parts of business that has increased our efficiencies around by 20% because our attrition went down from 15% a month to 1% a month. So we are finding efficiencies in HR and SG&A by way of incorporating many different policies, AI talent density principles and many other optimization models.

Shreyansh Jain: Okay. And sir, my last question is -- just addition to the same question, ma'am. I'm not asking…

Moderator: Sorry to interrupt, we may request you to come back in the queue for a follow -up. Ladies and gentlemen -- okay, Shreyansh you can go ahead.

Shreyansh Jain: Sir, just last question. If I were to look at the U.K. business, we did about INR900 -odd crores of revenues last year, and I'm assuming INR200 crores out of that would have been Ideal World. So can you just help me with the profitability in the standalone UK entity, say, out of

INR700 -odd crores of revenues, what would be our EBIT or EBITDA, if you can help me for last year, sir, ex of the dividend income?

Nitin Panwad: Yes. So last year was -- overall profit is roughly around GBP2 million, overall basis. While Ideal World was loss -making as a first year, TJC was profitable business, but overall was GBP2 million.

Shreyansh Jain: Ex of dividend income, this is?

Nitin Panwad: Yes, last year -- last full year, ex of dividend income, total profit.

Shreyansh Jain: Last -- okay.

Nitin Panwad: Yes. And if you are referring the quarte

r four to quarter one improvement, so quarter four that we made losses in UK. But quarter one, we are seeing already profitability, as I just mentioned, GBP600,000 in quarter one and the same improvement that we are doing -- we are

seeing in July and August also.
Shreyansh Jain: Do you expect this to sustain for the year?
Nitin Panwad: Yes, yes. Certainly, the changes with what we are seeing and the demand of the customers, which are also moving, we are seeing that it is more sustainable because the weekly improvement is not a one -off. It is coming week -over-week throughout in the last 2, 3 months.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today , due to the time constraints I now hand the conference over to Mr. Sunil Agrawal for closing comments.
Sunil Agrawal: Thank you, everyone. I want to thank all the participants for your time and great questions. If you have any further questions, feel free to reach out to Prashant Saraswat at VGL or Amit Sharma at Adfactors PR India, and we'll be happy to answer your questions. Thank you all once again.
Moderator: Thank you. On behalf of Vaibhav Global Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2025

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Subject: Submission of transcript of conference call

Dear Sir / Madam

With reference to captioned subject, we are enclosing herewith the transcript of Q2 & H1 FY26 Earnings
Conference Call held on Thursday, 30th October, 2025.

The Transcript of the earnings conference call is uploaded on the website of the Company and can be
accessed on the below link:

https://www.vaibhavglobal.com/admin_assets/Investor/Investor_Presentation/1847867290535497.pdf

Kindly take the same on record.

Yours Truly,
For Vaibhav Global Limited

Yashasvi Pareek
Company Secretary & Compliance Officer
M. No.: A39220

Encl: as above

"Vaibhav Global Limited
Q2 and H1 FY26 Earnings Conference Call "
October 30, 202 5

MANAGEMENT : MR. SUNIL AGRAWAL – MANAGING DIRECTOR –
VAIBHAV GLOBAL LIMITED
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MODERATOR : MS. NISHITA BHATT – ADFACTORS PR

Moderator: Ladies and gentlemen, good day, and welcome to the Vaibhav Global Limited Q2 and H1 FY26 Earnings Conference Call. As a reminder, all participant lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star, then zero on your touch -tone phone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Nishita Bhatt from Adfactors PR. Thank you, and over to you, Ms. Bhatt.
Nishita Bhatt: Good evening, everyone and thank you for joining us on Vaibhav Global Limited's earnings conference call for second quarter and half year ended 30th September 2025. Today, we have with us Mr. Sunil Agrawal, Managing Director; Mr. Nitin Panwad, Group CFO; and Mr. Prashant Saraswat, Head of Investor Relations. We will begin the call wit h operating remarks by Mr. Sunil Agrawal on the business operations, key initiatives and broad outlook, followed by the discussion on financial performance by Mr . Nitin Panwad, after which the management will open the forum for the Q&A session.
Before we get started, I would like to point out that some statements made or discussed on today's call may be forward -looking in nature and must be viewed in conjunction with the risks and uncertainties that we face. A detailed statement and explanation o f these risks is included in the earnings presentation, which has been shared with you all earlier. The company does not undertake to update these forward -looking statements publicly.
I would now like to invite Mr. Sunil Agrawal to make his opening remarks. Over to you, sir.
Sunil Agrawal: Thank you, Nishita. Good evening, everyone, and thank you for joining VGL's Q2 FY26 Earnings Call. I hope you have reviewed the results and investor presentation. We are pleased to report another strong quarter with revenue growth above our guidance range and strong PAT growth despite macro headwinds. The September quarter also marked a period of operational stability across regions, supported by efficient inventory planning and improved executio n.
We reported consolidated revenue of INR877 crores, reflecting a 10.2% Y -o-Y growth. Gross margin stood strong at 63.5%, well within our target range of 60% plus, owing to strength of our vertically integrated global supply chain. This structure enables cost efficiency, operational flexibility a nd industry -leading margins, a differentiator which none of our peers have in place.
On the digital side, momentum remained steady with digital contributing 42% of B2C revenue.
We remain on track to achieve 50% sales contribution in digital by FY27. Let me briefly cover our regional performance. During quarter 2 of the financial year, total revenue in U.S. dollar terms for U.S. and U.K. recorded a growth of 6.7% and 5.7%, respectively, while Germany remained fla t.

In U.S., we addressed tariff uncertainties by pivoting to casting process in U.S. and procuring parts of the input from U.S. This was made possible by leveraging over 4 decades of manufacturing learnings in India. This integrated model provides cost benefi t and requisite agility for our operations. Advance inventory shipments made in Q1 FY26, positions us well for the festive season.
In the U.K., the business continued to consolidate its position, supported by a strong management bandwidth and portfolio synergies between TJC and Ideal World. Wage growth outpacing inflation also aided spending recovery in U.K. We are pleased that Ideal World is very well assimilated with TJC and is now churning a low single -digit EBITDA margins.
We are confident of achieving double -digit EBITDA margin within 2 years. In Germany, while revenue rema

ined broadly flat, we achieved a healthy expansion of nearly 410 basis points in gross margins, driven by a sharper product mix and a stronger pricing di scipline. The TV channel sustained its positive momentum, growing 6% in the first half of the financial year . Digital revenue, however, declined 9%, owing to team realignment. We are confident of delivering EBITDA breakeven for the full year FY25-26.
We continue to focus on the 4 pillars of our growth strategy, namely widening reach, new customer registration and acquisition, customer retention, and repeat purchases. In the Q2, our TV network reached 1 27 million households. As of 30th September 2025, our unique customer base stood at 7 ,14,000, up 5% Y -o-Y and the highest in our history.
New customer acquisition was 3 ,80,000 on TTM basis, while the retention rate remained stable at 41%. On the TTM basis, customers purchased an average of 22 pieces. Sustainability remains integral to our operations. Our ICRA ESG rating was further upgraded to 73. This reaffirms confidenc e in our governance and execution capabilities amidst dynamic macro environment.
With Germany now certified as a Great Place to Work®, VGL Group is now Great Place to Work® certified across the globe. Under our 'your purchase feeds…' mid-day meals program, each unit sold funds a meal for a school going child. We are pleased to have served 1 06 million th

meal this quarter, currently providing about 55,000 meals every school day. We continue to strive towards our goal of serving 1 million meals per school day by FY40. On the clean energy front, we generated 1.2 million kilowatt hours of solar energy during the quarter, meeting 100% of our manufacturing power needs. We are advancing towards our goal of achieving carbon neutrality under Scope 1 and Scope 2 by 20 31.

We remain focused on creating long -term value for all our stakeholders. Thus, the Board has declared second interim dividend of INR1.5 per equity share, implying a 53% payout. We are pleased to have delivered revenue growth above the guided range of 7% to 9%, which was supported by efficient execution and robust supply chain. In the medium term, we are confident to achieve mid -teens r evenue growth with steady improvement in operating margins.

Finally, I will say that while external risks persist, our balance sheet remains robust, and we are well positioned to sustain our profitable growth momentum. I will now hand over the call to Nitin to discuss financial performance. Over to you, Nitin.

Nitin Panwad: Thank you, Sunil. Good evening, everyone, and thank you for joining quarter 2 of financial year 25-26's earnings call. I will now walk you through the financial highlights. As Sunil mentioned, we stayed watchful of market trends and manage our operation with agility. Consumer demand across major markets was influenced by changing spending patterns and conti nued tariff and geopolitical uncertainties. Consolidate revenue for the quarter was INR877 crores, which is up 10.2% year -on-year, reflecti ng growth higher than our guidance despite an evolving business environment.

During quarter 2, the total revenue in U.S. dollar terms in U.S., U.K. recorded growth of 6.7% and 5.7%, respectively, while Germany remained flat. In the U.S., the uptick was driven by proactive inventory planning, supported by our in -house manufacturing capabilities. The performance was further enhanced by a strong traction in digital business, which is now contributing 42% of sales i n U.S. versus 39% in last year.

We believe that the digital -first and vertically integrated model like ours are favorably positioned to capture long -term growth. In addition, during the quarter, we began jewel lery casting operation in U.S. and also started sourcing key metals locally. This approach helped us to navigate tariff -related challenges effectively while kee

ping our supply chain advantage intact.

In the U.K., TJC regained growth momentum supported by strong merchandising and operational efficiency. Ideal World continued to make a positive contribution to profitability. Ideal World has already achieved a low single -digit EBITDA margin and is on the course of achieving double -digit EBITDA margin in the next 2 years. In Germany, we have improved our gross margin by 410 basis points year -over-year in past quarter, supported by a better prod uct mix and pricing discipline.

The TV business continued to grow 6% in first half of the year. However, digital revenue declined by 9%, owing to team reshuffling there. We have now fortified bandwidth of digital business with new talent recruit ments . With continued focus on margin enhancement and cost discipline, we expect Germany operation to achieve EBITDA breakeven for full financial year FY25-26.

From the sales platform point of view, TV revenue stood at INR487 crores, up 6.7% year -over-year, while digital revenue grew 14.3% year -over-year to INR336 crores, reflecting continued strength in omnichannel performance. Digital now contributes 42% of overall revenue, and we remain on track to reach 50% by FY27. Lifestyle products accounted 36% of total sales, up from 12% of FY18 wi th a medium -term target of 50%.

The Budget Pay program continued to contribute meaningfully and is at 38% of our total B2C revenue. Gross margin stood firm at 63.5%, consistent with historical trend and supported by our vertically integrated model. Achieving a margin of 60% plus even in one of the most

dynamic and challenging business environment reflects structural strength of our unique business model.

EBITDA margin improved by 130 basis points to 10% and is up by 28% year -over-year in absolute terms. EBITDA margin expansion was driven by productivity improvement and operating leverage in employee cost, which shows 160 basis point improvement. Shipping c ost shows 30 basis point improvement year -over-year and a irtime cost shows 40 basis po int improvement year -over-year.

As a result, PAT also increased by 71% year -over-year to INR48 crores. Our unique business model continued to generate steady cash flow for us. Some parts of our cash flow was cautiously invested in inventory to address tariff -related uncertainties. Even after this adjustment, we generated INR66 crores of operating cash flow and INR55 crores of free cash flow. The balance sheet remains strong with INR156 crores of net cash, reflecting prudent financial management and strong liquidity position. ROCE at 20% and ROE at 13% indicates continued improvement in returns.
The Board has declared a second interim dividend of INR1.5 per equity share, representing a 53% payout consistent with our commitment to reward to our shareholders. While the external environment remains dynamic, we continue to take calibrated approach to growth. We are maintaining our FY26 revenue guidance at 7% to 9%, supported by operating leverage.
We remain confident that the resolution of tariff -related and macroeconomic challenges over time could create upside in this range. Over the medium term, we continue to aim for mid -teen revenue growth along with operating leverage.
Thank you, and over to you, moderator. We may now open the lines for Q&A.
Moderator: Thank you very much. Our first question is from the line of Shreyansh Jain from S van Investment Managers. Please go ahead.
Shreyansh Jain: Congratulations on good set of numbers. Sir, my first question is if you could help us understand what would be the constant currency growth for the 3 geographies, specifically U.S., U.K. and Germany. I think that slide is missing from this quarter's prese ntation. So can you just help us with that first?
Nitin Panwad: Shreyansh, Nitin here. So constant currency growth is around 5.5% for t

he current quarter.
Shreyansh Jain: Nitin, I'm asking specifically for U.S., U.K. and Germany or maybe if you -- the actual currency that -- the actual revenues that you would have done in dollar terms?
Nitin Panwad: So U.S. is 6.7% growth year -over-year, and U.K. constant currency growth is 4.1% year -over-year.
Shreyansh Jain: My next question is, sir, when I'm looking at your segmental numbers, this quarter, obviously, we started doing casting -- some of the casting in the U.S. itself. But when I look at your India

and the ROW, where essentially our manufacturing operations are based out of, when you look at the profitability, the profitability has gone up significantly from 33% last year in India, it's gone up to 50%, and ROW from 38.5% to 55%?
So what is actually transpiring? What is happening in these 2 geographies, sir? Second part to my question is when I look at U.S., U.K. and Germany, which are essentially 3 operating geographies, our absolute EBIT is actually has not increased, it's about INR5 crores, INR6 crores increase in these 3 geographies. And it's only because of India ROW that we see the increase of about INR20-odd crores. So can you just help us understand, because there's lot of confusion there?
Moderator: Ladies and gentlemen, thank you for patiently holding. We have the management back in call. Mr. Shreyansh, you can continue with your question.
Nitin Panwad: Shreyansh, I'm not sure like how much you heard. But the detailed working, Prashant will share with you that U.K. and India, both -- profitability comprising the dividend income, which is from U.S. But the retail profitability, Prashant will share with you. In the U.K., there's a significant improvement in the profitability .
Moderator: You can continue, sir.
Nitin Panwad: Sorry for the interruption. Since I'm out, there's network issue here. But I was mentioning that Prashant will share the detailed profitability with you. The improvement in slide the number you see in the segmental reporting includes the dividend income in U.K. and India, which Prashant will share with you separately. But in terms of operational profit, there is a significant improvement in U.K., U.S. and the Europe operation in all of the retail entities.
Shreyansh Jain: Sir, second is U.S. profitability. Obviously, you're saying it's improved, but I'm just looking at the last 4 quarters, the trend in the profitability of U.S. Margins from 11% has come to 6.8%, and then now 5.2%; and U.S., obviously 60% of our business, ri ght? So how should we look at the prof itability of the U.S. business?
And my last question, sir, is -- some sense on Germany, if you can help us, because we were understanding that you had spent a lot to actually premiumize your OTA lines and improve your customer set. But obviously, Germany has been a little weak in this qu arter. And lastly, sir, there is some volume value or degrowth. ASPs have gone down by 6 -odd percent. And on the digital side, our volumes have gone down by 2 -odd percent, whereas ASP has increased by 10%. So give some sense on what is happening in each o f the TV and digital categories?
Nitin Panwad : Sure. So first in the U.S. profitability. So U.S. has a growth of 6.7%. And we have invested the

money mainly in our digital marketing, where we have done our investment in OTT apps like Roku, and also the digital platforms like AppLovin. So this quarter c ompared to last year, around 10 basis points in our margins in U.S., from 5.1% to 5.2% c ompared to last year same time.

But obviously, that Q3 is a significant quarter where we generate a high single -digit to double - digit profitability in our retail operation. In terms of the Europe -- sorry, in Germany; so Germany, past quarters, we have seen the slowness in terms of -- especially the

sales and digital
part, where we have done a reshuffling in the team related to the lower conversion and traffic issues that we have seen internally in our platforms.
So that we have already done the changes, and we are seeing the returns are better compared to the previous quarter. And we are confident that the Germany will be profitable in the next 2 quarters. So we'll make a full year profitable from the Germany oper ation, especially the major improvement we have done in Germany in terms of gross margin side. Gross margin has improved around 410 basis points year -over-year in Germany, related to better pricing and the product mix that we are offering to the end consumers.
You mentioned about the price point of TV and web. So price point is more driven by the consumer demand, what consumer is looking for. And we keep on offering to the consumers a different set of products. It is because of 30,000 different SKU portfolio, vo lume growth is not directly linked with our sales. We offer based on the consumer demand and trends .
Like last year, we have seen a pretty good response from the gold and the lab -grown side also. That resulted in higher ASP . We are also seeing the traction towards the fast fashion jewelry, which is resulting in the higher volume growth there. We offer what consumer is looking for within the trend and the fashion in the respective territories.
Moderator: Our next question is from the line of Lakshminarayanan from Tunga Investments.
Lakshminarayanan: Just want to understand what is the half year EBITDA loss in Germany? And what is the plan? I mean, how do you think this year would actually end? The second question is related to profitability. I see that we have actually maintained a healthy profitabili ty. Is there any one -off that actually resulted in it?
Or what activities we have done to ensure that the profitability is high? And therefore, do you expect the profitability to be maintained at these levels? And the third question is that you had actually mentioned lab -grown diamonds sales have actually reached double digits. So I just want to understand what is that percentage now? And are we getting higher margins from those products? I think these are my three questions.
Nitin Panwad : Let me answer your initial questions. So Germany first half loss, EBITDA loss is roughly around EUR7 50,000 that will be compensated in coming quarters with the improved margins that we are seeing in gross margins and also improving in our digital contributions. The second thing is the profit. There is no one -off adjustment in the profitability. It's just a pur ely operational performance.
And this is helped by mainly operating leverage and also revi ving the Ideal World operation, which was making losses in the past many years, even before the acquisition. Now that business is resulting profitability. The third part is the lab -grown diamond. We started that business, I

think, 18 months back. So since then, that category is growing pretty well for us. Last year, the share was around 5.5% for this business. And now it is almost 10.3% of our total sales in business. And we continuously seeing consumer traction towards the lab -grown diamond and that we are constantly offering in our all 3 territories.
Lakshminarayanan: Sir, on the profitability -wise, do you think this is something which can be maintainable at these levels for this year?
Nitin Panwad : Certainly, that is possible that we are seeing that the higher gross margins despite the tariff - related hits that we have in the U.S. We managed to pass on the pricing to consumer. Now with the casting process that we have started in U.S., that will result in offering better pric es compared to the competitors who don't have that kind of vertically integrated ability. And that may give us an ability to take a higher gross margin fro

m the consumer.
So that part will cover off in terms of the profitability. And we are pretty confident with the process that already been started, and some of the shipments already been tested successfully.

So we expect that some of the margins we can pass on to the consu mer and some of the margins we can also get in our profitability.
Sunil Agrawal: This is Sunil here. Another thing that is helping us is lower employee cost, some process automation, some ML, AI benefits. We are seeing the employee cost to be lower, and that will continue to go down. Does that answer your question, Lakshminarayanan?
Moderator: I think we have lost the line. I will take the next question now. The next question comes from the line of Pritesh Chheda from Lucky Investments.
Pritesh Chheda: Sir, I couldn't hear. Did you quantify the H1 '26 half yearly German loss, EBITDA loss?
Nitin Panwad : Yes. So half year, Germany is EBITDA loss, but this will compensate against the H2 of FY26 performance which is season time.
Sunil Agrawal: Nitin did quantify that. Nitin, can you quantify again?
Nitin Panwad: Yes. So the losses was around -- so EBITDA loss for the first half of the year and this year is around EUR 7 50,000
Pritesh Chheda: EUR 0.7 million. And you are saying that EUR 700,000, so that's 0.7 million, right?
Nitin Panwad: Yes, right.
Pritesh Chheda: And you're saying that the H1 loss and the H2 profit will nullify each other. So it will be a neutral year in FY26?
Nitin Panwad: Right.
Pritesh Chheda: How was it in H2 '25? Was there a loss in half year last year in Germany?

Nitin Panwad: Yes, it was breakeven in the last year. Last year was breakeven.
Pritesh Chheda: The other thing is from the presentation, I couldn't figure out your original properties, your baseline properties of Shop LC and TJC U.K. At what rate those 2 assets grew? Because what we now see is the segment, which is U.S. and U.K. And then there is one more channel being bought in U.K. So if you could just clear that for us in quarter 2 and H1, what was the growth?
Nitin Panwad: Sure.
Pritesh Chheda: The presentation does not carry. That's why. Yes.
Nitin Panwad: Sure, sure. I'll ask Prashant to separate that also. The U.S. grew by 6.7% year -over-year, and U.K. grew by 4.1% year -over-year in GBP.
Pritesh Chheda: So this is in the TJC U.K?
Nitin Panwad: Yes, U.K., combining Ideal World and TJC, both.
Pritesh Chheda: Ideal World and TJC. And with the Mindful and the other 2 properties, U.K. is a 10% growth, right?
Nitin Panwad: Mindful and the properties are separate, it is coming under the Europe. So that is separate. But the major territory U.S., U.K. is 6.7% and 4.1%.
Pritesh Chheda: Europe -- okay. So there we have put it. So then if -- what I see is a 10%, okay, there is -- what you mentioned is 4.7% G BP growth. So then there's a rupee depreciation, and the reported growth?
Nitin Panwad: Yes, rupee depreciation also.
Pritesh Chheda: Can you give -- so then for the 10% growth that we see Y -o-Y, what will be the constant currency growth for Q2 & H1 ?
Nitin Panwad: Yes. So quarter 2 is 5.5% growth in U.S. dollars in the retail units.
Pritesh Chheda: 5.5. Okay. Any reason why we are not seeing the profitability improvement happening in the U.S. business? What is the key areas that one should look at? Because U.S. business, the margin that it was and the margin that it is, is a significantly different number. So i f you could just highlight that?
Nitin Panwad: Sunil, would you like to add on it?
Sunil Agrawal: Yes, sure. U.S., we believe, we've invested more in digital customer acquisition through OTT, as well as digital properties. So there's a new social media called AppLovin, the video game people play, Solitaire or Candy Crush. In those change of the games, there are ads coming. So we invested in th

at platform quite a bit in the last couple of quarters, and that a lso impacted our profitability.

But that's an investment to understand the platform and to acquire customers from that platform. On OTT, especially Roku, we invested quite a lot of money into app downloads. And we had over 0.5 million app downloads in last quarter. So that gives our bran d visibility and customer acquisition as well. So from profitability point of view, we had the benefit of HR cost benefit

and airtime benefit overall for the group, digital expense is higher.
Pritesh Chheda: So basically, U.S. went through the cycle and continues to be in the investing cycle where you first bought some cable homes, then you added digital spending. Then you -- now you're highlighting this gaming publishers where you are putting up your ads and then the OTT. So basically, in a 3 -year phase, you've been continuously putting up one or the other investment. How should we look at this U.S. business now? So every time there is a new reinvestment which is done, so if you could just call out that?
Sunil Agrawal: Yes. So as we guided, we will grow 7% to 9% with the leverage in profitability, and that leverage will come combination of U.S., U.K. and Germany, all 3 geographies.
Pritesh Chheda: Can you call out the margin expansion now possible from what you are reporting at a single - digit number aggregate since your answers are also aggregate. So the margin number, which is, let's say, about 9%, which we are seeing, directionally, where they sho uld head to?
Sunil Agrawal: Yes. So EBITDA is right now around 10% for this quarter. We expect this to further expand in current Q3 as well as Q4.
Pritesh Chheda: That is a seasonally higher quarter. On an annual basis, if one has to look at a 9% number ex other income, 9% number on an annual basis, next year or year after, where it should head and considering the strategy that you put in place?
Sunil Agrawal: We don't give specific guidance on the margin, but we do expect that the margin would expand higher than the revenue growth. So we're giving 7% to 9% revenue growth for the current year and the margin would expand higher than that , year-over-year.
Now since the economy is pretty dynamic, especially with the tariffs expanding or shrinking and we're finding solutions around them. Very difficult to give specific guidance. And also, as you rightly mentioned, we are making investment in different areas. So specific guidance is difficult. It's pretty dynamic. But we expect to have leverage or decent leverage for the year as well as for coming year.
Pritesh Chheda: My last question is on these tariff issues and whatever tariff, how -- looking at the margin number, looking at the growth number, you're fairly mitigated. So if you could just throw some light o n this?
Sunil Agrawal: Yes. So what we learned in the U.S., 80% of our business is jewe llery. And of that 80%, about 75%, 80% is silver, gold or platinum. But then we have done the casting from third parties in U.S., and those castings were bought in to Asia for finishing and s etting the stones.

And the original major portion of jewelry is made in the U.S., the tariff -- the reciprocal tariff is not applicable on the valuable part. And when the casting is U.S. made, there is no tariff -- there is 0 tariff on the casting portion of itself, which used to be 5.5% earlier. So all in all, our cost -- the tariff cost comes to below 5.5%, which used to be pre -reciprocal tariff.
Moderator: Our next question comes from the line of Deepesh from Maanya Finance.
Deepesh: Just wanted to know how many shipments have we done by the casting experience, casting tariff experience. And we have paid only 5.5% new tariff. How many -- I mean, I just want to know how many test shipments have we

done and whether that over a longer per iod of time will be applicable?
Sunil Agrawal: Yes, multiple shipments. So I don't have exact number. And this is so far the casting has been done by third party, but we have set up our own casting operation. Should be operational by about 15th of November, all the machines and all the permits have alr eady been received. Now installation is going on.
Deepesh: So how much capex have we done on this?
Sunil Agrawal: Not too much. Capex on casting is not high, very limited, but it is the manpower, the know -how and the process that is the crucial element.
Deepesh: If you can just quantify how much has been the investment in U.S. which we have done for this specific thing? Do you have a number?
Nitin Panwad : Less than $0.5 million, and also not a significant amount of manpower is required in U.S. Machinery process and the setting up the machinery is less than $0.5 million.
Deepesh: $0.5 million?
Nitin Panwad : Less than $0.5 million.
Deepesh: Just to understand that when we mentioned that we will not be able to quantify how much our margin expansion because of the tariff, of course, if the tariff reduces, the margins will vary. But just wanted to understand this being a very significant factor, because most of our revenues come from U.S., most of our jewelry is manufactur ed -- I mean, most of our sales come from jewe llery. So when -- even if the tariffs reduce, let's say, even to 15% or even 10%, still because of this the arrangement of casting, which we are doing, how much do you think that the sales of your entire jewe llery thing will be done by this casting unit and we will be using that and significantly

increasing our margins because this will -- at least the entire tariff will come to our margins, right?
Sunil Agrawal: It depends on the environment. If the competitors get the product from their suppliers, it's not a vertical retailer who does manufacture themselves, but they are sellers to those retailers if they themselves have the same process of casting them in U.S. a nd then make the jewe llery in India

or China, wherever can see the duty also. So it will be dynamic environment, the competitive environment. We will try to maximize as much as we can, but it is very dynamic.
Deepesh: So because if we had done the shipments, I mean, in the entire quarter, I was not able to understand why our margins from U.S. were significantly lower because we actually got a tariff advantage of around 50%. Even if we have passed it on to the customers, s till there would have been a significant advant age in terms of the competition?
Sunil Agrawal: It's not necessary that a ll the other players are paying 50% and then importing into U.S. There are differential tariffs in different countries, For example, Thailand is 20 % or Dubai is 10 % or UK is 10 % or Europe is 15% . So everybody has scrambled and found the different su ppliers in different countries.
I don't believe at 50% tariff, because the consumer sentiment where it increas e price by 1.5x. Differential may be anywhere between 10% to 15%. Of that, how much we can capture is still yet to be seen.
Deepesh: How much total sales from jewelry?
Moderator: Sorry to interrupt. Please re -join the queue. Our next question comes from the line of Rupesh Tatiya from Long Equity Partners.
Rupesh Tatiya: My first question actually about Germany. Germany growth rate, it is a bit sharper. And is German market as big as U.K.? U.K. is roughly INR950 crores , INR1,000 crores market, Germany is around INR250 crores. So if the German market is as big as U.K., the growth shouldn't plateau before, let's say, INR500 crores , INR600 crores sales. So what is happening --- more explanation would be very useful.
Sunil Agrawal: Sure. Germany, our own internal challenge in quarter, where we had our digital team was re

structured that some of the earlier players that we had, the overall e -com lead, the better marketer, the Google marketer, we changed everybody. So that disruption caused digital to reduce by 9%.
We grew 6%. So digital should be growing much higher than TV as we have seen in U.S. and U.K. and as Germany was doing. But it is internal disruption that led to flat kind of growth. But we expect this growth to resume in this quarter and onwards.
Rupesh Tatiya: So at least -- I mean, Germany can grow at 20% kind of rate for next 2 years. That's a fair assumption to make?
Sunil Agrawal: I can't say 20% or so, but I can say double digits, that is what our expectation is for this quarter and, this year and next.
Rupesh Tatiya: Q3, I think is a very big quarter, obviously, seasonally adjusted. And unfortunately, in that quarter only, we have 50% tariff. But do you feel, at least from your side, from supply side, are you well prepared if the consumer demand holds and there would b e if the season is good in the

U.S., festive season is good in the U.S., U.K. everywhere, you would be able to capture a decent amount of market share from that? Do you feel confident?
Sunil Agrawal: Most definitely. Confident as we have been in our ability to navigate any challenges that we want to be conservative in our guidance.
Moderator: Our next question comes from the line of Gaurav Nigam from Tunga Investments.
Gaurav Nigam: Yes, two questions. First one is on the content and broadcasting expense. I think we had earlier guided that we will maintain like 18 or so percentage of revenue. I see that it is inching up almost every quarter now and ahead of the revenue growth. I mean, can you specify where are we investing and in which geographies specifically? And is there a revised guidance on this content and broadcasting expense?
Nitin Panwad: So the content broadcasting past financial year was roughly 19%, and we maintain because this was the area where we are investing most of the amount over here. The first 2 quarters is normally a lean quarter for the year and the season is the biggest quart er of the year where we see th at in percentage terms, this cost goes down.
But we expect that this cost will be in the range of 19%. And the major investment of this cost

is going towards in our U.S. market. As Sunil mentioned earlier that our investment is mainly in the gaming platforms like, AppLovin, the OTT platforms like Roku, and we have our Facebook marketing. So that is why the major investment is in U.S.

Gaurav Nigam: Nitin, just a quick follow -up on this. I think you used to measure the performance of this digital investment. Can you just highlight how it has been playing out over the last 1 to 1.5 years since we started aggressively investing in digital? I heard about this, AppLovin. Like, how it is playing out? Because I think overall growth is still muted, right? So I mean just give us a sense that how you're measuring it and whether it is gi ving you the desired results , in what metrics you are measuring it. Just give us a sense on that?

Sunil Agrawal: Yes. Let me take that. So we look at the customer lifetime, so the cost against the customer lifetime value. So when we started this about 2 years ago, we ramped up the investment. At that time, the cost of acquisition was taking a little over a year to co ver the cost. So now that has come down to about between 6 to 9 months. Our aim is to bring that down to within 3 to 6 months of t he acquisition of the customer.

So as we bring it more between 3 to 6 months, we will further continue to expand the investment because we can recover the cost in a short period and then subsequent period is where the cash flow comes from that customer. So it has progressively improved. And there are multiple platforms within digital.

So within those, we invest in some places or re

duce some other places where we see the ROI being lower. So it's pretty dynamic, and we , and our team watches it pretty closely on a day -to-day basis and within the guidelines given the ebb and flow of the investments.

Gaurav Nigam: Sir, second question is on the overall market share. I mean just give us a sense of in all the 3 geographies over the last 1 year, how has the market share trended for VGL entities versus the, I think, 4 or 5 competitors in any geography that we track?

Sunil Agrawal: So we track it against the publicly listed companies. So earlier, it was Qurate Group, and Evine -- the ShopHQ. Now the ShopHQ are not doing business anymore. But when compared to Qurate in Q1 -- Q2 FY22, we were 3.1% market share against th e Qurate, we had 4.6% market share. So that is in 4 years so we expanded our market share almost 50% from 3.1% to 4.6%. Long way to go for us, long runway, but b etween these 2 listed entities.

Now if you look at the wider market that we see U.S., U.K. and Germany, we see there's a $30 billion worth of market, which is addressable by us, which is TV, TV -related shopping and e - com, e -com/TV. So that size is about $30 billion. Of that, our market s hare is about 1.5% only. So there's a long runway for us to get into the whole market size. Just take this. It's about $20 billion; of that, we have about $400 million. So just about 2%.

Gaurav Nigam: Just quick follow -up, sir. Just one quick question on both U.S. and U.K., where we are facing tariff issues and we have found ways to lessen the impact. I mean just wondering when we look at our competitor and when we have found, I mean, if this gives us s ome additional firepower in terms of gaining market share? I mean what we would have seen in the last 2 quarters? I mean just give us a sense that does it benefit us or we are in equal fitting with as compared to competitors? I mean any sense on that would be helpful on the same market share?

Sunil Agrawal: We believe that we have advantage over our immediate competitors, none of them are vertical. So there's at least one or two hops before they get the advantage. And everybody else is not as agile as we are because we have our operations in U.S.

If somebody else is there, they are not manufacturers in the U.S., they're manufacturing in India or China or Thailand, and they are only reselling to other retailers in U.S., so they can't set up manufacturing. But we can get it done through third parties and many people are doing that also, but we still a re much advantageous than them.

So there's the potential to gain the market share more, but there's also potential for consumer sentiment to be subdued in U.S. given the tariffs, given the noise of inflation and then some kind of immigration and all that. So that noise makes people cauti ous and that we are being cautious in our guidance because we have to balance this advantage against the consumer sentiment.

Moderator: Our next question comes from the line of Sahil Sharma from Dalmus Capital Management.

Sahil Sharma: I just wanted to understand with the B2B space, what would be the share of jewelry and lifestyle products? And B2B sales seem to be more consistent now. So how do you see this segment going ahead?

Sunil Agrawal: We don't hear of the market size of B2B. It's pretty massive, and we never really add because it is not as material for us. But you know there are China +1?

Sahil Sharma: Actually, I was asking with your B2B revenues, what would be the share of jewellery and lifestyle products.
Sunil Agrawal: It's pretty much all jewellery . So our B2B is pretty much all jewellery or gemstone or jewel lery. And we got advantage of China +1 that was there by U.S., U.K., all those players. After India got 50% tariff, that slowed down a bit. But in l

onger run, I see that story to continue because once India is able to strike the deal with U.S. government, wherever India settles, 15%, 16%, 17%, it will be so much better than Ch ina or even higher.
So that story would be there, and I expect the B2B to be stable or slightly higher growth rate than B2C because of that story unfolding. And we benefit because of the scale and we also learn about the market dynamics happening with other retailers. So it's a win -win for us as well as retailer.
Sahil Sharma: Just trying to understand this reduction in the time period for covering the customer acquisition cost. So do you have a breakup of digital sales directly from your own assets like website or any apps and the ones which are redirected from other channels a nd marketplaces?
Sunil Agrawal: First, marketplace is miniscule, Amazon or Walmart are minuscule. So overall, for the full year, we do less than $5 million of marketplace. So that is just about 1% of our revenue. The rest is all our own property.
Sahil Sharma: How much of that now would be redirected versus, say, a year or 2 years ago?
Sunil Agrawal: So actually, marketplace is a little higher earlier. It used to be 2%, 3% of our total sales , now it has come down to 1%, 1.5% of total sales because our focus was to make it profitable at marketplace, we are not profitable earlier on Amazon. Now we are profitable on Amazon, but we are not able to scale substantially up profitably in marketp laces.
And secondly, we don't own that customer. So repeat purchase from that customer , lifetime value of that customer is non -existent for us. So we have to make money even in the first purchase on the marketplace. And at that level, scaling is not as much easier as it is on our website, and that's where our intention is.
Sahil Sharma: My last question. Actually, I was trying to understand within your own website or app, like how much of it would be a customer coming directly to the website? And how much of it would be redirection from, say, Roku or some other gaming platform, as you men tioned. So that's what I was trying to understand?
Sunil Agrawal: I understand. Yes, sure, sure. So from Roku or Fire TV or gaming applications, all of those customers transact on our website only. We don't do transactions. There's no transaction platform on those , I mean, there's no checkout mechanism on those platforms. TikTok has it, but we don't do much business on TikTok. Amazon has it. Amazon, as I mentioned, we are less than 1.5% of our total sales for Amazon.

Sahil Sharma: So I think maybe I'll reconnect later on this. And on the LGDs, are our gross margins similar to the rest of the business or are they lower or higher?
Sunil Agrawal: Definitely higher.
Moderator: Thank you. Ladies and gentlemen, we will take that as our last question for the day. I would now like to hand the conference over to Mr. Sunil Agrawal for the closing comments.
Sunil Agrawal: Thank you, everyone. I want to thank all the participants for your time and great questions. If you have any further questions, feel free to reach out to Prashant Saraswat at VGL or Amit Sharma at Adfactors PR India, and we'll be happy to answer your quest ions. Thank you all once again.
Moderator: On behalf of Vaibhav Global Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2026

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Ref: VGL/CS/2026 /14 Date: 2nd February, 2026

National Stock Exchange of India Limited (NSE) BSE Limited
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Bandra Kurla Complex, Dalal Street,
Bandra, Mumbai – 400 051 Mumbai – 400 001
Symbol: VAIBHAVGBL Scrip Code: 532156

Subject: Submission of transcript of conference call

Dear Sir / Madam

With reference to captioned subject, we are enclosing herewith the transcript of Q3 & 9M FY26 Earnings Conference Call held on Wednesday, 28th January, 2026.

The Transcript of the earnings conference call is uploaded on the website of the Company and can be accessed on the below link:

https://www.vaibhavglobal.com/admin_assets/Investor/Investor_Presentation/1855989413540572.pdf

Kindly take the same on record.

Yours Truly,
For Vaibhav Global Limited

Yashasvi Pareek
Company Secretary & Compliance Officer
M. No.: A39220

Encl: as above

"Vaibhav Global Limited
Q3 FY '2 6 Earnings Conference Call "
January 28, 202 6

MANAGEMENT : MR. SUNIL AGRAWAL – MANAGING DIRECTOR – VAIBHAV GLOBAL LIMITED
MR. NITIN PANWAD – GROUP CHIEF FINANCIAL OFFICER – VAIBHAV GLOBAL LIMITED
MR. PRAS HANT SARASWAT – HEAD, INVESTOR RELATIONS – VAIBHAV GLOBAL LIMITED

MODERATOR : MS. NISHITA BHAT – ADFACTORS PR

Moderator: Ladies and gentlemen, good day, and welcome to the Vaibhav Global Limited Q3 and 9 Months FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star th an zero on your touchtone phone. Please note that this conference is now being recorded.

I now hand the conference over to Ms. Nishita Bhatt from Adfactors PR. Thank you, and over to you, ma'am.

Nishita Bhatt : Good evening, everyone, and thank you for joining us on Vaibhav Global Limited Earnings Conference Call for the third quarter and nine months ended 31st December 2025. Today, we have with us Mr. Sunil Agrawal, Managing Director; Mr. Nitin Panwad, Group CFO; and Mr. Prashant Sarasw at, Head of Investor Relations.

We will begin the call with the opening remarks by Mr. Sunil Agrawal on the business operations, key initiatives and broad outlook, followed by discussion on the financial performance by Mr. Nitin Panwad, after which the management will open the forum for the Q&A session.

Before we get started, I would like to point out that some statements made or discussed on today's call may be forward -looking in nature and must be viewed in conjunction with the risks and uncertainties that we face. A detailed statement and explanation of these risks is included in the earnings presentation, which has been shared with you all earlier. The company does not undertake to update these forwa rd-looking statements publicly.

I would now like to invite Mr. Sunil Agrawal to make his opening remarks. Over to you, sir.

Sunil Agrawal: Thank you, Nishita. Good evening, everyone, and thank you for joining VGL's Q3 FY '26 Earnings Call. I trust you have reviewed the results and the investor presentation. We delivered a strong performance in December quarter with revenue growth slightly ahead of our guidance. Our consolidated quarterly revenue crossed INR1,000 crore mark for the first time, reaching INR1,066 crores, a 9.1% Y -o-Y growth.

Performance during the quarter was achieved despite tough geopolitical conditions. Gross margin stood at 63%, up 170 basis points Y -o-Y, driven by the strength of our vertically integrated global supply chain. Digital contribution was 42% of B2C revenue, and we remain on track to reach 50% digital contribution by end of FY '27.

Further, I'm delighted to share that our in -house brands reached 48% of sales contribution mark during the quarter, and we are on our journey to achieve 50% sales milestone before the target of end of FY '27. Let me briefly cover regional performances.

In the U.S., we ended the quarter on a strong note and registered revenue growth of 3% Y -o-Y. Highly elevated precious metal prices and lower consumer confidence compelled the consumers to defer discretionary purchases. During the quarter, we started our in -house jewelry casting manufacturing operations in U.S. to mitigate tariff on our jewelry shipped to

U.S. However, we still had 489 basis points increase in our overall product costs due to tariff on other products. Despite this, we were able to increase the gross margin by 30 basis points as our vertically integrated model provided requisite resilience.

In the U.K., revenue was down by 1.8%. While Ideal World continued to perform strongly and grew by 12% Y -o-Y, T JC had negative growth of 6%. Due to softness in overall consumer confidence, combined with steeply higher precious metal prices, consumer deferred their purchases.

This had a direct impact on core T JC's growth. Ideal World continued with a strong EBITDA profitability, which is driven by healthy gross margins. Overall, U.K.'

s EBITDA margin
improved substantially by 240 basis points Y -o-Y owing to dynamic product profile and operational efficiencies. In Germany, we delivered revenue growth of 5.1%, supported by continued strength in the live TV commerce.

In digital, we have seen initial signs of improvements, and we are confident that digital will start contributing to overall growth in Germany business in coming quarters. Further, I am pleased to share that the Germany business has turned profitable during the quarter with EBITDA margin of around 6%.

We remain on track to achieve EBITDA breakeven for the full financial year 2025-26. We expect Germany to start contributing to group EBITDA margin from financial year 2026-27

onwards.
Our growth continues to be guided by 4 clear priorities, which are expanding Reach, new customer Registration and acquisition, Retention and Repeat purchases. During the quarter, our TV networks reached 127 million households. As of 31st December 2025, our unique customer base stood at 706,000, up 2% Y -o-Y. On a TTM basis, we added 38 0,000 new customers, while retention remained stable at 40%. Customer engagement remained healthy with customers purchasing an average of 22 pieces on TTM basis.
Sustainability remains integral to our operations. Recently, we have made a commitment to the Science -Based Targets Initiative, i.e. SBTi, and we are aligning our carbon reduction strategy within the 1.5 degrees centigrade increment pathway under the Paris Agreement. Our ICRA ESG rating was upgraded to 73, reflecting continued progress towards governance and environmental practices. On the renewable energy front, we generated 1.1 million kilowatt hours of solar power during the quarter, meeting 100% of our manufacturing power requirements. The VGL Group is now Great Place to Work® certified across all geographies. Further, under our flagship 'your purchase feeds…' program, we have served 109 million meals, currently providing around 59,000 meals per school day. We remain committed to our long-term goal of serving 1 million meals per school day by FY '40.
Capital allocation remains a key priority for us. The Board has approved a third interim dividend of INR1.5 per equity share, implying a 28% payout. Despite ongoing adverse macros, our balance sheet remains strong, providing the requisite agility. During the quarter, we

delivered revenue growth slightly ahead of our guidance of 7% to 9%. We remain well positioned to sustain profitable growth while maintaining our FY '26 guidance.
We expect to achieve 9% to 11% revenue growth in FY 2026-27 with EBITDA margin of 10.5% to 11%. I will now hand over the call to Nitin to discuss financial performance. Over to you, Nitin.
Nitin Panwad: Thank you, Sunil. Good evening, everyone. I will now take you through the financial performance and key operational highlights for the third quarter. Please note that from this quarter onwards, we have enhanced the disclosure of our segmental performance, and the same is published in our investor presentation. As Sunil mentioned, we delivered leading quarterly revenue of over INR1,000 crores, reaching revenue of INR1,066 crores, reflects a growth of 9.1% year -over-year, which is slightly above our guidance range.
It is also satisfying to see branded sales mix becoming 48% of B2C sales in Q3. Further, digital business is also progressing towards achieving our target of 50% sales contribution by FY '27. These milestones reflect satisfactory performance towards achieving our strategic objectives. Now I will cover the geography -wise performance in quarter 3. In the U.S., revenue growth for the quarter was 3% year -over-year. In quarter 3, customer deferred were urchase amidst softer consumer sentiments triggered by higher metal prices.
Despite these conditions, our margin remains strong and supported by integrated sourci

ng and
local jewelry casting manufacturing capabilities, which got operationalized in Q3 itself. In the U.K., revenue declined by 1.8% year -over-year.
The TJC operations were impacted due to taper demand owing to surge in metal prices and subdued consumer sentiment. Ideal World continues to deliver strong revenue growth, supported by a wider assortment of products and in -house sourcing capabilities. Ideal World continued to sustain its healthier profitability. Overall, U.K. operation has delivered a strong profit growth of 40% year -over-year owing to cost rationalization and operating leverage. Germany recorded 5.1% revenue growth during the quarter, supported by sustained growth in live TV commerce. In line with our stated guidance, the business delivered positive EBITDA of 6% in December quarter, driven by scale and cost rationalization. We remain on track to achieve full year EBITDA profitability for financial year 2025-26. Overall, in U.S. dollar terms, Q3 revenue growth was 3.4% year -over-year for VGL Group. TV revenue stood at INR589 crores, growing 7.7% year -over-year, while digital revenue increased by 11.2% year - over-year to INR423 crores. Digital now accounts for 42% of total revenue, and we remain on track to reach 50% of B2C sales mix by FY '27. Lifestyle products contributed 35% of total sales with a medium -term target of 50%. As mentioned earlier, in -house brand sales mix is now 48% of B2C revenue during the quarter, and we are confident to achieve 50% sales contribution before our targeted period of FY '27.
Gross margin remained strong at 63%, maintaining margin above 60% in a challenging operating environment, underscoring strength of our vertical integrated in -house supply chain.

EBITDA margin expanded by 170 basis points to 13.2% with EBITDA growing 26% year -over-year in absolute terms.
Margin expansion was driven by improved realization and operating leverage, led by 120 basis point improvement in employee cost, 60 basis point improvement in airtime cost. Profit after tax grew by 41% year -over-year to INR90 crores.
The business continued to generate healthy cash flows. Operating cash flow stood at INR160 crores and free cash flow at INR143 crores. The balance sheet remains strong with net cash position of INR213 crores, reflecting prudent capital management and liquidity strength.
ROCE improved to 21%, while ROE stood at 15%, indicating continued improvement in our return ratio. The Board has approved an interim dividend of INR1.5 per equity share, reflecting a balanced approach to capital allocation while maintaining adequate liquidity. In view of the prevailing operating environment, we remain well positioned to sustain our profitable growth while maintaining our FY '26 guidance. and expect to achieve 9% to 11% revenue growth for FY '27 with EBITDA margin of 10.5% to 11%.
Moderator: Thank you very much. The first question is from the line of Deepali Kumari from Arihant Capital. Please go ahead.
Deepali Kumari: I have few questions quarterly sales volume for TV declined from 1.74 million to 1.71 million units and digital volume dropped. So while consolidated revenue grew by 9.1% due to ASP increases, particularly a spike in digital ASP from $32 to $38. So how sustainable is the reliance on pricing power if unit volume continue to trend onwards?
Nitin Panwad: Let me take this. So hi Deepali, so unit decline is mainly related to the customer adoption of the products. Right now, the lab -grown adoption is pretty high from the customer point of view. And we are seeing the productivity metrics on TV and also on website, the lab -grown product demand is high. So that is driving the higher ASP, but it is also realizing higher revenue to us. So volume has a degrowth, but the realization is pretty good with the lab -grown products.
Deepali Kumari: Okay. So what is t

he revenue contribution for LGD? And what is the average selling price of that?
Nitin Panwad: Yes. LGD is now double digit, roughly around 10.7% of our retail revenue. And average selling price is roughly around $250 for lab grown.
Deepali Kumari: Okay. And sir, in Europe, mainly in Germany jump ed year -on-year even though revenue in Germany grew only 5.1% in local currency. So what specific price control measure has helped such a margin improvement? Is the current 6% EBITDA margin in Germany sustainable going forward?
Nitin Panwad: Most definitely. So Germany, one reason is the improvement in our gross margins. We have -- from past quarters, we have managed to improve gross margin roughly 300 to 400 basis points with better product offerings. And also the cost measurement that we have done in all the

respective areas from airtime to shipping partners and also in productivity increase in our warehouses. So improvement in gross margins and our cost improvement we have done in Germany operation, resulting in a higher profitability .
And we expect that this growth is sustainable, and we continue to improve profitability .
Sunil Agrawal: Just one point, Deepali, on this one. So , the seasonal time, which is October to March is seasonal time for TV e -com business. During that time, we expect to see continued improved gross margins or the EBITDA margins. But during the summer months, it may be a bit lower. But overall, for this financial year, we will be slightly above EBITDA positive.
And next year, we expect the EBITDA margin to grow up. But the 6% may not be constant every quarter. Some quarters will be higher than that and some quarters will be lower. But overall, we'll be better next year than almost flat or slightly positive EBITDA we expect this year.
Deepali Kumari: Okay. So lik e we can consider like above 6%?
Sunil Agrawal: Yes. We are not guiding specific numbers for next year yet, but we will be noticeably better than almost less than 1% EBITDA this year.
Deepali Kumari: Okay. And sir, so TJC in the U.K. saw revenue fall in local currency. So what econom y is slowin g there? How will the Ideal World acquisition help improving performance in the market in the next few quarters ?
Nitin Panwad: Yes, sure. So Ideal World, as stated, is performing pretty well. Last quarter, we have seen 12% growth in Ideal World. And now it is achieving almost similar EBITDA margin what TJC is

generating. TJC, as mentioned that we have seen slowness in terms of consumer demand due to elevated metal prices that lower ed the consumer sentiment s which furt her impacted the sales growth in TJC.

Deepali Kumari: But that is offsetting a little bit in our higher growth in Ideal World.

Sunil Agrawal: Yes. So in TJC, we are seeing good traction on digital space. And we are also exploring some additional national airtime for only part time 2, 3 hours or 4 hours a day. We had some of these hours, which we exited. Actually 2 broadcast services we had, we exited them because there were some price negotiation could not be completed, but we are exploring some other shortly. And digital continues to benefit to us. And the cost cutting in U.K. is much, much slower than U.S. So we expect the TV to continue to add value to our business or the growth to our business in the coming quarters and years, foreseeable future.

Deepali Kumari: And sir, your Jaipur plant, d o you have any plan s to increase factory utilization ?

Sunil Agrawal: Jewelry manufacturing is a low capex model, to increase the production capacity for future growth, we can do that with very little capex . And currently, it is very well optimized from people point of view and from equipment point of view.

Moderator: The next question is from the line of Kiran Gadge from Knightstone Ca

pital Management.

Kiran Gadge: So for Lifestyle, we have contribution of 35% of total sales. And in medium term, we are targeting 50% of sales. So , because of this shift, will we be able to maintain our margin because in Lifestyle, we are not vertically integrated?

Sunil Agrawal: Yes. Although we're not manufacturing lifestyle, but we are able to source it from directly from all over the world. We have offices in already 4 countries to source, and we have supply chain relationships with manufacturers in 30 countries. Yes. So , we expect the margins to be similar growth trajectory as we are seeing in jewelry.

Moderator: The next question is from the line of Garvita Jain from Seven Islands PMS.

Garvita Jain: Yes. So , sir, my first question is on the content and broadcasting expenses part. So , I wanted to understand, if I take content and broadcasting expense as a percentage of the sales, can we expect it to further reduce? And in terms of absolute number, can we expect it to remain in the same range of INR190 crores and around that?

Sunil Agrawal: There are 2 components of this content and broadcasting. One is the TV content broadcasting, other is digital spend. So , we expect the TV portion to remain constant, but the digital will go up. So as a percentage of revenue, we don't expect a leverage from this area.

Garvita Jain: Okay. So , leverage is expected, right?

Sunil Agrawal: Leverage will accrue from 3 areas . We expect leverage in future as we are guiding for higher EBITDA. One is that the gross margin, we expect to continue to improve slowly over the time. The second is the employee cost. So , employee cost, we are gaining efficiencies in process improvement and scaling from the fixed base, we expect the HR cost to improve. AI is also helping in this area. And SG&A, some SG&A may have some savings as well. So , these 3 areas will give us a leverage.

Garvita Jain: Got it. And sir, if I talk about the automation in the business model, any type of automation or AI use in the business model, any possibility of employing such thing in the business, which can help us to improve efficiency and reduce cost? And any kind of EBITDA margin improvement we can expect from that part?

Sunil Agrawal: Yes, that is true. We constantly, we are implementing the process improvement, automation and AI into our business processes. And that is the reason you saw 1.2% efficiency improvement last quarter in our HR costs.

Garvita Jain: That is in the HR cost, right? Okay. One more question, sir. On the Germany business part, good to see that you have achieved the EBITDA profitability on this business. But can you please give me exact figure of how much was the PAT loss on 9 -month basis from the Germany business?

Sunil Agrawal: Nitin, can you look at that?

Nitin Panwad: So PAT is higher. We're guiding for EBITDA. So EBITDA is roughly around for 9 months, EURO 300,000 loss that we have, and we're expecting that it will cover up in the current quarter.

Garvita Jain: Okay. This is EBITDA. Can you give me PAT loss, sir?

Nitin Panwad: PAT is not significant because major cost is the interest, which is intercompany interest, not a

third party. So it's intercompany cost.
Garvita Jain: Okay. Okay. That's fine. And sir, can you give me some kind of guidance on Germany business in terms of the revenue guidance and profitability that we can expect for FY 2026 -27?
Sunil Agrawal: Yes. So overall revenue guidance we are giving for next financial year to be 9% to 11%, and that incorporates all the businesses that we have. Now from the EBITDA point of view, we gave the guidance that next financial year, Germany will start contributing to group EBITDA. Current financial year, it will be flat or slightly positive EBITDA. But next year, it will be -- it will start contributing. Still, it is -- the macro envi

ronment is still a bit uncertain. So we are not giving specific guidance of specific business unit. But overall EBITDA guidance we are giving for next year is 10.5% to 11%. In fact, this is the first time we are giving EBITDA range guidance in our investor calls, but that's for overall business.
Garvita Jain: Okay. Okay. I get it. One more question, sir, because...
Moderator: Please rejoin the queue for follow -up question.
Garvita Jain: One last question, if you can allow...
Moderator: Sorry, ma'am, can you please rejoin the queue as there are more participants left in the queue? The next question is from the line of Sahil Sharma from Dalmus Capital Management.
Sahil Sharma: So I just wanted to understand, so the digital ASP has been consistently growing over the last few years, and it is now more in line with the TV ASP. So , first of all, what has been driving this growth? And is there scope for further ASP growth given that the TV ASP seems to have stagnated at the $38, $39 mark for the last 2, 3 years.
Nitin Panwad: Yes. So digital has 2 portion s. One is -- the major part is one is the rising auction, which is a $1 bidding model and the rest is the fixed price catalog ue and the web TV. So , $1 tend to be a lower ASP as that is a lot of engagement with the customer and the inventory clearance mechanism. Now as the business is moving towards more of digital marketing through social media and the sales coming through paid channels, that the other portion is increasing significantly over the years. And we have seen over the period that the high -end jewelry consumer are giving more lifetime value compared to the $10 or $5 product. And towards that, we are investing our money where we are getting the higher lifetime value from the customers. One of the example s is the lab -grown diamond , which is continuously performing well and that we are marketing and targeting the customer through the paid media on web. That is driving the higher ASP . ASP normally, we keep a range from business perspective around $40.

But we are targeting based on the profitability of the customers. So right now, we cannot guide on the whe ther the price will fall for digital consumer, but it will be on the profitability side wherever customer is giving more value .
Sahil Sharma: Understood. You mentioned that LGD are about $250 ASP and share has been growing. So , I was just trying to understand if that share goes further. So , this can mov e further up beyond $40 as well?
Nitin Panwad: But then the repeat will come that with the different offerings from jewelry to lifestyle products that will have the lower selling price. So not necessarily that the price is $250, it will remain same. The different product bouquet we have from $5 to $1,000 with 30,000 different SKUs. So that's where the average price becomes low.
Sahil Sharma: Understood. And sir, what was the revenue from the OTT channel this time in Q3? I think that number was missing in the presentation .
Nitin Panwad: It is not with me right now, but Prashant will come back to you on the OTT numbers.
Sahil Sharma: Okay. So how are you seeing the conversion trend in the OTT channel? We were making a lot of investments in that channel. So , is that investment trend continuing? And how is the conversion trend that you're seeing there?
Nitin Panwad: Sunil, would you like to take this?
Sunil Agrawal: Yes. So , we are continuing to make the investments. There are 2 reasons for that. We are seeing the audience migrating a lot towards OTT channels. There is a Fire TV, Roku, Samsung TV or Hulu TV, -- there's so many different platforms.
In fact, the OTT viewership right now is almost 4x the linear TV viewership in the U.S. So , we are continuing to make investments, and we are seeing the lifetime value of OTT customer much higher than TV customer also. The c

hallenge in OTT is once you get a customer to download through paid media, once they download, it is difficult to retarget that customer because the OTT ecosystem is not as evolved as the mobi le app or the online system is.
We are continuing to explore more and more advertising options and continue to explore those areas. The revenue continues to improve Y -o-Y. I don't have the exact number, but we are

continuing to make the investment and continuing to expand in that area.
Sahil Sharma: Understood. And one last question, sir. So , we had this target of reducing our time line -- breakeven time line for customer acquisition cost from about 9 months to 3 to 6 months. So where are we on that journey at presen t? And is the trend encouraging?
Sunil Agrawal: Yes. So , we have 6 brands. So , 2 of those brands have already achieved 3 months breakeven and the rest are between 5 months to 9 months period. And we are learning every day and experimenting with different products, different offers, different landing pages and getting to -- and shortening the time. And as we shorten the time, we'll continue to scale those brands up. And that is one of our growth strategies going forward in the future.

Moderator: The next question is from the line of Deepesh Sancheti from Maanya Finance.
Deepesh Sancheti: Okay. Now I just wanted to understand, in jewelry, how much is the sales from gold, silver and artificial jewelry?
Nitin Panwad: Plain gold, we don't have much , majorly, we do the casted jewelry, studded gemstone or diamond or lab -grown product. Plain gold as we -- our guardrail of keeping the margin 60% and above doesn't need. So we don't do -- unless there's a designer jewelry, we do that part. But the margin guardrail just that product normally do not need. So that is why the proportion is comparatively very low compared to the major product is gemstone jewelry.
Deepesh Sancheti: No, no. I'm just trying to understand that in the jewelry segment, which is approximately 65% of your sales, how much is in terms of in a gold product, in a silver product and how much of it is artificial jewelry? And does that all have the same margins or not?
Nitin Panwad: See that I mentioned about that these are the proportion from gold, silver and platinum with the studded gemstones. So gold portion will not be a significant one in the product cost. So , we target based on the different gemstones. The major part is gemstone.
Deepesh Sancheti: How much of your products -- I mean, even in studded, how much of it is done in gold? How much of it is done in silver, -- how much of it is done in platinum, i f you can have that bifurcation.
Sunil Agrawal: Yes. Deepesh, I can give you rough numbers. I don't have the exact breakup, but approximately 70% of our jewelry would have silver, gold or platinum component up to it and by value, I'm saying. And the 30% would be base metal. There is brass or copper or stainless steel.
Deepesh Sancheti: Great. That's just a rough num ber?
Sunil Agrawal: Yes, that's just a rough number. So what Nitin can do is to get the data more detail and get that out to you later.
Deepesh Sancheti: I think just contact the IR for that to have the exact numbers, if you can have ?
Nitin Panwad: Sure. Yes. Prashant will arrange for you.
Deepesh Sancheti: Great. And just wanted to understand also the U.S. exports. Is it going fine because you had mentioned that you are casting over there, getting it here, finishing and going back. It's only 5.5%, I think what you mentioned in the last con call. So is that working well? Or are we facing any duty challenges?
Sunil Agrawal: No, that is working well because we are casting there, and we have the custom border protection ruling specifically for our company, stating that this process is as per the law. So in this case, we are paying 5.5% tariff only on t

he value addition, not on the casting component.
On that i t is 0.

Deepesh Sancheti: And your lab -grown is done mainly in gold or in other -- in every metal -- in every precious metal?
Sunil Agrawal: Pretty much every precious metal, silver, gold, platinum. Everything.
Deepesh Sancheti: Silver, gold platinum. Okay. Are you seeing any traction more in silver? Because a lot of -- because of the high gold prices, a lot of lab -grown jewelry has started coming into silver. Are you seeing that kind of traction or it's working well in all the 3 metals?
Sunil Agrawal: For us, it's more platinum and silver. Gold velocity actually reduced after prices shooting up. Now silver has recently shot up exponentially. So , I don't know how the silver with the new prices fare up in lab grown. But right now, it's doing well.
But going forward, we don't know. So , what we're doing is testing into more different metals like base metal with a lower carat weight lab grown and see how that consumer takes up. So , we constantly bring new product, Deepesh, 100 new products every day. There's a very high

velocity of experimentation, testing and new product coming to customers.
Deepesh Sancheti: Great. And is this new FTA, which has been signed between EU and India, how is -- how are we as a company exploring that opportunity? Because apart from this we do not have focus in other part of EU, that's why ?
Sunil Agrawal: Yes, yes. So we can say 4% on our jewelry export from India to Germany. So that will definitely benefit us.
Deepesh Sancheti: Okay. That will add to our margin directly. Is that a right assessment?
Sunil Agrawal: Correct. It will.
Deepesh Sancheti: Great. And if you can just give us ROE going forward ?
Moderator: Sorry Mr. Deepesh, but I have -- can you please join the queue for more questions as there are more participants in the queue. The next question is from the line of Lakshminarayanan from Tunga Investments.
Lakshminarayanan: When I look at your unique customer growth, I see the growth has been 2% for the 9 months across. I just want to understand which geographies the growth has been positive and which geographies the growth has been negative. And if you can actually give some idea of whether this is on the lifestyle or in the jewelry. I just want to understand that particular part?
Nitin Panwad: So, we are seeing the good improvement in U.K. digital customers adoption is pretty high over there. Ideal World remained flat and also Germany remained flat. Mainly, we are seeing some low customer in U.S. as the strategy of acquisition on digital customers, we have moved from low price point to slightly higher price point customers.
So that's where the unique customers were lower. Initially we acquired a lot of digital customers through \$10 to \$30 price point, but we have realized later that those customers are not giving value as we anticipated. And we are seeing that more high -end customers giving

more value. So that's where we have seen last 12 months TTM basis, unique customers are lower on U.S. side.
Lakshminarayanan: On the U.S., again, there are two ways to think. One is lifestyle, one is jewelry another way is digital and non -digital. Where do you see the decline in unique customers in the U.S. market? Which segment of this?
Nitin Panwad: So digital customers, mainly we have seen the change in the past 1 year as the customer inflow was very high. And mostly jewelry product, we were targeting to acquire those customers 1 year back. And that is now reduced after the changing of strategy to higher price point targeting. So mainly U.S. jewelry customers.
Lakshminarayanan: And what is your outlook in terms of that unique customer growth broadly, what is the internal thought process for FY '27? Do you intend to keep

the U.S. unique customer growth at somewhere like mid -single digits? Or how are you thinking about it?
Nitin Panwad: We mainly target as the profitability of the customers rather targeting number of customers or targeting qua ntity of customers. So not a specific number, but more a quality of customer we are targeting.
Lakshminarayanan: The second question is that if you look at the last 9 months, any specific projects or something which you have actually initiated and that have actually done pretty good for us. Anything you'd like to call out the last 6 months -- last 9 months that you see either benefits have already come or you think benefit should come actually down, which you haven't done in the previous year?
Sunil Agrawal: There are so many initiatives just to say.
Lakshminarayanan: Anything you would like to call out in priority or things which you are reaching for. .
Sunil Agrawal: There's one pure D2C brand called Rachel Galley that we started 4 years ago. So last quarter, we were able to see the good traction on lab -grown diamond and a couple of other jewelry products. And then we scaled up the spend and we're able to triple the revenue within the brand. Now it's a very small base so that overall it doesn't speak and come up in the numbers. But there is a proof of concept that on digital space, if we are able to crack the code, there is a room to scale up the revenue pretty rapidly that we saw with Rachel Galley. Now we are putting up AI initiatives in different places. For example, AI chatbot. So all the text responses are generated by AI. The e -mail responses are generated by AI.
Even the voice response now, we're testing with 10% customer in U.S., the voice response is by AI. We are using AI for creating our TV schedules. Our calendar is getting done by AI. We have CRO GPT within our business in U.S. So , any question for internal data, we can ask in natural language and get the answer now.
At multiple levels, we are implementing AI. The content and everything every does, but this gives us more high value -added AI use cases in the organ isation . Warehouse automation -- not

automation, process improvement in U.S. especially has led to lower operation costs. Now U.S. is running with 320 people at higher revenue, which used to be 500 people 3 years ago at lower revenue.
So, we are seeing a lot of different areas and initiatives and different peoples . There is a varying effect . One initiative that you have asked and I'm just sharing with you, there's a concept called Zero Distance. It's a Chinese term called Rendanheyi, by Haier Founder, Zhang Rumin. And last month, I went to China to meet him. It is a $55 billion company.
He gave me 90 minutes. And we understood from him how they create micro enterprises within the group with P&L responsibilities and then how we drive efficiency, increase the sales, the cost, improve the margins, and that led to efficiencies. So , across the whole group, now we have over 100 micro enterprises with P&L responsibilities.
And we are developing entrepreneurs within our company to drive the business forward. So , a lot many initiatives that I can list here, but all these put together gives me confidence that VGL is poised for strong growth in years to come.
Moderator: The next question is from the line of Naveen Baid from Nuvama Asset Management.
Naveen Baid: So, I had a bookkeeping question. So , if I look at your segmental revenue, so there is a disconnect between what is reported to the exchanges and what is put out in the presentation. Can you please explain that?
Nitin Panwad: Let me see one second. Yes. So , exchange gain specifically is not present in the segment one, it is clubbed between all the entities. You're referring in the investor presentation segment as well?
Naveen Baid: Yes, yes. So , for, if I look at the

investor presentation, the segmental slide, your U.S. revenue is at INR593-odd crores, right?
Nitin Panwad: Right, right.
Naveen Baid: Whereas if I look at what you have reported as annexure one, in the exchange filing, your revenue for U.S. is INR685 crores.
Nitin Panwad: Got it. So , that is why we have shown separately because that is the published accounts is based on the geography -wise. And here, we have separated the retail and the manufacturing.
U.S., we have 2 entit ies. One is a sourcing entity. So, that revenue clubbed in U.S. But now for the better presentation, that's the actual real reflected number in investor presentation. So , the other revenue is the sourcing revenue, which is done by a separate entity in U.S.
Naveen Baid: Okay. But then it's fair to assume that those products are eventually getting sold in the U.S. only. So , the incidence of sale -- the true incidence of sale in the U.S. is what is reflected in the exchange number of INR685 crores. Is that fair to assume?

Nitin Panwad: Yes. Not that will not be a comparable number then because some of the inventory will be remaining from those products in U.S. So , fair to compare the retail and the sourcing separately, both sales.
Naveen Baid: Okay. Okay. Got it. Just one more question. So , what is our current customer acquisition cost across channels? Just some colo ur.
Sunil Agrawal: So, Naveen, that would be difficult to pinpoint because we have 6 brands. And within each brand, we have multiple acquisition channels. We have Google, we have Meta. Within Meta, different -- we drive about 10 to 12 different product categories and each have different customer acquisition costs.
Naveen Baid: Let me rephrase the question. So , then what is the ROA S that we generate on the digital performance marketing spend that we do?
Sunil Agrawal: Yes. So , we look at ROAS, overall ROAS on a store ROAS basis. We look at 2.5% as a target ROAS that we should generate because our margin is about 55% at 2.5% ROAS, we are breakeven -- and then we try to get that customer to purchase again and again in the future with us. So , from all marketing together, there is Meta, Google, AppLovin affiliate and e -mail text, all those marketing. And that's the overall company target that we look at or the brand target we look at. But individual channels may differ. Some channels, for example, Meta, lab -grown diamond 1 day click accrual ROAs , we are okay with 0.4 or 0.5, 0.4, 0.5 because then that eventually, we know flows into the other channels and e -mail or direct or whichever and then goes to 2.5. So , it's a bit complicated across different product categories and different channels.
Moderator: The next question is from the line of Tripti, an individual investor. Yes, ma'am, please

continue.
Tripti: Okay. So , sir, my question is like India and EU -FTA trade deal was concluded yesterday, removing the 2%, 4% duty on jewelry. Your German revenue has been stagnant and you see a 9% digital drop last quarter. So , since your Jaipur unit are already shipping to Germany, will you use this 400 basis point margin tailwind to the lower price and with the digital decline? Or will you let the flow bottom line to ensure Germany doesn't slip back into the loss and seasonally weak Q4?
Sunil Agrawal: Good question, Tripti. Thank you. So , our aim would be to get to a revenue growth of 10% or higher in Germany with EBITDA contribution to the group. So , within that objective, we will look at what works best. So , we reinvest some of that into the customer acquisition or to let it flow.
So, that will be decided on a pretty dynamic way. So , at this time, it will be difficult for me to give a guidance how exactly it will play because our business is very dynamic. It is TV, web and multiple product lines. So , we look at that pretty dynamically.

Tripti: Okay. Okay. And one more thing that you had multiple leadership realignment in Germany over the past 18 months. So , is current team permanent? Or should we expect more reconstruction in cost in FY '26?
Sunil Agrawal: Yes. We are pretty happy with the team that we have now, and they are coming together very well and they are performing as you saw. Last quarter, the revenue growth from quarter before, there was no revenue growth. Last quarter, there was revenue growth. The gross margins are higher, EBITDA positive and it's profitable. So, we are very happy with the team coming together and performing.
Tripti: Okay. So , there is no change in team, right?
Sunil Agrawal: Nothing expected. Some additional spaces to fill, but there is all middle level only, but nothing -- no senior changes or no major changes.
Tripti: Okay. There is a last question. Like you can consistently beat your lower margin like 7% to 9%, whatever you guided. Then given that you grew 16% in U.S. this quarter. So why are you still maintaining such a low guidance for full year?
Nitin Panwad: First, I'll take Sunil. So Triptii, so U.S. growth, 16% is not apple -to-apple comparison because that includes the sourcing unit growth. But you can refer the investor presentation, that will be better in line with the comparable number. So U.S. in past quarter, we have a growth of 3-4% in local currency terms.
Sunil Agrawal: In rupee terms.
Nitin Panwad: Yes. And for next year, we are guiding that 9% to 11%. So that is definitely the other initiatives is helping, and that is why we are guiding the higher number for the next year.
Moderator: The next question is from the line of Deepesh Sancheti from Maanya Finance.
Deepesh Sancheti: A couple of questions from here. What is the labor code impact on our company in this quarter?
Nitin Panwad: Yes, I'll take that. So , Deepesh, labor code impact was not significant, around INR1.7 crores so that we have accounted in our employee cost.
Deepesh Sancheti: Okay. Okay. And going forward, what is the ROE expectations? Because in 9 months, you've done ROE of about 15%. And in 2022, we were above 20%, 23%, 32%, that kind of a number. So how -- when do you see that number actually going to '23 -- from 15 % to 20 %,23%?
Sunil Agrawal: Deepesh, difficult to guide the exact time line for that. But what I expect that we've already given the guidance for next quarter for the EBITDA number. And we don't foresee a major capex , except some in U.K., but nothing exceptional capex . So, ROE and ROC, ROIC both should improve next year. And in medium term, they should continue to improve. So, what I'm guiding is that we should continue to see leverage next year and in midterm.
Deepesh Sancheti: So the trajectory will be upwards?

Sunil Agrawal: Yes, will be upwards.
Deepesh Sancheti: Right. And if I can just put in one more question. But how much of your lab -grown sales actually come from 1 carat and above because that's where the real margin would be, I'm assuming?
Sunil Agrawal: Nitin do you have an idea?
Nitin Panwad: No, I don't have that idea.

Sunil Agrawal: It's a good question, Deepesh, but it's a very micro question. So Prashant can probably but I can give you a general idea that from my back of the envelope estimate, about 70%, 75% of sales would come from 1 carat .

Moderator: The next question is from the line of Shreyans Jain from Swan Investment.

Shreyans Jain: Sir, my first question is like you're guiding for 9% to 11% of top line growth. What sort of INR depreciation are we building in this guidance?

Sunil Agrawal: Yes. So , we'll have benefit of first 2 quarters, assuming that rupee slide stays where it is. So , it doesn't slide any furthermore. So , first 2 quarters will have benefit, and we don't expect m

uch
benefit for second half of next financial year. So , I don't have exact numbers that we calculated right now. But just overall benchmark -- overall framework is H1 will have benefit. H2 won't have much.

Shreyans Jain: And sir, given historically, the rates at which INR depreciates, would it be fair to assume that 5% to 6% is our constant currency guidance in that 9% growth rate?

Sunil Agrawal: I don't have the exact number, Shreyans, but long term, rupee has depreciated about 3.5% against dollar. So , first 2 quarters would have more than that and next 2 quarters would have less than that. So , the calculation that we've done in detail calculation is not with me right now. But there is some component of depreciation in the guidance that we've given .

Shreyans Jain: Okay. All right. And sir, the other question is on our acquisition of Mindful Souls. Since our acquisition, I think the revenue run rate has been constant at about $4 million. And given that, that business is at a high gross margins of 75%, so is there an opportunity to look at 60%, 65% gross margins, which we typically operate at, at a company level and drive some growth there because I think post our acquisition, the revenue run rates have largely been stagnant at $4 million.

Sunil Agrawal: Yes, good observation. So , the main reason for revenue stagnation is the digital cost , customer acquisition cost. And we want to limit it to a certain percentage of revenue. Beyond that, it becomes not a profitable business. And as we are learning more and more about the business and also adding some more strength to the team in India, we expect this business brand to scale in coming future.

So, Y-o-Y, we had degrowth in last quarter, Q3 and Q4 would not be -- we also may have a little bit of degrowth. But from Q1 onwards, we expect it to have a single -digit growth and

then get into double -digit growth a few quarters down the road. So , I'm quite excited with this brand that we have as a group, major group, we learned quite a bit from the processes, the marketing processes from the brand. And this brand itself has a potential to grow with the demograph y that we address it, we target there.

Shreyans Jain: Okay. And sir, last question on the U.K. business. So , ex of Ideal World, constant currency, we've degrown by about 6 -odd percent. Now U.K. since the last few quarters has been struggling at least on the revenue bit. So , what are the opportunities you think there are going forward?

Because both U.S. and U.K. are a large piece of business for us and U.K. was negative and U.S. also, I think, was 3% constant currency. So , when you're guiding for 9% to 11% of top line growth, these two geographies are typically -- they have to fire, right? So , are we seeing some signs on the ground where customer sentiments have improved or something on those lines?

Sunil Agrawal: Yes. So , I'm not seeing consumer sentiment improving. So , our guidance is without that sentiment in play. But we are seeing our own internal digital marketing improving in both U.S. and U.K. As I mentioned, Rachel Galley had 3x revenue and with profitability and that learning from each other, all the 6 brands that we have is percolating within the group in different verticals like Meta, Google, AppLovin, affiliate, influencers, e -mail, all these areas. And that is -- that gives me confidence for TJC's growth. In addition to that, we lost 2 contracts for national broadcasting in U.K. in last 6 months. And we are negotiating with a couple of such contracts, and that contract will also give us growth. So, I'm fairly confident that the U.K. will come back to growth and U.S. will accelerate the growth.

Moderator: Ladies and gentlemen, we will take that as the last question for today. I now hand the conference over to Mr. Sunil Agrawal for closing comments. Over to you, sir.

Sunil Agrawal: Thank you, everybody. I want to thank all the participants for your time and great questions. If you have any further questions, feel free to reach out to Prashant Saraswat at VGL or Amit Sharma at Adfactors PR India, and we'll be happy to answer your questions. Thank you all once again.

Moderator: Thank you. On behalf of Vaibhav Global Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: May 2026

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Ref: VGL/CS/2026/41 Date: 28th May, 2026

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Dalal Street,
Mumbai – 400 001
Scrip Code: 532156

Subject: Submission of transcript of conference call
Dear Sir / Madam,
With reference to captioned subject, we are enclosing herewith the transcript of Q4 & FY26 Earnings Conference Call held on Friday, 22nd May, 2026.
The Transcript of the earnings conference call has also been made available on the website of the Company and can be accessed through the following link:
https://vaibhavglobal.com/admin_assets/Investor/Investor_Presentation/1866435024894616.pdf
Kindly take the same on record .
Yours Truly,
For Vaibhav Global Limited

Yashasvi Pareek
Company Secretary & Compliance Officer
M. No.: A39220

Encl.: as above:

"Vaibhav Global Limited
Q4 and FY '26 Earnings Conference Call"
May 22, 2026

MANAGEMENT : MR. SUNIL AGRAWAL – MANAGING DIRECTOR – VAIBHAV GLOBAL LIMITED
MR. NITIN PANWAD – GROUP CHIEF FINANCIAL OFFICER – VAIBHAV GLOBAL LIMITED
MR. VIVEK JAIN – HEAD, INVESTOR RELATIONS – VAIBHAV GLOBAL LIMITED
MODERATOR : MS. NISHITA BHATT – ADFACTORS PR

Moderator: Ladies and gentlemen, good day, and welcome to the Vaibhav Global Limited Q4 and FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Nishita Bhatt from Adfactors PR. Thank you, and over to you, ma'am.

Nishita Bhatt: Good afternoon, everyone, and thank you for joining us on Vaibhav Global Limited Earnings Conference Call for the fourth quarter and full year ended 31st March 2026. Today, we have with us Mr. Sunil Agrawal, Managing Director; Mr. Nitin Panwad, Group CFO; and Mr. Vivek Jain, Head of Investor Relations.

We will begin the call with the opening remarks by Mr. Sunil Agrawal on the business operations, key initiatives and broad outlook, followed by discussion on the financial performance by Mr. Nitin Panwad, after which the management will open the forum for the Q&A session.

Before we get started, I would like to point out that some statements made or discussed on today's call may be forward -looking in nature and must be viewed in conjunction with the risks and uncertainties that we face.

A detailed statement and explanation of these risks is included in the earnings presentation, which has been uploaded and shared with you all earlier. The company does not undertake to update these forward -looking statements publicly.

I would now like to invite Mr. Sunil Agrawal to make his opening remarks. Over to you, sir.

Sunil Agrawal: Thank you, Nishita. Good afternoon, everyone, and thank you for joining VGL's Q4 and FY '26 Earnings Call. I trust you have reviewed the results and the investor presentation. FY '26 has been a year where the investments of the last few years have started reflecting in our numbers. Profit before tax grew 41% year -on-year.

EBITDA margin improved to 10.8%. Our in-house brand contribution has crossed 50% of B2C sales, nearly a year ahead of our earlier target. Germany has turned EBITDA positive for the full year, and we generated our highest ever free cash flow of INR272 crores in FY '26. These are meaningful outcomes, and they validate the direction we are moving in.

Let me briefly cover the macro backdrop. The year had its share of noise. Precious metal prices spiked, the U.S. went through tariff-related uncertainty and discretionary spending was cautious across our core markets. Despite all of this, we navigated the year well. We also see the recent macro developments as supportive for VGL.

The India, U.K. and India EU free trade agreements, the ongoing India -U.S. trade discussions and the easing of U.S. -China tariff tensions all create a favorable environment for a vertically integrated retailers like us.

Coming to the numbers. For Q4 FY '26, consolidated revenue stood at INR935 crores, a growth of 10% year -on-year. EBITDA was INR96 crores with an EBITDA margin of 10.3%. One of the most encouraging structural shifts during the year was a rising share of our in-house brands, which crossed 50% of B2C sales. This was achieved almost a year ahead of the plan.

Higher in- house brand contribution strengthens customer engagement, improves sourcing efficiencies, supports pricing discipline and lifts gross margins. We expect this to remain a key driver of margin improvement going forward.

Our digital business also continued to scale steadily. Digital contribution stood at around 44% of B2C sales for the year, supported by better quality customer ac

quisition, improving retention and stronger AI -led targeting and personalization. Our OTT, live stream and social commerce initiatives are also gaining traction.

We remain on track to reach 50% digital mix towards the end of FY '27. Lab- grown diamonds are another important new lever. LGD now contributes 11% of retail revenue at an average selling price of around USD 250. This is lifting realizations, supporting gross margins and making a clear shift in -- meeting a clear shift in consumer preferences.

Moving to our geographies. In Q4 FY '26, U.S. and Germany grew by 1% and 7%, respectively, and U.K. degrew by 1% in local currency terms, resulting in total growth of 3% Y -o-Y in U.S. dollar terms. The most important milestone in our international footprint this year has been Germany achieving EBITDA breakeven.

This is a meaningful faster turnaround than we experienced in the U.S. and U.K. earlier when we launched originally. Germany is now well placed to contribute to group profitability from FY '27 onwards. Our growth continues to be guided by our 4 “R” priorities, that is reach, new customer registration, retention and repeat purchases.

During Q4, our TV networks reached around 127 million households globally. Our unique customer base stood at 6.8 lakh customers. Retention remained stable at around 38% and customers purchased an average of 23 pieces from us on a trailing 12-month basis. Technology and AI adoption remains central to our long-term strategy.

During the year, we expanded the use of AI across customer engagement, marketing optimization, analytics, content creation, merchandising and operational workflows. These initiatives are already helping improve productivity, scalability, customer experience and operating leverage across the organization.

Sustainability and community remains at the core of our business. Our ICRA ESG rating was upgraded to 74 during the year, reflecting continued progress on environmental, social and governance practices. Under our flagship Your Purchase Feeds program, we have now served

over 112 million meals to school going children, currently providing around 56,000 meals every school day.

We remain committed to our long -term goal of 1 million meals per school day by FY '40. On clean energy, we continue to meet 100% of our manufacturing power needs through solar. Two of our U.S. sites and 1 site each in U.K. and Germany also operate fully on renewable energy. We have also committed to the science-based targets initiatives, aligning our carbon reduction pathways to 1.5 degrees centigrade goal under the Paris Agreement.

And I'm pleased to share that all our group entities across India, U.S., U.K., Germany and China are now Great Place to Work certified, reflecting our human resources engagement. On capital allocation, the Board has recommended a final dividend of INR1.5 per equity share, including the interim dividends paid earlier. That leads to total INR6 payout for the year.

We remain committed to a balanced approach, rewarding shareholders consistently while keeping flexibility to invest in growth. Looking ahead to FY '27, we remain confident in our growth trajectory and currently expect revenue growth of 9% to 11%, along with an improvement in EBITDA margin of 50 to 100 basis points. Backed by continued investments in digital capabilities, technology adoption, customer engagement and operational efficiencies, we are confident to drive long- term value creation.

With this, I would like to hand over the call to Nitin to discuss the financial performance in greater details. Over to you, Nitin.

Nitin Panwad: Thank you, Sunil. Good afternoon, everyone. Let me now walk you through the key financial highlights for the fourth quarter and full year ended 31st March 2026. For Q4 FY '26 consolidated revenue

stood at INR935 crores, a growth of 10% year-over -year. EBITDA for the quarter was INR96.3 crores, translating into EBITDA margin of 10%.

Profit before tax came in at INR64 crores, a strong 41% year -over-year growth, one of the sharpest quarterly profit improvement we have delivered in recent years. For the full year FY '26, consolidated revenue was INR3,691 crores with EBITDA margin expanding by 140 basis points to 10.8%.

Gross margin remained healthy through the year, supported by our vertical integrated sourcing model, higher in- house brand contribution, traction in lab-grown diamonds and disciplined inventory management. Despite elevated precious metal pricing and geopolitical tariff tension, we maintained pricing discipline and product profitability.

Our product mix, lifestyle products now contribute around 35% of total sales, and we continue to target a medium -term share of 50%. Lab -grown diamonds contribute close to 11% of retail revenue. And as Sunil mentioned, our in- house brands have crossed 50% of our B2C sales, a year ahead of our earlier target. The business continued to be strongly cash generative.

We delivered operating cash flow of INR305 crores and free cash flow of INR272 crores, which is our highest ever free cash flow generation in a year. Net cash position stood at INR296 crores

as of 31st March 2026. ROCE improved to 24% and ROE to 15%, reflecting much better profitability and disciplined capital allocation.

We also saw operating leverage during the year. Employee cost efficiencies improved further through process optimization, automation and increased use of AI tools across functions. Airtime
cost productivity also improved with sharpest product portfolio and better negotiation outcome. Our digital marketing spend continued to stay focused on higher quality of customers with stronger lifetime value, which is helping strengthening our long-term customer economics.

Now let me cover geography -wise performance. In local currency terms, Q4 revenue growth was 1% in U.S., U.K. degrew by 1% and 7% growth in Germany, resulting in total growth of 3% year -over -year in U.S. dollar terms. In U.S., the retail landscape continued to shift rapidly towards digital -first customer discovery with paid social media emerging as one of the most important channel for customer acquisition and engagement.

Customers are increasingly discovering, evaluating and purchasing through platforms like Meta, Apple, TikTok and Google. And we have been steadily scaling our presence and investment across these platforms. Our paid social strategy is driven by performance marketing, AI -led targeting, creator and influencer partnership and platform -specific content, all aimed at improving customer acquisition efficiencies and lifetime value.

This aligns very well with VGL's omnichannel model with blends live TV, digital and social commerce. Despite higher precious metal prices and softer discretionary spending sentiment during the quarter, we delivered growth in U.S., supported by improving digital contribution, healthy traction in our proprietary brands, stronger customer engagement and better marketing ROI driven by AI-led optimization.

Importantly, the in-house jewelry casting line we operationalized in U.S. during the year continue to help us to mitigate tariff impact on our shipments and product gross margins. In the U.K., headline revenue was flat during the quarter and on the back of weaker consumer sentiments, the impact of elevated metal prices on discretionary purchases.

However, underlying performance improved meaningfully, especially Ideal World continued to be strong momentum with a healthy double -digit growth of 15%, while TJC declined by 7%. Overall, U.K. EBITDA improved substantially by 220 basis points year-over -year, supported by stro

ng gross margin, disciplined cost management and an improving product mix.

In Germany, we delivered growth of 7% year-over -year, supported by continued strength in our live TV commerce and improving digital adoption. The Germany business achieved EBITDA breakeven for FY '26, which is a notable milestone for us. It is expected to contribute positively to group profitability from FY '27 onwards.

Mindful Souls, our digital-first acquisition also continued to its steady performance with strong gross margin and delivered tangible cross learning benefit across the group. On dividend, the Board has recommended a final dividend of INR1.5 per share, subject to shareholders' approval. Including the interim dividend already paid, our total FY '26 payout works out to around 37% of our free cash flow, reflecting our continued focus on consistent shareholder returns.

Thank you. We can now open the floor for Q&A.

Moderator: Thank you very much. We will now begin the question-and -answer session. Question comes from the line of Aditya Jhawar from AK Investments.

Aditya Jhawar: So I have a question regarding the margins. In FY '22, we did roughly about on a INR2,000 crores revenue, 15% or 13% to 15% margin. And currently, going forward for FY '27, we are doing roughly about INR4,000 crores of revenue. And still we are inching up at 11% EBITDA margin. So I just wanted to understand what -- I mean, what it takes to inch up the margins higher? That is my first question.

Nitin Panwad: Thank Aditya for the question. So margin in FY '22, we have launched Germany operation, which initially led the lower margins for the initial period. Now past financial year, we made the Germany business breakeven, and that now will start contributing in our similar kind of margin ratio over the years what we have seen in U.S. and U.K. will improve our margin lines.

Apart from that, our initial investments in our -- as we are expanding in our digital footprints in platforms like Meta or TikTok or the all paid media channels, which require investment in these kind of platforms, resulting lower margin compared to FY '21.

But all of these results, if you see the last 3 years, our margin is steadily improving from 7% to 11% from FY '23 to '26 now. And we're confident that our margin is continuously improving in upcoming years as we have guided 50 to 100 basis point year-over -year improvement next year, we have given a guidance.

Aditya Jhawar: Okay. And these investments, we have to continue for the growth. So the operating leverage is kind of -- I mean, it will happen slowly, but it will not be even though our base is becoming larger, but it won't be that big. Is it right?

Nitin Panwad: We expect that margin will continue to improve. Operating leverage will continue to come in the business especially the technology development and the AI initiatives what we have, we see the operating efficiency across all the platforms. And we expect that the leverage predominantly will come from HR and SG&A and shipping kind of cost platforms.

But it will continue to improve. And for the foreseeable future, we don't see that we should not achieve the peak margin of 15% we have achieved. But in terms of like precise guidance, it is not the right time to say, but our margin will continue to improve and it can be achievable to our peak level we have seen 15% in earlier years.

Aditya Jhawar: In coming 1 or 2 years, basically...

Nitin Panwad: Yes, it's a gradual improvement as we have seen in the past 3 years improvement you see it, it will be a gradual improvement.

Aditya Jhawar: Okay. Next, my question is a little medium term. Now since we have the presence in Germany and it has been stabilizing, I know you earlier talked about Japan or an

y other geographies. But
I wanted to specifically ask why management is reluctant to start the business in India when we

have there in India who is ready to contribute or ready to pay up. And still, why aren't we focusing on India? When will be the time that we'll be focusing on India and create an optionality for the company?

Sunil Agrawal: Yes. Let me take that. So this is Sunil. Thanks, Aditya, for the question. So India, the television shopping is not really never took off in India. So for us to get into India, it will be only digital entry. Now for our own business in Western world, all 3 countries, the digital is nearing maturity. Once we feel comfortable with our full maturity in digital, we will look at India as a potential market for us.

Aditya Jhawar: That makes sense. And also, I have another suggestion for the management. I know we are paying a good amount of dividend, but our stock price is down really from the peak from 1,000 to 230-odd. We would request the management to go for a buyback so that it helps in the EPS boosting. So that will create more shareholder value rather than dividends.

Moderator: The next question comes from the line of Pradeep Maity with RGI.

Pradeep Maity: Yes. Just a moment ago, you have already told that our in-house spend already achieved 50% of total revenue. But in the investor presentation, it is already in that. Our in-house brand mostly contributing to gems and jewelry products of 80% to 85%. But just a moment ago, already -- and you also already said that in midterm, will achieve the lifestyle product 50% of total revenue how you can say that, the 2 statements are contradictory can you explain...

Nitin Panwad: Yes. So thanks, Pradeep. Yes. So let me explain that. So our total in-house brands is 50% of our total B2C business. Now if we do a sales bifurcation of in-house brands, that is 85% of in-house brands is through jewelry and 15% of in-house brands through lifestyle products. The other ratio that we are suggesting guiding for the business is whole together that our total sales of business, 35% of total sales of business coming through lifestyle product. So both are the different things.

Pradeep Maity: I am telling you told that, that 50% in midterm lifestyle product will increase 50% already the jewel in jewelry product is 80% to 85%. how can you say that? In-house jewelry product is major product, but you are telling that the lifestyle product will increase in percentage terms?

Nitin Panwad: Lifestyle product will increase in percentage terms. Our midterm target is 50%. It is combining in-house and external brand and our umbrella brand both. So the number we have reported in in-house brands is only the 85%, 15% ratio of our 50% of total branded ratio. But if we have more confusion, then we can have a separately e-mail chat and then we will explain you better.

Pradeep Maity: Okay. Okay. And then I will definitely email you. And another question is, can you comment on the tax for next year, means FY '27...

Nitin Panwad: What do you mean?

Pradeep Maity: You have already told in the FY '26 that it will remain in the line of 20% to 22%. Can you comment on that?

Nitin Panwad: Got it. So our tax rate will be steady around 22% for the upcoming years.

Pradeep Maity: Okay. And next question is that in TV broadcasting expense, can you comment on that? It will increase in percentage term or remain in percentage term or it will increase in absolute term or decrease in percentage in terms of revenue?

Nitin Panwad: Yes. So that the line we're continuously investing to expand our digital share. We expect that this will continue to be around in 20- odd percentage that line.

Moderator: The next ques

tion comes from the line of Sahil Sharma with Dalmus Capital Management.

Sahil Sharma: So sir, I just wanted to understand, we see volumes have declined across the board in both TV and digital by about 9% to 10% Y -o-Y, which seems quite significant. So how should we see this? Like is this reflective of a broader macro and demand trend? Or are we seeing increased competition?

Nitin Panwad: Sure. So our portfolio is pretty wide, and we offer every day a new product of 50 to 100 every time based on customer need or market trend, how is going on. As a recent period, lab -grown demand is pretty high. So lab-grown is around $200 price point. So that to fulfill that demand, our average ticket size is -- average ticket size has increased, so volume is impacted.

So -- and also increased metal prices also driving higher price point customers. So we actually look into it more in terms of our number of quality of customer acquisition and total sale of each platform is a true performance of our overall business. So declining volume doesn't mean that the customer is less buying is the product portfolio is shifting where we see more quality of customers and more lifetime value.

Sahil Sharma: Okay. Understood. So you're not seeing any sort of slowdown in demand at this point, especially given the inflationary environment that we are living in right now?

Nitin Panwad: Yes. Sunil, would you like to comment on this?

Sunil Agrawal: Yes. So Sahil, we are very agile in assessing the customer environment, the macro environment and customer demand. So whatever the current environment, whether recessionary or the positive, we will adapt and bring the product suitable for that particular time. So volume may not be the right barometer for you to look at it. The number of customers, repeat purchase, the retention rate and the reach, therefore, are the best way to look at our business and the overall revenue and profitability.

Sahil Sharma: And sir, on the own brand as a percentage of revenue has reached about 49% and 85% of that would be jewelry. So I think it would be about 64% to 65% of the jewelry revenue is now coming from own brands. So do you see the share of jewelry revenue from own brands increasing further like how do you see it in the next 3 to 5 years? You mentioned that it would be margin accretive. So would it be margin accretive on an EBITDA level given there could be higher advertising spend in the own brand segment?

Sunil Agrawal: Yes. So having higher own brand ratio is margin accretive. And as we increase the ratio across jewelry and LSP product, the EBITDA margin will increase. We don't have precise calculation for that because there is still very dynamic, but it helps in margin accretion because our customer

with our own brand has better repeat purchase and better retention, and we can give better value with our own brand than the third -party brands.

Sahil Sharma: And on like the share increasing further, do you see it increasing further?

Sunil Agrawal: Yes, it will continue to increase. I do not have exact guidance on that because we constantly push it and then -- but we are also cognizant of customer pull, but we'll continue to increase it. At what ratio will increase in coming years, I don't have a guidance on that yet, but it will definitely continue to increase in the foreseeable future.

Sahil Sharma: Okay. And can you just give a little more color on the sharp increase in the ROU what has led to this increase?

Nitin Panwad: Let me take this. So ROE is primarily driven in our growth in our PAT. So our company's PAT grew sharply during the quarter and year -over -year growth. So that is leading in our ROE number. But if we normalize the MAT credit that we have gotten this year, we're still having an improveme

nt in our ROE to 15%...

Sahil Sharma: Sorry, sorry. I was asking about the ROU, right -of-use assets.

Nitin Panwad: Yes. Okay. got it. Got it. So I understand that. So we have taken one lease -- signed a lease in U.K. around February. So that result in a higher ROU. But the existing building that we have, we will vacate and move in the new buildings by the end of -- during this financial year. So ROU increase is mainly related to the new lease we have signed for the U.K. premises.

Sahil Sharma: So would that result in a significantly higher depreciation cost going ahead?

Nitin Panwad: Yes. Depreciation will be similar in line that for this financial year compared to the next financial year. But we have a resulted savings in terms of our -- as we are consolidating our 4 buildings operation in one building. So operational efficiencies, faster execution deliveries, all around, we will get the benefit in our operational cost.

Moderator: The next question comes from the line of Shreyans Jain with Svan Investment Managers.

Shreyans Jain: Congratulations on a good set. Sir, my first question is, over the last 3 years, our mix has consistently improved from, say, TV to digital. And I'm just looking at that percentages from 38% to 41%-odd right now digital, right? And the other thing that you also mentioned is that we are having a lot of sales from lab-grown diamonds, which is about 11% of your sales right now.

And also gold has, to an extent, played a big role in this growth, right? But when I look at your gross margins over the last 3 years it hasn't improved that much. And we were also made to understand that as your business mix moves more towards the digital side, your gross margins tend to be better on that side.

So why aren't we seeing a commensurate improvement on the gross margins? Or is it that the TV business that we're ending up doing is at a far lower gross margin that we used to do historically? Can you just help us understand this?

Nitin Panwad: Gross margin side, it is what I see actually it is improving trend, but the main reason I see is only the gross margin as we have a B2B sales increase. Though the B2B sales EBITDA margin is very close to our channels EBITDA margin, but B2B gross margin is much lower as the B2B doesn't have like a fixed cost of digital content broadcasting that much.

That is why you are seeing in the overall consol result that it is flattish over the years. But like in the current quarter, we have seen around 180 basis point improvement in gross margin and the full financial year is also 40 basis point improvement in gross margin. And as digital share is expanding now further and which might be in next year, a significant half of the business size is from the digital, then gross margin will further expand in future.

Shreyans Jain: B2B is hardly, I think, INR200- odd crores out of INR3,700 crores. And also the volumes have dropped off from where we used to do what we used to do historically. So that is why the question that we're not able to see the kind of gross margin improvement that we were earlier looking at.

Nitin Panwad: Yes. So I see the gross margin 1% improvement from FY '21 -- sorry, FY '27

Shreyans Jain: Sir, last 3 years from 64.6%, we are at 65.5%. And last 3 years, your digital has improved by 3%. Lab grown has become 11% of your sales where ideally your gross margins would have been higher. Volumes have sort of dropped off.

So your ASPs have gone up. So just these 3, 4 things when I look at these things and then try to sort of come to the gross margin number, I feel are we doing the traditional TV business at a lower gross margin than what we used to do historically?

Nitin Panwad: Yes. So margin -wise, it is flat, but time to time, we do inventory c

learance. But overall, broadly,
we look into it that year-over -year, are we getting an improvement in our overall margin or not. And that we are seeing in past 3 years, though this is not maybe like significant amount of percentage higher, but still 100 basis points higher in the past 2, 3 years.

And now we are seeing more traction on the higher gross margin side in our paid media sales channel. So that share is increasing in a recent period. So that will drive more higher margin in coming years.

Sunil Agrawal: Let me add to that. The last financial year has been the tariff addition to the business, the cost of tariff was there. Although in jewelry, we were able to start casting in U.S. and bringing to India and then making -- so we save tariff on some portions of the jewelry. But overall, the tariff intensity was substantial and the metal price spike was there.

In spite of that, we were able to expand the margin during the year. Digital has helped to some extent, but it was more of an internal discipline of improving margin that are seeing the growth in margin and therefore, the profitability, ROCE and ROI. So given the circumstances, I believe that we have done pretty well with our margin profile.

Shreyans Jain: Got it. And my second question is, sir, obviously, employee costs as a percentage of sales have improved by about 200-odd bps in the last 3 years. And now when we're seeing 50 to 100 bps

of margin improvement going forward, and Mr. Panwad also mentioned that some of it would come through from employee cost -- so just trying to understand going forward for the next 2 years, where -- which significant line item should we see improvement coming from?

That's one piece. And second is, sir, what is the kind of top line growth we should ideally look at? Because I'm just looking at the constant currency full year numbers for U.S. and U.K. And obviously, we understand the macro, but U.K. is flat and U.S. is 3%. So could you help us understand what are you looking at for the next 2 years in terms of constant currency growth in 2, 3 geographies?

Sunil Agrawal: Yes. So constant currencies, there's still a lot of noise of the currency fluctuation and the tariff uncertainty. So we are just giving guidance in INR for midterm of around 10% to 12%. For next year, we're giving guidance of 9% to 11% of overall revenue growth. Now the business as we go more towards digital, where we have more conviction of growth, then we can give local currency guidance going forward. At this time, because of the macro and business transition, we are not giving that constant currency guidance.

Shreyans Jain: Got it. And the margin improvement, sir, where will that come from 50 to 100 bps? Already employee cost by 200-odd bps?

Sunil Agrawal: Yes. So first, it will come from gross margin improvement, then the employee cost improvement. Shipping may have some leverage, but in current the Asian crisis, the war have whatever growth we had last year or the margin leverage we had last year in shipping that won't be available for this financial year. But if the business goes steady state, then there may be a room in shipping as well.

SG&A, I don't see leverage because we will continue to invest into whatever the savings we do on TV, we continue to invest into digital. So content and broadcasting will stay at around 20%, what Nitin mentioned earlier. So leverage to sum it up, leverage will come from margin improvement and HR costs.

Shreyans Jain: Okay. All right. Just last question. Sir, when I look at your other expenses ex of C&B, so that has increased by about 16%-odd in this quarter, right? So what has led to this 16% growth? And the second thing is, we've taken a write-off of about INR25 -odd crores in the mindful souls pie

ce, right? So just trying to understand what has happened in that because I think it's 1, 1.5-year old business and aren't we too early to take that write -off? Or you think fundamentally something has changed in that business?

Nitin Panwad: Yes, let me take this question. So the other line which has increased is mainly related to our traveling and the different office expenses that we have incurred for the initially to set up the warehouse in U.K. and also the -- some of the technology expenses that we have driven in AI side that we have done resulting other expenses are slightly higher compared to last year.

But that we see that it is temporary in nature. The other point about the Mindful Souls. Mindful Souls current business, initially, we structured based on the higher growth and we forecasted based on the double -digit growth basis, the initial impairment testing that we have done it.

Though conservatively, we have taken this year that, that number -- however, that number growth percentage not coming, but the business is still good profitable business for us. And the cross learning is pretty high that we are having the U.S., U.K. and Germany, all 3 business are learning from Mindful souls. So considering that, we perceive that, that business is very fruitful for us.

But now the recent investments that we are seeing in changing our digital strategy in Mindful Souls, focusing more on the one -off single items, we are seeing that this quarter started seeing the positive number from Mindful Souls, but the write -off is mainly related to the conservative impairment testing that we have done it.

So initially, we forecasted that the business will be recover all the invested money within 5 years. Now it is increased to 7 years. So the potential it may be reversed in upcoming years if the business performed well. But for now, because of the initial year, we haven't converted well from Mindful souls, that is why the write -off is coming INR25 crores.

Moderator: The next question comes from the line of Sheelkumar Shah with Sameeksha Capital.

Sheelkumar Shah: So considering the current macro environment in U.S. and U.K. particularly elevated gas prices and inflationary pressure, could you give us some color, qualitative color on the current trends that you are observing in April and May so far?

Sunil Agrawal: Yes. So I'll take that. So we are seeing better digital traction in both the geographies, but the television audience is still a bit stressed owing to the inflation. The gas price is high and interest rates are getting higher. So we are comfortable with our guidance that we gave for 9% to 11% growth year -over -year in overall for the group.

And let me add the Germany also. Germany is seeing better traction this current quarter than it did last quarter. So all in all, for the group, we are comfortable to see the growth in revenue as well as profitability in current quarter and for this financial year.

Moderator: The next question comes from the line of Pulkit Singhal with Dalmus Capital Management.

Pulkit Singhal: Sunil, I think one of the concerns is that U.S. market particularly has been growing at low single digit for 3 consecutive years. I mean we have been making a lot of investments on the digital side. We've been trying a lot of things. How do we get comfort that this will grow higher going ahead? What is it that you're seeing? Is there something that you're doing that gives you comfort on this going ahead that we grow higher?

Sunil Agrawal: Yes, good observation. So we have -- over the course of last 31 years we are public, we have transformed our business multiple times from B2B to B2C, brick- and-mortar to TV to jewelry to lifestyle and to now digital. So last 3 years has been our transformation journey from purely TV dep

endent to TV/e -comm and more and more towards e-com, while giving improved EBITDA, improved margin and amidst the German initial buildup negative margins.

So to your question of U.S., given our investment into digital and my conviction of us being on the right track gives me confidence that in mid- to long run, U.S. and U.K., both geographies

will get to double -digit growth for us because we put those investments in place and the teams in place.

Pulkit Singhal: You're talking about double -digit constant currency growth you're expecting for both the markets eventually?

Sunil Agrawal: Yes, -- in mid - to long run, yes.

Pulkit Singhal: Any initiatives you will touch upon AI or otherwise that gives confidence that you're doing something new, which is kind of giving you that confidence or visibility?

Sunil Agrawal: Number one is AI is now completely integrated into our digital efforts, from scanning the competitor environment or Meta library or other data or what is working, what angles are working. So we scan that. And then we create the creatives for Meta or for [inaudible 0:47:16]. Based on that intelligence through AI.

And then we create landing pages for those customers clicking on that ad with the help of AI. And then we analyze with AI where the customer is bouncing from through there is Microsoft service and that integrated with AI. So we are able to watch real time where the conversion is slowing down, where the customer is bouncing.

And that is helping us getting to improve the conversion and customer spend. That gives me a lot of confidence. So from product identification to creative angles to making the creative AI and the landing pages and analytics. Completely this is on the marketing side. Now we are also using AI in our operations to -- for the supply chain demand forecasting into the back -end supply chain analysis and optimization.

So it's quite across the board, we are using AI, and it's only going to accelerate. And we are not doing centralized AI. We are encouraging all our team members to use AI with certain security guidelines to utilize AI to improve their results and there are contests across the company going on for best AI use and people are getting handsomely rewarded for the good AI use that they demonstrate.

Pulkit Singhal: Right. And these initiatives on AI demand generation or marketing, when have they started? And when do you think it can reflect in terms of some real impact in terms of significant impact in terms of demand generation? I mean, how old are these initiatives? And how do we understand...

Sunil Agrawal: Started a few months ago. So it's not -- you just don't switch on one switch and go on. So it started almost a year ago and in recent weeks and months, it started accelerating. I cannot predict how much it will result in substantial increase. I cannot say that. But I'm comfortable with the guidance that we have given you, and we hope to meet or exceed those guidances.

Moderator: The next question comes from the line of Mehul Panjuani from 40 Cents

Mehul Panjuani: Sir, last few quarters, we were kind of our business was -- there was some uncertainty due to tariffs. So can you say that the tariff uncertainty is out of the way right now or we have to wait for one more quarter or so?

Sunil Agrawal: With the current administration, Mehul, we can never be certain. -- but I can only say that is whatever the circumstances, we are very agile and pretty multi-country operations and logistics that we'll deal better than competitors.

Mehul Panjuani: Another question related to this is that since we have reported a very good set of numbers if the tariff related uncertainty wouldn't have been there, we wou

ld have been significantly better...

Sunil Agrawal: That is very hypothetical question, difficult to answer. But it is a fact that uncertainty can cause disruption. But I look at uncertainty sometimes as an opportunity to make a difference or do something better than competitors are not doing. So it's difficult to say, hypothetical and very difficult to say.

Mehul Panjuani: Sir, our products -- another question related to certification, are our certified by external agency or there's no requirement as such for our customer base.

Nitin Panwad: So our products like diamonds or lab-grown, those are certified products and customers are also looking for certification to get a trust and authenticity. And regulatory requirement also is in U.K. to assay the silver and gold jewelry item so that also certified. So most of the product and branded product side, we certify.

And the product -- the certification varies based on product price range and product brand related. But I would say that the trust we have created and value generation that we have created across the years. The customer believes and customer trust is there, and we do a certification also there for our customer if needed.

Mehul Panjuani: Sir, my last question is about lab -grown diamonds. Since when have been selling these products...

Nitin Panwad: Sorry, I didn't get that last part. When are we

Mehul Panjuani: Since when are we into the business of lab-grown diamonds starting in the last couple of years...

Nitin Panwad: So lab-grown category picked almost around 18 months back. And that category was pretty much nil for us in lab-grown diamond. But now that category within 18 months, it has peaked to almost 11% now.

Moderator: The next question comes from the line of Parth Dalam, an Individual Investor.

Parth Dalam: The first question is about the unique customer which has gone down. So how do you see that panning out in the next 2 years, 3 years?

Nitin Panwad: Sure. So the customer number, we are constantly looking and refining our customer persona and portfolio and where we see a more value or quality of customers that we have target. In the past 3 years that we have targeted very low price point customers and then we have seen the lifetime

value for those customers were not high, then we deliberately move to the more quality of customers where the customer -- we get more repeat like beauty items and the lab grown and the other gemstone items.

So that we have expanded and that they are naturally slightly high price point items, and the quality of customers' cost is also high, but longer term, it gives value. So overall unique customers, we monitor based on how many quality of customers we're acquiring. So the number has gone down because of mainly those one -off customers which were earlier not giving value inflating the last year number. But now the focus is more on the quality of customers.

Parth Dalam: But do we see that increasing, maybe not immediately, but at least 2 years down the line because we have this Germany doing very well. We have 2 acquisitions. If I recall from the past calls, we have been investing in customer acquisitions and all. So do you see that...

Nitin Panwad: We are seeing that the recent improvement led through AI and the digital marketing, the whole platform that we have created of content generation. So that is resulting in the acquisition of higher number of customers with lower cost. And we see that, that number will continue to improve.

Moderator: Ladies and gentlemen, as there are no further questions, I would now like to hand the conference over to Mr. Sunil Agrawal for the closing remarks.

Sunil Agrawal: Yes. So thank you, everybody, for your participation and great set of ques

tions. If you have any further questions, please feel free to reach Vivek Jain at Vaibhav Global or Disha or Amit Jain at Adfactors, and they'll take care of your questions.

Moderator: Thank you, sir. Ladies and gentlemen, on behalf of Vaibhav Global Limited, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.